Uno Minda (UNOMINDA)

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Call: Aug 2022

"UNO Minda Limited Q1 FY-23 Earnings Conference
Call"

August 8, 2022

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August 8, 2022

Moderator: Ladies and gentlemen, good day, and welcome to the UNO Minda Limited Q1 FY '23 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sunil Bohra – Group CFO from UNO Minda Limited. Thank you. And over to you, sir.

Sunil Bohra: Thanks, Inba. Good evening, everyone, and a warm welcome to all the participants. On this earnings call today, I am joined by my colleague, Ankur Modi. We have uploaded our financial results and investor presentation for Q1 FY '23 on the stock exchanges an d our company website. We hope everybody had a chance to go through the same.

Recently, we have changed your Company's name from Minda Industries Limited to UNO Minda Limited and also launched a new tagline called Driving the New. This change is intended to reflect the unique legacy and identity of the company as a leading Indian automotive systems supplier and also a leader in technology and solutions across customers, consumers, distributors, partners, and employees. The renaming initiative will further s trengthen and unify the brand UNO Minda. I would also like to inform that consequent to name change, our stock code has also been changed to UNOMINDA.

Before speaking about the company's performance this quarter, I would like to throw some light on industr y front. Automotive industry had its own challenges over the last 4 to 6 quarters due to rising commodity prices, shortage of chips and semiconductors, and geopolitical tensions across the globe. However, we tend to believe that the worst is behind us. The industry is progressing well and is on a high growth trajectory.

Large scale digitalization and technological upgradation, the rapid growth of the economy, and learnings from past 2 years of the pandemic are expected to come in handy as demand continues to remain resilient, notably in the two-wheeler and passenger vehicle segment. We have also witnessed demand picking up for CV industry, which is a good sign for the Indian automotive industry to be poised for sustainable growth going forward. Our discussio ns with customers are encouraging and gives us an optimism for the outlook for FY '23.

We expect the festive season to do well, including the rural market as the vaccination push is aiding the economic recovery and so far the monsoon is also progressing we ll. We have seen

good growth in last quarter in two-wheeler , passenger vehicle , and CV segment. Industry grew as compared to previous quarters and volumes released by various OEMs for July also ended on a positive note with Q2 FY '23 looking positive.
The PV segment is on the dream run as retail sales picking up with the economy stabilizing and approaching near normal. Also, the industry is continuously launching new models in the PV segment, which is adding fuel to the growth prospects.
On the EV industry, the Indian government had been taking multiple initiatives to push for the EV adoption. We believe that the EV industry is at the cusp of the multi -fold growth. As the market and technology advances, EV market penetration is expected to increase rapidly, especially in two-wheeler, three -wheeler, and PV segment. The demand momentum for electric two-wheelers remain strong with a high gro

wth in FY '22 and Q1 of FY '23.
EV adoption across the supply chain requirements, especially by the e -commerce players for the last mile deliveries, may also entail higher acceptance and penetration of the EV vehicles. We are optimistic about the demand scenario from both domestic and international markets. Supported with a diversified product portfolio, increased content for vehicle, and cross -selling of products to our existing customers, we maintain a positive outlook on revenue growth. We continue to deepen our R&D efforts, enabling us to seize the opportunity in the automotive segment, especially from the EV space wh ich points to a solid future.
Moving on to financial and operational performance for Q1 of FY '23, you may refer to Slide #5:
The company has been expanding its capacities in alloy wheels, considering increasing demand on back of increasing application. Du ring the quarter, we started commercial operations of 60,000 wheel per month capacity in Bawal. Out of 60,000, 30,000 was commissioned in April of 2022, while remaining 30,000 was commissioned in June 2020. Consequently four-wheel alloy wheel business also reported increased revenue.
On two-wheeler alloy wheel business, we are happy to inform that all 4 lines which were part of phase 1 expansion, which is 3.6 million wheels, are now fully operational and incremental revenues are expected to start flowing in from Q2 of FY '23. We have also started commercial operations from our four-wheeler lighting plant at Gujarat.
While we continue to increase asset value in some of the recently launched facelift models from Japanese and Indian OEMs, we are also thrilled b y the incremental order wins from the EV OEMs for both EV specific components as well as our existing products. We will talk about them in detail in subsequent slides.

UNO Minda has raised the bar with its people practices and people -first culture, providi ng compelling employee value proposition and best experience to its employees. We have recently been recognized among the Top 50 India's Best Companies to Work For and also as one of the Best Workplaces in Auto and Auto Component for the year 2022 by Great Place to Work Institute.
Coming to our financial and operational performance, you can refer to Slide #7 and #8:
At consolidated level, revenue from operations for the quarter increased by 59% year -on-year basis to Rs. 2,555 crores from Rs. 1,602 crores re ported in Q1 of FY '22, while revenues increased 6% on quarter -on-quarter basis as industry volumes gradually recover with easing supply chain constraints. We would also like to appraise that we have reported our highest quarterly sales in Q1 of FY '23.
We have witnessed growth at almost all businesses, especially alloy wheel division. As promised, we have continued to outperform the industry with 59% growth against industry volume growth of 37% year -on-year basis. Even after factoring price increases due t o commodity prices, there is a significant delta with respect to industry volumes. It is pertinent to note that Q1 of FY '22 was impacted by the Delta wave adversely impacting the industry volumes during this period.
EBITDA for the quarter was at Rs. 266 c rores, improving by a stellar 81% from Rs. 147 crores on YoY basis. The EBITDA margin for the current quarter were also higher at 10.4% as against 9.15% in corresponding quarter last year. EBITDA margins have declined sequentially from 11.4% to 10.4%, primarily due to higher energy costs, higher p rices of critical raw materials like aluminum and electronic parts, and inflationary impact on employee and other administrative expenses.
The prices of gas, which is largely consumed in our alloy wheel division has continued to

increase on a quarter -on-quarter basis, adversely impacting the margins. We would also like to highlight that while commodity prices have come off from the peak, sp

ot prices during the
quarter were still higher than average prices of the last quarter. Hence, we continue to enforce high prices during the quarter.
Recovery or price adjustment for the raw material price increase is expected in subsequent quarters as we continue to maintain our full year EBITDA margin guidance, which is between 11% to 12%.
Finance cost has increased sequ entially from Rs. 13.5 crores to Rs. 16.8 crores, however, still lower on YoY basis. The sequential increase is on account of increase in debt as well as increase in borrowing costs pursuant to interest rate hikes by the Reserve Bank of India.

Other non -operating income for the quarter return to normalized level at around Rs. 10 crores after the onetime gain of around Rs. 9 crores in the last quarter from revaluation of investment in Kosei Minda Aluminum post increase of stake by a JV partner from 70% to 88 %.
We see sequential reduction in tax expenses from Rs. 48 crores to Rs. 31 crores as we have moved from old tax regime to a new tax regime having lower tax rate. We continued in the old tax regime till last year as certain tax benefits were available only in the old tax regime. The profit after tax, which is a MIL share for the quarter, was at Rs. 139 crores as against Rs. 15.4 crores in Q1 FY '22 and Rs. 144 crore s in the previous quarter.
Coming to the business segment -wise performance :
Moving to product lines, starting with switching system, you might refer to Slide #12:
The segment achieved revenues of Rs. 730 crores for Q1, contributing 29% of our consolidated revenues. We continue to receive orders for new generation switches like sunroof, cruise control, power windows, switches, pedal switches, vehicle stability switches, etc., from various OEMs. Exports is another big revenue stream which is growing fast especially in the two-wheeler switch segment.
Moving to lighting business :
It has achieved revenue of Rs. 582 crores for Q1, contributing to 23% of our consolidated revenues. Lighting segment has won man y large orders in last 1 year and poised for promising growth in the coming years. In continuation of the same, we have won another large order from a new EV OEM for complete set of head lamps, tail lamps, blinkers for their newly launched model.
Moving to our casting business :
It has achieved revenue of Rs. 484 crores for Q1, contributing to 19% of our consolidated revenues. Casting business continued to grow with the expanding capacities with increased demand and application. As informed earlier, Bawal ex tension of 60,000 four-wheeler alloy wheel is completed while Gujarat is in progress and expected to commission by Q1 FY '24. Volumes are increasing in two-wheeler alloy wheel as the fourth line come on stream.
Moving to acoustics, Slide #17:
Our acoustic business had achieved revenue of Rs. 172 crores for Q1, contributing 7% of our consolidated revenues. Our India business remained stable. European subsidiary Clarton Horn remained under pressure with unprecedented increase in energy costs and lower industry volumes.

Moving to our seating business – which achieved revenue of Rs. 59 crores for Q1 FY '23, contributing 10% of our consolidated revenues. Revival in CV segment and better volumes from two-wheeler had supported the growth in seating bus iness.
Moving to other product businesses which have achieved revenue of Rs. 328 crores, contributing 13% of overall top line. Other businesses mainly comprise of controllers, sensors, ADAS, blow molding business, battery, and aftermarket. The share of profit / (loss) of associate , joint ventures for Q1 was at Rs. 22 crores against a loss of Rs. 5 crores in Q1 of FY '22. The share of profit has decreased sequentially primarily due to inclusion of price increase for previous quarters in Q4. While all our JVs have contributed positively, major contribution came fr

om DENSO TEN,
ROKI and TG.
Moving to aftermarket and export, you can refer to Slide #14. In terms of our revenue pie for the quarter ended June 30, OEM business accounted for 9 1% and aftermarket businesses at 9% for Q1. Our aftermarket division revenues were at Rs. 223 crores as against Rs. 114 crores in

corresponding quarter last year. In spite of a cyclical ly weak quarter, aftermarket has maintained the revenues. Aftermarket d ivision continues to grow from strength to strength supported with increasing number of retailers and touch points , addition of new products, export, and focused branding and marketing initiatives. We have expanded our aftermarket network significantly in last few years, covering 620 cities in India with 1,400 plus business partners. We now have 44,000 plus retailers on board.

In terms of geographical distribution of revenues, we have a pan India presence with fair distribution across 4 regions. As you can see from products segmental breakup, switches, lighting acoustics, automotive, battery contribute majority of the revenue pie, while alloy wheel and seats which are added in aftermarket recently contributed only 2%, but have significant potential to grow. Specifically in the alloy wheel segment where we were not able to supply enough quantities to aftermarket due to capacity constraints, but after completion of recently announced capacity expansion, we are expecting to increa se our supplies to aftermarket.

Our sales from international markets, which is export plus sales from overseas operations, stand at 17% of total consolidated revenues. International sales growth was led by German businesses having strong quarter with their innovative products in the European market.

Moving to our cash flows and debt levels. Our net debt as of June was at Rs. 714 crores compared to Rs. 611 crores as on March 2022. And our debt to equity stands at 0.1 8x. The net debt has increased pursuant to CAPEX and also a strategic investment of £15 million in FRIWO AG.

Moving to Slide #16 and #17. As you are aware, we have built one of the most formidable product portfolio for EV specific components. As you can see in the slide, out of 11 products, we are already supplying 8 products to EV OEMs. While another one of them, which is motor

controller, we have already received LOI and SOP is expected in April '23 as this needs to be customized / adapted to new model of EV OEM. Other two products, which is batte ry pack and Vehicle Alert Systems are under development and in discussion with our customers.

We would also like to inform you that we have now progressed from low voltage EV product band of 46 volts to 72 volts to a band of 48 volts to 96 volts. We have a lso started serving many light commercial vehicles. In fact, we have received a large order worth around Rs. 200 crores from one of Indian CV manufacturers for their mini -LCV model.

Including the above order from mini LCV, we have received orders worth Rs. 470 crores during the quarter from EV OEM. The total peak annual value for orders received from EV OEM, till date stands at Rs. 980 crores with almost 52% orders for EV specific products. We have also presented the customer mix for this order book, which you can see is fairly diversified with orders from a significant number of players in the segment.

With this, we now open the floor for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar : My first question is on the order win of EV specific component of Rs. 430 crores. Now this is very impressive. But if you can give us a little bit more detail about what kind of products we have won. And Sunil, did you just mention that out of this Rs. 430 crores, Rs. 200 crores is on LCV, IF you can just clarify?

Sunil Bohra:

You are right, Aditya.

Aditya Jhawar : And what about the component breakup? Any broad sense?

Sunil Bohra: I think we might let you know once they get productionized, but they are a mix of products, including onboard chargers, et cetera.

Aditya Jhawar : Secondly, if my understanding is correct, so if you look at the revenue recognition from the EV component, so all the revenue would be booked under the JV with FRIWO. Is that understanding correct?

Sunil Bohra: Yes. For two-wheeler, yes.

Aditya Jhawar : For two-wheeler? But Sunil, we also supply like BMS to an incumbent with another JV partner like AMP so that .

Sunil Bohra: AMP was not a JV. AMP was a TLA.

Aditya Jhawar : Okay. So that will also be booked under business ?

Sunil Bohra: Yes. So what happens Aditya, if you remember last December when we spoke about the JV, so our joint venture partner also h as win a few businesses in India, and we had also won a few business. So all of those businesses, we will move to the new joint venture.

Aditya Jhawar : And so now based on the current order win, so if you can give a broad sense that what could be

the contr ibution of EV component revenue in FY '24?
Sunil Bohra: Let us wait Aditya. Let this get productionized.
Aditya Jhawar : Okay. And final question is on CAPEX . What could be your CAPEX number for '23 and '24?
Sunil Bohra: '23, '24?
Aditya Jhawar : Yes, FY '23 and '24.
Sunil Bohra: So '23, I think we have communicated last call, we are sticking on to that, which was a total CAPEX of around Rs. 600-odd crores. FY '24, we have not yet worked out, honestly.
Moderator: Thank you. Our next question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.
Ashutosh Tiwari : Sunil, when you mentioned this Rs. 470 crores order for EV products, is it the peak revenue number or total order over the years revenue?
Sunil Bohra: It is the peak annual revenue. Annual, not total.
Ashutosh Tiwari : And can we assume this to a season, say, a 4 -5-year time frame or it could be earlier as well?
Sunil Bohra: It could be earlier, not 5 years definitely.
Ashutosh Tiwari: And this LCV order, is it also the multiple product which is included in the Rs. 470 crores?
Sunil Bohra: Sorry, come again.
Ashutosh Tiwari: You mentioned that this mini LCV is 200 basically in this Rs. 470 crores ?
Sunil Bohra: Yes.
Ashutosh Tiwari : So that is also multiple products or any big product over there?
Sunil Bohra: Yes. So there is one large product, which is the lion's share here.

Ashutosh Tiwari: Okay. Secondly, on the lighting side, we are seeing very good ramp -up versus where we were, say, pre -COVID FY '19 and all. Can you throw some color that in the, say, this Rs. 580 crores sales, is it four-wheeler which is ramping up faster, two-wheeler ramping more faster than four-wheeler? Some color on that. And how do you see lighting business growing? Because we already are at annualized around Rs. 2,300 crores plus sales in this quarter despite industry is still lower than what they were in FY '19, meaningfully lower ?
Sunil Bohra: So if you see, Ashutosh, from the growth perspective, definite ly I think the four-wheeler lighting is a segment which we expect to do much better. However, if you see from a quarter -to-quarter basis, I think the numbers are broadly in line. But from a future perspective, as we have been speaking, the four-wheeler lighting business with this new addition of all these LED businesses which we are not having earlier, which we already have in two-wheeler segment, so we are expecting EV segment to outperform in terms of growth vis -a-vis two-wheeler.
Ashutosh Tiwar i: Currently what is the mix of two-wheeler, four-wheeler in this?
Sunil Bohra: Mix, if I have to say this quarter, it is broadly equal.
Ashutosh Tiwari: And lastly, on this alloy w

heel side, there again, we are seeing good ramp up. So what was really in four-wheeler and two-wheeler separately in this quarter?
Sunil Bohra: So alloy wheel, two-wheeler this quarter was not very, very significant. I think it was roughly around Rs. 100 crores for, what we call, two-wheeler segment. And for the four-wheeler, It is roughly around Rs. 300 crores.
Ashutosh Tiwari: And let us say, now two-wheeler in green in terms of EBITDA and PBT level?
Sunil Bohra: Yes, two-wheeler is not burning cash now.
Moderator: Thank you. Our next question is from the line of Mumuksh Mandlesha from Emkay Global. Please go ahead.
Mumuksh Mandlesha : Congrats on a good performance and a strong EV order book. So is it possible to share some time period of the order book, sir? Like when would be the starting period for this and how long it will be, sir?
Sunil Bohra: So starting period is somewhere around '24, '25 onwards. And second was, how long?
Mumuksh Mandlesha: Yes.
Sunil Bohra: How long actually depends on the life of the model actually.

Mumuksh Mandlesha: Right. And some sense on what could be the breakup between the new age players and the incumbent players, sir?
Sunil Bohra: New age and incumbent players for this ?
Mumuksh Mandlesha: Yes. The Rs. 1,000 crores basic total EV order book, sir.
Sunil Bohra: EV order, I think even I have t o work out. Well, we are capturing separately now because you have been asking earlier give us EV separately. So we started capturing EV separately. Now you are saying within EV itself new age OEM versus the existing ones.
Mumuksh Mandlesha: Any broadly, s ir?

Sunil Bohra: We need to work it out.
Mumuksh Mandlesha: Sure. No problem, sir.
Sunil Bohra: Because we have started capturing definitely, what you call, in customer wise, but I think we also need to think whether we want to disburse information because some of it is also a little more competitive information, honestly.
Mumuksh Mandlesha: And sir, what would be the like pending price hike required to completely pass through the inflation, commodity inflation?
Sunil Bohra: Look, commodity, I think we are happy that we have been able to pass fully actually. Now what is happening is even now is people are saying it is falling under commodity because the prices, the kind of increase we have seen in the gas, I think they have been humongous and unprecedent ed. So we are in discussion with some of our customers if sort of that can also be considered as a commodity, It is possible, which is not as of now. Otherwise, you can see from all the commodities which are the base metal or steel or plastics, resin, et c etera, I think they have been aligned long back.
Moderator: Thank you. Our next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera : Sir, in your commentary, you highlighted that for some of the models where there has been facelift also you have seen increase in the kit value. Possible to highlight what is it of quantum? And is it only because of the mix changing or for a like -to-like basis also the value has gone up?
Sunil Bohra: No, there have been significant increa ses for some of the products which were not there in some of those models. I won't take names, but I am sure you know that a lot of companies are now, or customers are doing facelift. So across the board, I do not think there is any exception. We have been able to increase our kit value significantly. And this kit value increase is not only

because of what we call commodity price, this also increased maybe either share of business or either addition of more products or more systems which were not there i n the preceding model.
Siddhartha Bera: And secondly from the EV order book, you have also mentioned that you have received orders for the motor controllers and the conve

rters. So these are also part of this order book which you say in EV specific componen ts?
Sunil Bohra: Yes.
Siddhartha Bera: Lastly, sir, I mean in terms of margins, can you highlight which segment probably has seen the maximum pressure, and where do you expect improvement if we start expecting improvement from current levels?
Sunil Bohra: I would not call it a pressure, Siddhartha. You know very well that Q1, we know we have profitability versus Q4 is not comparable, even though we do it, rightfully so. And you know about it, so there is no surprise. But in terms of what has maybe not worke d so well was or what was expected was primarily the aluminum prices.
So if you see the prices at which we have been buying aluminum versus what we have been paid by the customers based on Q4 average, has been the biggest hit, number 1. And number 2, obviously, you do expect in 1st of April, there are a lot of contract services where the inflation starts kicking in, also your increment space cycle, et cetera. So all that also has an impact immediately starting from the Q1 versus Q4.
So I think this is broadly, I would say, in line, except this aluminum and also with gas prices, which had made some significant dent in our casting business system.
Siddhartha Bera: Sir, lastly, if you can share the revenues for the sensor, controllers, and probably the few other entities, if you have it?
Sunil Bohra: Sensor, controller is roughly around Rs. 100 crores for the last quarter.
Siddhartha Bera: Sensor, controller, put together is Rs. 100 crores?
Sunil Bohra: Yes.
Moderator: Thank you. The next question is from th e line of Mukesh Saraf from Spark Capital. Please go ahead.
Mukesh Saraf : My first question is on the EV orders itself. You mentioned Rs. 430 crores order in Q1, but obviously, production starts next year. And in the previous slide, you had also mentioned that you are already started producing, say, 7 -8 components and it is only motor controllers and

DC/DC converters that we are not producing as yet. So would it mean that this order book of the orders that we have received in Q1 is largely only for these 2 components, because the other components, you are anyways producing already?
Sunil Bohra: No, It is not like that, Mukesh. So what happens is, one is what you are producing, which is fine. The new business, what we have received, their SOP obviously is li nked to the next model launch

of the customer. Something might be next year, something might be year after. And of the total 7 products, they are all under production. We have mentioned that there are some small orders which we have received additionally. For that SOP, It is as soon as FY '24. It is not that everybody else delayed or something like that.

In fact, there has been some businesses where we have got business even from the telematics aspect also. So I do not think we have mentioned here. So telem atics is the one, motor controller is one, DC/DC converter is one, onboard charger is the one. There are lot of products we have got business.

Mukesh Saraf: And my next question is on the seatings business. We are seeing some of the models now being launched with these ventilated seats. And I think in December, you had mentioned that you are getting into a kind of a technical arrangement or a tie -up with an entity for su ch seats. Could you give any updates there on the seating business? And how are forays into the PV space overall for the seating businesses?

Sunil Bohra: So PV space, we are still working. But in terms of the temperature control seats, you are right, we did a TLA with a small startup called Dhama, a couple of quarters back. So currently, the work is under R&D these are the small peltier modules, which we are putting under the existing seats, and we are in discussion with some of our customers and doing the trials. So hopefully, in next quar

ter or 2, we should have some good, what we call, business win on that product because based on current feedback, I think customers are also excited. And we do expect that to convert into some business within this year.

Mukesh Saraf: And that would be for PV, sir, l argely?

Sunil Bohra: No, not PV. That can go into PV. But as of now, we do not manufacture PV. So this will primarily go into two-wheeler and CV. And also for PV, we are working on our aftermarket segment, where still the work is in progress. So we will let you know once we see some success there in terms of the product launch, at least for the aftermarket segment. Because what happens is that temperature control or the module will not necessarily be mandatorily fitted in the seat. It can be part of the acc essory on the cover as well. So we are working to see how do we put it as part of that accessory and at least get into the aftermarket. And that will also give maybe some sort of a feedback to us also and maybe to our customers also in terms of market expe ctation.

Mukesh Saraf: And just lastly, I think you touched upon this in terms of raw material cost hike, et cetera, in aluminum. But could you give some sense on what is the under recovery so far that we have and what do you think we will be able to pass -through in the coming quarters?

Sunil Bohra: So that is what I was trying to say, Mukesh. We have been able to align all our contracts, all our commodities with all our customers in terms of pass -through. So now what happens is every quarter, the price get s reset. So in Q2, I will be invoicing my customers based on the pricing of Q1. So if my pricing for Q2 is either in line or better, then It is good. If it is worse, then only there is a delta, because then there is this one quarter lag effect. Otherwise, other than lag, there should not be any impact.

Moderator: Thank you. Our next question is from the line of Nishit Jalan from Axis Capital. Please go ahead.

Nishit Jalan : So I have three questions. First question is on general trend in the industry. You guys are a big beneficiary of premiumization in terms of LEDs, alloy wheel penetration. So just wanted to check where are we in terms of LED penetration and alloy wheel penetration, especi ally in four-wheelers because that was quite low in four-wheelers. And generally, OEM starts working with you 2, 3 years earlier before launching products or before getting these features in. How do you see this basically the penetration of these 2 product categories improving in PV over the next 2 to 3 years? That is my first question. I will come back to the remaining 2 questions.

Sunil Bohra: You can give me all the questions. I will go on one go, do not worry.

Nishit Jalan: Sure. So my second question i s on some bit of more color on the EV products. There are 2 things. One, we are seeing these days that OEMs is looking to own a lot of technology and give orders to the ancillaries just for basically contract manufacturing kind of, and design is still owne d by the OEM. So I just wanted to understand in your case, what is the breakdown between products where you own the design and what is kind of a build -to-order kind of a product?

And secondly, within this EV only, we are seeing a lot of OEMs right now seed ing the market, willing to operate at a loss and all. How is the scenario in terms of pricing when it comes to components, right? So whether OEMs are very, very aggressive in terms of pricing in the OEMs or whether we will be making similar level of margin s in these products compared to what we make on the IC E front.

Thirdly, you have shared some kit value data in your PPT. If I look at and compare to FY '22, in FY '22, we have seen a big increase in executive and scooter within two-wheelers. And in the PV segment, we have seen a big increase in B and C segment. So what are the reasons for this? And do es it include EVs as well? And is it because of that that we are seeing a big increase in kit value, or what are the reasons? These are the 3 questions I had.

Sunil Bohra: So let me go one by one, Nishit. So the first one you are saying where are we on penetration in terms of LED and four-wheeler alloy wheel, and where do we see it in the next 3 -4 years? And you said it is primarily for four-wheeler. So LED pene tration for four-wheeler is still in high teens. It is not very high as of now because of the share, what we call, the cost and the impact. What we see as of now and if you see the lamp, one is full LED lamps, another is a simple DRL. You have a daytime ru nning lamp, which is LED.

So we do not call just putting a DRL as a LED lamp. LED lamp is very different than just simply putting a DRL. So, while we would see that most of the cars now having DRL as a standard, but that does not mean all the lights are LED. So that there is a difference, and that is why this number is low. And we do expect this to grow, but this may not grow at very, very high r ate because it has got a very big price impact which is like 2.5x.

And from a customer perspective, and you may also take a feedback, and I am talking this on a personal basis and some informal feedback that people might be happy with the DRL thing and all that because LED versus a normal lamp also, because of cost delta, people are not very, very, what you call, coming forth that they want an LED lamp because DRL itself gives a feel of a LED lamp. So that is on LED.

In terms of four-wheeler alloy wheel pen etration, when we entered the business, it was around 12%. Today, we are at around 35% in terms of LED penetration. And in next 3 to 4 years, I think this is a segment where the penetration is continuously increasing, and we do expect this to go into maybe in the early 40s in next 3 -4 years and continue to grow even thereafter. And just for your reference, in terms of some of the globally developed countries, this penetration is almost like 85% -90% or maybe even more. So that is on your first question.

Numb er 2 was your EV products, more color whether we are doing contract manufacturing or whether there is a design by us or OEM, are we doing build -to-print. I think mostly as of now, it is designed by us, not by OEM. But there are whatever personalization we need to do based on what customer asks. So that is being done. Otherwise, mostly the design is owned by us, and it is not build -to-order in terms of materiality. And I think our ownership is more versus the latter.

The third was OEMs willing to operate at a loss. They are very aggressive. I cannot comment on it because whether they are at loss or no. The market itself is, I think, asking for the penetration. But from our perspective, we are clear. We are not going to put any additional capital if the busine ss is coming at a loss.

So we do expect the business to generate the average margin. But only catch is that at initial volume when the numbers are very low, that time we might not get average, what we call, contribution or average EBITDA margin because of the sheer operating leverage. So once the

numbers get into some reasonable level, we do expect that also to be in line with the group average profitability.

And the fourth question was on kit value data for FY '22. Segment -wise, for four-wheeler, there is an increase in, what you call, switches and lights, infotainment, airbags, et cetera. And you also asked for, what you call, CV, right , or two-wheeler?

Nishit Jalan: No, two-wheelers, I asked for scooters and executive segment has seen the biggest increase in content in FY '22 versus '21.

Sunil Bohra: Yes. So scooters and that is w hat both wheels and seats, so seating was acquired from 1st of April and it was below also this year. So wheels and seats were the additio

n this year.

Moderator: Thank you. Our n ext question is from the line of Ronak Sarda from Systematix. Please go ahead.

Ronak Sarda : Sir, the first question is on the two-wheeler alloy wheel side. So when we have announced this new capacity, can you just help us understand, I mean, is this confirmed order given It is more an import substitution? Second, you also mentioned that we are now EBITDA breakeven. So if you can help us understand is the efficiency level still low given all the 4 lines are operational? Or is it mainly due to the higher aluminum cost, which is resulting in lower profitability?

And secondly, given we have been working on four-wheeler alloy wheel for such a long time, when do we see the two-wheeler alloy wheel being equally profitable?

Sunil Bohra: First question first, two-wheeler alloy wheel, you said we have announced new capacity, and whether It is the import substitution or new order. Difficult to say . For us, It is all new orders because definitely, country has been importing more than half of its requirement, almost 60% was imported. So difficult to say which bucket it is falling, but for us, It is all new orders, and

whatever capacity we have, It is almost like, I would say, booked. Definitely depends on the timing of the model launch, et cetera. So we do have the pressure from our customers to start the project fast and complete. However, it will take some time, which is by end of the current financ ial year or the first quarter of next year is what we are expecting.
In terms of profit, you asked whether it is at capacity or what is it? So as of now, we have just started the fourth line. So hopefully, now it will get into, within this quarter, a stabl e set of volumes closer to the capacity. And in terms of four-wheeler, you said, when do we see two-wheeler equally profitable? I wish, Ronak, that we could get into that zone. But there are two differences.
When we entered four-wheeler alloy wheel busines s, there was anti -dumping duty, which was not the case in two-wheeler segment. And number 2, two-wheeler business has a little better asset turn versus four-wheeler business. So four-wheeler business is 1.2 for asset turn, and two-

wheeler is almost like 1.5 . So to that extent, even if at little less margin, I can get sort of a similar ROCE. So I think that is in terms of profitability but in terms of absolute profitability with respect to four-wheeler, difficult to comment as of today.
Ronak Sarda: So when w e say It is now EBITDA breakeven, so that is what I wanted to understand. When we look at it on per kg basis or even on a percentage basis, when do we reach, let us say, the desired profitable level? Is it only with stabilization in capacity or ?
Sunil Bohra: Hopefully, we should get to a similar normal levels within this calendar year, maybe by Q3 max. Because this quarter is in the ramp -up phase, so I am assuming we get stable operations in the next quarter.
Ronak Sarda: Second question on the FRIWO jo int venture. So we were supposed to invest in the German entity as well. So has that happened? And in terms of the transfer of business or assets, is there a specific time line to that thing happening, or that is more on business as usual for us, in terms of from both of our compliance and maybe the accounting level?
Sunil Bohra: Yes, we had invested €15 million in June in FRIWO. So we own roughly 5.5% in the entity. And in terms of asset transfer, definitely as you know that currently the business, the manufacturing is done from our facilities in Pune in the controller division. But once this new plant is ready, I think that is a time where we will shift the business from Pune to here. And that also we have to take a call of appropriate time because there m ight be customers in Pune and there might be customers here.
So We will see at that point in time how much we want to ship, how muc

h we should not, because
you will see based on the maybe the commercial or economics, because if you ship here, then obviously there is logistics and other costs which creeps in.
So we will evaluate that point in time. The first is that we need to get our Vellore plant up and running, for which the construction has started. We have bought land in the last quarter, construction also has started. So we should have this plant up and running in the next 3 quarters.
Moderator: Thank you. Our next question is from the line of Rishi Vora from Kot ak Securities. Please go ahead.
Rishi Vora : I have a few questions. First is on Clarton Horn. Can you just give us an idea on what is happening in that business, like how much loss we are making currently, and what is the road map to turn around the busine ss as well as generally what is the long -term road map of that business? Secondly, you said that you shifted to newer tax regimes. So from the coming quarters, we should assume that the tax rate would be closer to 25%? And thirdly, what is the net debt you said? I missed out that number for this quarter.

Sunil Bohra: So three questions. First, starting with, what you call, Clarton Horn, right? So Clarton Horn, definitely, the business is challenging there. The volumes and Germany or Europe or Spain being significantly impacted because of the gas price hikes, et cetera. So I think because of that, the volumes remain impacted. At an EBITDA level, for the quarter, we are at almost 0. And we do expect once things start turning up, this again comes back to profit ability.
In terms of tax rate, yes, going forward, we do expect tax rate to be at around 25%, which is the new regime. And in terms of your third question was, if I remember, net debt?
Rishi Vora: Yes.
Sunil Bohra: Yes. So the net debt for the quarter endi ng June is Rs. 714 crores. Yes, that is right.
Rishi Vora: Just a follow -up on Clarton Horn. So like are we going to have any further investments in that business in terms of CAPEX or we would not be investing much and just with operating leverage kicking through, we will be able to, let us say, report a profit?

Sunil Bohra: Until now, we have not invested anything. So whatever they have been investing, they are investing from their internal accrua ls or whatever funds they could raise from government because of whatever incentives they are given during the pandemic time, et cetera. Otherwise, until now, we are not putting any additional equity there.
Rishi Vora: And sir, how has Delvis and iSYS perf ormed this quarter?
Sunil Bohra: Both of them actually did very well. So you know that we have restructured our German operations last year. So instead of Delvis and iSYS, it is Minda Systems and CREAT GmBH. So CREAT GmBH is engineering, and Minda Systems is the product business. So the product business actually has done very well. So this quarter, I think the revenue was almost close to Rs. 100 crores for the Minda Systems business. So from that perspective, despite significant headwinds, I think this busi ness continues to do well in terms of volumes.
Moderator: Thank you. Next question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.
Ashutosh Tiwari : So you mentioned that sensor, controller put together Rs. 100 crores in the qu arter. What was the number in the last quarter?
Sunil Bohra: Last quarter, I do not recall.
Ashutosh Tiwari: The Rs. 70 crores number , I mean, have we seen big ramp -up in that?

Sunil Bohra: No, sensor definitely has done well. So last quarter Q4, sensor and controller was Rs. 90 crores actually , not Rs. 90 crore s, sorry, It is less. So it was Rs. 82 crores to Rs. 83 crores which is gone to Rs. 100 crores now.
Ashutosh Tiwari: And we also ment ioned one oil sensor order is reaped. So this is further ramp -up from h

ere,
right?
Sunil Bohra: Yes, You are right. That will be in the coming period.
Ashutosh Tiwari: Okay. So this is now actually moving towards whatever you were guiding earlier?
Sunil Bo hra: Yes.
Ashutosh Tiwari: And secondly, on this aftermarket business, if I look at lighting is now almost like 31%. So was lighting always largest in our aftermarket or it has increased recently?
Sunil Bohra: No. I think this is the same trend we have been following. Lighting and switch and acoustics, I think these 3 were the larger businesses, and we have been able to maintain our market share and grow a little bit, but there is not a significant delta actuall y.
Ashutosh Tiwari: And alloy wheel is something which can probably ramp up very fast in sheer capacity?
Sunil Bohra: Yes, actually, alloy wheel four-wheeler, we have been running more than capacity. And we have been finding difficult to meet our customer requirements. So that is why this aftermarket segment has been started. So post this new capacity addition, I hope that we can give some volumes to our aftermarket business as well.
Ashutosh Tiwari: You said, I think, currently you have 300,000 wheels per month, right, and 30,000 will be added by Q1, right? That is the capacity right now with us?
Sunil Bohra: Yes. So Bawal will be 180 and Gujarat is 120 and 25, 150 roughly, yes. You are right.
Ashutosh Tiwari: So because the first 30,000 already came in April and still we are short of capacity, and the way I think is still the way PV is growing .
Sunil Bohra: We just started just now in the end of June.
Ashutosh Tiwari: Yes. The 30,000 came in April, right, the first 30,000 in Bawal?
Sunil Bohra: Yes, You are right.

Ashutosh Tiwari: So my question is will we be required to do CAPEX again next year in alloy wheel the way we are ramping up?
Sunil Bohra: I wish. Why not , if business is growing .
Ashutosh Tiwari: No, I am just asking that the way we are growing, I think we are already beating whatever we guided earlier. It seems like probably again have to go for a new CAPEX and maybe Bawal or Gujarat. But do we have any space now left in Bawal for further expansion?
Sunil Bohra: No, no space left. So if required , we will definitely go for land acquisition, that is not a big deal. But I think it is really good that when we are expanding capacity, we are expanding capacity thinking We will do something with aftermarket, but I think the OE demand has been running ahead of us. It is a good sign that we continuously sort of generate business and grow. And we have been consistently saying that this is a business and we just spoke about little while back that penetration penetrated 35%. We expect it will grow over the ne xt 5 to 10 years. So we definitely would need capacities because when we are talking, we are talking only percentage. So there are 2 aspects. A, the percentage application grows; and B, the volume itself

grows. So there will be a double demand growth. I th ink that is what will keep businesses growing on.
Ashutosh Tiwari: And also just on the alloys wheels only, I think that number of varieties of alloy wheels like diamond cut and all, so is the premium category growing more and the share is increasing, the premium kind of alloy wheel like diamond cut and all?
Sunil Bohra: In fact, soon, you will see even the new type beyond diamond and others is now you will have some different colors as well.
Ashutosh Tiwari: So that would mean sort of value addition, right ?
Sunil Bohra: Yes.
Ashutosh Tiwari: Okay. And just lastly on this, the low -pressure die casting that capacity in Gujarat, how is that doing in terms of volumes? Is that also growing very well or increasing capacity? Any color on that?
Sunil Bohra: So we h ave setup capacity of 25,000 wheels per month. And I think we have been operating at around 15,000 to 18,000 based on what our

customer current volumes.
Moderator: Thank you. Our next question is from the line of Karan Kokane from AMBIT Capital. Please go ahead.

Karan Kokane : Sir, pardon me if this question was asked before, I joined in a bit late. So first question was on CAPEX and investments for FY '23. So could you throw some light on CAPEX and investment for the same?
Sunil Bohra: So CAPEX , as we guide d at the beginning of the year, we are expecting the same number of around Rs. 600 crores. Investment is separate. Investment, we have recently done this £15 million. And the Board did approve some investment in some of our JVs, which is yet to be consummated. That is the broad number.
Karan Kokane: And sir, when we acquired Harita, you were talking about doubling of revenues over the next 2 to 3 years. So was that considering the upcycle or was it without the upcycle?
Sunil Bohra: Sorry, what was that?
Karan Kokane: Sir, my question was, when we acquired Harita, basically, we have said that we would be doubling Harita revenues over the next 3 to 4 years. So my question is, is t his considering the upcycle in the domestic CV space? Or will that be an additional kicker on top of this doubling of revenues?
Sunil Bohra: When everything is s tructured , Karan , that is what when we say we will double the volume in 4 to 5 years, everything i s considered. What we have not considered was the product which we do not have. We said very clearly that we do not have PV seating today. So in case we are able to get into a passenger vehicle seating, that will be additional. In the existing business whe re we are, there is no carve -outs. So I think that is the differentiation.
Karan Kokane : And just last question, so we are seeing very strong growth in a few of our business divisions like two-wheeler alloy wheels, sensors and controllers, Harita, and EVs. So most of these businesses are lower than portfolio margin kind of businesses. So as these businesses grow and the overall share of these businesses increases in our portfolio, do you see any risk to maintaining margins of, say, 12% to 12.5%?
Sunil Bohra : I do not know from where you got 12% to 12.5%, but I can tell you there is no risk. In fact, as volumes grow, we honestly do expect margin to improve a little bit here because of the operating leverage because there are some costs which are fixed. And if volumes grow, definitely, it is a normal expectation that the margin should also grow.
Only thing is that some of that margin additional gets eaten away by maybe some inflationary aspects, salary increases, et cetera, on a year -to-year basis. But otherwis e, everything on a steady -state basis, if volumes grow, we do expect margins to grow, not to deteriorate.
Moderator: Thank you. As there are no further questions, I would now like to hand the floor back to Mr. Sunil Bohra for closing comments. Over to you, sir.

Sunil Bohra: Thanks, Inba. So I would like to thank everyone for joining on the call. I hope we have been able to respond to all your queries adequately. For any further information, we request you to please do get in touch with us. Stay safe, stay h ealthy. Thank you.
Moderator: Thank you. On behalf of UNO Minda Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

Uno Minda Limited
(Formerly known as Minda Industries Ltd.)

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Date: 16/11/2022

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Sub: - Transcript of the Earnings Call held on 10 November,2022 on the Financial Results for the quarter and half year ended on 30 September, 2022

Dear Sir(s),

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Thursday, 10 November, 2022 on the Financial Results for the quarter and half year ended on 30 September, 2022. A copy of the said transcript is also uploaded on the website of the Company www.unominda.com .

Kindly take the same on record .

Thanking you,

Yours faithfully,

For Uno Minda Limited

Tarun Kumar Srivastava
Company Secretary & Compliance Officer

“UNO Minda Limited Q2 FY23 Earnings Conference Call”

November 10, 2022

MANAGEMENT : MR. SUNIL BOHRA – GROUP CFO , UNO MINDA LIMITED
MR. ANKUR MODI – HEAD - TREASURY , INVESTOR RELATIONS & CORPORATE COMMUNICATIONS ,
UNO MINDA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to UNO Minda Limited Q2 FY23 Earnings Conference Call. This conference call may contain forward looking statements about the company which are based on the beliefs, opinions, and expectations of the co mpany as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sunil Bohra - Group CFO of UNO Minda Limited . Thank you and over to you, sir.

Sunil Bohra : Thank s Faiza n. Good everyone and warm welco me to all the participants. On the earnings call today, I am joined by my colleague, Ankur Modi . We have uploaded our financial results and Investor Presentation for Q2 FY23 on the stock exchanges and our company's website. We hope everybody had an opportu nity to go through the same. I will first start with the industry updates and overview followed by our financial and operational performance for Q2 and H1 FY23 and some strategic business updates . Post that , we will open the floor for Q&A.

Starting with industry update, government's focus on boosting public infrastructure through enhanced capital expenditure is expected to augment growth and crowd in private investment through large multiplier effects. The second quarter of FY23 witnessed a turnaround in co nsumer sentiments with demand growth across vehicle segments on both year -on-year and sequential basis. Robust demand easing supply constraints and easing of informative prices are expected to continue providing reliefs. Further, increased focus of the aut o industry on localization and the earlier announcement of the PLI scheme by the government will aid in developing India into an attractive alternate source of manufacturing. With respect to the auto industry, specifically for two-wheeler and PVs, the order book continues to prosper , led by multiple new launches and planned capacity expansions by the OEM s.

Domestic two -wheeler production is picking up pace on the back of good monsoon season and improving consumer sentiments in the rural markets. Fes tive season kept the spirits high and led to a good momentum in demand for two -wheelers which resulted in highest production in last 6 quarters and sequential growth of 17%. Electrification continued to see pickup in two -wheeler segment and is gaining high er market share on month -on-month basis. The demand momentum for electric two -wheelers and three -wheelers remain strong with high growth in Q2. We expect this to continue going forward. PV sales continued to stay strong led by festive cheer and susta ined retail outlook post festive sales. The quarter saw volumes of over a million units which was highest ever in the quarter. The outlook and order book from the OEMs is encouraging on the back of robust demand outlook substantiated via bookings and waiti ng period across segments.

With the easing off in the commodity prices and shortages of chips and semiconductors coupled with new launches on both ICE and E -vehicles , we maintained a positive outlook on PV sales for the second half of FY23 . On regulatory front, the government has extended the anti -dumping duty on alloy wheel to have level playing field for the alloy wheel manufacturers in India. The move is welcomed and is expected to be a barrier to chea per imports into the country.

On the EV industry front, we continue to believe that this industry is at the cusp of multifold growth. The government ha

d set a target of installing more than 5000 Kerbside EV charge rs in the next 3 years. This infrastructure amplification will act as a catalyst for growing EV demand across segments. We are also seeing strong demand from our traditional ICE segment with an increase in the number of first -time buyers and their preference to internal compression engines over EVs due to the high upfront cost for EVs. We are also witnessing increasing premiumization and demand for more premium products across segments. With this, we are able to increase the effective kit value . We are optimistic about the demand scenario from both domestic and international markets . Supported with the diversified product portfolio, increased content for vehicle and cross selling of products to our existing customers, we main tain a positive outlook on revenue growth in the medium to long term. We also continue to deepen our R&D efforts enabling us to seize the opportunity in the automotive segment, especially from the EV space which points to a solid future.

Moving to key operational highlights, we will refer to slide number 5. The company has been in continuous pursuit for new and advanced technologies . While the Company’s R&D team has developed several innovative products and solutions in -house in last few years, we have also formed joint ventures to gain access to new technol ogies to accelerate localization and t ime to hit the market. As you know, the board has recently approved two sets of joint venture, first with Tachi -S Japan for PV seat reclin er mechanisms and second with Buehler Motors for Traction Motors to cater to ele ctric two -wheeler s and three -wheeler s. We will share more details on these joint ventures in subsequent slides . During the quarter, the company has also announced significant expansion in the four -wheeler alloy wheel, four -wheeler switches and now setting up of a greenfield four -wheel lighting plant to meet the growing demand for these products.

Coming to the financial and operational performance, you may refer to slide number 7 and 8. At the consolidated level, revenue from operations for the quarter increased by 36% year -on-year basis to Rs. 2,877 crores from Rs. 2,114 crores in Q2 of FY22. While revenues increased by a healthy 13% on quarter -on-quarter basis, as the company continues to gain market shar e and increase d its kit value supported by gradual recovery of industry volumes. We have witnessed growth among all our products with the alloy wheel registering phenomenal growth. Recently commissioned additional 60,000 -wheel line for PV alloy wheel plant at Bawal is ramping up well, while for two -wheeler alloy wheel plant, all four lines had achieved the rated capacity utilization. We have been surpassing the previous highest quarterly sales for last couple of quarters. We are pleased to inform you that w e have surpassed our highest ever quarterly sales

in Q2 FY23 as well. As guided, we have continued to outperform the industry with our 36% growth against industry volume growth of 12% year -on-year basis. Even after factoring the price increases due to comm odity prices, there is a significant delta with respect to the industry volumes.

EBITDA for the quarter was at Rs. 318 crores, improving by 40% from Rs. 228 crores on year -on-year basis. The EBITDA margin for the current quarter had improved to 11.1% as ag ainst 10.4% in the sequential last quarter and 10.8% in the corresponding quarter last year. Operating leverage supported by increased volume has led to margin expansion, however, higher energy costs and inflationary impact on other administrative expenses had constrained further margin expansion. Finance cost has increased sequentially from Rs. 17 crores to Rs. 19 crores as well on Y -o-Y basis. The increase is on account of increase in debt as well as increase in borrowing cost pursuant to m

ultiple interest rate hikes by the RBI. We see a sequential increase in tax expenses from Rs. 31 crores to Rs. 55 crores as previous quarter had reversal of deferred tax liability on movement from old tax regime to new tax regime for the company with a lower tax rate. The profit after tax which is U no Minda share for the quarter was at Rs. 170 crores as against Rs. 95 crores in Q2 FY22 and Rs. 139 crores in the previous quarter.

Coming to the business segment wise performance, starting with Switching Systems, you may refer to slide number 13. The segment achieved revenues of Rs. 800 crores for Q2 FY23 contributing 28% of our consolidated revenue s. We continue to receive incrementa l orders from OEMs as the number of switches increas ed in EV year-on-year basis with increase in features. Consequently, during the quarter, we had also announced setting up of a new four-wheeler switch manufacturing pla nt in Farukhnagar at Gurugram , Haryana with investment up to Rs. 110 crores in Phase 1. Besides switches, we have recently also received order for heated grips from an American two -wheeler OEM. Domestic customers have also started showing keen interest in developing similar switch for them albeit at much lower cost.

Moving to Lighting business, it has achieved revenues of over Rs. 659 crores for Q2 FY23 contributing to 23% of our consolidated revenues. The lighting business has also been growing steadily qu arter-on-quarter basis supported by access to advanced lighting technology from erstwhile Delvis. Building on our patented switch exports, we have now also one order for fog lamps from American two -wheeler OEM. During the quarter, we have also received order for complete lighting solution from a two -wheeler EV OEM.

Moving to our Casting business, it has achieved revenue of Rs. 614 crores for Q2 contributing to 21% of our consolidated revenues. The casting business continues to grow with expanding capacit ies with increased demand and penetration of alloy wheels . As you can see the percentage of casting business revenue has increased from 15% in corresponding quarter last year to 21% in the current quarter. During the quarter, we had announced another ca pacity expansion by 60K wheel per month at Bawal with C apex of Rs. 190 crores whi ch is expected to be commissioned

in Q2 FY25. Total four -wheel allow wheel capacity now stands at 295K per month (with LPDC capacity of 25K) and another 90K is under construction. For the two -wheeler alloy wheel, all four lines have been fully ramped up as we almost achieved r ated capacity production of 9 lakh wheels in Q2 FY23. Starting with our anchor custome rs, we now suppl y to three major two -

wheeler OEM s and we will supplies to two more O EMs in subsequent quarters. Our die -casting business has now also started serving PV OEM s besides two -wheeler OEMs.
Moving to Acoustics, slide number 14, our Acoustic business has achieved revenue of Rs. 181 crores for Q2 contributing 6% of our consolidate d revenues. While India business remained stable, our European subsidiary, Clarton remain ed under pressure with unprecedented increase in energy costs and lower industry volumes.
Moving to our Seating business, which achieved revenue of Rs. 268 crores for Q2 contributed 9% of our consolidated revenues. Revival in CV segment and better volumes from two -wheeler had supported the growth in the seating business. Export s of suspended seats were marginally impacted du e to ongoing geopolitical issues.
Moving to other product business which has achieved revenues of Rs. 355 crores for Q2 contributed 12% to our overall topline. Other businesses mainly comprise of Controllers and Sensors, ADAS , Blow Moulding business, Batte ry, Aftermarket, etc., all of them have reported growth Q -o-Q basis. Sensors and Controllers, we have achieved revenues of around Rs. 120 crores for the quarter. We a

re ahead of track for our guidance of Rs. 400 to Rs. 500 crores of
revenues by FY25. During the quarter, we received export orders for side -stand sensor from Italian two -wheeler OEM as well as export order for wireless chargers. The share of profit / loss of associate / joint ventures for Q2 is at Rs. 28 crores against Rs. 21 crores in Q2 FY22. Whil e all our JV associates contributed positively, major contribution came from Denso Ten, Roki, and TG.
Moving to slide number 14 on Aftermarket and Exports . In terms of our revenue pipe line for the quarter ended September 30th, our OEM business accounted for 91 % and aftermarket business at around 9% for Q2. Our aftermarket division revenues were at Rs. 252 crores as against Rs. 225 crores in corresponding quarter last year. Aftermarket revenues have grown 12% Y -o-Y basis and 13% sequentially. Aftermarket continu es to grow at a healthy run rate with increased focus and marketing efforts.
Moving to our cash flows and debt levels, our net debt as of September 30th was Rs. 706 crores compared to Rs. 570 crores as on March 31, 2022, and our net debt to equity stands at 0.17. Net cash flow from operating activity for the first half ended September 22 was at Rs. 280 crores even after considering increased working capital requirement on account of increase in revenues. We also incurred capital expenditure of around Rs. 218 crores during the period for various

expans ion projects already announced. During the period, the Company also paid final dividend for FY23.
As we will see the investments and operational fund requirement including dividend had been fully funded through internal cash generation , overall, while the net debt has increased by Rs. 136 crores during the first half which is primarily on account of the investment of Rs. 125 crores in Friwo AG Germany as part of understanding for the joint venture and an investment of Rs. 25 crores in Tokairika Minda for the expansion in Haryana. We have also been making steady improvement in our ROCE which on an annua lized basis stands at 19.5% which is highest in last 3 years.
Moving to the strategic business updates starting with the joint venture with Buehler, the board has approved to enter into a JV agreement with Buehler Motors GmbH, a leading global supplier of customized mechatronic drive solutions to develop, manufacture and market traction motors in India and other SAARC nations . The JV will offer traction motors for the battery driven electrified two -wheelers and three -wheelers. UNO Minda will hold a 50.1 % stake in the JV while the remaining stake will be held by Buehler. Buehler Motors is 165 -year-old organization currently head quartered in Nuremberg, Germany with manufacturing facilities in Germany, Czech Republic, USA, Mexico and China. Their expertise is much beyond DC and BLDC motors, gear motors and pumps. They supply more than 2 0 million unit s annually to its customers. They specialize in automotive industry, aviation and many other industrial applications.
For last few years, UNO Minda ha d built one of the most formidable EV specific product portfolio in the industry for two -wheeler and three -wheelers. The addition of traction motors will further compliment the company's impressive existing EV specific product portfolio specifically the motor controller. UNO Minda has the advantage of motor controller which will help our customers with complete solution. The potential kit value to the EV two-wheeler and three -wheeler will further increase with the addition of traction motor. The company and Buehler had started design, development a nd production of engineering in parallel and see significant market potential going forward. So, JV plans to incur capital expenditure of Rs. 110 crores including sustaining capex over a period of next 6 years. The investment will be scheduled to meet the demand. The c

ompany will be initially investing Rs. 17 crores as equity share of
investment in t he JV to part finance the above capital expenditure while remaining is expected to be funded through a mix of debt and internal accruals of the JV entity.
Moving to another joint venture, which is Tachi -S as you know during the quarter board had also appro ved to enter into JV agreement with Tachi -S Company Limited, a global seat system creator head quartered in Tokyo, Japan for manufacturing and marketing of seat recliner mechanisms for four -wheeler passenger vehicle in India. The JV will offer various prod ucts including recliner mechanisms in first phase with the intention of expanding into other seating

mechanism, seat frames and complete seating assembly. UNO Minda will hold 51% stake in the JVs while the remaining stake will be held by Tachi -S. Establish ed in 1954, Tachi -S is an integrated automobile seat manufacturer from development to production. They have 70 facilities in 13 countries and provide products and services to leading OEMs around the world. Their consolidated revenues for fiscal year 22 wer e 206 billion Yen. UNO Minda is already a leader player in the automotive seating systems for two -wheeler and commercial vehicle. The JV will help expand UNO Minda, its seating systems product offering in EV passenger and PV vehicle as well. In the first p hase, the board had also approved initial equity investment of up to Rs. 10 crores in the JV.
Moving to another strategic initiative which is the setting up of a new four -wheeler lighting plant . As what guided earlier, the company had been winning significant new orders and gaining market share in the lighting business. The company has achieved increased traction with both Japanese and Indian OEMs. In order to meet the increased demand, the company plans to set up new lighting plant with a total capital expenditure of Rs. 400 crores to withstand over a period of next 5 to 6 years in a phase manner. The initial outlay, which is phase 1 for setting up the plant will be Rs. 230 crores to spend over a period of the n ext 2 years. The remaining will be spent as sustaining capex thereafter based on the envisage the new business. Phase 1 is intended to be commissioned by Q4 of FY24. The company is evaluating various locations to set up the plant and is expected to finaliz e within a quarter.
Another strategic initiative was the merger of iConnect and Harita Fehrer. We would like to update the progress on a couple of merger schemes which is iConnect and Harita Fehrer and Minda Stor age Batteries, demerger of battery business and merger into UNO Minda. The merger of iConnect is expected to be in the last stage of approval with its next hearing scheduled on 17th of November 22. The merger scheme for Harita Fehrer and the battery business of Minda Storage Batteries was also filed with NCLT. NCLT heard the first promotion application and the order is there for pronouncement . It is expected to be completed by March 23.
With this, I would like to now open up the floor for questions. Thank you.
Moderator: Thank you very much . We will now begin the question -and-answer session. The first que stion is from the line of Ashutosh Tiwari from Equirus Securities . Please go ahead.
Ashutosh Tiwari : Congrats on decent numbers, on this alloy LMT side, we have seen a very solid ramp up in this quarter as well versus first quarter, so can you share the revenues that we had done in the passenger vehicle and two -wheeler alloy wheel? And secondly, because obviously we have announced all these capexes in the switches and lighting as well, how do we see the capex and investment in ‘23 and ‘24?

Sunil Bohra : Thanks, Ashutosh, thanks for the compliment. In terms of alloy wheel two-wheeler that is almost operated at the capacity in Q2. The actual reven

ues during the quarter were around Rs. 150
crores.
Ashutosh Tiwari : And passenger vehicle?
Sunil Bohra : You are referring to the entire, I would assume the casting?
Ashutosh Tiwari : Yes.
Sunil Bohra : So, Minda Kosei, it is roughly Rs. 325 crores during the quarter.
Ashutosh Tiwari : And current capacity is 295,000 wheels per month, so it was operating around what level during the quarter on an average, like an?
Sunil Bohra : We have commissioned the last expansion of 60K, don’t have that number readily available, but I think that can be taken offline if you a re okay.
Ashutosh Tiwari : Sure and CAPEX guidance for this year and next?
Sunil Bohra : Ashutosh, I think you know very well, normally we don’t give capex guidance, so only we normally give at the Q4 call, so most probably we should be able to give visibility in May, because for us, lot of our expansions, while we are currently in a phase of expansi on of our switches, wheels and recently light also, but lot of our capex comes through a brownfield or an

incremental capex which gets finalized only when we do our budgeting exercise. That is what we normally, as you know comment on that only in the April , May.
Ashutosh Tiwari : For this year?
Sunil Bohra : So, this year, I think we have been sharing that number, we are sticking to that number and with this increase, which was I think Rs. 600 odd crores plus the 3 projects which we have announced, earlier it was wheel for Rs. 190 crores, 110 was Mindarika and now for Lighting, so all these will have some expenditure this year. From this lighting project perspective, this year we might have primarily amounts going towards land and also may be some advances, no t beyond that in the next 4 months.
Ashutosh Tiwari : So, the CAPEX number should be slightly may be ahead of Rs. 700 crores in this year, right?
Sunil Bohra : Maybe around that number.
Ashutosh Tiwari : And you mentioned in the comment about this energy cost and inflation and all this, obviously as of now OEMs have not been passed through, but recently in the March concall we had talked

about maybe some of these inflation being passed on in Q4 and all, so what kind of margin impact you are seeing from this side especially energy cost, if you have any rough estimate of that?
Sunil Bohra : Your voice was not very clear; I could hear the energy prices you are talking about.
Ashutosh Tiwari : I am just trying to understand what is probably rough estimate of this energy cost inflation in our margin.
Sunil Bohra : It is very difficult to comment Ashutosh, because the biggest impact we have on energy cost is primary in the casting business. I was r eferring to the energy cost impact more so from the European business, which was Clarton , so there we have got significant impact because of energy costs and inflationary impacts and also the lower volumes. That is what I was referring to that our Clarton which is a Spanish business remains under pressure.
Ashutosh Tiwari : And lastly sir, obviously we have seen very strong ramp up in our profit from associate and you did touch a bit that probably Roki, Denso and TG Minda are doing well, but even last year, Roki obviously was impacted a bit, may be even 1-year last year, but generally they have been doing well, but this year in say , Y-o-Y which company has seen strongest growth in terms of profitability among these three or four ?
Sunil Bohra : I think from that perspective, Minda Onkyo which was last quarter in loss is into profit, so if I see last quarter, Minda Onkyo was roughly Re. 1 crore of loss whereas this time Rs. 3 crores of profit, so there is a clear delta of Rs. 4 crores in Minda Onk yo.
Ashutosh Tiwari : And this is because of the volume improvement or this is because of some price passthrough from OEMs?
Sunil Bohra : No, there are two reasons, one is definitely volume, another is if you remem

ber when we had been discussing couple of ye ars back there was a huge pressure and delay in terms of localization of parts, so I think that has all been done now and that is what is clearly showing that impact in terms of the performance.
Moderator : Thank you. The next question is from the line of Aditya Jhawar from Investec. Please go ahead.
Aditya Jhawar : Congrats on new JV and new order wins, my first question is on the lighting business, so Sunil if you can tell us what is the split of two -wheeler and four -wheeler in the lighting business and secondly, the recent order wins in four -wheeler lighting, how different are the margins and ROCE profile as compared to company average?
Sunil Bohra : First, so in terms of Lighting, the two -wheeler lighting business during the quarter did something like Rs 250 odd crores and four -wheeler lighting did somewhere around Rs. 200 odd crores of

revenue during this quarter. That is the domestic business. Then you asked about the new orders for four -wheeler, how is the margin and ROCE . So, as you know, the board has today only approved this DPR and the ROCE and margin, etc., they are all as per our group norms, so it will be in line with our average or may be marginally better.
Aditya Jhawar : Marginally better than the company average?
Sunil Bohra : Yes, for ROCE perspective, may not be from the margin because of may be little better asset turn.
Aditya Jhawar : And secondly on our joint venture with Tach i, if you can help us understand what is their global market share, what are the key OEM relationshi p globally which we can benefit from in India ?
Sunil Bohra : So, Tachi -S, Aditya as I said is a very large company with almost close to $2 billion in terms of revenue which is manufacturing in 13 countries. They have a relationship with almost I would say all the OEMs . For more details, we can inform separately, you can also refer to their website,

it is a listed company in Japan, so all the information is in public domain. In terms of India business, so what we have done and as I s aid as of now, we have got a business for a recliner mechanism, it is a very small component, so as I said it is a foot in the door work into PV manufacturing, so this is just initial phase. We are working to develop a D PR for a full seating mechanism , as of now it is only the mechanism for seat, so it will be a gradual and may be a little slow entry, but at least now we are getting into PV seating which I think has been a long expectation from all of you guys as to when are we going to get into the PV seating, so yes, it will be a slow journey, but good thing is yes, we are putting foot in the door.

Aditya Jhawar : And if you can share like last quarter what have been the EV order wins in Q2 and if you can break it up into EV component and non -EV compon ent?

Sunil Bohra : We normally ha ve been giving every 6 months , Aditya because quarter to quarter, we normally don’t capture this information. Last we gave and last quarter before that we gave, I think in December, so December and then June, so may be in the next results, we will give yo u for the half.

Aditya Jhawar : And the final question is on the RM side, is it fair to assume that most of the under recoveries are now behind and we should see a sequential uptake in gross margin from here on?

Sunil Bohra : I wish Aditya, I think our endeavor you know has been very clear and that is what we have been able to achieve also is whatever is the price commodity volatility we should be able to pass on to our customers and we have been saying consistently for last one year that we have been more than satisfied in terms of passing through that qua ntity wise movement to our customers. So, if the prices go d own that also I have to pass on to him, I can't keep it with me, right, so it works both ways. It is not only when prices go up, even when pr

ices go down I have to share, give it

back to my customers, so from that perspective, while you might not see any b enefit, but at least good thing is you will apprecia te, it insulates us from any such movement in future because like in short term we are seeing there is a drop, but this can again turn the tide around, so whenever this happens, we will not have any signi ficant impact, yes, timing wise there can be some plus and minuses on quarter to quarter basis, but on a full year basis, we don’t expect any gain or loss.

Moderator : Thank you. The next question is from the line of Mumuksh Mandlesha from Emkay Global Financial Services. Please go ahead.

Mumuksh Mandlesha : Congratulation on the good performance and progress on new businesses. Sir, if continue on the margin question, how do we see the two -wheeler alloy plant has been fully ramped up now sir, has it reach ed the normalized margin or move efficiency you expect in coming quarters? And can you also indicate on the PV alloy wheel has the debt stabilized considering the competition pressure was there in that segment?

Sunil Bohra : Thank you for your compliment s. So, in terms of margin , as I said Q2 we have had very stable performance from the alloy wheel business, because of very significantly higher gas prices of both, as I said casting business primary is a gas consumer, because in casting you used mostly for melting gas only, so there had been some impact, but if you see from the margin perspectiv e, definitely it is little below our group average from a two -wheeler perspective, but four -wheeler is still above our group average.

Mumuksh Mandlesh : Sir, can you talk about the regulation changes happening related to airbags, seat belts and acoustic alert systems, any plans or investment to tap this opportunity , sir?

Sunil Bohra : In terms of airbag, we all know that this airbag of 6, the mandatory has been, implementation time has been extended or deferred you can say so, but we are ready, whenev er customer demands, I think we should be able to service them. In terms of seat belt, there has been a regulation recently post the unfortunate incident happened I think a month or two back, so there has been a regulation now that all the front facing pas sengers in a car, irrespective of number of rows, even if you are second row or a third row, passengers who are sitting, facing the front need to have mandatory seat belt warning buzzer. If you are not wearing the seat belt, obviously the buzzer will sound . So, that has become mandatory that is effective sometime next year and from the acoustic vehicle alert system, AVAS, we already have a product for AVAS for EVs and we are already working to service one of our customers, we are working on developing that product. As of now, obviously, volumes are very low, so once that volume increases , we will also see our volumes getting aligned, so yes, I think from a regulatory perspective, all these things are positive for us.

Moderator : Thank you. The next question i s from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera : Sir, just wanted to check first on this JV with Buehler, if you can throw some more light on how is the product portfolio in terms of the voltage which they already have and by when do you expect this JV to start and if you have any anchor customers as of now, so some more color on this progress on this JV?
Sunil Bohra : Siddhartha, while I would give you a brief as you requested, but maybe for more information, you can also re fer to their website. It is a very old company, they have roughly EUR 300 million plus kind of revenue , it is a 150 -year-old company , family own ed company and their 90% business comes from auto and 5% from aviation and 5% from others. So, they do manufacture lot of motors, so jointly with them we are working to

develop motors for EV specifically to start with, two-wheeler and three -wheeler EVs. Our intention is to start production in the second half of the next fiscal year and from an ancho r customer perspective , we are at the last stages of finalizing two anchor customers, hopefully within this quarter itself. So, we should be able to give that confirmation in our next call, we are at the last phases of maybe just getting the alloy.
Siddhar tha Bera : And these motors will be tough 3–4-kilowatt range or?
Sunil Bohra : Yes, it is up to 6-kilowatt range and we will be working to take it up to the 9 in the first stage and then maybe think of taking further.
Siddhartha Bera : And then on the other JV which of the seat JV which you just discussed briefly; would you be able to share the value of the components if you can potentially make over a period when this ramps up in the future?
Sunil Bohra : So, as of now, as I said Siddhartha the components which we are manufacturing is very small, it is the recliner mechanism, it is not even a full recliner and we are currently in discussion with Tachi -S to come up with the full -fledged DPR for complete recliner which we have promised to the board to come ba ck in next 2 quarters, so may be by May , we should be able to give you a better visibility. As of now, it is very small, it is not very big and as I said a while back, it is primarily fut in the door, but we are not going to stop here definitely.
Siddharth a Bera : And we also do some EV specific components already, so would you be able to share the revenues which we would have done for some of these components in the quarter?
Sunil Bohra : So, not having handy Siddhartha, sorry for that.
Siddhartha Bera : No issues and sir, lastly on this margin again, if I look at the last like 7 -8 quarters at least on the other expenses side, we have not seen much operating leverage coming through despite significant improvement in the revenues, so just how to understand this , should we expect that the percentage of revenue should be similar for other cost or shall we expect some amount of operating leverage also probably to come in at some point?

Sunil Bohra : Definitely Siddhartha, actually we are also expecting a good operating leverage from this, but the entire electricity cost including gas is part of the other expenses, so from that perspective, if I see the wheel business alone and I know somebody else have asked for quantification of that and I said we don't have this number, I did up for all, but I can tell you from wheel business alone, at the current prices we have versus the last year prices the impact is more than Rs. 25 crores to Rs. 30 crores a year. In addition, we have large amount in Europe, so all th at had hit our expenses, if that has not been there, I am sure you would have seen that operating leverage benefit.
Moderator : Thank you. The next question is from the line of Mukesh Saraf from Spark Capital. Please go ahead.
Mukesh Saraf : First is, one th e casting business, we have mentioned that we are getting to passenger vehicle side as well, could you give some sense on what components are we going to get into there for the passenger vehicle business?
Sunil Bohra : Mukesh, as of all, you know that we have been primarily serving the two -wheeler and one of the PV customers, but we are not having any EV customer from casting, so recently we have secured a business from one PV customer, the SOP is expected in the next fi nancial year , so initially it is very small. I think the annual revenues is going to be roughly around Rs. 15 -Rs. 2 5 crores, but again it is going to get onboarded with the customer and definitely that entire bouquet opens .
The annual business potential is around Rs. 25 crores, not Rs. 20 crores which is a business ….
Mukesh Saraf : It would be for ICE components , sir?
Sunil Bohra : Yes, you are ri

ght.
Mukesh Saraf : And s econdly, I think there was a question on this earlier, but just trying to recheck on the two - wheeler alloy wheel business, last quarter you had mentioned that it is probably just about stop burning cash there and as we have achieved scale we will kind of t urn EBITDA positive, so just wanting to check there and you did mention that we are slightly below company average, but does that mean that we have significantly scaled up the EBITDA there?

Sunil Bohra : No, I think my bad alloy wheel two -wheeler definitely has achieved our target EBITDA, which is little above our , what you call company average. My apologies I have answered to somebody else earlier a little below I was referring to the lighting two -wheel, I missed it was wh eel, not light.
Mukesh Saraf : And one the four -wheeler alloy wheel business, in the past in the Minda rika entity has been at about 26 -27% EBITDA margin and last year I think it came down to about 21%, is there a trend here and would this kind of keep comin g off may be close to 17 -18% or is that only because of

raw material cost, aluminum cost especially going up and we are saying we can maintain 20% plus ki nd of margins there ?
Sunil Bohra : No, I think Minda Kosei, you are referring to, right?
Mukesh Saraf : Yes, Minda Kosei .
Sunil Bohra : So, Minda Kosei , I think we said last year also that there have been two impact s, one because of the sh eer commodity price increase which is even though we have been able to pass on the commodity price increase to our custome rs, the denominator itself had increased, so in terms of percentage it is dilutive, that is number one and number two, I think consistently that we do expect margins to come down gradually from 22% odd level to around 15 -16% which is still well above our c ompany average, so that was number two and number three, this also as I said it also had an impact of significantly higher gas prices . So, all these factors have impacted Mind a Kosei profitability in terms of percentage and somewhere in terms of value also .
Mukesh Saraf : As coming to the 15 -16%, how long will that take , sir and this is going to happen year -on-year or?
Sunil Bohra : I am saying Mukesh, it is actually below 15 -16%.
Mukesh Saraf : It is already below 15 -16%, got it.
Sunil Bohra : Whatever you are saying is already factored in .
Moderator : Thank you. The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.
Rishi Vora : Just a follow -up on our strategic JV for Traction Motors, so will we be working also closely with Friwo JV because I think in that JV we manufactured motor controllers and in this we will be manufacturing traction motors, so if an OEM requires both the products , will we be working together to sup ply that product or how will be the arrangement over there?
Sunil Bohra : So, definitely Rishi, as customer wants, we will work, we have both the products, if customer wants jointly , we will be happy to give them a product which is motor controller plus motor, but in case customer wants separate, obviously we will be open to give them separate as well.
Rishi Vora : And sir, just on the traction motor front, given that the market itself is very competitive, there are many players who have already developed this product, so what will we be doing to differentiate ourselves from the competition ?

Sunil Bohra : I think our USP has been very clear, in addition to whatever strengths which Minda brings in terms of QCDD, our endeavor is to if I have used a simple language or a single line to bring in German Engineering at Indian cost.
Rishi Vora : And just to confirm, like clarification, you said capex for this year broadly would be Rs. 700 crores?
Sunil Bohra : Yes, between Rs. 600 to 700 crores, I think this question was raised earlier by Ashuto

sh, he was saying c ould it be around 700, I said yes, it will be around that number.
Rishi Vora : And investments for 23, any guidance?
Sunil Bohra : Investmen t, what is in the investment?
Rishi Vora : As investments in subsidiaries and all or it is a part of capex ?
Sunil Bohra : As of now, there is no plan to infuse any additional funding, whatever is announced like today it was also announced of around Rs. 15.3 crores investment in Minda Ketolac so with that as of now there is no request from them for any growth funding which they may need .
Rishi Vora : So, first half plus Rs. 15 crores, so that would be your guidance, right ?
Sunil Bohra : Right.
Moderator : Thank you. The next question is from the line of Peter Agnel from KSEMA Wealth Management. Please go ahead.
Peter Agnel : Sir, my first question is, can Minda maintain this run rate of Rs. 2,500 crores plus per quarter given that you mentioned that commodity prices get passed on, so can we expect this run rate to continue going forward? And also then, what is your market shar e you have in th e EV space and two-wheelers and three -wheelers and Q2 what was the export revenue share and do you witness

any softness in demand in exports?
Sunil Bohra : So, run rate of Rs. 2,500, Peter, definitely we are working to do much better than th at, but that our destiny which is 90% of our revenues are linked with the OEM volumes, so as long as volumes remain in this region, we would definitely able to do this and even more. In terms of market share, I think it is too premature to calculate market share for EV because even if you see the EV numbers, there is list which gets published every month as to who had produced how much in terms of OEMs, lot of them you will find they are just assembling, they are buying the kits from China and outside of th e world and they just assemble it. So, as of now, market is still very premature and at a stage where there is no what you call right data available, so in the essence of that it won't be fair for us to comment on market share etc., but whosoever are the

larger players, we have been working with I think almost all of them , be it a new age EV players or the traditional ICE players who are also into the EV. In terms of export revenue, our total global revenues from export from India and also domestically in th e overseas location is roughly around 16 -17% of our total pie during the quarter. In terms of demand, definitely there is impact as I said for suspended s eats which we primarily export to, so there has been some demand impact which led to little lower vo lumes for the suspended seat s, but the export s which we are doing to US like of seating , etc., as of now there is no significant impact there.
Peter Agnel : Sir, so this last two quarters of Rs. 2,500 plus crores run rate, out of that what percentage would you attrib ute to higher raw material cost, due to that it went up that much like growth versus ?
Sunil Bohra : If you compare versus last year, I think this data point also we shared last year, roughly around 8% is primarily because of the commodity pr ice increases.
Moderator : Thank you. The next question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.
Ashutosh Tiwari : On this casting side, you mentioned that the revenue from passenger vehicle alloy wheel is around Rs. 325 crores and Rs. 150 crores is your two -wheeler alloy wheel s, which is Rs. 475 crores, we have reported around Rs. 614 crores revenue in this vertical, the remaining Rs. 139 crores is that such a large amount erstwhile MJ Casting?
Sunil Bohra : Two-wheeler is 160, not 150.
Ankur Modi : Ashutosh, yes, casting, die casting is contributing to some around that number, yes.
Ashutosh Tiwari : And in the previous quarter, it was only around Rs. 84 crores, right, let us say Rs. 300 crores was passenger vehicle, Rs. 100 crore

s was two -wheeler, then Rs. 84 crores was that casting, so casting has jumped so much on quarter -on-quarter basis?
Ankur Modi : Yes, casting has seen a good improvement.
Ashutosh Tiwari : And this is that MJ Casting only, right?
Ankur Modi : Yes, that is in MJ C asting.
Ashutosh Tiwari : And this is only driven by I think, as of now two -wheeler and that we had some CE brake related business, right?
Ankur Modi : Yes.

Ashutosh Tiwari : And sir, on the lighting side, you mentioned that Rs. 250 crores is the two -wheeler lighting revenue right?
Ankur Modi : Yes.
Ashutosh Tiwari : So, remaining Rs. 400 odd crores roughly out of 659, Delvis will be how much?
Sunil Bohra : So, four-wheeler lighting is roughly around Rs. 200 plus, maybe around 210 odd number is for four-wheel, two -wheel is roughly around 250, so that is about 460, yes balance is for Asean and Delvis because we have lighting in Asean as well.
Ashutosh Tiwari : So, you include Asean plus Delvis put together is remaining?
Sunil Bohra : Yes.
Ashutosh Tiwari : And the switches segment, in the quarter -on-quarter improvement, is it that we have seen bigger improvement in Minda rika or it is two -wheeler also has done very wel l?
Sunil Bohra : Quarter -on-quarter, two -wheeler has improved by roughly 20% plus in Q2, in fact the Q1 to Q2.
Ashutosh Tiwari : Sir, how much is the four -wheeler revenue in this, out of Rs. 800 crores, this is Mindarika essentially ?
Sunil Bohra : Mindarika q uarterly something around Rs. 210 crores.
Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sunil Bohra for closing comments.
Sunil Bohra : Thanks Faizan. I would like to thank everyone for joining on the call. I hope we have been able to respond to all your queries adequately. For any further information, we request you to please

do get in touch with us. Stay safe, stay healthy. Thank you once again for joining with us.
Moderator : Thank you. Ladies and gentlemen, on behalf of UNO Minda Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

Uno Minda Limited
(Formerly known as Minda Industries Ltd.)
Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: 15/02/2023
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Scrip: UNOMINDA BSE Ltd.
Regd. Office: Floor-25, k!llt•)f MINDA]
■rllVING THE N•W--
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
BSE Scrip: 532539
Sub: -Transcript of the Earnings Call held on Wednesday, 08 February, 2023 on the
Financial Results for the Quarter and Nine Months ended on 31 December, 2022
Dear Sir(s),
Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure
Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on
Wednesday, 08 February, 2023 on the Financial Results for the quarter and nine months ended on
Jl December, 2022. A copy of the said transcript is also uploaded on the website of ll1e Cu1111Jc1r1y
www.unominda.com .
Kindly take the same on record.
Thanking you,
Yours faithfully,
For Uno Minda Limited (%. ■■t..J ■■rct ■Delhi ■
Ta run Kumar Srivastava
Company Secretary & Compliance Officer *
Encl: As above.
Uno Minda Limited (formerly known as Minda Industries Limited)
CIN: l74899DLI 992PLC050333, Regd. Office: B-64/1, Wazirpur Industrial Area, Delhi-110052,
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 “Uno Minda Limited
Q3 FY ’23 Earnings Conference Call ”
Febru ary 08, 202 3
MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL
OFFICER – UNO MINDA LIMITED
MR. ANKUR MODI – HEAD, CORPORATE FINANCE &
COMMUNICATION – UNO MINDA LIMITED

 Moderator : Ladies and gentlemen, good day, and welcome to the Uno Minda Limited Q3 FY '23 Earnings Conference Call.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks an d uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to M r. Sunil Bohra, Group CFO of Uno Minda Limited. Thank you, and over to you, sir .
Sunil Bohra: Thanks, Mike. Good evening, everyone, and a warm welcome to all the participants. On the Earnings Call today, I'm joined by my colleague Ankur Modi. We have uploaded our financial results and investor presentation for Q3 FY '23 on the stock exchanges and our company's website. We hope everybody had an opportunity to go through the same. I will first start with industry updates and overview, followed by our financial and operational performance for the Q3 and nine months of the current fiscal. Post that, we will open the floor for Q&A.
Starting with industry update. India continues to be one of the world's fastest -growing economies due to estimated high domestic growth supported by export opportunities on the back of India becoming a manufactur ing hub and various government initiatives to encourage Make in India.
The automobile industry, specifically PV segment, is also on a growth trajectory, supported by

robust demand in both urban and rural sector.
Cool off in metal prices and shortages of se miconductor chips subsiding. According to SIAM, for the first time, India has surpassed Japan in auto sales and become the world's third largest auto market, underlining both India's credentials as the fastest -growing economy in general and the potential o f the auto sector in particular. Considering the Indian automobile industry contributes 7.1% of India's GDP and 49% of its manufacturing GDP, calibrated steps are taken to maintain the steady industry growth trajectory and realize the industry's true poten tial.
During the quarter, we saw highest retail sales in October and November in the history of Indian automobile industry. The demand was well supported initially by festival sales followed by a great Indian wedding season. After two months of adrenaline rush, December '22 was relatively lull due to calendar year and with routine price hikes from OEMs.
In terms of production, we witnessed healthy growth in overall industry volumes during the quarter. PV, three -wheeler, and CV grew by 21%, 13% and 12%, resp ectively, Y -o-Y basis, while two-wheeler recorded a growth of near 1%. Production volumes declined on quarter -on-quarter basis due to early festival. The related growth was captured in Q2 FY '23 itself.
 Production volumes were also impacted due to planned annual maintenance shutdowns at most of the major OEMs.
Now talking about the segment -wise performance. The PV segment has continued to show remarkable consistency in growth during the entire year. PV segment continued to break all records by clocking more than 34 lakh retail sales in calendar year '22. PV production volumes are likely to cross pre -pandemic level and record highest ever annual volumes. Better availability of model mixes, new launches and increase in rural demand continues to keep the segmen t in healthy growth trajectory.
Increase in the standard of living had led to a rise in the need for premium

ization. India has seen
a robust year -on-year growth in luxury car sales in CY '22, which reflects the growing appetite for luxury cars and goods in a post -pandemic world. Compact SUV and SUV category, coupled with higher variant models continues to rule, while entry level segment is still feeling the pinch. Apart from this, while waiting period for some models have come down, compact SUVs, SUVs and l uxury vehicles continue to witness a minimum waiting of two to three months.
The demand for both ICE and EV variants remains strong across segments accompanied by continuous investments in R&D. Our focus on localization remains intact, and we have been able to increase the wallet share among customers across variants.
Speaking of the two-wheeler segment, the two-wheeler industry saw improved sentiments during the festive and wedding season during the quarter under review, but it could not sustain and contin ues to face headwinds with industry volumes still below the pre -COVID levels. While sentiments are improving at a snail's pace and are better than what it was a year ago, rural market is yet to fully come to the party as the cost of ownership has shot up.
The trend is specifically observed for the entry level, commuter segment, two-wheeler s, implying that the purchasing power of the consumers at the bottom end of the pyramid has been impacted. Two -wheeler exports have also remained under pressure. Near -term challenges persist for two-wheeler . However, medium - to long -term outlook remains po sitive.
The three -wheeler segment continued to the recovery path with robust growth. The three -wheeler segment, which was completely down during COVID has recovered well and has narrowed its gap when compared to CY 2019. Within the segment, it's the electr ic rickshaw sub -segment which is showing triple -digit growth, thus pushing the EV market share above 50% mark. The CV segment has continued to grow during the entire calendar year '22 and is about to reach the pre -pandemic levels due to rise in e -commerce, agriculture, infrastructure, mining activities, improving sentiments of fleet owners, replacement of fleet and the new model launches.
The government's ongoing push for infrastructure development, coupled with the increase in demand for LCV, HCV, buses, and construction equipment has kept this sector's growth momentum. The Budget '23 had proposed that custom duty exemption is extended for import of capital goods and machinery required to manufacture lithium -ion cells for batteries used in EVs.
 This will pr ovide impetus to green mobility and boost local manufacturing. In addition, funds will be allocated from the central government to scrap old vehicles under the vehicle scrapping policy as described earlier. States will also receive assistance in replacing old vehicles and ambulances.
Apart from this, the capital outlay of over INR 10 lakh crores for infrastructure spending will help aid CV sales, which is already witnessing an upswing. The Union Budget '23 also raises the personal income tax rebate limit fr om INR 5 lakh to INR 7 lakh. This is likely to provide more disposable income. With such initiatives, we are hopeful of a continued surge in demand

for auto industry.
Moving to Auto Expo Components 2023, Uno Minda recently participated in Auto Expo, which is Asia's largest automotive show. We were present in the expo showcasing our formidable product portfolio built around mega trends of personalization, autonomous, connected, and electrified. Personalization was showcased as affordable luxury. The key technologies in lighting, seating, acoustics, and smartphone were integrated to showcase what an Indian customer can expect in his or her car. Autonomous was exhibited by conside ring Indian driving conditions. Hence, it revolved around driver assistance systems and driver behaviour monitoring.

Connected as connected platform to collect, control, monitor and monetize vehicles data.
Electrification. Uno Minda has been convincing -- present in the EV technology across segments with charging and powertrain solutions. The above technologies developed by Uno Minda were very well showcased in the three technology demonstrators of two-wheeler , three -wheeler, and four-wheeler, respectively, to give a real -time experience Besides the product exhibits, Uno Minda also showcased a new technologies we are working on. We saw overwhelming response at our stall with visits from leading OEMs, media, investors, and other stakeholders. We gave an enthr alling experience of our futuristic products and technologies, live technology demonstrators to visitors.
Moving to key operational slides. You may refer to Slide number 5. As was approved by the Board, the company executed the joint venture agreement with Buehler Motors and Tachi -S during the quarter. We are happy to inform the company also received confirmed orders from a couple of two-wheeler EV OEMs for motors in the newly formed joint venture with Buehler Motors. The company has also entered into a tec hnical licensing agreement with Asentec Company of Korea, a leading global supplier of automotive sensors and actuators to design, develop, manufacture and market high -tech wheel speed sensors in India.
Uno Minda had set up separate division for automotive sensors a few years back considering the rising demand of the evolving technology in sensor space. Sensor division has come a long way since its inception with manufacturing of engine and exhaust sensors, transmission and suspension sensors, active safety , and comfort sensors, among others. The current partnership with Asentec will further strengthen its advanced sensors product portfolio.
 Uno Minda EV also won incremental order with annual peak value of INR 300 crores, comprising of off board charger, mot or controller, BMS and DC -DC convertors. The company strengthened the relationship with marque American two-wheeler OEM with incremental orders for switches as well as heated grips.
Turning to our financial and operational performance. You can refer to Slide 7 and Slide 8. At consolidated level, revenue from operation for the quarter increased by 34% year -on-year basis to INR 2,915 crores from INR 2,181 crores in Q3 of FY '22, while r evenues grew marginally as well on a quarter -on-quarter basis as the company continues to gain market share and increase its kit value. We have witnessed growth amongst all our products with lighting and EV alloy will registering phenomenal growth.
As guid ed, we have continued to outperform the industry with our 34% growth against industry volume growth of 5% on a year -on-year basis. Even quarter -on-quarter basis, while industry volumes have declined by 16%, Uno Minda has registered growth despite softening of some commodity prices impacting the revenues negatively.
EBITDA for the quarter was at INR 338 crores, improving by 44% from INR 235 crores year -on-year basis. The EBITDA margins for the current quarter has improved to 11.6% as against 10.8% in corresp onding quarter last year. Operating leverage supported by increased volumes has led to margin expansion. However, higher energy costs and inflationary impact on other administrative expenses had constrained further margin expansion.
Finance costs have rema ined stable at INR 13 crores in comparison to corresponding quarter last year in spite of rising interest rate scenario. Sequential drop in finance cost is mainly on account of hedge accounting on the unhedged portion of the foreign currency loan.
We see i ncrease in tax expenses from INR 42 crores in Q3 FY '22 to INR 62 crores in Q3 FY '23 on account of higher profits. Sequential increase in tax of INR 55 crores to INR 66 crores is mainly on account of reversal

of some deferred tax liability in Uno Minda Eu rope and some timing differences. The profit after tax which is Uno Minda's share for the quarter was at INR 162 crores as against INR 101 crores in Q3 FY '22, registering a growth of 60% on a year -on-year basis.
Coming to the business segment -wise perform ance, going to product line, starting with Switch Systems. You can refer to Slide number 13. The segment achieved revenues of INR 815 crores for Q3 FY '23, contributing 28% of our consolidated revenues. Premiumization, leading to

increase d numbers of switc hes continued to drive the business growth, along with increasing share of business with Indian and Korean customers.
During the quarter, we received incremental orders from a Korean customer, further strengthening the relationship. In two-wheeler switch b usiness as well, we have won incremental export orders for switches and heated grips from the two-wheeler American OEM. We have also commenced co nstruction of our expansion of four wheeler switch plants at Chennai and Farukh Nagar .
 Moving to Lighting busin ess. It has achieved revenue of INR 644 crores for Q3, contributing 22% of our consolidated revenues. Lighting business has grown exponentially over last year with multiple large order wins specifically for four-wheeler lighting. Four -wheeler Gujarat plant had commissioned last quarter and is ramping up in subsequent quarters.
Moving to our Casting business. It has achieved revenues of INR 579 crores for Q3, contributing to 20% of our consolidated revenues. The revenues for Casting business has been increas ing year-on-year basi s with increase in capacity of four -wheeler alloy wheel and commissioning of two-wheeler alloy wheel plant. Last quarter, underlying volumes of both two-wheeler and four-wheeler had declined on quarter -on-quarter basis, along with redu ction in commodity price impacting the revenue for the quarter. We continue to be bullish on the Casting business and expect recovery in volumes as well as higher penetrations to lead significant revenue growth in subsequent quarters.
Moving to Acoustics, Slide number 14. Our Acoustics business had achieved revenues of INR 187 crores for Q3, contributing 6% of our consolidated revenues. While India business remains stable, the European subsidiary, Clarton Horn, remains under pressure with unprecedented increase in energy costs and lower industry volumes.
Moving to our Seating business, which achieved revenues of INR 263 crores for Q3, contributing 9% of our consolidated revenues. Revival in CV segment and diversification in customers supported the growth in Seating business. Export of suspended seats were marginally impacted due to ongoing geopolitical issues. Seating business won order from a new two-wheeler EV OEM customer.
Moving to Other Product busines ses. We have achieved revenues of INR 427 crores for Q3 FY '23, contributing 12% of overall top line. Other businesses mainly comprise of controller and sensors, ADAS, blow molding business, canister, ICs, battery, and aftermarket. Growth in other revenue can be attributed to blow molding business on commissioning of the Bangalore expansion, our engineering services business in Europe and aftermarket. The share of profit/loss of associated joint ventures for Q3 is at INR 25 crores as against INR 19 crores i n Q3 FY '22. While all our JV associates contributed positively, major contribution came from Denso Ten, Roki and TG.
Moving to EV business. During the quarter, we have received incremental orders of off board charger, motor controller, BMS and DC -DC conve rtor from two-wheeler EV OEMs. As was guided, we have now received orders for motors as well in our new formed JV with Buehler Motors. The annual peak value of these orders is expected to be around INR 300 crores. We would also like to inform you that Uno Minda EV system, our JV wi

th FRIWO, has started
supplies of off -board charger for two-wheeler EV OEM at interim location through final assembly and testing, with SOP for three more orders lined up in the next six months.
Moving to aftermarket and exports. You may refer to Slide number 1 4. In terms of our revenue pie for the quarter ended December 31, OEM business accounted for 89% and aftermarket business at around 11%. Our aftermarket division revenues were at INR 286 crores as against
 INR 262 crores in co rresponding quarter last year. Aftermarket revenues have grown 9% Y -o-Y basis and 11% sequentially. The aftermarket continues to grow at a healthy run rate with increased focus and marketing effort.
Moving to our cash flow and debt levels. Our net debt as of 31st December was at INR 683 crores compared to INR 570 crores as on March 31, '22. And our net debt -to-equity stands at 0.16. Net debt has increased marginally on account of increased working capital borrowings, consequent increase in revenues as well as due to some incremental borrowings for capital expenditures. We have also been making steady improvement in ROCE. If you see annualized profitability of nine month s, our ROCE stood at 20.8%, which is highest in last 3 years.
Moving to dividends. The Boa rd has approved and declared interim dividend of INR 0.5 per share, which is 25% of face value, reflecting commitment from the company to return value to shareholders on a consistent basis. The dividend amount in absolute value will be double the amount pa id as interim dividend in FY '21, '22.
Moving to some strategic business updates, starting with Minda Kosei Aluminum. The company continues to identify opportunities for further consolidation and simplifying the group structure,

thereby creating enhanced s takeholders -- or shareholder value. In pursuit of the same, the Board of the company has approved acquiring remaining stake in Minda Kosei Aluminum, which is 22.64% currently held by JV partner Kosei to make Minda Kosei Aluminum a wholly owned subsidiary. The purchase consideration for 22.64% stake is agreed at INR 115.5 crores. Post-acquisition , while JV for MK will be terminated, the company will enter into technical licensing with Kosei to ensure continuity of technology support. The transaction is targ eted to be completed on or before 31st of March '23.

The TG Minda business, which is a joint venture between Uno Minda and TG Japan, engaged in business of automotive safety system, fuel cap, weather strip, sealing parts is planning to enhance the production capacity at its main plant, which is in Neemrana, to meet the growing demand for airbags as safety regulations become stricter in India. Driver and passenger side airbags for frontal collisions are increasingly equipped on vehicles in India. The use of side and curtain airbags to protect vehicle occupants inside collisions is also mandatory. In fact, the company has already received large orders for curtain airbags for three -wheeler s from one the Japanese OEM.

To meet the accompanying growth in demand, TG Minda India will expand its Neemrana plant and ins tall airbag tools and equipment’s . The Board has approved a capital expenditure of INR 175 crores for the said expansion. The commercial production of the expansion is expected to start from December of 2024.

Moving to some recognitions and awards. At Uno Minda, it has been our constant endeavours to incorporate, demonstrate and live up to the highest standards of corporate ethos and governance in all our policies and practices for an all inclusive growth. We a re happy and proud to state that Uno Minda has been honoured with the Certificate of Recognition for Excellence in

Corporate Governance in the category of listed medium corporates at the 22nd Annual Institute of Company Secretaries of India National

Awards for Excellence in Corporate Governance 2022.

Uno Minda is an employee -centric organization, always puts our people at the heart of whatever we do. At Uno Minda, we believe the success of the organization and its people go hand in hand. Recognizing our peo ple practices, Uno Minda was recognized as a great place to work by GPW Institute India for second consecutive year. We also featured in amongst top 25 best workplaces in manufacturing companies in India for 2023 for inspiring trust among people, instillin g pride, creating an environment that promotes camaraderie and delivering a great workplace experience for all our employees.

Beyond business, we are strategically focused on reaching a large number of people in the community and providing more opportuniti es for holistic development, thus achieving responsible growth by shaping the lives of individuals through new possibilities. There are numerous initiatives which our charitable foundation undertakes to enhance underprivileged people's lives. Recognizing o ur effort in CSR field, we won prestigious awards such as the Greentech award and the CSR Times Award, which is a gold award in the category of promotion of education at the Ninth Annual Greentech CSR India Awards '22, and for the project Samarth - Jyoti in the category for human empowerment at the Ninth Corporate Social Responsibility Summit, respectively. With this, I would like to now open up the floor for questions.

Moderator: We have the first question from the line of Siddhartha Bera from Nomura.

Siddha rtha Bera: Congrats on a good set of numbers. So sir, on the switch business, I just wanted to understand that if you look at production that's been highlighted, industry volumes are down on a sequential basis in maybe double digits, and we have managed to grow the business sequentially. So just wanted to understand first, any particular new orders which have started? Or what has led to this performance in this segment?

Sunil Bohra: Okay. That's one. Any other question, Siddhart ha?

Siddhartha Bera: Yes, I have a couple of them. So , then I'll just go with my questions. So the second question will be, sir, on this EV side, so we have said about 3 billion new orders, but we had earlier also said about, I think, 4.5 billion orders in the initial part of the yea r. So if you can just help us understand how to look at the revenue ramp up? What is the total order book as of now currently? And how to understand the ramp -up in the next couple of years?

And the third is on the Kosei business. I mean, we saw that it has been acquired at quite an attractive valuation. So just wanted to understand more why Kosei sort of agreed to sort of sell off their stake now and what happens if later -- I mean I understand you have a TLA, but just in case how to understand the business ramp -up scope going ahead for this. These are the initial ones. I have more. I'll come back later from the queue.

Sunil Bohra: Okay. So switch business, industry volumes are down and how we managed to grow, I think , which has been our sustained endeavour , Siddhartha . If you remember that how we are increasing our kit value with that side stand switch, et cetera, where we have been the leader. So definitely that has added. There has been some addition in the technology and also this export from the American two-wheeler OEMs, increasing our share of business with some of the customers which we have been speaking. I think all of these actions have played their role in terms of achieving the kind of numbers which we have delivered despite the industry degrowth. That's on the switch business.

In terms of EV side, 3 billion new orders and earlier 4.5 billion. How do you look at revenue ramp -up? So this is all incremental orders, and these are all -- what we always say it's annualized peak volumes. And we expect th ese volumes to be

kicking in from FY '25, FY '26 range in terms of the annual numbers.

Then Kosei, why sell off now, attractive valuation and business ramp up is good. So this was a specific request from our JV partner, not that we were not interested. Obv iously, we were interested. But they were also maybe having some requirement for funds. So it was a mutual discussion and a mutual negotiation in terms of arriving at this value. Definitely, it's attractive, and I'm sure it's much, much accretive to the sh areholders of Uno Minda Limited.

In terms of business ramp -up scope, it goes unhindered because even today, the business was completely run by Uno Minda with sort of a technical support wherever required from Kosei Japan, and that model will continue. So w e will enter into a TLA for roughly around 10 years once we terminate this JV. So there will be consistency of the support whatever we have been getting, which will be compensated through the royalty to the Kosei, which will continue as it has been now. So this is the broad structure.

And while Board has given us a timeline of 31st of March 2023 to sort of discuss and agree on the path forward in terms of agreeing on to the technical licensing model and what will be the intricacies of that going forward. So just to make sure that the growth of the business is not compromised. And in fact, we may be put up the business at a faster growth pedestal because now it's fully our baby and we can even go a little more aggressively if need be.

Siddhartha Bera: So sir, just a clarification on this switch. You said we were sort of ramping up this U.S. two-wheeler switch. So that has come in the current quarter only, Q3 only? Or it is the order which we have got and will come up later?

Sunil Bohra: No, it has been there f or last nine months now, but obviously, the volumes have been improving. So that also helps on a month -to-month basis. And as I said, there have been some incremental orders which we have received that also will kick in the current calendar year.

Siddharth a Bera: Got it. And what will be the size of these orders, sir, the Korean 4 -wheeler switch, and U.S. two-wheeler switch?

 Sunil Bohra: So Korean four -wheeler switch, while the number may not excite you, it is INR 40 crores annually. But if you see from bus iness perspective and a strategic point, it's sizable. Considering the Minda Rika revenue itself is like INR 900 crores to INR 1,000 crores, it's almost 4%, 5% of the revenue incrementally. And it will help us increase our share of business with the Korean customers, which is what we have been discussing for quite some time now.

Moderator: We have the next question from the line of Ashutosh Tiwari from Equirus Securities.

Ashutosh Tiwari: Firstly, congrats on good numbers. Just -- on this Kosei, you mentioned that royalty, which is already you're paying, only that will continue after TLA as well. There is no increase in that?

Sunil Bohra : No. That's what I said that the current mechanism of compensating for technical support will continue. The only th ing is, as of now, it is through a JV. So JV will have to be terminated, and we will need to enter that into a TLA. So our principal agreement has been that the same terms should continue, though we will sit across the table and make sure that the support services, whatever we have been getting on case -to-case basis, that continues and there should be two impacts on that. And in terms of timeline , as I said, we'll target to close in the next 2 months.

Ashutosh Tiwari: And you mentioned on this electric two-wheeler orders almost INR 800 crores, INR 900 crores we have won so far that you have declared in Q1 in this quarter, that all will peak out in '25. Is that correct what I heard?

Sunil Bohra: Yes, like in '25, '26 the time frame based on the -- and this is based on the...

Ashutosh Tiwari: Vol

umes that you got...

Sunil Bohra : By the customers. Now obviously, it can be earlier, it can be later based on the industry adaptation of the EV.

Ashutosh Tiwari : And what was the revenue from this two-wheeler or four-wheeler alloy wheels in this quarter?

Sunil Bohra: So two-wheeler , four-wheeler alloy will always , definitely is impacted compared to the last quarter. So two-wheeler volume has been mainly lower. So the commodity price itself impacted almost like INR 30 crores of -- INR 35 crores of revenue in this division in the last quarter versus Q2. On top of it, the volume has been lower in primarily the two-wheeler business. So put together if I see two-wheeler a-- and you said four-wheeler alloy wheel, right?

Ashutosh Tiwari: Yes, yes, I said that. Yes.
Sunil Bohra: Yes. So both put together is roughly around INR 400 crores for the quarter.
Ashutosh Tiwari: INR 400 crores and -- sir, can I get individually in two-wheeler s and four-wheeler?
Sunil Bohra: Can you leave it, if don't mind?
Ashutosh Tiwari: Sure. And lastly, two more questions. One is that this TGMINDA capex of INR 175 crores, what kind of sales it can generate for us?
 Sunil Bohra: So this can generate sales of almost INR 350 crores a year.
Ashutosh Tiwari: Towards asset. Then okay. And lastly, on the margin side because we -- like you mentioned that gas prices have remained high, probably you've not got compensatio n from OEMs. So can we get that directionally from Q4 and all so margins can improve further from here?
Sunil Bohra: So we have been -- honestly, two things. We're discussing consistently with our customers for compensating the gas price. Though we have be en getting positive ears, but it has to yet get concluded. That's number one. Number two, in terms of margin, I would say, yes, it will definitely have an impact on a quarter -to-quarter basis. We have been guiding for a margin on an annual basis. So we sti ll hold on to that margin range of 11%, 12%. And if you see first nine month s, we are within that range only. So even if we get that, hopefully, we will be a little above the average what we have been so far.
Moderator: We have the next question from the line of Mukesh Saraf from Avendus Spark.
Mukesh Saraf: My first question is on the alloy's wheels business. You've obviously mentioned that the revenues are down also because the pricing has come off as the material cost has come off. Is that under recovery that we have seen? I mean, has the pricing come off only to the extent of how other costs are coming down on the RM side? Or is there an under recovery there, sir?
Sunil Bohra: So this is down. Primarily what we are tal king, Mukesh, is the aluminium prices only, nothing else.
Mukesh Saraf: I'm asking you regarding the aluminium prices. So have our costs also come down to that extent on the same extent as the pricing?
Sunil Bohra: Yes, absolutely, Mukesh, so with obviousl y a little bit of lag. So like some customer it is -- we have got now monthly price adjustments, somewhere it is quarterly. So customer to customer, it does get impacted. So somewhere it would have got in Q3, somewhere it will get in Q4.
Mukesh Saraf : So it hasn't been -- I mean, our margins in terms of per ton have been -- are still maintained, is what you're saying?
Sunil Bohra: Yes. Actual margins per ton, as I said, has been impacted primarily because of the gas prices. Had that not been there, it would have been much better .
Mukesh Saraf : And secondly, on -- in the other segment, you had mentioned that blow molding has been one of the reasons why the growth is quite strong sequentially. So does this mean that the Bangalore facility is already up and run ning? Is that right?
Sunil Bohra : Yes, Bangalore facility is up and running.
Mukesh Saraf: The new one, the new one?
Sunil Bohra: Yeah .
 Mukesh Saraf : Because it is expected to start, I think, in the fourth quarter, if I'm not wrong. So but it's already started there?
Sunil Bohra: Yes, it has just started and also started supplying, because the key business what we have got was for the new model of one of our Japanese OEM, which has started getting into SOP in December.
Mukesh Saraf: And so that's the primary driver of that other segment going up. So the reason I'm asking is...
Sunil Bohra : There have been a lot of improvement. I won't say that's the primary driver, honestly, Mukesh, because a lot of other businesses like sensors have done well, control lers have done well. So I think a lot of them are chipping in. And I won't say it's entirely because of alloy wheels.
Mukesh Saraf: Sir, it's quite a strong growth there sequentially. So could you just highlight or if you could probably give a sense on wha t could be -- if at all, the EV revenues that we have so far , I think last time you had mentioned that you will probably give that number later. So is there some colour you can give there?
Sunil Bohra: Yes. So that number maybe we'll start reporting from t he next fiscal. Let the numbers be a little more meaningful. As of now, it stands at 3%, 4% in terms of the EV number. And our two-wheeler revenue is also less than half. So from that perspective, it won't make a significant impact. So maybe from first qua rter onward we will evaluate if we start giving purely EV numbers separately.
Mukesh Saraf : And just lastly, any colour on the capex that we plan for the upcoming year, FY '24? And sort of give a breakup of that capex across the years?
Sunil Bohra: So that maybe -- as we said, normally, Mukesh, we update in the annual -- along the annual -- we just started our budgeting cycle, and the entire February and March actually goes into our

budgeting planning, et cetera, capital allocation and all that. So we will have a better visibility when we speak about the entire annual figures.
Moderator: We have the next question from the line of Aditya Jhawar from Investec.
Aditya Jhawar: Congrats on a good set of numbers. A few questions. The first question is on air bags. The incre mental change that is the mandatory six airbags. So what kind of incremental opportunity are we seeing in this?
Sunil Bohra: Yes. So as I said, the incremental opportunity, which is almost -- the confirmed order in hand is more than, say, ar ound INR 350 crores. And that is why we are expanding these facilities. Some of it we can achieve through our existing capacity, but definitely, it will need a lot of investment because the kind of facilities we have for airbags , and you might have seen wh en we had a visit to our Gujarat plant. It's a very -very hi -tech plant in terms of airbag manufacturing, a utomated cutting, stitching, et cetera, a lot of things. So there are highly automated machines. And that's why we did these kinds of capex to achieve in that business.
 Aditya Jhawar: So this facility would be ready in December '24, but this is becoming mandatory from October '23. And our largest customer has a large portfolio dependent on the entry segment car. So do you foresee that we would be losing market share in the first initial couple of years?
Sunil Bohra: I won't comment on market share, Aditya, as of now, because while we all know the current date is October, I think a lot of water still needs to flow under the bridge. So as of now whatever guidance we have got from customers, we are working based on that. So I'm sure it will not impact our share of business because whatever models they are associated, these are the findings given to us by our customers.
In case customer ask us to prepone, we 'll be happy to do that because it's not that we will need two years to set up these equipment and start supply. In case they want

six months earlier, we will be able to do that with some sort of a preponement. But as of now, the December '24 timeline is what we have been given by our customers linked to the SOP of their models.
Aditya Jhawar: And on gross margin front, this quarter, we saw a very good expansion. So if you could help us understand that what is the benefit of lower RM price. Was there a lag effect of a price escalation? And what could be the contribution of product mix change? And is there some price escalation pending which can accrue in Q4?
Sunil Bohra: So Aditya, it's a very good point. And in fact, this is what, if you remember, we had be en discussing when the commodity prices were going up. So there is always a quarter lag impact. So when prices were going up, we were seeing some sort of a negative impact. So now when prices are going down, obviously, there is some positive factor which i s coming in Q3. But it may not be, what you call, forever, because once you go into Q4 and buy spot prices, then you get the Q3 prices. And that is the reason why we talk of the annual margin guidance rather than looking at quarter -to-quarter.
And second, whether it will have any, you said, long -term impact. Answer to that is no, because -- when we say the commodity price indexation is aligned with almost all our customers with 95% of commodities being indexed. So while we might have some quarter -to-quarter movement, but on an annual basis, things get passed through to our customers. So from that perspective, we have tried to insulate the business from the volatilities of the commodity.
Aditya Jhawar: And is that coming from impact of product mix change? So you can quantify?
Sunil Bohra: Product mix change.
Aditya Jhawar: Like change, for example, switches or lighting. Any comment on...
Sunil Bohra : So not a -- if you see the segment volumes, Aditya, I don't see there is any significant structural shift whic h is happening in our, what you call, volumes.
Aditya Jhawar : Now a couple of just bookkeeping questions. So this EV revenue now will be accounted in two entities, that is Uno Minda EV systems as well as the -- there's a JV we have for traction motor with Buehler, right?
 Sunil Bohra: In two systems -- EV revenue, yes. So there will be three places, actually. So as of now, you are right that motors for two-wheeler will go into Buehler. EV components which are part of the JV will go there. But there are some products which are not part of JV, like there are some EV components for CVs. There are EV products like telematics, things like that, they are part of the controller division. So you'll have actually the EV revenue coming into -- and this is for only EV specific products I assume you're talking. Otherwise all the other pr oducts will get accounted where they are.
Aditya Jhawar: Yes, EV specific products only.
Sunil Bohra: Yes. So it will be 3 places, not 2.
Aditya Jhawar: And just can you please repeat the net debt number?
Sunil Bohra: So our net debt number for Q3, right? Or -- so Q3 was INR 683 crores on 31 , of December, the net debt.

Moderator: We have the next question from the line of M. Mandlesha from Emkay Global.
M. Mandlesha: Mumuksh here. Congratulations on a good quarter. Sir, if possible, can you share the others revenue breakup? As it has gone up 20% Q -on-Q, some of the key growth drivers there?
Sunil Bohra: So can this be taken offline with Ankur if you don't mind in terms of the data for modelling ?
M. Mandlesha: Sure, I wil l take that. Sir, sequentially other expenses has also gone up by 11% versus 1% revenue growth. What led to the increase, sir?
Sunil Bohra : Yes. So in others, as I said, there are two, three key factors at play. One is the consumable, which is the gas pric e. Then other is, in the last quarter, you have this annual maintenance shutdown.
So there are some shutdo

wn expenses which come there. Plus with the opening of the economy,
the travel has kicked in. So this advantage which was there maybe a year back also . So obviously, some of those -- the costs are, as expected, coming back in the system. So these are the, I think, three or four key reasons why the other expenses are higher.
M. Mandlesha: And sir, sequentially , and how we see the gas prices, sir?
Sunil B ohra: So gas prices in terms of the major businesses where they are consuming is in the casting and also in Europe. We are not seeing any signs of softening as of now.
M. Mandlesha: Sir, at the auto company expo you showcased the camera -based systems and a lready company has some orders. Can you share some medium -term plans or targets for this camera -based systems, what they need, like autonomous, sir?
Sunil Bohra: Yes. So we are working to set up a camera manufacturing line, because we've got already assured business for more than INR 200 crores for camera. So currently we're working on to set up the project for camera manufacturing.
 In terms of the autonomous, you see there are a lot of products which we are working in terms of ADAS. So as of now, wha t we have got -- assured business which we're supplying is primarily towards your sensors, your rear-view cameras, your buzzers, et cetera, the ARPA system, etcetera. This is what currently we are doing, but there are a lot of new approaches we are working . As you said , you have rightly mentioned that we have showcased in our expo. So obviously, these things take time to get traction. Good thing is that we have got a very good feedback from our customers and the engagement has started. But as you know that the engagement to getting business also is a couple of years ' journeys , which we have to do with you.
Moderator: We have the next question from the line of Nishit Jalan from Axis Capital.
Nishit Jalan: Many congratulations on a good set of numbers. I have three questions. Firstly, in the LMT segment, I think you mentioned INR 400 crores of revenues from alloy wheels. So seems like our casting business has scaled up very significantly, right? I assume the number was closer to INR 100 crores from a quarter ea rlier. So some colour on that.
Secondly, on the TGMINDA capex expansion and the capex of INR 175 crores, what kind of top line can we get from that capacity utilization in that plant? I just wanted to understand the kind of ramp -up we can see.
And thirdly , if you can just guide us for the overall capex and investments that we are planning to do in FY '23 and FY '24 because obviously you're seeing a lot of growth and a lot of new clients are coming up as we are buying stake in a couple of the subsidiaries a lso. So just wanted an update on that.
Sunil Bohra: So in terms of LMT segment, you asked that we have done very good revenue in casting segment. Can you just be a little elaborative on that? What do you mean by that?
Nishit Jalan: So in LMT, your total re venue was INR 530 crores, right? And your alloy wheel revenues you mentioned was about INR 400 -odd crores. So I assume the remaining is the aluminum die casting revenues? So I just wanted to understand , it seems like the aluminum die casting revenues was a round INR 180 in this quarter. And what I understand was the run rate at the previous quarter was limited to INR 100 -odd crores. So just wanted to understand if that's correct, and what has led to such kind of a strong ramp up? And if you can share alloy w heel numbers for the nine months also that will be helpful?
Sunil Bohra: So I don't have that number, Ankur. Can you help him?
Ankur Modi: Sure. Nishit, on casting , I'll come back to you.
Nishit Jalan : Sure. No worries.
Sunil Bohra: Then TGMINDA, INR 175 crores of capex . How much of top line can we do? I think I answered to somebody else's similar question. You can get --

expecting to add at least INR 350 crores of
additional revenue from this capex . And overall capex and investment f or FY '24 also I think we
 spoke a little way back, that maybe we can give you a better number , visibility when we speak about our annual results, because we just started our budgeting exercise, and this should be over

by end of March. It's a long process f or us. With multiple businesses, it takes almost like roughly
six weeks from start to end. We just started that process. So hopefully, when we interact next
time, we should have a better visibility in terms of what is the capex going to be for FY '24.
Moderator: We have the next from the line of Rishi Vora from Kotak Securities.
Rishi Vora: Congratulations on a good set of numbers. First is, sir, alloy wheel. So how should we think
about Kosei Minda JV? So will it continue? Or over the next few quarters , we should also look
at some consolidation happening in that JV?
Secondly, i n this quarter, we have set up two fully owned subsidiaries on the auto component
side. Can you give us some colour on what it is pertaining to?
And thirdly, on TGMINDA. You announced a capex of INR 175 crores. So it's completely borne
by the company? Or it would be split between Toyoda Gosei and Uno Minda? And lastly, sir,
just capex and investment numbers for FY '23? If you could guide us that wo uld be helpful.
Sunil Bohra: Yes. So in terms of , Rishi, starting serialized. So alloy wheel. As you said, Kosei Minda JV,
obviously, will get terminated and we'll get into a technical licensing agreement. Even today,
we are sort of having the services onl y on a lead -based requirement, whatever -- for any support
we need. So that will continue. And the same kind of setup what we have in form of JV will get
passed -- set in into our TLA. Only thing is they will not have equity partnership. Otherwise,
whateve r technical support we are getting, that will continue.
And whether this JV will consolidate or no, I can't comment today, but we will note your
suggestion in terms of further simplifying the structure. Because once it becomes 100%
subsidiary -- I think th at's a good suggestion that we look at the appropriate time in the future.
The two wholly owned subsidiaries, they are more of enabling things. As you remember, even
last time when we have opened two subsidiaries, which we have got registered into our PLI
scheme. So this is more groundwork which we do. We have a couple of entities ready for any
potential such opportunity or a potential JV for which we might need. But as of now, there is not
going to be any operations in these two entities.
The TGMINDA capex is going to be fully funded by the company through a mix of debt and
equity. There is not going to be any equity infusion either by TG or by Uno Minda.
And last, capex FY '23. I think the numbers which we guided last quarter, that remain of around
INR 600 -odd crores -- INR 600 crores to INR 700 crores kind of a capex for FY '23. And just to
sort of update you, the TGMINDA capex if you'll do, that will not appear into our capex because
the capex guidance which we give that is what we see in the consolidated financials, and TG is
not consolidated. It is accounted as a JV- associate. So this capex will not figure in our annual
capex .
 Moderator: We have the next question from the line of Karan Kokane from AMBIT Capital.
Karan Kokane: Just wanted some clarity on this Buehler Motor's order. So in the presentation you have
mentioned that you're doing a capex of INR 110 crores. So what would be the revenue potential?
And is this a part of the INR 300 crores? Or this is on top of that?
Suni l Bohra: No, the INR 300 crores was the business and then INR 110 crores is capex . So I think, if I'm
understanding correctly, they are two different numbers. INR 110 crores

of capex is what we
have announced, but it can generate potentially capex of INR 4 00 crores to INR 500 crores over
next four to five years. This is what we said last quarter when we have entered into the JV. Yes.
So anything else?
Ankur Modi: So that is on top of it.
Sunil Bohra : That is separate. So that is capex, and this is revenue. So they are two separate things.
Moderator: Thank you. Due to time constrain , that was the last question. I would now like to hand the
conference over to Mr. Sunil Bohra for closing comments.
Sunil Bohra: Sorry. I think maybe we could take one more question. I think we have still two, three minutes.
Moderator: Sure, sir. We have the next question from the line of Komal Ladha from YellowJersey.
Komal Ladha: Firstly, congratulations for the good set of number s. I just wanted to ask, like the two-wheeler s
hasn't grow ing that much. So what might be the reason? And what can we expect in coming
quarters?
Sunil Bohra: It's very difficult, Komal. We normally don't comment on what the industry volumes are going
to do . I think it's best answered by our customers. So we will not like to comment on behalf of
our customers in terms of the industry volumes. I hope you won't mind it. You can take one
more. It's okay.
Moderator: We have the next question from the line of Sha shank Kanodia from ICICI Securities.
Shashank Kanodia: Congratulations. Always outrunning your expectations. Sir, I just wanted to check. So is there
any element of inventory being stocked up at the customers for any of the products that we
manufacture. So going forward, will our growth rate be at par and plus the OEM growth rates?
Or there could be a lag effect to that?
Sunil Bohra: There is no possibility, Shashank, that our customers will be stocking our product. I don't think
our product at our scale cu stomers will build inventory. Our customers they have milk run. Some

of them take supplies 2x, 3x a day. So I won't say that our customers will be stocking up
inventory for our products at all.
Shashank Kanodia: So there could be no lag effect to the OEM g rowth going forward. So obviously, we do
outperform them content -wise, but there should not be any lag effect, right?
 Sunil Bohra: Absolutely. Thank you, everyone. So I would like to thank everyone for joining on the call. I
hope we have been able to respond to all your queries adequately. For any further information,
we request you to please do get in touch with us. Stay safe, stay healthy. And thank you once
again for joining us.
Moderator: Thank you. On behalf of Uno Minda Industries, that concludes this conference. Thank you for
joining us, and you may now disconnect your lines.

Call: May 2023

Uno Minda Limited
(Formerly known as Minda Industries Limited) Dllt-lf MINDA l
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Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: 25/05/2023
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Sandra (E),
Mumbai -400 051
NSE Scrip: UNOMINDA BSE Ltd.
Regd. Office: Floor -25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
BSE Scrip: UNOMINDA, 532539
Sub: -Transcript of the Earnings Call held on Friday, 19 May, 2023 on the Audited
Financial Results for the Quarter and Year ended on 31 March, 2023
Dear Sir(s),
Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure
Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on
Friday, 19 May, 2023 on the Audited Financial Results for the quarter and year ended on 31 March,
2023. A copy of the said transcript is also uploaded on the website of the Company
www .unominda.com.
Kindly take the same on record.
Thanking you,
Yours faithfully,
For Uno Minda Limited
■ '2°a')fq_J'-Q__ ::> Del
Tarun Kumar Srivastava
Company Secretary & Compliance Offic *
Encl: As above.
-
Uno Minda Limited (Formerly known as Minda Industries Limited) Corporate Office: Village Nawada Fatehpur, P.O. Sikanderpur Badda,
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www.unominda.com Regd. Office: B-64/1, Wazirpur Industrial Area, Delhi -110052 CIN No.: L74899DL 1992PLC050333

"Uno Minda Limited
Q4 FY2023 Earnings Conference Call "
May 19, 2023
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded
on the stock exchange on 19th May 2023 will prevail.
MANAGEMENT : MR. SUNIL BOHRA - GROUP CHIEF FINANCIAL OFFICER
–UNO MINDA LIMITED
MR. ANKUR MODI - HEAD CORPORATE FINANCE AND
COMMUNICATIONS - UNO MINDA LIMITED
 Moderator: Ladies and gentlemen good day and welcome to the Uno Minda Limited 's Q4 FY2023
Earnings Conference Call. This conference call may contain forward looking statements
about the company which are based on the beliefs , opinions and expectations of the
company as on date of this call. These statements are not the guarantees of future
performance and involve risks and uncertainties that are difficult to predict. As a reminder
all participant lines will be in listen -only mode and there will be an opportunity for you to
ask questions after the presentation concludes . Should you need assistance during the
conference call, please signal an operator by pressing "*" then "0" on your touchtone
phone. Please note that this conference is being recorded. Now I hand over the conference
to Mr. Sunil Bohra, Group CFO . Thank you and over to you Sir!
Sunil Bohra : Thank you. Good morning everyone and a warm welcome to all the participants . On the
earnings call today I am joined by my colleague , Ankur Modi . We have uploaded our
financial results and invest or presentation for Q4 FY 2023 on the stock exchanges and our
company 's website . We hope everybody had a n opportunity to go through the same . I will
first start with industry updates and overview followed by our financial and operational
performance for Q4 and FY2023 post that we will open the floor for Q&A.
India remains one of the fastest grow ing economy in the world d espite decelerating global

demand and tightening of monetary policy to control inflation. India stands tall and steadfast emerging as a beacon of resilience in the global economy. The overall growth is estimated to be 6.9% for full year with real GDP growing 7.7% year -on-year during the first 3 quarters of fiscal year 2022 and 2023. Growth was underpinned by strong investment activity bolstered by the government 's capex push and buoyant

priv ate consumption
particularly among high income earners. Inflation remains high averaging around 6.7% in FY2022 -FY2023 wherein recently the WPI has spread into negative with higher base effect , this should lead to continuation of the pause in interest rate hike. The current account deficit narrowed in Q3 on back of strong growth in service exports and easing global commodity prices. Speaking about auto industry the automobile production achieved robust growth of 13% in FY2023 wi th growth witnessed across all vehicle categories . Passenger car segment achieved highest ever production crossing 4.5 million for the first time. The steep growth was the function of series of new model launches and better product availability due to the easing o f supply chain. The demand for high end variants and premium SUVs remained robust. After three consecutive fiscal years of headwinds two-wheeler category also recorded growth of 10% ; however, production volumes are still significantly l ower than pre-pandemic levels. There is a weakness at the lower end of the market as visible from sale of smaller cars and entry level two -wheeler. The industry grew despite rising interest rates and inflation reducing disposable earnings. Commercial vehic le category too registered

healthy growth of 29% in FY2023 and is close to the previous peak of 2018 -2019 supported by healthy pickup in macroeconomic activity. Over the quarter ending March 2023 P Vs and CVs grew by 13% and 6% respectively whereas two -wheeler declined marginally by 2%.
During FY2023 the electric vehicle market in India has also delivered significant growth with a rapid increase in sales of LCV, two-wheeler and three wheeler electric vehicle resultantly the Indian electric vehi cle sales crossed 1 million units for the first time in FY2023. As per Society of Manufacturers of Electric Vehicle in the electric two-wheeler segment the industry sold 7.26 lakhs high speed E -two wheeler in FY2023 in comparison to 2.52 lakhs u nits in FY2022. EV penetration in this category during the year was at 4.5%, EV two wheeler sales for the quarter was around 2.16 lakhs representing ove rall penetration of around 5.4%. Penetration level has been gradually increasing quarter -on-quarter basi s.
Going forward we expect growth momentum in the automobile industry to continue into FY2024 and will be poised for reasonable growth owing to strong demand especially in passenger cars and easing supply chain issues. Initiatives allow ed in the budget wil l also positively affect the passenger vehicle sector growth in FY2024 ; however, an increase in cost of ownership remains near term headwinds for the industry. The long -term prospect for the auto industry remains highly optimistic. India embraced the chall enges faced in the past few years and now it is at the cusp of rapid growth over the next decade. India n consumer approach and behavior is changing considerably towards mobility. Considering the growth prospects some of our customers have also announced la rge capacity expansion. This augurs well for the entire auto industry . Wit h PACE which is personalization, autonomous , connected and electrification as core of its existing and future product roadmap we are well placed to capture growth opportunities in the sector. We are focused to solidify and increase our market share by providing high quality innovative products and securing new business in both IC E and EV segment.
Specific highlights for the quarter and FY2023 you can refer to slide number five . The company has completed acquisition of its remaining sta ke in Minda Kosei A luminum making it a who lly owned subsidiary . The Board has also approved merger of MK A and other two Kosei joint venture entities which are Kosei Minda A luminum and Kosei Minda Mould. T he company has commissioned 30k expansion line in Gujarat expanding its cap

acity from 2. 95 lakh wheels per month to 3.25 lakh wheels per month . Another 45000 wheels per month capacity has been added from K MA through consolidation of Kosei Minda. We continue to build strong order book of four-wheel lighting , alloy wheel business as well as for EV specific products.
Coming to financial and operation al performance , you can refer to slide number seven and eight . At consolidated levels revenue f rom operation for the quarter increased by 20 % year-

on-year to Rs.2,889 Crores from Rs.2,415 Crores in Q4 of FY2022 . As we continue to gain market share and increase kit value . We have witnessed growth amongst all our products led by EV products , lighting , alloy wheels, etc. The consolidated revenue largely remains even on quarter -on-quarter basis has increased in passenger vehicle volumes are offset by

decline in two-wheeler volumes and reduction in commodity prices being passed on to the customer . EBITDA for the quarter wa s at Rs.319 Crores improving by 16 % from Rs.276 Crores year -on-year basis . EBITDA margins for the current quarter though marginally down at 11.1 % against 11.4 % in the corresponding quarter last year which is as per our guida nce. Finance costs have increased to Rs.21 Crores in comparison to Rs. 13 Cr corresponding quarter last year on account of incremental borrowing for capex and working capital and certain investments . Borrowing costs have also gone up following series of hikes by RBI which is being passed on by the banks in a staggered manner . Our effective tax rate has decreased from 30% in last financial year to around 24 % in FY2023 on account of movement to the new tax regime in the current financial year and reversal of around Rs. 6 Crores of tax provisions no longer required p ost favorable closure of certain tax assessments . The profit after tax which is Uno Minda ’s share for the quarter was at Rs. 183 Crores as against Rs.144 Crores in Q4 reporting a growth of 27 %. We wo uld like to highlight that PAT for the quarter is highest ever quarter ly PAT reported by the company .
On a full year basis the company has demonstrated excellent performance with 35 % growth in annual revenues to 11 ,236 Crores in FY2023 as against Rs.8,313 Crores in FY2022 . While industry volumes ha ve grown by 13%, we continued our outperformance by registering growth at 35 %. EBITDA for the same period in FY2023 is 1,242 Crores in comparison to Rs.885 Crores in FY2022. T alking about margins EBITDA margins we re higher at 11.1 % in FY2023 as again st 10.7% in FY2022 due to benefits of operating leverage partially offset by higher material costs . We would like to inform you that company has achieved pre -tax ROCE of 19.2 % on FY2023, a significant improvemen t from previous financial year .
Dividend ; the Board has also recommended the final dividend of one per share which is 50% of the face value reflecting commitment from the company to return value to shareholders on a consistent basis . The company had also paid int erim dividend of 0.5 per share in February 2022 making total dividend of 1.5 per share for FY2023 translating into dividend p ayout ratio of 13.2 %.
Coming to the business segment wise performance and moving to product line starting with switching systems you may refer to sl ide # 13. The segment achieved revenues of Rs.835 Crores for Q4 and Rs.3,203 Crores for full financial 2023 contributing 28.5 % of our consolidated revenues . Increasing features like infotainments , sunroof, power windows , overhead console , etc., led to increase in number of switches in PV continue to drive the
 business growth along with increasing SOB with Indian and Korean customers . During the quarter we received incremental orders from Korean customer further strengthening the relationship . In two-wheeler switch business we have sta

rted export of heated grips and
CAN -based switches. Our expansion of four-wheeler switch plants at Chennai and Farrukhnagar, Gurugram are going as per the plan and is expect ed to commence operations in Q2 of FY2024 and Q3 FY2024 respectively .
Moving to lighting business , it has achieved revenue of Rs.673 Crores for Q4 FY2023 and Rs.2,575 Crores for full year FY2023 contributing to around 23 % of our consolidated revenues . We have received incremental orders of more than Rs.300 C rores in four-wheeler lighting business from Indian and Japanese OEMs. We have been working on various innovative lighting products and are accredited with various first in the business . We recently launched cornering lamps for one of the two-wheeler OEM s and connected lamp for a Japanese four-wheeler OEM. Four -wheeler with lighting Gujarat plant has been commis sioned and is ramping up from current quarter with SOP of underlying model in last week of March 23. Besides we have completed land acquisition for our new lighting plant announced in November 22. The li ght plant will be set up in Khed City, Pune . We have acquired 86 acre of land in Khed City for lighting plant a s well as for future requirements . The above acquisition also marks a shift in the complete strategy from buying pocket of lands as per exact requirement to buying a large plot of land to meet current as well as future requirement . The revised strategy wil l serve dual purpose . First it will expedite future extension as it will eliminate any delay on account of land acquisition s. Secondly we can build bigger plants and consolidate our existing plants to be able to better manage our operations and achieve eco nomies of scale .
Moving to our casting business it has achieved revenue of Rs.538 Crores for Q4 and Rs.2,175 Crores for full financial year FY2023 contributing to 19% of our consolidated revenues. During the quarter we started commercial production of 30k line in Gujarat plant and is expected to stabilize in Q1 FY2024. Four -wheeler alloy wheel capacity at Gujarat now stands at 1.2 lakh wheel s per month of GDC technolog y and 25000 wheel s of LPDC technology. With resp ect to capacity expansion of 60k at Bawal the land acquisition is in process . Post acquisition construction activit ies will commence. In two-wheeler alloy wheel

business we have started supplies to customers . The ongoing expansion of two-wheeler alloy wheel plant at Supa is expected to commence operations in a phase d manner by Q3 FY2024. I n aluminum die casting business we have started supplies to a PV OEM and a two wheeler EV OEM.

Moving to acoustic s slide number 14 our acoustics business had achieved revenue of Rs. 196 Crores for Q4FY2023 and Rs 736 Crores for full financial year FY2023 contributing

 7% of our consolidated revenues . While India business remains stable European subsidiary Clarton Horns made recent recovery supported with price increases from some of its customers .

Moving to seating business we achieved revenues of Rs.263 Crores for Q4 FY202 4 and Rs.1,053 Crores for full financial year 2023 contributing 9% of our consolidated revenues . The seating business achieved h ighest exports of Rs.200 Crores in FY2023 . Exports are expected to be one of the key drivers of growth of the business . Seating business is poised for healthy growth with SOP of at least three new two -wheeler EV OEMs in next six months .

Moving to other pr oduct businesses we have achieved revenue of 384 Crores for Q4 FY2023 and Rs.1,494 Crores for full financial year contributing 13 % of overall topline. Other businesses mainly comprised of controllers , sensors , radars, blow moulding business , battery a nd aftermarket . Blow moulding business, sensors, controllers, EV system s continue to grow . The share of profit /loss of associates /joint v entures for Q4 is at Rs.24 Crores as agains

t Rs.2 9 Crores in FY202 2. While all our JV associates contributed positivel y, major contribution came from Denso Ten, Roki and TG .

Moving to EV sales the revenues from EV two-wheeler OEMs increased to Rs.78 Crores in Q4 FY2024 as against Rs.67 Crores in the last quarter . EV two-wheeler OEMs revenue as perce ntage of our two wheeler domestic revenue stand s at around 8% for Q4 FY2024 as against two -wheeler Industry EV penetration of around 5%. T he revenues from EV two-wheeler OEM has been steadily increasing given our formidable EV specific portfolio and poten tial kit values we have outperformed the EV two wheeler industry as well . Our JV with FRIWO EV systems which is currently operating from a temporary facility at Manesar would move to its new plant at Farrukhnagar by Q2 FY2024. Uno Minda Buehler is also expected to commence operations from its new plant by Q2 FY2024. Commencement of these plants should give further boost to our EV two-wheeler OEMs r evenue . We are pleased to inform you that we have completed the development of sound box which is artificial sound maker for EV two-wheeler during the quarter and have also started supplies of the same . We have announced multiple order wins from EV OEMs in last few quarters and we continue to receive further orders . Total annual peak revenues from this order stands at Rs.1,900 Crores out of which orders from two wheeler EV OEM comprise of Rs.1,340 Crores and for two wheeler EV specific products Rs.700 Crores. W e have also won order from PV CV OEMs of around Rs.550 Crores including order for EV specific products from an LCV OEM.

 Moving to aftermarket and industrial revenues you can refer to s lide number #16. In terms of our revenue pie for the quarter ended March 31 , 2023 OEM business accounted for 89 % and aftermarket business at around 10%. Our aftermarket division revenues were at Rs.281 Crores as against Rs.225 Crores in corresponding quarter last year . Aftermarket revenues have grown 25 % year-on-year basis . Our aftermarket division for the first time has crossed 1,000 Crores mark and achie ved revenues of 1 ,042 Crores for full year. We are successfully running various B2C marketing campaigns for our aftermarket division .

Moving to our cash flows and debt lev els our net debt as of March 31, 2023 was at Rs.1,078 Crores compared with Rs.586 Crores as of March 31, 2022. Our net debt -to-equity stands at 0.24 while the funding requirements towards capital expenditure both growth and sustaining capex, higher working capital requirement of 284 Crores consequent to 35% growth in group revenues were all me t by internal cash generation. Net debt has increased primarily on account of investment of around 125 Crores in FRIWO Germany , investment in TRMN plus some new joint ventures of around Rs.40 odd Crores. A cquisition of minority stake in Minda Kosei Rs.415 Crores and advance of Rs.70 Crores for acquisition of land in Pune for existing and future projects . The consolidated financ ials also include debt of Rs.60 Crores and net assets of Rs.75 Crore of KMM and KMA , Kosei Minda Mould and Kosei Minda Alumin um, but wherein the financials getting consolidated pursuant to taking management control . Capex also includes Rs.75 Crores of assets of KMM and KMA as explained a while back advance of Rs.70 Crores for land in Pune and certain leased assets capitalized as per Ind -AS.

Moving to strategic business update first being Kosei entities restructuring. T he company has completed the acquisition of remaining st ake of Rs. 22.64 % in Minda Kosei Aluminum making it wholly owned subsid iary. During the quarter the Board of the company has approved acquisition of 81.69 % in Kosei Minda Aluminum Company Private Limited and 49.9% in Kosei Minda Mould P rivate Limited from JV partner Kosei Japan . The acquisition is planned in composite scheme of merger wi

th Uno Minda through swap of shares . The
scheme was filed with stock exchanges seekin g for NOC . The proposed transaction is one more step towards gaining significant pie of this growing force in alloy wheel m arket . Simplification of the group structure and to facilitate achieveme nt of economi es of scale . While the merger will be subject to statutory authorities Uno Minda has started managing the business and operation of these entit ies with effect from April 1 , 2023 . Consequently financials of KMM and KMA are getting consolidated line-by-line from March 31, 2023. While consolidation is reflecting in consolidated balance sheet as on March 31, 2023 with addition of assets and liabilities of both these companies , the P&L consolidation will come from subsequent quarters. T he company ha s entered into TLA with Kosei Japan to ensure continuity of technical support . We would like to inform you that order for merger of two
 other schemes which is Minda IConnect Merger and Harita Fehrer plus battery business merger , the decision is reserved by NCLT for pronouncement .
Moving to our kit value, you may refer to slide # 22 for potential kit value . During the year we saw further expa nsion in our kit value across vehicle segments . In seat segment of passenger vehicle we achieved 43 % increase in kit value owing to addition of connected tail lamps , recliners , HD camera besides we have also added products of our joint venture entity TGSIN. which was not added to potential ki t value till last year . In SUV segment our potential kit value is at around who pping Rs.1.97 lakhs . Kit value in two wheelers has also increased due to increasing application of sensors like side stand switch , speed sensor , acceleration position sensor as well as due to different type of lamp s like LED headlamps , blinkers , reflex reflector s and corning lamps, etc.
Moving to ES G the climate change is one of the greatest challenges of our time and we as an organization are acutely cognizant of the role that we are to play in mitigating greenhouse gas emissions . Energy conservation and optimization is of the utmost importance to us; however , in addition to adopting various energy efficiency measures we have significantly increased our uptake of renewable energy as key aspect of our decarbonization strategy . In the last two years we have installed rooftop solar panels at 25 plants along with solar open access projects at six location s increasing our renewable energy share at 18 %. A s a testament to our commitment to decarbonizing our operations we have also set ourselves an ambitious target of meeting 40 % of our energy needs from renewable energy by 2025.
Moving to next year as you know while we do have our revenues linked to industry volumes based on the order book we remain optimistic on our ability to outperform the industry growth . We will start production fo r multiple projects like new plant of EV, JV with FRIWO , new plant of EV m otors , four-wheeler and two -wheeler alloy wheel expansion , four wheeler kit extension in Chennai and ramp up fo r four wheel lighting plant at Guja rat. This should significantly boost our revenues for next financial year . In terms of margin we expect to maintain the EBITDA margin within the current range on an annual basis . Next year based on the current approved projects we expect to incur project c apex of around 400 Crores and sustaining capex of around 300 Crores . Kindly note that this capex guidance does not include capex which may incur for building land banks as part of our strategy for future growth . With this I would like to now open up the fl oor for question .
Moderator : Thank you very much . We will now begin the question and answer session . Ladies and gentlem en we will wait for a moment while the question queue assembles. We have our first question from t he line of Mumuksh

Mandlesha from Anand Rathi . Please go ahead .
 Mumuksh Mandlesha : Thank you for the opportunity Sir and congratulations on the new role. The capex for this year was higher than the guidance , this is mainl y because land bank?
Sunil Bohra : So there are two, three aspects as I sai d Mumuksh , one is definitely land bank , then there is around Rs.65 Crores , Rs.70 Crores worth of assets which are added as part of consolidation which were not there earlier which is KMA and KMM and also there are certain assets which you have to capitaliz e because of the leasing assets because of Ind AS 116 so all this put together are more than 200 Crores.
Mumuksh Mandlesha : Got it. Sir can you talk more about the new EV order wins and also on the four-wheeler

lighting and can you update the p rogress in terms of order wins for the JV for the motor ?
Sunil Bohra : So in terms of four wheeler lighting as we said we have got around Rs.1,500 Crores of incremental orders this year so if you see since last two years we have been consistently adding bus iness and today as we speak we have added more than 1 ,000 Crores worth of new business for lighting in four wheelers and that is why we are setting up this new plant in Pune to cater to the la rge part of those incrementa l business . In terms of EV as I said we have added significant new business for both products which are existing products which are EV agnostic or products which are EV specific so that is what we wi ll continue to sort of grow in all these businesses . You know that we will start SOP graduall y as the OEMs also start volumes and also replace some of the imports with the domestic ones and i n terms of the motor JV with Buehler we have already added two customers as you said last time and we are also engaging with few more customers , hopefully we should have some good outcome in the next couple of quarters .
Mumuksh Mandlesha : Right, so the order book which you mentioned will be excluding the Buehler orders ?
Sunil Bohra : This is all including , these are all EV products which includes the mo tor.
Mumu ksh Mandlesha : This quarter the gross margin was low sequentially any reasons for those ?
Sunil Bohra : So the gross margin is low and you are right primarily because of there are two three businesses where we had what we call the higher RMC which are the ne w ones relatively like there has been some impacts in two wheeler alloy wheel where the price increases , etc., we have got in Q3 itself so obviously you do not have that advantage of getting the ar rears so normally what happens is that in Q4 you will tend to get lot of PIs closed but this time we have got good PI closure in Q3 and also in Q4 there has been softening o f the commodity so you do not see that kind of P I benefit from the customers and that impacts the gross margins.
 Mumuksh Mandlesha : Got it. T hanks for the opportunity .
Moderator : Thank you. We have our next question from the line of Siddhartha Bera from Nomura . Please go ahead .
Siddhartha Bera : Thank you for the opportunity . First one revenue side like you said we have one or few orders from Kor ean customers in switches and in the past also in the lights and al loy wheels we have continued to win orders so if you can broadly highlight in our revenues how much will be Korean players in terms of mix and in terms of the order book how does it look an d if you have the share of business as well that will be very helpful ?
Sunil Bohra : Thank you Siddharth a. So in terms of the switch business we have added roughly around the incremental 30 Crores of new business for new upcoming model from the Korean custo mers . In terms of alloy wheel you know that we have set up only 25 ,000 wheels capacity which is the LPDC capacity which we are supplying to the Korean customers and we are currently not wha

t we call have expanded our capacity so until then we are limited by the capacity constraints because LPDC is a technology which is what the Koreans sort of apply in their vehicles. Lighting normally we have not yet been able to penetrate into the Korean customer s honestly speaking and your last point was in terms of the order book so we are not actually separately capturing what we call the order book as customer wise so what we do is we do calculate our market share product wise but the order book normally customer wise we will get only when we see th e business -by-busine ss, so we do not normally see at a group level but it is a good point maybe from next time we will start capturing that data Siddharth a.
Siddhartha Bera : Got it. Sir second question again on the revenue side this quarter on the casting side despite like P V industry volume is going up we have not seen quarter -on-quarter increase so is it limited by capacity or why it is sort of flat quarter -on-quarter and second again on the others we have seen some d ip quarter -on-quarter so if you can just highlight the rea sons for this.
Sunil Bohra : So very good point Siddhartha , on the casting business there are two reasons and I am trying to fully honest first there has been s oftening of commod ity prices so you know that is passed on to the customers immediately so that h as an impact in terms of revenue . Second because of this OBD2 norm kicking in April 1, 2023 the two wheeler volumes in the Q4 where we have seen some unplanned drop and that is why we had to maybe limit some of our production which has impacted our casting revenues so I think these are the two key reasons why you see the casting business overall lower than what you have seen in the
 previous quarter and in terms of others , others mainly batteries I remember so mainly for the aftermarket batteries which goes into that other segment .
Siddhartha Bera : Last question on the margin side again on the gross margins these are quite low levels if you look at the last couple of years trend so should we expect some normalization as your

other businesses ramp up or do you believe these are more sustainable levels can you just help us understand that ?

Sunil Bohra : Siddhartha in terms of margins you know that this quarter we have commissioned two new plants where you start with your o pex but you do not have much of the reven ues so that has an impact little bit and second is in terms of the PIs as I shared lit tle while back to Mumuksh in terms of normally in Q3-Q4 you do get a good P I which starts which is actually retrospective because normally it takes time you file a claim in Q1 then you have inspection in Q2 and start getting Q3, Q4. This time we have got some good w hat you call closure of such P I in Q3 and Q4 there has been some softening of the commodities obviously you can not have any price increase and there was some of fset obviously customer would force you to do that right , so I think these are the two tricky reasons but yes I would note your point and we are working on this to see that we improve it in terms of overall gross margin as we move forward .

Siddhartha Bera : Thanks a lot Sir. I will come back in the queue.

Moderator : Thank you. We have our next question from the line of Aditya Jhawar from I nvestec . Please go ahead.

Aditya Jhawar : Thank you for the opportunity . My first question is on Harita if you can highlig ht that you know how has been the progress in winning orders from the Indian OEMs, t he thought process we had that after acquisition we will diversify our geographic footprint and try to engage with more OEMs where EVs does not have a relationship with it is encouraging to see where we are doing extremely well in export but on the domestic front if you can throw some li ght?

Sunil Bohra : So that is very good question Aditya and I think it is

a miss from my side also which should have captured in the presenta tion so we have actually added one more two -wheeler OEM s in our two wheeler seating business which will start SOP somewhere from the next quarter so which earlier obviously being part of OEMs they were not able to do so we have got a big success in terms o f addition of domestic OEM two wheeler categ ory and you know that post acquisition we have added some of the four wheeler customer also and some EV customers also, both Minda acquisition, so that value add for Minda is definitely happening

and we are very happy to say that we have actually added one more two wheeler OEM which is what we call existing one not a two wheeler EV but traditional two -wheeler OEM.

Aditya Jhawar : That is very good to hear . My second question is on the Korean OEM so clearly now we a re supplying LPDC products from Gujarat is there a line of sight that in the next two to three years the business will ramp up quite a bit and there is a plan to set up a facility in Tamil Nadu so that it is relatively better and it is heartening to see th at we have also penetrated in the switching if you can throw some light on this ?

Sunil Bohra : In terms of LPDC yes we might have to expand the facilities but whether it will be Tamil Nadu or existing you to see because Aditya you will appreciate once you o pen a new location then you have the entire paraphernalia of the management , systems , everything gets replicated and you sort of have no advantage of operating leverage in fact you have negative because initially there are lot of fixed costs and where your revenue does not come in the first year and then what we normally do is we weigh that against the logistics cost in terms of what customer looks at the landed price so what is our landed price versus if you have to set up a plant closer to the customer or we expand the plant in the region where there are more customers or we expand the existing plan t, so we look at all those aspects but yes the teams are working in terms of coming up with a project for increasing capacity for LPDC wheel. Y es there are some discussions going on with our customers for more business what we can secure and once we have visibility of that business you know that normally we would commit into capex only after that because we do not want a scenario where we commit for capex and the n sort of you are at a disadvantage when you have to secure a new business so that is the strategy we are adopting Aditya.

Aditya Jhawar : Thanks a lot and the next question is sorry to go back on margin so you know we understand that this quarter we did no t get the price increase benefit that we typically get in Q4 but if you have to look at the historical trend o ur gross margin trajectory has been coming down and if you can give us some sense that what is the function of the business mix change that is hav ing an impact on this and what should be our sustainable gross margin going ahead ?

Sunil Bohra : So Aditya the way this gross margin is that some of the business has higher gross margins where you have higher other costs like for example in casting you will have higher gross margin but there the operating costs or the c onversion costs are very high because of the inherent nature of the business and also the capex intensity in those business are higher so in this quarter also that we have started these two ne w projects which is the bl ow moulding business in what we call B engalu ru, the new plant and also this lighting plant in Gujarat

there obviously initially you have higher RM cost w hich impacts and also in terms of mix
 normally as I said the higher capex bus iness like blow mo ulding or casting will have higher gross margin because o f the conversion costs of like electricity and also depreciation are higher versu

s what you see in the other businesses . Also in the new lighting business which you are adding the l ighting what you call the LED aspect there structurally the gross margins are less but the cost of what we call the conversion to FG is also less so for example if you have , but in terms of a EBITDA it may not be very different so give you an example in te rms of say lighting halogen lamp or so right there i f my gross margin sa y was around 30 % to 35% but in the LED segment it may be only 20 % because the cost to convert that from RM to the finished good because in LED is a lot of electronic component right so you do not have that kind of conversion cost because the price itself goes 3x , halogen lamp to a LED lamp the delta is almost 2.5 to 3 x, in fact some of the tail lamps are even much , much more so there your GRM is lower but it compensates at the EBITDA le vel because the conversion cost from GRM to EBITDA is different . I hope I have been able to give you a little detailed answer but it gives you a gist .

Aditya Jhawar : Absolutely . Thanks a lot for that and the final question I have is that on capex you menti oned that 400 Crores total capex out of that sustaining would be about Rs.300 Crores but that does not include your land bank capex so what could be the magnitude of this land bank capex Sunil ?

Sunil Bohra : First of all this land which we have acquired in Khed that totally was something around Rs.160 odd Crores of that we have paid Rs.70 Crores in March as an advance and balance was paid in April so this Rs.90 Crores obviously has already been paid . We are also looking at another sort of a si milar land bank in North where that our customer is consistently expanding so obviously we would also need to expand for future growth so strategically we know that land is a s carce resource and we have faced this challenge many places in fact you would have notice d in one of our project s which we have announced in November for the ex pansion of 60k alloy wheels in Ba wal where we are still not having land in our hand and the customer SOP date is approaching very fast, so land has been a consistent challenge of late and that is why we have been thinking yes it is an investment , it is a one -time investment which will get recovered maybe future because future if you have to put up those projects I am sure you will imagine the land pa rcels which are continu es to go up and has scarce c ommodit y it address two things one you have the land in hand which gives confidence to the customer also in terms when it has years to award your business that yes you will not waste any time for preparing land . The land is an asset which continu es to appreciate so if not today we have to anyway buy tomorrow when you have to set up a plant right and land being an inflationary sort of commodity and also scarce commodity it makes sense to build a land bank and most important thing which i s the third part Aditya is that when you talk of that scale then you also have ability to go and negotiate better incentives
 with the government so the project which we are setting up in Pune we have got a very good incentive scheme from the government approved for our lighting plant so there are multiple benefits . Yes, it has an immediate cash flow but it more than offsets the benefits going into future .

Aditya Jhawar : Perfect . Thanks for the detail . Just last question if I can add . Any update on this a irbag capacity when it is coming on stream , are you hearing about government changing the timelines of airbag , mandatory airbag that is expected from October ?

Sunil Bohra : Timeline I will refrain from commenting Aditya because you know it is in the governm ent’s court so no one can comment on but based on what our customer says we are gearing up , we are ra mping up . We are setting up a new plant with Rs.175 Crores worth of investmen

t

adjacent to a plant in Neemrana specifically for airbags and this capacity w ill be up and running by middle of next year .

Aditya Jhawar : Earlier you had planned in Q4 now it is a middle of next year ?

Sunil Bohra : So Q4 the plant will be ready , I said up and running so you will have that commission ing time, etc., etc.

Aditya Jhawa r: Perfect . That is it fr om my side . All the best .

Moderator : Thank you. We have our next question from the line of Ashutosh Tiwari from Equirus Securities . Please go ahead .

Ashutosh Tiwari : What was the revenue in the passenger vehicle alloy wheels and two-wheeler alloy and casting?

Sunil Bohra : Four -wheeler alloy around Rs.350 Crores whereas two wheeler alloy and casting was 100,

100 Crores each.
Ashutosh Tiwari : For full year ?
Ankur Modi : For AW2W it will be around Rs 450 Crores and casting around Rs 400 Crores and whereas as four wheeler alloy will come around Rs 1250 Crores.
Ashutosh Tiwari : This lighting order that you mentioned 300 Crores is full year order, right?
Ankur Modi : This is annual peak revenue yes.
 Ashutosh Tiwari : As a whole.
Ankur Modi : Yes, which is the annual peak revenue which will achieve.
Ashutosh Tiwari : I got it. This order came fu rther in the 4 quarters, not only in the fourth quarter in the sense. Only for the fourth quarter.
Ankur Modi : Yes.
Ashutosh Tiwari : How much orders we have won in this financial year as a whole like FY2023 as a whole in lighting?
Sunil Bohra : So overall as I said Ashutosh for total order book for EV customers two-wheeler EV is around Rs.1,340 Crores of wh ich EV specific product is 700.
Ashutosh Tiwari : Lighting.
Ankur Modi : In aggregate we would have announced lot of orders, around Rs 1,000 Crores of annual peak order value which would have received for four wheeler lighting as increment al orders .
Ashutosh Tiwari : Lastly coming back again on the margin side like you will see the major compression in the EBITDA margin has come in a standalone side if you look at , probably we used to make around 10% kind of margin is standalone, this quarter is only 8.4% and mainly you have two wheeler switches, lighting and this two wheeler alloy wheel business over there so is the competition only coming from two wheeler alloy wheels only or even the switches and lighting business has some comp ression in EBITDA margin in this quart er?
Sunil Bohra : Ashutosh because we are going into little detail so I can tell you that in two-wheeler obviously there have been little bit of impact on the exports though not that big but obviously it add s because export has got much better ma rgin. Also, in lighting four-wheeler some of the service income or the cooling income which comes we have because of the mode l launch happened in Q3 we have been able to advance some of th at incom e in Q3 versus Q4 and we just spoke that volumes have been lower, so all these things put together definitely has impact on the standalone financial.
Ashutosh Tiwari : That should normalize like say going ahead , a full number is a right reflection of the margins .
Sunil Bohra : Yes.
 Ashutosh Tiwari : I just missed on the land capex side you mentioned Rs.160 Crores is total land cost out of which 90 is remaining ?
Sunil Bohra : Yes. 90 we have paid already in April .
Ashutosh Tiwari : This 90 o ver and above this 700 Crores capex guidance so that is plus Ind AS .
Sunil Bohra : Yes.
Ashutosh Tiwari : That is all from my side. T hank you .
Moderator : Thank you . We have our next question from the line of Sonal Gupta from HSBC Asset Management . Please go ahead .
Sonal Gupta : Good morning Sir and thanks for taking my question . Just a couple of questions . One is sorry I missed what is the net debt now ?
Sunil Bohra : Close to Rs.1,000 C rores if I remember correctly .
Sonal

Gupta : Again, on the capex what was the capex in FY2023 because I think the press release is not very clear ?
Sunil Bohra : So totally if you see that it is showing something like 900 odd, but that also includes 200 Crores of capex roughly relating to one with 70 odd Crores for land bank , around 60 , 70 odd C rores another for this asset which has been added which is KMA and K MM and some leased assets which are capitalized as part of Ind AS 116 so if you see the real actual capex might be around 700 odd Crores .
Sonal Gupta : Right so if we exclude like it separately shows the non -controlling interest in 115 Crores so the plant equipment and land would be how much ?
Sunil Bohra : Sorry w here are you reading this ?
Sonal Gupta : I am just looking from the cash flow statement .
Sunil Bohra : I do not have that in front of me.
Sonal Gupta : You are saying roughly just 700 Crores i s the capex right ?
Sunil Bohra : Roughly 700 to 750.

 Sonal Gupta : Sorry if we are just going back to the revenue right like because last quarter we had a double -digit decline in both two wheeler industry volumes as well as in passenger vehicle industry volu mes in this quarter you have seen the passenger vehicles come back up , two wheelers of course still remain sluggish but last quarter we outperformed and this quarter we have sort of seemingly underperformed so overall would it be like there was some pullin g forward o f orders in Q3 and that is why in Q4 so is it like there has been some lead lag and that is why it is sort of the revenue has not really reflected what the production numbers have been reported for the industry ?

Sunil Bohra : No actually I am not sure Sonal from where you got this perception that we underperformed, but if you see the quarter last Q4 versus this Q4 the industry grew by only 2% and we have grown by more than 20 % so there is a clear out performance so I do not know from where you are interpreting it underperformance .

Sonal Gupta : I am looking quarter -on-quarter, basically I was looking at quarter on quarter.

Sunil Bohra : The industry volumes are lower overall by 1.5% to 2%, so we are broadly in that range in fact less than that .

Sonal Gupta : No but passenger vehicles would have grown right by 10 % or odd?

Sunil Bohra : Yes. W e are seeing on an overall basis so we do not look at what we call a category -by-category because somewhere there is addition , somewhere th ere might not be but overa ll level there is a clear outperformance .

Sonal Gupta : Could you share the sensor and controller revenues for the year ?

Sunil Bohra : Sensor and controller ?

Sonal Gupta : Sensors and controllers like generally given the numbers .

Sunil Bohra : Sensors and cont roller business for FY2022 - FY2023 is around Rs.450 odd Crores.

Sonal Gupta : Great. Thank you so much for taking my question.

Moderator : Thank you . We have a next question from the line of Nikhil Kale from Invesco . Please go ahead.

Nikhil Kale : Thank yo u for taking my question. Sir my first question was in the lighting business so we have won lot of LED lighting orders over the last 2 years another aspect that I wanted to

 understand was what is the share of h eadlight revenue is now within the overall revenue , that I understand the headli ght would be the major value contributor within li ghting content in a car so what would be the share of headlight revenues ?

Sunil Bohra : While I do not have Nikhil the readily number available for headlamp, but you will be surprised to note that of late the tail lamp revenue is more than head lamp r evenue per kit .

Nikhil Kale : But for us directionally it has been improved right lot of orders that we have received even on the headlights and would that understanding correct ?

Sunil Bohra : No, largely majority I would say tail lamps because it is

all LED and where the kit value is much, much more than a headlamp and headlamp also we have got some business but yes mostly I think majority is tilted towards the LED tail lamps .

Nikhi l Kale : I was saying directionally our margins on the casting side would have down and then even on acoustic systems I do not think we are in a significant improvement , now going forward with some new plan ts kind of coming in and now with I think even the RM prices may have stabilized not a lot of benefits in the RM side can come. Shal l we assume on the margin side pressure will there becau se of the fact that you have so many plants coming up in next year or so like take some time for the utilizatio n level ?

Ankur Modi: I believe you were looking at kind of margin guidance if I am not wrong right . We have been indicating that margins would be 11-12%.

Nikhil Kale : Thank you so much.

Moderator : Thank you. Ladies and gentlem en in order to ensu re management is able to answer queries from all participants please restrict your questions to two at a time . We have a next question from the line of Mukesh Saraf from Avendus Spark . Please go ahead .

Mukesh Saraf : Good morning and thank you for the oppor tunity . The first question is regarding the EV order book that you have now close to Rs.1900 Crores could you give some sense on the ramp up of that in terms of revenues , some guidance on how this revenues will ramp up from these orders in the next few yea rs?

Sunil Bohra : So Mukesh when we talk of the annual peak value we are talking of annual peak value for FY2024 -FY2025 roughly that is what customers are indicating and in some cases it is 2025 - 2026 as well, so definitely you know that when we say the reve nues we say based on what customer is guiding us so what we have started giving this time and I am sure you would

 have observed that what has been the EV volumes as part of industry in terms of overall volume so w hich has been roughly like 4.5% and what has been our revenue in that segment which has been roughly almost 8.5% so that is the kind of delta we have been talking about that we should be able to add significant value t hrough addition of these new products right and that is what we are seeing . Now i n next year as I said you will have commissioning of the motor plant in second quarter and also the EV JV that plant also gets commission ed in the next financial year, so with that plant commissioning you will also see some of the businesses sort of gettin g to us because there are some business which are in terms of localization as well where the custo mers might be either importing or so, so once that is also commission ing so gradually you will see the addition of revenues from those work also which is actu ally in addition to what currently you are saying so like today motor there is no production but despite that we are having the 8% revenue of our total two wheeler business worth is the industry volume of only 4 to 4.5% so I hope this gives you some perspe ctive in terms of further ramp up and the delta because of addition of the EV products .

Mukesh Saraf : Sure, so just in continuation to that for the motor specifically the Buehler part any sense on the product range that we are looking in terms of kilowatt and what motor ratings range are we going to be manufacturing initially ?

Sunil Bohra : Yes, as of now it is all low rated motors up to 3 kilowatt and we are also working with our JV partner who develop the midrange motor s from 3 kilowatt to 6 kilowatt and t hat is currently under the evaluation stage and then we get into the development stage so initially it is only up to 3 kilowatts .

Mukesh Saraf : Right and this last thing is the acquisition of the remaining 2 2% odd that we have done on the a lloy w heels busi ness from when is this effective date in terms of the minority interest you know how much

is that getting reduced ?

Sunil Bohra : What we have done Mukesh is a little different what you normally would expect so while Minda Kosei is 100 % ours the two other en tities they are going through the cou rt merger scheme which you know will take roughly a year but what we have done is we have signed another agreement with the Kosei JV partner where we have taken the management control of the two entities because one of the entity which is Kosei Minda is actually a loss making entity and obviously we wanted to act fast in terms of turning around, etc. We did not want to waste another year and waiting for the cour t process to get over and then you take management control s o we have signed an agreement separately with J V partner and taking full management control of the entity so even though we have got a very small stake of around 18 % to 20% in that entity we have retained the m anagement control so that we can

take all the decisions required to sort of have a fast turnaround of that business yes one can say that it will be a drag on the overall profitability in the short term ye s it will be but be rest assured that we are working to see that we turn around t his business in the next 12 months or so.

Mukesh Saraf : The fact that we have acquired the 100 % in the Minda Kosei business that would have resulted in reduced minority interest?

Sunil Bohra : Yes absolutely that is what impact you are seeing in the current quarter also, otherwise

Mukesh Saraf : What period?

Sunil Bohra : MK is the acquisition was completed in last week of March only.

Mukesh Saraf : Understood. Thanks. I will get back in the queue.

Moderator : We have our next question from the line of Deepak J ain from Enam Asset Management . Please go ahead.

Deepak Jain : Sir on slide 19 you have shown potential kit value for EV so I need some idea that to realize this kind of a potential kit value what is the corresponding capex that will be required?

Sunil Bohr a: So Deepak you would have seen that we have already announced what you call the two capex, the large ones. If you refer to the slide number 21 you would see that both the two projects on the bottom leave the Mindarika project two EV specific projects Buehler Motor JV and Uno Minda EV systems and their capex both put together is roughly Rs.500 Crores but that is for obviously 4 to 5 years, 6 years, so what the way we are working on this is as I said earlier on the call also that while we are building up th e capacity in terms of land building for the full project but the addition of plant and machinery, our strategy is to add gradually so that it has two advantages, you do not have capex lying idle and b as business grows you increase your capacity and n umber 3 that will also help in case there is some technology advancement or some new development in terms of the equipments that also can be considered at the appropriate time so that is broad strategy and around capex and the amount which you have asked.

Deepak Jain : The another question was coming back to the margins you said that in the li ghting when the LED shift has happened so there was a theoretical margin compression, so is the same thing happening on the switches also like you said new switches and sun roof and some other ?

 Sunil Bohra : No, switch is very different than lighting so lighting what is happening is the electronic component is very high whereas the conversion cost right remained same, so what is happening earlier and I let you give you th e example again, so halogen versus LED the value is almost 3x, so when you see value is 3x there is a large part of component which are electronic component which are bought out parts, right, but the conversion cost normally remained same. Now what they pu t things in perspective say conversion cost was Rs.30 on 100, which is now Rs.35

on Rs. 250 or Rs.300, so in percentage terms the conversion cost is much lower versus what it was halogen, but in terms of EBITDA margin it will be almost, the EBITDA of 9% o f 11% kind of range which we have so yes in terms of GRM it might be lower, but in terms of overall EBITDA it is not.

Deepak Jain : Switches you were saying this electronic component is not that high?

Sunil Bohra : No, which has not gone to that journey of 3x kind of opportunities.

Deepak Jain : Thank you.

Moderator: Ladies and gentlemen d ue to time constraint, we will take one last question from the line of Nishit Jalan from Axis Capital .

Nishit Jalan : Thank you for the opportunity. I have two questions one on the lighting segment, good to see a very strong order wins so just wondering this 1 ,000 odd Crores orders that we have received, will our current plan t expansion that we are planning in Pune phase 1 to 30 Crores will that suffice, what kind of asset turns are typically there in lighting and will we need to do mor e capex going ahead?

Sunil Bohra : In the lighting part actually if you see the Board has approved a capex 500 odd Crores and we said we will do on a phased manner and the kind of business win we ha ve seen this is much better than expected, so the idea is that some of this business while it will be met from our lighting plan t in Gujarat, the la rge part of that will be from the new upcoming plant in Pune, so it will be split between Gujarat and Pune.

Nishit Jalan : Typically , fixed asset turns in this business are around 2 times is this a fair understanding?

Sunil Bohra : Yes, if this business is normally 2 times but for LED it will be more tha n that.

Nishit Jalan : Because of the bought out components el ectronics coming in ?

Sunil Bohra : Yes.

 Nishit Jalan : Second question is on the EV order wins , so just wanted to get some sense on color around customer wise breakdown where I am coming from is you have started to see some o f the EV OEMs who were doing well earlier are not doing that well, so just wanted to understand if you can get some color even if you cannot name the OEMs some color in terms of incumbents versus new OEMs, any breakdown of the new orders because you also mentioned that this quantum of ord er inflow is based on the guidance given by the OEMs which may change materially given how the situation is evolving at least for some OEMs ?

Sunil Bohra : The penetration is actually happening much faster than what we thought and moving to your question in terms of the customer wise yes we are working with almost all be it the existing OEMs or be it the new age OEMs we are shortlisted few of them. I think the only larger one who we have not been able to penetrate but they are also we have g ot some good discussion s of late and hopefully we should be able to add that customer also in next quarter or so I think with that we will be working with almost I think everybody meaningful in the country.

Nishit Jalan : Thank you so much.

Moderator : I would now like to hand the conference over to Mr. Sunil Bohra for closing comments . Over to you Sir!

Sunil Bohra : Thank you . Then I would like thank everyone for joining on the call . I hope we have been able to respond to all your queries adequately . For any further information we request you to please do get in touch with us . Stay safe , stay healthy and t hank you once again.

Moderator : Thank you Sir. On behalf of Uno M inda that concludes this conference . Thank you for joining us. Y ou may now disconnect your l ines.

Call: Aug 2023

Uno Minda Limited
(Formerly known as Minda Industries Limited) IWl■ll MINDA l
----.:>■IVING THE NE■
Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: 16/08/2023
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Scrip: UNOMINDA BSE Ltd.
Regd. Office: Floor-25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
BSE Scrip: UNOMINDA, 532539
Sub: -Transcript of the Earnings Call held on Wednesday, 09 August, 2023 on the Unaudited
Financial Results for the quarter ended on 30 June, 2023
Dear Sir(s),
Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Wednesday, 09 August, 2023 on the Un-audited Financial Results of the company for the quarter ended on 30 June, 2023. A copy of the said transcript is also uploaded on the website of the Company www.unominda .com.
Kindly take the same on record.
Thanking you,
Yours faithfully,
For Uno Minda Limited
aRt_..,j('A_■(:--e v-e...elhi Q.
Tarun Kumar Srivastava
Company Secretary & Complianc r*
Encl: As above.
-
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 "Uno Minda Limited
Q1 FY '24 Earnings Conference Call"
August 09, 2023
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th August 2023 will prevail.
MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCE OFFICER
–UNO MINDA LIMITED
MR. ANKUR MODI – HEAD CORPORATE FINANCE AND
COMMUNICATIONS – UNO MINDA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Uno Minda Limited's Q1 FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sunil Bohra, Group CFO.
Sunil Bohra: Thank you, Carol. Good evening, everyone, and a warm welcome to all the participants. On the earnings call today, I am joined by my colleague, Ankur Modi, Head of Corporate Finance and Communications. We have uploaded our financial results and investor presentation for Q1 FY '24 on the stock exchanges and our company's website. We hope everybody had an opportunity to go through the same. I would like to begin by giving some insights on the economy, followed by the current scenario in the auto industry and our financial and operational performance for

Q1 FY '24. And post that, we will open the floor for Q&A.
Amidst the heightened global uncertainty, the Indian economy has proved to be more resilient than many large economies of the world. A conducive domestic policy environment, along with healthy performance of its key macro economic indicators have sustained the growth momentum of the economy. As captured by the Central Bank's Economic Activity Index, the GDP growth for Q1 FY '24 is forecasted at 7.9%. Urban consumption remains robust, while rural demand is improving, though unevenly.
The improvement in demand has translated into an improvement in capacity utilization in many sectors, which will lend further impetus to private capex this year. Above average monsoon so far in large part of the country and sustained buoyancy in services are expected to support consumption, while the government's thrust, moderation in commodity prices and robust credit growth are expected to nurture investment activity. The interest rate pause by RBI is expected to stabilize and in future may bring down cost of capital for India, thus fueling fresh investments and giving private capex a further leg up.
Discussing the auto sector, the Indian automotive industry has achieved a smooth transition to the BS VI Phase 2 norms. Overall, passenger vehicles, 2-wheelers, 3-wheelers and CVs have performed well in Q1, although some sub-segments have shown slight momentary decline compared to Q1 of last year. The passenger vehicle segment has notched up its best-ever first quarter of production in April to June with production of 9.37 lakh vehicles, up 7% year-on-year, though there is a seasonal drop of 6% on Q-on-Q.

The UV sub-segment continues to power the overall passenger vehicle segment, which comprises cars, UVs and vans. UVs contributed 53% of the overall PV segment production, an improvement of 4% year-on-year. Even though the demand for PVs in the entry-level sub-segment has declined, there is significant migration of demand to UVs in the sub-4-meter segment. Holistically, PVs are growing and the segment is doing well. A combination of factors like ramped up production for popular models, which have long order backlogs, improving supplies of semiconductors, new models in the market, positive customer and economic sentiment have helped maintaining growth momentum in Q1 FY '24.
At 48.98 lakh unit of production, the Indian 2-wheeler industry has registered 1% growth year-on-year bas

is. However, retail sales have clocked 11% growth over the same period, signaling improved sentiments. Production volumes have also grown quarter-on-quarter by 12%. Even though the numbers being substantially lower than pre-COVID levels, the indications are positive.
Based on the anticipated growth in the rural economy, the price increases due to various regulatory norms have impacted the 2-wheeler industry in the past. We expect improvement in demand backed by a low base, lower inflation and increased government spending ahead of election to drive recovery leading to 2-wheelerindustry growth.
The central government's FAME subsidy has been cut to 10k per kilowatt hour since June '23. The realignment in the FAME subsidy did lead to certain consumer buying in May '23 and affected E-2-wheeler sales demand in June. Following the scaling down of the FAME II subsidy and the resulted high prices of e-scooters and e-motorcycles from June 1, electric 2-wheeler sales see the 9-month low of 45,734 units in June. June e-2-wheeler retail sales are down 56% on May '23's record numbers, but they also point to gradual maturing of the market as consumer bought around 45,000 e-2-wheelers at higher prices.
The production volumes of CV segment were marginally down by 1% year-on-year, while passenger carriers, both M&HCV and LCV have seen strong demand. The second demand for goods transporting CVs in both sub-segments have proved to be a drag on the overall segment.
With India on the move, demand for passenger transporting 3-wheelers is on the upstream. What has given a flip to this segment is the accelerating demand for electric mobility, both for passenger and goods operations. Clearly, the USP of lowest cost per kilometer is a big draw, be it a single owner or a fleet operator.
We remain optimistic of India's auto industry growth prospects in FY '24 with high expectations of overall normal monsoon, which has now covered most part of the country. Coupled with lowering inflation, we expect the economy to continue to grow significantly, which in turn, should help the auto sector. Commodity prices have stabilized, chip supplies are no longer industry-wide issue. And despite the recent concerns of outlets, we are likely to see uniform spread of monsoons, driving the agricultural sector and indirectly benefiting the automotive industry as a whole.
Tracking the industry trends, Uno Minda continues to invest in R&D for new product development and upgradation of existing product portfolio. Our primary focus remains on

increasing our wallet share among existing customers, while also adding new customers by expanding into new geographies and further exploring our current territories. With the diverse product portfolio and increased content per vehicle along with cross-selling opportunities to our existing customer base, we maintain a positive outlook on revenue growth. Our dedication to customer satisfaction and market adaptability will continue to be driving force behind outperforming the auto-component industry.
Moving to financial operational performance for the quarter, you can refer to Slide number 5. The scheme of arrangement of 2 wholly-owned subsidiaries, namely, Harita Fehrer Limited and Minda Storage Batteries Private Limited has been approved by NCLT. Now entire seating business is housed in Uno Minda Limited itself. This is expected to result in better synergy and efficiency for the seating business.
The company has also taken management and operational control of the Kosei entities, KMA and KMM, with effect from 1st of April, '23. Consequently, both entities are also consolidated from the current quarter. A new 4-wheeler lighting plant in Gujarat has commissioned in March '23. It has ramped up well in the current quarter, reporting around INR30 crores of revenue in the first quarter of operations itself. The order book continued to grow for

4-wheeler and 2-
wheeler lighting, alloy wheel business, wireless chargers, infotainment as well as for EV specific products.
Coming to the financial and operational performance, you can refer to Slide number 7 and 8. At consolidated level, revenue from operations for the quarter increased by 21% year-on-year to INR3,093 crores from INR2,555 crores in Q1 of FY '23. As we continue to gain market share and increase the kit value, the auto industry production volume has grown by 2% during the same period.
The company continues its significant outperformance in the current quarter. We have witnessed growth amongst all our products led by EV products, lighting and PV alloy business. The consolidated revenue grew by 7% even on a quarter-on-quarter basis as increase in 2-wheeler volumes are offset by decline in 4-wheeler volumes.
EBITDA for the quarter was at INR330 crores, improving by 24% from INR266 crores on Y-o-Y basis. EBITDA margins for the quarter also has improved to 10.7% as against 10.4% in the corresponding quarter last year, primarily driven by benefits of operating leverage, part of which gets offset by cost escalations like employee salary increments, annual increases in admin expenses, services, etcetera.
Finance costs have increased to INR25 crores in comparison to corresponding quarter last year on account of incremental borrowing for land bank at Pune and working capital. Borrowing costs have also gone up following series of hikes by RBI, which is being passed on by banks in a staggered manner. The profit after tax, which is Uno Minda's share for the quarter was at INR173 crores as against INR139 crores in Q1 FY '23, reporting a growth of 24%.
Coming to the business segment-wise performance, starting with switching systems, you may refer to Slide number 12. The segment achieved revenues of INR839 crores for Q1, contributing

27% of our consolidated revenues. While the increasing number of switches and technological advancements have been positively impacting the business, we have also been increasing our share of business on a quarter-on-quarter basis with lesser served Indian and Korean OEMs. During the quarter, we received more orders from the Korean customers. Our rigorous efforts, perseverance along with superior product technology and quality has helped us to deepen our relationship with those customers.
In 2-wheeler switch business, better domestic OEM production has favorable effect, offsetting the lower exports due to slow pick-up in newly launched model of the American OEM, along with the signs of slowdown in Europe. Our expansion of 4-wheeler switch plants at Chennai Farukhnagar are going on as per plan and is expected to commence operations by Q2 and Q3 FY '24 respectively.
Moving to lighting business, it has achieved revenue of INR710 crores for Q1, contributing to around 23% of our consolidated revenues. 4-wheeler lighting plant, as I said earlier, has been commissioned in the last quarter and is ramping up well. Last few quarters, we have done extremely well in terms of new order wins for passenger car exterior lightings. We have received incremental orders for the exterior lightings in the current quarter as well. Within interior lightings, tail lamps have seen remarkable shift in technology and aesthetics. In fact, some of the tail lamps orders received by the company is more remunerative than head lamps in terms of kit value.
The company has also been working for other innovative lighting technologies like logo projectors and logo illumination. We have also secured orders for illuminated logos, which you would see in upcoming model of the leading OEMs. Besides exterior lightings, we have also

built strong capabilities in interior lighting.
We are already supplying ambient lighting and star moon lights to OEMs in Europe from our operations in Germany. We have now received orders for ambient lighting in I

ndia as well. The
2-wheeler lighting business has been growing well. During the quarter, we have secured orders for head lamps and rear combination lamps from a leading new-age EV OEM.
Moving to our casting business, it has achieved revenues of INR621 crores for Q1, contributing to 20% of our consolidated revenues. The growth in casting business revenue is led by alloy wheel 2-wheeler business on account of incremental volumes from new customers added in the last quarter as well as better volumes from our other customers. As was advised in the last earnings call, the company is also consolidating KMA from current quarter pursuant to business strategy agreement.
The company has also started working on turnaround plan for KMA by investing in refurbishments of assets, evaluating, exiting non-profitable export business and centralizing procurement along with MKA. The ongoing expansion of 2-wheeler alloy wheel plant at Supa is on track and is expected to commence operations in phased manner by Q3 FY '24.
Moving to acoustics, Slide number 14 you may refer to. Our acoustics business had achieved revenues of INR208 crores for Q1, contributing 7% of our Group revenues. Both India business

and European subsidiary, Clarton Horns, reported stable growth. We have added Korean customer for acoustic business as well for trumpet and disc horns.
Moving to the seating business, we have achieved revenues of INR273 crores for Q1, contributing 9% of the consolidated revenues. We are seeing a early trend of customers focused on comfort and safety in commercial vehicle as well in India. The Indian government has approved draft notification to mandate the installation of air conditioning systems in the cases of trucks, signalling focus on comfort and safety. This is a very positive development for us providing opportunity to offer better design and technology products with a higher kitvalue in that segment.
During the quarter, we have also received an order for pneumatic and mechanical suspended seats. In the last earnings call, we had informed about order wins from new customers, which is an established OEM. We have started supplies to them in Q2 FY '24 recently. Seating business is poised for healthy growth going forward with SOP of at least 3 new 2-wheeler EV OEMs in next 6 months. These are in line with our customer diversification strategy and advice at the time of setting business acquisition.
Moving to the other product businesses, we have -- which have achieved revenues of INR440-odd crores for Q1, contributing 14% of the overall top-line. The growth in other product business is mainly on account of EV products, controllers and sensors. Uno Minda was the first company in the country to have localized wireless chargers. And today, you will find the same in models of leading OEMs. During the quarter, we have received incremental large order for our wireless chargers for our BEV and ICE program of an Indian OEM.
Moving to the electric vehicles, as you will see, revenues from EV 2-wheeler OEMs have increased to INR148 crores in Q1 as against INR78 last quarter. EV 2-wheeler OEM revenues as a percentage of our 2-wheeler domestic revenue stands around 12% for Q1 as against EV penetration for 2-wheelers at around 4.5%. The revenues from EV 2-wheeler OEM has been steadily increasing with SOP of previous new businesses. Our new EV systems plant at Farukhnagar for joint venture with FRIWO had started with few assembly lines. It will gradually increase the number of clients with SOP of more orders in second half of FY '24.
New orders from EV OEMs continue to swell with order wins for EV specific components as well as existing products. During the quarter, we have received new orders having annual peak revenue of around INR600 crores. The total annual peak revenues from these orders stands at INR2,500 crores plus. I would like to highlight that we have been com

municating only annual
peak revenue potential from these orders. The lifetime value of these orders are significantly higher. As you can see on the slide, these orders are from diverse vehicle categories.
Moving to the share of profit loss from JV and associates, which for the current quarter is at INR30 crores as against INR22 crores in Q1FY'23. While all our JV associates contributed positively, major contribution came from Denso, Roki and TG Minda. Denso Ten has received large orders for infotainment from -- for the Japanese OEM during the quarter. Expansion in TG Minda for airbags and TRMN systems like seat belts, etcetera, is on track and is expected to complete by end of FY '25 and H2 of FY '26 respectively.

Moving to the aftermarket and international revenue. In terms of our revenue pie for the quarter ended June 30, OEM business accounted for 92% and aftermarket at around 8%. Our aftermarket division revenues were up at INR249 crores as against INR223 crores in the corresponding quarter last year. While aftermarket business has been growing in absolute terms, OEM business has been growing at a faster pace and the effective share in the revenue pie of aftermarket is low in the current quarter. Our debt levels as of June 30 were at INR1,090 crores of net debt compared to INR1,078 crores, almost flat versus March 31.

Moving to the strategic business update, the first being completion of mergers of Harita Fehrer and demerger of the battery business from MSBPL with Uno Minda. As informed a while back, we are pleased to inform you that the scheme of arrangement has been approved by NCLT.

Moving to the Kosei entities acquisition. Last quarter, as you know, the Board of the company had approved acquisition of 81.69% stake in Kosei Minda Aluminum and 49.9% in Kosei Minda Mould from JV partner Kosei Japan. The acquisition is planned through a composite scheme of merger with Uno Minda through swap of shares. The scheme was filed in stock exchanges for seeking NOC. While the merger will be subject to various authorities, Uno Minda has started managing the business and operation of these two entities with effect from first of April. Consequently, the financials of these two entities are getting consolidated. We would like to inform you that the order for merger of Minda IConnect merger with Uno Minda is reserved by NCLT for pronouncement.

Moving to ESG, incorporating social and environmental accountability into everything we undertake is a fundamental aspect of our corporate identity. We firmly believe that the long-term economic prosperity of any business in today's world depends on responsible actions and securing social approval. We are actively taking conscientious measures to reduce carbon emissions in our operations and transition towards renewable energy sources.

In the last 2 years, we have installed rooftop solar panels at 25 plants along with solar open access projects at 6 locations, increasing our renewal energy share at 18%. We have also set ourselves an ambitious target of meeting 40% of our energy needs from renewable energy by '25. We are pleased to inform you that our ESG rating by Sustainalytics has improved from medium to low risk. This is our first formal integrated reporting in FY '22.

Moving forward, moving to the rest of next year, the outlook remains very promising with supporting industry volume guidance, commissioning a ramp up of multiple expansions, mainly EV plants, 2-wheeler alloy wheel expansion, 4-wheeler switch plant at Farukhnagar and Chennai, etcetera, with our existing and diversified portfolio and new product technologies, we are confident of sustained outperformance.

With this, I would like to now open up the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Jhawar from Investec.

Aditya Jhawar: Congrat

s on good set of numbers and good order wins. My first question is that if you look at our presentation, there has been an increase in kit value for 4-wheelers, electric vehicles,

specifically by 50,000 in 2023. So if you can highlight or remind us that what are the product addition in EV which resulted into this increase by almost 50k this year?

Sunil Bohra: Your question is kit value in the last presentation?

Aditya Jhawar: Yes, yes. So kit value increased for EV 4-wheelers by 50k this year versus last year. So what are the incremental products for 4-wheeler EV we have added this year?

Sunil Bohra: Where are you referring to, Aditya? I may be missing something.

Aditya Jhawar: No problem, I'll take it offline. My second question is on the 2-wheeler alloy wheel side. What is our current market share? And with the capacity addition, what is the aspiration of market share by end of the year?

Sunil Bohra: So in terms of market share, Aditya, while it is a little, I would say, premature, but I can tell you our current market share based on the capacity. So our capacity is roughly 3.5 million wheels, which is as of now in this quarter is fully operational. And with the total industry demand of roughly around 35 million, 36 million wheels so far, we are roughly at around 10%. And with the additional capacity we should be around 16% of the total domestic demand.

Aditya Jhawar: Yes. Okay. That's very helpful. Next question is that if you look at opex and employee expenses, there has been an uptake on a Y-o-Y and Q-on-Q basis. So we did not see any benefit of operating leverage. So was there any one-off in these 2 heads or is this a recurring rate we should expect going ahead?

Sunil Bohra: Yes. So fair point, Aditya. So in terms of manpower costs or employee costs, if you would have seen versus last quarter, there is a general increase of roughly around 10% or so. There also -- there are 2 factors. One, definitely is your annual increments which gets I'm sure everywhere rolled out from 1st of April. And also, there is increase in a little bit of variable employee costs because of increase in volumes.

As you would have seen, even quarter-on-quarter basis, there is a 7% increase in volumes. So there, obviously, our manpower cost, which is directly related to operations, also has an impact. So to answer to your point, I would say, this is more sustainable and there is no one-time impact in this cost.

Aditya Jhawar: Okay. That's helpful. The final question is that if you can guide us for capex and the investment in subsidiaries we expect in FY '24?

Sunil Bohra: Okay. So capex is the same I'd say what we spoke last time, which was roughly around INR600 crores to INR700 crores for the current year. And investment in subsidiaries, as of now, there is nothing which is planned or in pipeline.

Moderator: The next question is from the line of Ashutosh Tiwari from Equirus Securities.

Ashutosh Tiwari: So firstly on this EV specific component orders, we had order book of around INR1,350 crores, which is INR400 crores increase versus the March quarter. So in this order book, what would be largest product for us? I believe it's chargers only, but how much would be that?

Sunil Bohra: It's a mix of product clusters. There are chargers, there are BMS, controllers, like it's all products, including the EV motors.

Ashutosh Tiwari: Okay. But largest would be chargers only, right?

Sunil Bohra: I'm not saying specifically from that, but I would tend to agree so because there is a large -- with charger upward -- charger business also from the LCV segment as well.

Ashutosh Tiwari: Okay. So both 2-wheelers. And so this INR1,350 crores kind of orders that we had a peak revenue potential, this will be achieved likely in which year?

Sunil Bohra: No, no, this will be based on the customer indication. As of now, it is for '2

5-'26.

Ashutosh Tiwari: '26 typically. Okay. And so we have been mentioning about this Korean OEM order wins in the switch segment for last few quarters. What would be, like say -- I mean, based on this order, what would be our share maybe 1 or 2 year down the line in the korean OEMs?

Sunil Bohra: Look, obviously, we are expecting and so as you'll appreciate a very aggressive way to win consistent new business. So when we started, we started with 1 switch. And now as we speak, we have already got 6 to 7 switches. And in the vehicle, we would have like 19 to 21 switches based on the model-to-model. So we are still working on. There is a huge scope for growth. And some of the repeat orders we have got, they are what we call in the business which we have already sort of supplying, but it's a new model.

Ashutosh Tiwari: Okay. So these are multiple orders -- multiple models for which we'll -- we've got orders now?

Sunil Bohra: Yes.

Ashutosh Tiwari: And last on this alloy wheel side, KMA would have contributed how much to revenue this quarter?

Sunil Bohra: Sorry, come again.

Ashutosh Tiwari: This Kosei Minda alloy wheels, it would have contributed how much to alloy wheel sales in this quarter?

Sunil Bohra: Kosei Minda during this quarter?

Ashutosh Tiwari: Yes.

Sunil Bohra: Okay. So that is roughly around INR50 crores.

Ashutosh Tiwari: Sorry?

Sunil Bohra: Around INR50 crores.

Ashutosh Tiwari: INR50 crores. And then 2-wheeler would have contributed how much? 2-wheeler, 4-wheeler separately?

Sunil Bohra: 2-wheeler and 4-wheeler revenue?

Ashutosh Tiwari: Yes, separately.

Sunil Bohra: So 2-wheeler is I think something around INR140 crores. Ankur, do you have 4-wheeler number?

Ankur Modi: Yes. 4-wheeler is somewhere around INR300-odd crores.

Ashutosh Tiwari: INR300 crores. Okay. So INR350 all put together -- both put together?

Ankur Modi: Correct.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Congrats on a good set of numbers. Sir, first question is again on this EV side. So like you have said by FY '26 we should largely be close to these numbers. How to think about the ramp up current year and next year? And entirely, everything will come in FRIWO or there will be some part which will come in the existing company also?

Sunil Bohra: No. So the way this is, Siddhartha, the JV with FRIWO has only 2-wheeler EV components and that to the products which the JV specifies. Like, for example, even for 2-wheeler, there is this sound box or what you call artificial awaaz, what we call. That is not part of the JV, that is part

of our controller business. So a lot of the EV business which is outside of 2-wheeler, like if I
talk of the LCV or 3-wheeler and all, they're all part of controller business, they're not part of
the JV. So they will come in the parent, Uno Minda division.
Siddhartha Bera: Okay. And would it be possible to talk about the customer mix here? Because after some of the
subsidies, there's a lot of polarization in the demand. So how will be your customer mix for these
orders and the risk to the ramp up in case the volumes are lower?
Sunil Bohra: So we have across the Board customers, Siddhartha, and we will expect that even the -- some of
the customers who are taking that headwind in the subsidy matter, they are also our customers
and also the -- some of the newer OEMs and also the old established players who are also in the
IT. So we have been working across. So if you ask me who is -- how much, it will be difficult
to answer. But yes, it is spread across many customers. It is not -- there is no concentration of a
customer with a major business.
Siddhartha Bera: Okay. And sir, lastly, I mean, if we see the interest costs, they have gone up also quarter-on-
quarter, while you had said the debt levels are largely similar. So why is that? And second is the
profit in associates also is m

uch higher, so if you can just picture the key entities where the
profits have gone up?
Sunil Bohra: Yes. So finance cost is higher, Siddhartha, by roughly INR4 crores during the quarter versus
earlier quarters. So as you know that there are 2, 3 things. One is that the INR80 crores of
additional borrowing which we have done for this land at Pune, part is yet to be paid. Plus there
has been capitalization of a couple of projects, which obviously earlier interest cost was

capitalized. These are small things, but definitely adds up. So that is the growth. So it's not very
good. But yes, on a quarter-to-quarter basis, there's a INR4 crores increase.
And your second question was on the JV. So as I said, the couple of JVs, which is the TG and
Denso, they have done pretty well in the quarter and that's why you're seeing a little bit better
profit. But this is -- there is no one-time profit in this and we do expect this profitability to
sustain.
Siddhartha Bera: Okay. So possible to share the number of TG or TR Minda for the quarter?
Sunil Bohra: Sorry, come again.
Siddhartha Bera: What will be the profit for TG or TR Minda coming from the current quarter?
Sunil Bohra: Can I take it offline, if you don't mind, Siddhartha?
Siddhartha Bera: Okay. Sure, sir.
Moderator: The next question is from the line of Ashish Jain from Macquarie. As there's no response from
the current participant, we'll proceed with the next question from the line of Raghunandhan N.L.
from Nuvama Institutional Equities.
Raghunandhan N. L.: Congratulations on good numbers. Sir, among the EV products, where do you see the potential
of achieving market leadership or be among the top 3 players?
Sunil Bohra: When you say where do you see potential, you are talking about specific component, is it?
Raghunandhan N. L.: Yes, sir.
Sunil Bohra: So we definitely have what you call a sizable business in off-board, on-board charger. I'm talking
because they are high-value products also. Off-board, on-board charges, we have a very
significant business, then we have got a sizable business visibility in BMS and also the motors.
They are all, what you call, high value, followed by motor controllers and some of the other
components.
Raghunandhan N. L.: Got it, sir. And...
Sunil Bohra: Sorry, I'm adding, Raghu. As of now, it will be difficult to say that there is one major or other
because, as you know, that market is still evolving. And we also have the customer spread across
various businesses. So I think if you ask me what is my strength, strength will be all. But in
terms of business, I think it's still sort of continuous and we do expect significant business
addition also in the coming quarters. So maybe we'll be in a better position to answer that after
a year when we have even better order book.
Raghunandhan N. L.: Got it, sir. But generally, you would have a benchmark, right? Like when you get into a category
or a segment, you would want to have a minimum amount of market share over the medium to
long-term?

Sunil Bohra: So that's what I said, Raghu, that yes, our aspiration has always been to that 25%, 30% kind of
market share. But the products which currently we are, even the OEMs are in the stage of
evolving, right? Some of the OEMs are doing in-house, some of the OEMs are outsourcing to
people like us. So market also is not like in a stage where you would expect to be, right? And I
think we spoke to this in the past also on other call that the ICE market is more than a century
market -- century-old market where this market is still evolving.

So maybe we need to maybe give some time to this industry to sort of stable and sort of decide what role it adopts going forward. So with that caveat, I would say that there are a lot of customers who are still working to see that things get outsourced to players like us because we bring l

ot of know-how, lot of skill set when you talk of specific components because we will have visibility across the board, we will invest in R&D for every product, whereas there will be limitation in terms of customer investing in that.

And number 2 -- and you will appreciate that after our launch in -- of this 2-wheeler in the Auto Expo, which we have fully developed up in-house, we are actually working with a couple of OEMs in order -- in terms of designing a full 2-wheeler EV vehicle for them. So we do expect a significant business opportunities going forward considering the penetration and the depth of relationship we have with these customers.

Raghunandhan N. L.: Very helpful, sir. And as the ramp up happens on the EV revenues and having 12% exposure to -- of domestic 2-wheeler from EV is a very good achievement compared to industry penetration. So as this ramp up happens, would you expect PLI scheme incentive boost to come through this year? How is any progress in that regard?

Sunil Bohra: So you know, Raghu, that government has still been giving those requirements, they have issued the formats only in this quarter. And accordingly then you have to get the certification from ICAT or ARAI, whatever. So there is a significant delay from that perspective. But once it's sort of settled down, we definitely do expect getting into those benefits. But as of now, we have not accounted for any such potential benefit into our financials. Whenever it comes, obviously, it will be an additional advantage.

Raghunandhan N. L.: Got it, sir. And on the margin side, ramp-up of new facilities would have some fixed cost impact in near-term. But how do you see the catalyst in coming quarters to take the margins to 12%?

Sunil Bohra: I wish, Raghu, 12% margin, definitely, that will be a wish in the medium-term. But I want to stay my -- keep my foot on the ground because we know the market is very, very competitive. We also appreciate that our margins have been in the top quartile, if not top docile in the industry. And the kind of investments we have been doing in R&D, I really can't comment about others, but we have been making significant investments in R&D. And all those costs are fully sort of charged up to revenue. We are not capitalizing and then amortizing or all that. So that costs are also baked into this current margins.

So having said that, we do -- I think, as we spoke in the last quarter also, we do expect to sort of in the short-term maintain our margin profile on an annual basis what we delivered last year. Quarter-to-quarter, you know that there can be some ups and downs. But on an annual basis, we

do expect on to hold on. And gradually, as we move to future and as you rightly mentioned, when the new facilities stabilize, that benefit definitely will accrue to the margins. But how much, difficult to comment at this point in time.

Raghunandhan N. L.: That's very helpful. Just last question. Any update on the airbag business? Expectation on implementation date? Any improvement in order traction?

Sunil Bohra: No. So as we spoke before, the last call also, there has been a lot of traction with the customers. We have been securing lot of new businesses. And I think we also shared last call that about our personal view, it may not be a vetted view that 1st October deadline what we have, definitely that might need to be sort of shifted and there might be some sort of midway being recommended. But what that will be, difficult to comment. But if you ask me whether 6 airbags will effectively be implemented from 1st of October, might not.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi.

Mumuksh Mandlesha: Congratulation on good numbers and increase in EV orders. Sir, on the EV specific component order book now has increased to 13.5billion. So we have earlier target of 15 billion to 20 billion revenue t

arget in next 5 to 6 years. So how -- the way it is ramping up, should the upper band of the range be achievable?

Sunil Bohra: That's what we are working for, Mumuksh. We have not given 2,000, but I remember we have said INR1,500 crores of revenue by FY '26 when we did the JV with FRIWO. But yes, you are right, the way where we are today, we definitely do expect to sort of do much better than that.

Mumuksh Mandlesha: Right, sir. Sir, can you talk about the charger revenues currently? And what would be over the next few years?

Sunil Bohra: We don't normally give product-wise revenue, Mumuksh. But I think, normally, you guys do ask what is our sensor and controller overall revenue. So the last quarter, if it helps, it is roughly around INR200 crores.

Mumuksh Mandlesha: And for full year, what would be the guidance, sir, for sensor controller?

Sunil Bohra: So with this pace, if you regularize, you will see INR800 crores, but I think it should be much more than that.

Mumuksh Mandlesha: Right. And sir, on the casting alloy wheel segment, what could be the revenue expected for the full year, sir, both 2-wheeler and PV?
Sunil Bohra: So again, difficult to give a revenue number, Mumuksh, because our product commodity is fully passed through to our customers on a monthly basis. But if you ask me on a volume basis, our capacities are fully booked and we do expect the plant to sort of operate at 100% of the capacity for the full year.
Moderator: The next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: First on this quarter performance, sir, in the others segment, we have seen 15% increase in revenues on a sequential basis. So can you give us some color on which segments have done well during the quarter?
Sunil Bohra: So as I said, Rishi, if you would have noticed, controller is one of the segments which is part of others. So definitely that has done pretty well. So that has helped a lot in terms of the outperformance during the quarter.
Rishi Vora: So that's the only one segment?
Sunil Bohra: Yes. That is almost -- quarter-on-quarter almost double the revenue what it was in Q4 and what it is in Q1.
Rishi Vora: And what has driven that new order ramp up?
Sunil Bohra: Sorry.
Rishi Vora: What has driven the doubling of revenues basically?
Sunil Bohra: So it's part -- primarily on the EV components and if you see that slide also is presented, right? So the controller and the EV components put together, the revenue are almost double, which is all part of others. So I don't remember the slide number. Ankur, do you remember the slide number?
Ankur Modi: Yes, I'll take a look.
Sunil Bohra: Yes. If you refer to Slide number 17, you will get an indication because that has grown from INR78 crores to INR136 crores where that is primarily -- large part is in others.
Rishi Vora: Okay. Understood. And on margin side, you are guiding for kind of maintaining the last year margins for full year, right? As of now?
Sunil Bohra: Yes.
Rishi Vora: And for you to, let's say, reach 12% in the medium-term, what will drive those margin expansions? It's just operating -- basically capacity utilization levels improving for us, is it?
Sunil Bohra: No, there are 2, 3 things, as you rightly mentioned, Rishi. While, as I said, 12% is the number, we are also working internally from a management perspective, but not for this year. That's why I'm not committing that number. But in the medium-term, definitely, that is the aspiration. And the lever for that will be a few levers.
A, as of now, we have got multiple projects running so that once they commission in immediate short-term, what happened first year is like a drag. As you spoke well back, we have 9, 10 projects currently ongoing. And when they get into production, you don't get profit in the first year. So there you have all the fixed costs starting from minus 1 actually to build teams even

before the plant gets commissioned.

So all those costs generally drags. But once you see them stabilizing, they definitely helps, a. number 2, with the kind of growth, we are able to sort of deliver almost 20% plus kind of a growth. We do expect some bit of operating leverage also to support, as you would have seen in the current quarter also.
And also some of the costs which are in the nature of depreciation and interest costs, we don't expect them to increase in the proportion of revenue, as you rightly mentioned, a little bit better utilization, etcetera. On all these factors, we do expect to help going forward. Yes, some of them are not part of that 12%, like depreciation and all. But yes, they might be coming to the bottom line.
Rishi Vora: And just lastly, on PLI scheme, where are we on that? And when -- do we expect that to come through this year?
Sunil Bohra: Definitely, we do expect that to come through this year, Rishi. So we will be filing our application within this quarter because the forms have only been rolled out by the government in the last quarter. So we are pretty optimistic that, what we call, in this year, government should then fastrack once the application, etcetera, are submitted. So by end of the year, we should have complete clarity on how much will be the additional sort of benefit flowing it through the income statement. And that can also be one of the trigger for that 12% because that is not currently factored in.
Rishi Vora: And just lastly on that. Do you expect to retain the all benefit of PLI or you expect OEMs also

to take some part of it?
Sunil Bohra: Let us take something for a time. Obviously, if you ask me, I would like to keep everything. But I think we are in business, so we have to sort of find the win-win.
Moderator: The next question is from the line of Ashish Jain from Macquarie.
Ashish Jain: So my first question is on the switches business. For the last 3, 4 quarters, switches business has been flattish in that INR800 crores to INR850 crores band. So what is the outlook here from a gross point of view?
Sunil Bohra: So Switch business, you know that, first of all, we are one of the largest player in the country. We hold almost like 60% kind of a market share in 2-wheeler and almost 50% kind of a market share in 4-wheeler segment. And that is why -- and also the kit value has increased significantly in the past few years. If you see last 4 quarters, you are right, that the revenue is roughly around INR800 crores to INR850 crores. But what is to be noted is if you see quarter-on-quarter, last Q1 versus this Q1, there is a significant jump of more than 15%. That's number 1.
Number two, this is despite some of the headwinds, our American and the European customers are facing. So that has also been factored in. So once you see some sort of an improvement in those businesses, that also will show some an uptick, plus we are also working on some new customers in terms of exports for 2-wheeler switches. So all in all, we do expect that also to grow in the coming quarters.

Ashish Jain: Right. But sir, what would be the growth for the India business within this? Can you share that number?
Sunil Bohra: So India business, as I said, Ashish, it is like, obviously, you try working to hold on to the fort. So share of business gains, you will appreciate is not easy once you reach more than 50% kind of market share in the country where there are multiple players. It is not like Uno Minda, you have all the global majors also in the country like then. So everybody, right. So from that perspective, the market share gains why we are still pushing.
There are packages of opportunities like the foreign customers in 4-wheelers and there is one customer in the domestic market as well, which we are working. So you will see the growth. But because the other busin

esses are doing pretty well, that is getting little bit shadowed. So it is almost like 27%, 28% of our total revenues. So the base also is very high. But we are pretty optimistic considering the increase in kit value, exports and patches of customers where there is improvement of higher penetration.
Ashish Jain: Right. Sir, secondly, just one housekeeping question. You shared this number, the break-up of the castings revenue for this quarter. I think I have got something wrong. Can you just speak that 2-wheeler, 4-wheeler within casting?
Ankur Modi: Yes. Ashish, for 2-wheeler alloy it was INR140 crores. For MKA and KMA both included somewhere around INR350 crores.
Moderator: The next question is from the line of Karan Gupta from Varanium Capital.
Karan Gupta: My first question related to the wallet share of the various products we are catering to various brands. So on the brand-wise, if you are comfortable, so you can share the wallet share of our products.
Sunil Bohra: Sorry, come again.
Karan Gupta: Wallet share of our products.
Sunil Bohra: For?
Karan Gupta: For the brands.
Sunil Bohra: What do you mean by brands?
Karan Gupta: So the companies we are serving. So what is the wallet share of our products in that -- in the company's wallet?
Sunil Bohra: Karan, I think we have to take this question offline.
Karan Gupta: Okay. So content per vehicle, if you can share?

Sunil Bohra: That is there in our presentation. If you refer to our last presentation, it is there for different categories of vehicles, both for pass car and also for the 2-wheelers. I think it's there in the presentation also, if you refer to Slide number 27.
Karan Gupta: Okay. For the last year?
Sunil Bohra: Yes. We do annually, we don't do quarterly. So up to March '23, it is there on Slide 27.
Karan Gupta: Okay. On the capex side, in the last 5 years, we have done around INR3,000 -- more than INR3,000 crores of capex, if I'm right or wrong, I'm just getting the rough data. So I think more than INR3,000 crores of capex. So this -- and this year also, we are doing INR600 crores to INR700 crores of capex. So basically, you are building up the plant and machineries or what? Because the free cash flow is not there.

I'm not seeing the free cash flow in the last 5, 7 years. So we are -- is that correct, we are not utilizing the assets? What's happening here? Just give more idea. There is a cash tranche in our half financials of FY '21-'22, the issue of cash collection here.
Sunil Bohra: Sure, Karan. So first of all, I don't know about INR3,000 crores, that this number is right or -- number 2, we are in a business for more than 6 decades. And I'm sure that even without growth, there will be some sustaining and replacement effect. It's roughly annually to around INR200 crores to INR250 crores to INR300 crores based on year-to-year.
So if you take 5 years, INR1,000-odd crores will anyway go into replacement capex or the marginal growth what we have in this space? And number 2, 5 years back, our top-line was INR6,000 crores. Today, if you see the run rate of INR3,000 crores, we are already at INR12,000 crores. So 2x of the revenue.
Obviously, I'm sure you appreciate that in the industry where we operate, the asset turn ratio is roughly 2. So if I have gone from INR6,000 crores to INR12,000 crores revenue, it would have need at least INR3,000 crores to INR4,000 crores of capex. You will not be able to increase the size of the balance sheet without investment. So you have increased the size of the business by investing. So -- and we always ask investors as to what do they want? Do they want money as dividends or do they want money to be reinvested where we can get 20% pre-tax proceeds? And always, the answer has been that the second one.
So we have been working on that how to consistently outperform, how to grow the business, how to increase the size of the business so that

eventually and end of the day we create value.
So it's all difficult versus taking a call on whether you want to preserve cash and dividend it out.
So we have got a very strong capital allocation policy. And within that policy, we reinvest money only when there is a detailed project report, which can give the visibility of those kind of returns and that only we invest. So I think that is the broad structure.
So what normally we also do internally, we look at free cash flow before project capex, because project is something which is growing your business and sort of being scale of operations, increasing size of business, creating new verticals, creating new plants, new businesses, etcetera.

So if you see from that perspective, the business has consistently been generating free cash. And that's why if you see the debt levels are the same over the last few years.
Yes, one would say that we have done a QIP, but that was more for equity-to-equity investment which is for acquisition. Otherwise, all the capex has been primarily through internal accruals.
So I think that the way you want to see, you want to see is that cash -- free cash flow negative or if you see that free cash flow generated, invested, still business is increasing the size of the business. It's the way we want with glass half empty versus glass half full.
Karan Gupta: Yes. So I just wanted to see the debt level decreasing by -- increasing your free cash flow. So anyway, that's a good thing if you're investing in your asset and also stable at around -- as per my calculation around 3 to 4. The second -- last question is...
Sunil Bohra: Sorry, I didn't get it. You said asset turn is 4?
Karan Gupta: Yes, average.
Sunil Bohra: Which business?
Karan Gupta: Not business-wise, overall.
Sunil Bohra: Our average asset turn is 1.9.
Karan Gupta: Okay. Anyway, my last question is relative to consolidation of our auto ancillary businesses. So in the overall industry, do you see in the auto industry -- in the auto ancillary industry, you are the big player now after Motherson Sumi. So you are seeing some kind of consolidation of the small players who are working in a niche kind of products like alloys wheels, steel wheels, lighting businesses. So you are planning acquisition kind of thing?
Sunil Bohra: Sorry, Karan, for anything inorganic, there are, you will appreciate, various things which the companies work on. And unless anything certifies, we normally don't communicate.
Moderator: The next question is from the line of Rohit Chawla from New Vernon Capital.
Rohit Chawla: Yes. My question is -- our castings revenues have gone up by 15% on Q-o-Q basis, which is our overall revenue of 7% Q-o-Q. So the margins have been slightly on the lower side. So yes, our margin trajectory would remain at similar levels, but typically, our castings and alloy wheels piece is a higher margin piece. So shouldn't we expect an increase in margins from here as well?
Sunil Bohra: So Rohit, you are right that directionally we do expect the casting business to be a better margin business, but first is, you'll appreciate, that for 2-wheeler business, A, it's a low margin business than normal 4-wheeler business. B, it has now recently now getting into stabilization phase.
Margins are not in line with the pass-car business.
So there are multiple things due to which -- and also I think we said in the last call also that some of the new business which has been added were at very significantly lower prices. Now -- pressure getting eased because as the capacity of competition everything gets full. Now we are seeing that the new business which is now we are getting at maybe marginally better price.

The impact of that you will see only 2 years down the line. So in short-term, there is some pain in terms of the margins in this segment because of the new business, which

was added at a very, very highprices. And this is something which we have already I think guided the markets also, I think we've been saying for the last 3 years.

Rohit Chawla: Okay. Got it. So you mentioned that we are operating at 100% utilization. So we are expecting how much commercialization in this year from the expanded capacities?

Sunil Bohra: So the Supa business, the expansion we are expecting to get completed by end of calendar year. So then gradually if we go into the commissioning phase. So you might not see any significant revenues flowing into this year. Whatever it is, it might be in the Q4. And the alloy wheel business, the expansion at Bawal is yet to start because of the land related challenges. We have not yet have land in our possession.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing comments.

Sunil Bohra: Thank you. I would like to thank everyone for joining the call. I hope we have been able to respond to all your queries adequately. For any further information, we request you to please do get in touch with us. Stay safe, stay healthy, and thank you once again for joining with us.

Moderator: Thank you. On behalf of Uno Minda Limited, we conclude today's conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

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(Formerly known as Minda Industries Ltd.)

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Sub: - Transcript of the Earnings Call held on Tuesday , 07 November , 2023 on the Unaudited Financial Results for the quarter and half year ended on 3 0 September , 202 3
Dear Sir(s),
Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Tuesday, 07 November, 2023 on the Un-audited Financial Results of the company for the quarter and half year ended on 30 September , 2023 .
A copy of the said transcript is also uploaded on the websit e of the Company www.unominda.com .
Kindly take the same on record .
Thanking you,
Yours faithfully,
For Uno Minda Limited

Tarun Kumar Srivastava
Company Secretary & Compliance Officer

Encl: As above.

"UNO Minda Limited
Q2 and H1 FY '2 4 Earnings Conference Call "
November 07, 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th November 2023 will prevail.

MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL
OFFICER – UNO MINDA LIMITED
MR. ANKUR MODI – HEAD, TREASURY & INVESTOR

RELATIONS – UNO MINDA LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Uno Minda Limited Q2 and H1 FY '24 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be a n opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sunil Bohra, Group CFO of Uno Minda Limited. Thank you, and over to you, Mr. Sunil Bohra.
Sunil Bohra : Thank you. Good evening, everyone, and a warm welcome to all the participants. On the earnings call today, I'm joined by my colleague, Ankur Modi. Our best wishes to you and your families for a very happy and a prosperous Diwali. I hope you have a great festive season.
Moving to the agenda. We have uploaded our financial results and investor presentation for Q2 FY '24 on the stock exchanges and our company's website. We hope everybody had an opportunity to go through the same. I would like to begin by giving some insights on the economics followed by the current scenario in the auto industry and our financial and o perational performance for the Q2 and H1 FY '24. Post that, we will open the floor for Q&A.
Amidst a backdrop of global challenges, the Indian economic continues to be a bright spot. India recorded GDP growth of 7.8% during the April to June period of '23, '24, the highest in past 4 quarters on the back of strong domestic demand and double -digit expansion in the services sector, retaining its position as the world's fastest -growing major economy.
Looking at the momentum of economic activity, looking at a few early indicators, the second quarter GDP number is also expected to surprise on the upside. Growth in overall economy is also translating into robust growth for auto sector. With the transition t o clean mobility, changing consumer preferences, Pay Light scheme and government emphasis on safety and comfort, the sector is experiencing a significant upside. Overall, the demand across segments remained robust with high volume growth.
Domestic volumes grew by 14% in Q2 in comparison to Q1 of the current fiscal year, even marginally in line in comparison to Q2 of FY '23 despite delayed start of the festival season.

Growth in the PV segment continues to be driven by compact SUV segment. Production volum es for passenger vehicle has been highest ever for a quarter at 12.8 lakhs in Q2 FY '24.
OEMs continue to build inventory in anticipation of a strong festive season supported by strong enquiry pipeline. The driving force behind this demand are the new mode l launches and a growing trend towards premiumization in the market.
The 2 -wheeler segment also witnessed positive shift as the festive season approaches. The production volume grew by 14% quarter -on-quarter basis while clocking similar volumes as Q2 FY ' 23. With the introduction of new models and attractive promotional offers, demand increased, especially in the rural area, fostering improved market sentiments. The growth in 2 wheeler segment is potentially marking the beginning of turnaround in rural mar kets as well.
On the CV front, the segment continues to outperform driven by healthy demand acro

ss most of the underlying industries and healthy fleet utilization levels. During the second quarter of fiscal year '24, the industry achieved an impressive 9% growth in the production volumes compared to the same period in the previous year. CV displayed a remarkable growth of 17% Y -o-Y with both passenger and goods carrier segments contributing to this expansion. The sector's robust order book indicates the potential for this positive momentum to continue.
The domestic EV industry is continuing sales growth in 2023 while reduction of FAME II subsidies did result in flattish volumes for 2 -wheeler EV during the quarter ending September '23. For the second quarte r of the fiscal, total EV registrations stood at 3.71 lakh unit when compared to 3.72 lakh unit in Q1 of this fiscal year. The total registration of electric 2 -wheelers in the July to September quarter were 1.81 lakh lower than 2.18 lakh units in June '23 quarter.
2-wheeler EV domestic penetration now stands at 3.3%.
The decrease in subsidies has led to EV manufacturers increasing prices by up to INR30,000, effectively translating to higher ticket prices as well as longer loan tenures at a higher interest cost. Despite various challenges, we believe that long -term growth prospects for electric 2 - wheelers remain optimistic as a greater model mix will drive competitiveness. The cost engineering efforts and the introduction of lower cost models may ensure that adoption rates to

eventually improve.
We continue to extend our offering towards both ICE variants as well as the EV variants. We, at Uno Minda, find ourselves well -placed to ride this shift providing premium offering across both variants. That being said, our ICE segment continues to exhibit strong growth supported by numerous new launches in our pipeline.
The near to medium -term outlook for the Indian auto industry is very promising with ongoing festival season bringing with it a promise of renewed customer interest and potential demand surge . On long-term outlook also, the automotive industry is experiencing a significant upswing driven by several key factors, including improved customer sentiment and increased spending.
In this favorable landscape, we find ourselves in a strong position to leverage these trends through our strategic investments in research and development, aimed at topping new product development and enhancing our existing product portfolio. Our diversified product portfolio,

combi ned with the rising content for vehicles and the ability to cross -sell our existing customer base instill confidence in our optimistic revenue growth outlook.
Our unwavering commitment to customer satisfaction and our ability in adapting to changing market dynamics remain the driving forces behind our ability to consistently perform -- outperform, I would say, within the industry.
Moving on to the financial and operational performance for Q2 FY '24. You can refer to the key operational highlights on Slide Number 5. We are happy to inform you that Uno Minda has achieved highest ever quarterly production in 4-wheeler as well as 2 -wheeler alloy wheel on account of commissioning of capacity expansion and robust OEM demand. We have also commissioned both our EV components and systems plant, while new EV system Farukhnagar Haryana under the JV with FRIWO was commissioned in Q1. Supplies from this plant had already started and is expected to further ramp up in coming quarters with start of production of more order s received.
In August '23, we commissioned a second EV system plant under the JV with Buehler motors. The plant will manufacture traction motors, BLDC motors for EV two-wheeler and three-wheelers. The JV has already received orders from OEMs and is expected to start supplies by Q4 FY '24.
During the quarter, the Board has also approved increasing its stake in Minda Westport Techn

ologies Limited from 50% to 76% by acquiring additional 26% stake from the JV partner, Westport Fuel Systems, Italia. The purchase consideration for 26% stake is approx. INR15 crores. Uno Minda and Westport are also amending its JV agreement to include future hydrogen components in addition to CNG and LNG, LPG components and kits in JV territory of South Asia, comprising of India, Bh utan, Sri Lanka and Nepal.
By integrating Uno Minda manufacturing and engineering expertise with Westport's Technologies and Products, this partnership with cement Uno Minda as market leader in alternate fuel systems to tap the ever -growing Indian automoti ve market.
Technology and innovations are two pillars, which lays the strong foundation for Uno Minda.
Over the years, we have filed more than 390 patents and have registered 344 design registrations.
Last year, we were chosen as 50 innovative companies by CII, not only auto component sector, but across all sectors. To add to this achievement, Uno Minda has recently been awarded National Intellectual Property Award 2023 in the design registration category.
The National IP Award is organized by Office of Con troller General of Patents Designs and Trademark, the DPIIT, under the Ministry of Commerce and Industry of India. The award is conferred to recognize and reward the top achievers of the industry for their IP creations and commercialization, which have con tributed towards strengthening IT ecosystem in the country and an encouraging creativity and innovation.
Considering the growth potential of four -wheel alloy wheel business, the Board has approved setting up of new Greenfield plant with a capacity of 1,20, 000 wheels per month. I will discuss this further in subsequent slides. We would also like to inform you that we have now completed

acquisition of our land bank of 86 acres at Pune, Khed City. We are also in discussion for acquiring three more land parcels in North, West and South for our future expansions.
As was guided earlier, the revised strategy will serve dual purpose. First, it will expedite future expansions as it will eliminate any delay on account of land acquisitions. Secondly, we can build bigge r plants as well as consolidate our existing plants wherever possible into one location to be

able to better manage our operations and achieve economies of scale.
Coming to financial and operational performance, you can refer to Slide number seven and eigh t.
At consolidated level, revenue from operation for the quarter ending September '23 increased by 26% year -on-year to INR3,621 crores from INR 2,877 crores in Q2 FY '23. As we continue to
expand our capacities and capabilities along with gaining market sh are and incremented value.
The auto industry production volume for the quarter has largely remained flat on Y -o-Y basis,
while our revenues grew by 26%. The company has continued to demonstrate significant outperformance in the current quarter as well.
We have witnessed growth amongst all our products led by EV products, lighting, switch and EV alloy wheel business. Even on a quarter -on-quarter basis, the consolidated revenue has grown by 17%. EBITDA for the quarter was at INR402 crores, improving by 26% fr om INR318 crores on Y -o-Y basis. The EBITDA margin for the current quarter stood at 11.09% in spite of having recently commissioned multiple plants, which are in ramp -up phase wherein they are yet to reach optimal production levels to fully absorb the fixe d and semi -variable costs.
Finance costs have increased to INR27 crores in comparison to corresponding quarter year on account of incremental borrowing for capex. Borrowing costs have also gone up following series
of hikes by RBI, which is being passed on by the bank in a staggered manner. We believe the interest rate costs are near peak level and hence, we have ensured a large part of our borrowing from fl

oating rate wherein we will be able to quickly capture benefit in case of any improvement in the inter est rate.
The profit after tax, which is Uno Minda's share for the quarter was at INR225 crores as against INR170 crores in Q2 FY '23, registering a growth of 32%. I would like to highlight that, we have once again crossed the highest ever quarterly revenu es and profits. We have crossed net attributable profit of more than INR200 crores for the first time ever. We have been creating new milestones every quarter with our revenues and profitability.
On a first half year basis for FY '24, we have achieved cons olidated revenues of INR6,714 crores for the half year ending September '23, registering a growth of 24% on a year -on-year basis. The EBITDA for the period grew by 25% at INR732 crores and the profit after tax, which is Uno Minda's share for the half year was at INR398 crores as against INR309 crores, registering a growth of 29%.
Coming to the business segment -wise performance. Starting with switches, you may refer to Slide number 12. The segment achieved revenues of INR933 crores for the quarter, contribut ing 26% of our consolidated revenues. The growth in switches business can be attributed mainly to growth in four -wheeler switch business on account of better industry volumes and increasing

share of business with our OEM customers and the export in two-whe eler switch has also done well.
At Auto Export 2023, we had demonstrated our capabilities for advanced technology switching and capacitive touch -based switch. We are extremely happy to inform that we have now also received first orders for capacitive touch -based switch with from an Indian four -wheeler OEM.
Our expansion of four -wheeler switch plants at Chennai is commissioned in October '23. The Greenfield project at Farukhnagar is going as per plan. The commissioning of Chennai plant expected to boost revenues in subsequent quarters.
Moving to lighting business. It has achieved revenues of INR834 crores for Q2, contributing to around 23% of our consolidated revenues. The technology advancements in both head and tail lamps has completely changed the automoti ve lighting industry. Uno Minda has been forefront in leading this technological and premiumization wave in automotive lighting. In fact, some of Uno Minda's products like cornering bending lamps for two- wheeler and connected tail -lamps for four -wheeler has been highlighted as key differentiated factors by the OEMs during the launch of the new models.
Increasingly, the passenger car is being considered as the third living space, which is leading to significant changes in the interiors of the car as well. Fo llowing last quarter, we have won order for ambient lighting during the current quarter from an Indian OEM for its EV model.
We would like to inform you that expansion of lighting facilities in MIVCL, Vietnam has been completed. Consequently, we expect bet ter revenues in coming quarters. Further, with respect to new four -wheeler lighting plant at Khed City, Pune, land acquisition was completed and ordering of key machines have been done. The expansion is on track to be commissioned in phased manner starting from Q2 FY '25.
Moving to our casting business. It has achieved revenues of INR753 crores for Q2, contributing to 21% of our consolidated revenues. The growth in casting business revenue is led by four - wheeler alloy wheel with ramp -up of 30K line in Gujarat for our four -wheeler alloy wheels. The customer mix has also contributed to the growth where some of our OEMs customer volumes were better than industry

growth.
The two -wheeler alloy wheel business has also grown with commissioning of two lines aggregating to additional 1.4 million capacity out of two million planned. The first line started in July '23, while second plant started in August. The third plant is expected t

o start
commissioning in coming quarter. The customer and product diversification strategy is also playing out well with increase in alloy wheel supply for scooters and increasing sales to new customers.
Moving to Acoustics on Slide 13. Our acoustics business had achieved revenues of INR210 crores for Q2, contributing 6% of our consolidated revenues. Both India business and European subsidiary Clarton reported stable growth. The volumes at Clarton remained lower due to lower industry volumes.

Moving to our Seating business, which achieved revenues of INR289 crores for Q2, contributed 8% of our consolidated revenues. As was guided in previous earning calls, we have started supplies to new customers which is one of the new two-wheeler EV OEM. The export of seats has also been steadily increasing. We had also informed about t he order win from a new two-wheeler customer, which is an established OEM. We are expecting to start supply to them in Q3 FY '24.
Seating business is poised for a healthy growth going forward with SOP of at least three new two-wheeler EV OEMs in the next t hree months to six months. These are in line with our
customer diversification strategy advice at the time of seating business acquisition.
Moving to the other product business, which have achieved revenues of INR601 crores for Q2 contributed 16% of overal l top line. The growth in other product business is mainly on account
of EV products, controllers and sensors, blow and machine mou lding business. Our controller business has been growing tremendously in the last few years and have a great future potential .
The wireless charger has become one of the key products of the controller business. We have received incremental orders for wireless charges f rom four-wheeler OEMs.
Revenues from EV two -wheeler OEM increased to INR143 crores in Q2 as against INR136 crore s in last quarter, in spite of 17% decline in volumes. Two- wheeler EV penetration has also come down to 3.3% in comparison to 4.5% in the previous quarter. The revenues from EV two-wheeler OEM is expected to continue to increase with SOP of new models .
Our new EV components plant at Farukhnagar has started with few assembly lines in Q1 and is gradually increasing number of clients based on SOP of model orders. During the quarter, we have received new orders having annual peak revenue of around INR475 crores from new
OEMs, out of which INR350 crores pertains to EV specific products comprising of off -board chargers and DC -DC converters. Total annual peak revenue from these orders now stand at around INR3,000 crores.
The share of profit/loss of associate JV for Q2 stood at INR53 crores as against INR29 crores in Q2 FY23. While major some contribution came from Denso, Roki and TG, Westport, Minda Onkyo has also turnaround performing in the last few quarters, resulting in healthy growth of
profits from JVs. We had actually received some actualization during the quarter in one of the JV, which includes amount relating to previous quarters.
Moving to the Aftermarket and International revenue. We can refer to Slide number 14. In terms of our revenue pie for the quarter ending September 30, OEM business accounted for 93% and
aftermarket at around 7%. Our aftermarket division revenues were up at INR259 crores as against to INR249 crores in the past quarter last year. While aftermarket business has been growing in absolute terms, OEM businesses has been growing at a faster pace. Our international Sales has contributed around 13% of the revenues. Again, while international sales has been growing, the domestic business has been growing at a much faster pace.
Moving to our debt levels. Our net debt as of September stood at roughly INR1,190 crores as compared to around INR1, 100 crores as of March 31, 23. The company had incurred capex of

INR542 crores, including capex on land bank of around INR110 crores during H1 FY24. While sustaining and growth capex has been financed from business cash flows, expenditure on land bank has went the incremental debt of around INR100 crores. Our net debt to equity at 30th September stood at healthy 0.25.
We have achieved ROCE of 19.3% based on annualised profits of H1 FY24. Kindly, note that capital employed is considered for calculation and it does include the capex for land bank as well, which is curren tly not generating any returns. ROCE would have been even higher if we

were to exclude these non -deployed assets.
Moving to a strategic business update. We would like to inform you that the merger of MTG, Minda TG with TG Minda has been approved by NCLT in October. The subsequent formulary
filings order with ROC will be completed in the next few weeks.
The merger of Minda Iconnect with Uno Minda is also at final stages with order approval, the
scheme expected to be pronounced on next hearing 25
th November. With respect to merger Kosei
entity with Uno Minda, we have now received NOC from stock exchanges and are proceeding
with filling of scheme with NCLT in the coming weeks.
Moving to the four wheeler allow wheel expansion business. Expansion, as we have been
guiding, we see immense potential in four -wheeler allow wheel business in view of increasing
penetration of allow wheels in the passenger car. We expect the penetration level to increase by
2x to 3x in the next six to seven years. We have been increasing our capacities in our cur rent
two plants at Bawal and Gujarat to meet the current demand. However, our current capacities
are now fully booked requiring for additional capacities.
In view of the above, the Board has approved setting up of a greenfield plant with capacity of 1.2 la kh wheels per month in a phased manner. The location is expected to finalized in the next
three to four months. We have also received LOI from customers for supplies from this new
plant. We are in discussions with the government for allocation of large par t of land from of
around 100 acres in which will be partly used for proposed expansion of this four -wheeler alloy
wheel and remaining will reserved for future expansion and projects for the growth.
The plant will be set up in three phases comprising of pur chase of 60K wheels per month and
30K wheels per month in second and third phase each. The total cost of the project is expected to be around INR542 crores to be incurred over the next five years, bsis the phased expansion.
Moving to the rest of next year, the outlook looks very promising with supporting industry
volume guidance, commissioning a ramp-up of multiple expansions, namely EV plants, two wheeler extension, four wheeler switch plants at Farrukh Nagar and Chennai etcetera. With our
existing diversified product portfolio and new product and technologies, we are confident of
sustainable outperformance.
With this, I would like now to open up floor for the questions.
Moderator: The first question is from the line of Siddhartha Bera from Nomura. Please g o ahead, sir.

Siddhartha Bera: Congrats on a good set of numbers. Sir, first question I'll take on the new order of capacitive
switch, which you have indicated. Possible to highlight, how much will be the content compared
to, say, a normal switch? And how to look at the value and the profitability for these type of
switches?
Sunil Bohra: Siddhartha, thank you very much. In terms of profitability, we are expecting it to be in line with
the existing products, but as this is being made for the first time. We h ave to maybe wait until
the actualization because the product will go into development, etcetera, and then you know that
there is a development cycle.
So while as of now, at our initial quote level, we do expect it to be in line. But we will see

closer
to the development cycle, we'll have a close watch. But overall expectation is that we should be
able to maintain our margins. And despite the kit value is expected to be higher
than the existing switches.
Siddhartha Bera: Okay. And second, sir, on the alloy wheel side, you have talked about increasing the penetration
levels over the six to seven years. So first is what is the penetration level currently? And how
much can it go up to when you say that -- see the potential?
And secondly, if you look at the capacity expansion, I mean, it seems much smaller than the
potential which you are sort of expecting. S o I mean how are you thinking about that?
Sunil Bohra: Yes. That's a very good question, Siddhartha. In fact, and I address both the questions. So first
current application factor of alloy wheels is roughly around in the range of 42% to 44%, and it
has been growing steadily over the past few years. We’ve been discussing, I think last year we
were discussing around mid-30%, 30%, 34%. Now it has increased almost 10 basis points. And
globally, we know that the application of alloy w heel is almost have 95% impa ct.
Many times, we have to struggle to find a car with a steel wheel. It -- normally you will get in
the big because -- not trucks, but the car trucks what we see normally, so very heavy duty
vehicles normally have those steel wheels, otherwise mostly you have alloy wheels. So we do
expect this trend to sort of catch up in India and everybody today now wants car with alloy
wheels.
And the reason being that if you see that the kind of alloy wheel, which are being sold in aftermarket and even the expertise t hrough the OEMs has been increasing gradually, which

means that consumers may not want to pay price for the top model which comes with alloy wheel, maybe they want a base model itself with alloy wheel and that's what at lot of OEMs have now also started wo rking in that expectation.
So we do expect this to reach -- if not to 95%, at least to, I would say, 70%, 80% of application factor in next seven to eight years as you would have at that stage. In terms of capacity, yes, I appreciate that this capacity of 120K will definitely not be enough. And you know that almost every year, we have been expanding this. We will soon come out with, we are working on this, but we don't want to basically have all the capacity at one place.

So while at this new location, what currently we're discussing, we will have the land purchased for incremental capacity beyond 120K. I would say beyond 120K, another 120K sort of flexibility will try and retain . And we are actually working on some other locations as well, which will come in due course.
So to your point, yes, this capacity look smaller versus the competition level, which are expected over the next few years. But we're also trying to time our investments in such a way that we don't invest entire capex upfront and have the ass ets which are lying idle for utilization.
Siddhartha Bera: Okay. So this capex of INR540 crores, this includes the land cost as well, is it, because capex and all looks higher compared to the last 60K which we have done from INR190 crores.
Sunil Bohra: Yes. So the way you have to see Siddhartha is first is it is not linear when we compare with last 60K because what happened, the last 60K, what we announced, there are some capacities available for painting and machining. So when we say 60K, it is not the ent ire plant on its own. It has some facilities, which are being used or optimized from the existing. So like the paint shop and machining, as you said, was to be used from the existing and you put two additional lines of casting , etcetera. So A, that is one factor.
Number two, when you do a new total new plant, you have to start from scratch, right? So you have nothing. You have no common utilities, no paint shop, no leverag

e of existing facilities. So
greenfield plant versus a brownfield will always have a delta.
Number two, the costs have definitely gone up over the last few years. In fact, the land itself is very, very expensive and the construction costs have been going up. So yes, the cost has been higher. So we are endeavoring still that the kind of ROCE, which we have been talking has been our basis for approving the capex, and Board has looked into that and when it has been approved.
So yes, the capex is a little bit higher, but it is not apple to apple compared to 60,000 and 120,000. When we do another, beyond 120,000 limits of capex, it will not be proportionate.
Siddhartha Bera: Got it, sir. So lastly, if you can share the alloy wheel revenue for the two -wheeler and four -wheeler?
Sunil Bohra: So alloy wheel revenue for four -wheeler of the quarter has been roughly around INR370 crores. Ankur, do you have two-wheeler?
Ankur Modi: Yes, two -wheeler is INR175 crores, and for four -wheeler around 370 crores for MKA and KMA also there was another INR60 crores.
Sunil Bohra: Yes, KMA also we star t consolidating, yes, sorry, my bad.
Moderator: The next question is from the line of Raghunandhan NL from Nuvama Institution Equities. Please go ahead.
Raghunandhan NL: Congratulations on excellent numbers and best greetings to you. Just firstly, on the c apex side. For first half, the capex has been over INR500 crores . How do you see the number for the full year? And on the debt rate in the INR400 crores , when do you expect that to be completed?

Sunil Bohra: Yes. Raghu, capex of INR540 crores, as I mention ed, includes payment for land from INR110 crores. So if you exclude that, the capex, actual land bank is somewhere around INR430 crores.
And as we guided at the beginning of the year, the capex of around INR700 crores to INR800 crores, we are still looking at that kind of rates. Only now delta will be this new project, which has been approved for alloy while, that capex whatever gets spent in the next few months will get added, that's number one.
And number two, this debt of INR400 crores, as of now, we are sort of expecting this land what we spoke of around 100 acres, which we are discussing with the government. We are wanting to sort of align this with the payment linked to the accusation of the land. So otherwise for our operational and other capex, there is no fund requirement. This is only for that strategic investment, and we will time it accordingly. But directionally we are expecting it in this quarter.
Raghunandhan NL: Got it, sir. Sir, In revenue in the other segment, there is a very strong 70% growth Y -o-Y or INR250 crores of delta. Within this, how much would be the sensors, controller revenue would

be? Would it be over INR250 crores ? Would we be on track to achieve full year number of INR800 crores this quarter?
Sunil Bohra: Yes. I think the controller and sensor revenue was roughly around INR230 crores for the quarter.
Raghunandhan NL: So we should easily achieve that full number of INR800 crores, possibly higher than that?
Sunil Bohra: Yes, yes.
Raghunandhan NL: And on the EV side, sir -- electric vehicle, EV side -- so this year, at the current run rate, we should easily cross or go closer to INR600 crores for the full year. So would you look at the EV revenue going over INR1,000 crores by FY26?
Sunil Bohra: Ideally, next year.
Raghunandhan N L: I believe next year. That's wonderful to hear. And on the license side, we had a very strong growth of 27%. So any new projects here or notable increase in the LED share? Just trying to understand what has led to the strong growth.
Sunil Bohra: Yes. So lighting, if you remember, Raghu, we had, I think few months back commissioned our new plant at Gujarat and that was also linked to the new model launch by one of the OEMs. So that volumes have

kicked in fully in this quarter plus there is one more product SOP. So it is primarily -- these two things have driven the growth in the 4-wheel lighting business.
Raghunandhan NL: Got it. And this also aligns with the increase in content, which you indicated for taillamps with that...
Sunil Bohra: Because the new products which we have launched are LED. Typically has been significantly higher than the traditional ones.
Raghunandhan NL: And the taillamp kit for these new projects will be higher than that of headlamp?

Sunil Bohra: Yes, actually, in one of the businesses, which is yet to go into SOP. Fortunately, I think there is a lot of complexities and technology advancements, which are happening in taillamp. And one of the businesses, which we secured, the taillamp value is actually higher than headlamp because the taillamp is entire end to end almost like 4.5 feet with lot of , what you call, the welcome gestures, color change, etcetera, etcetera. So the taillamp lighting has been actually getting more and m ore complex versus headlamp.
Raghunandhan NL: That's good to hear, sir. And on the lighting side, would it be fair to assume that you continue to gain market share given all the new orders?
Sunil Bohra: Yes. So we have been gaining market share, no doubt a bout it. But in terms of actual percentage, how much is year on-again, maybe -- there's an annual exercise, so we might be able to tell you at the end of the year.
Raghunandhan NL: Got it, sir. And on the margin side, given the strong growth plant additions, new product additions, so some costs are getting added and margins compared to last year are broadly similar. How do you see the triggers ahead on the margin?
Sunil Bohra: No. Margins has been broadly, Raghu, in line with what we have been saying . In fa ct, we said at the beginning of the year itself before that, like we expect margins in and around 11% plus/minus maybe 0.5 percentage point range. So we continue to be in that range, and this is all as expected. There is no surprise. So based on this, and there have been some new business, what we have secured at a very, very competitive pricing.
So while that has ensured that we continue to grow very, very strongly on the top line, it does have some impact on margins, but it's a calculated decision that we are taking because at the same margins on an average if you able to maintain, we obviously would look for a calculated growth, not that we are taking business at a loss, but even business are at less margin, we have been sort of accepting that. And that i s what reason of we guiding of that 11% on an average range for the full year.
Moderator: The next question is from the line of Nikhil Kale from Invesco.
Nikhil Kale: Congrats on a very good set of numbers. So my question is on the alloy wheel side. So the new capex that you have announced certainly is it being driven almost entirely by Maruti or also -- or are you also seeing kind of new inquiries or kind of alloys coming in from some of the newer customers and other OEM which you have to think?
Sunil Bohra: Yes. So I don't see, Nikhil, a newer customer, but definitely other OEM as well. So in South in Kerala -- you know that we have been servicing the customers like Toyota, Honda, Renault, and Nissan. And there also we have been getting good business traction and we have been willing to debottleneck capacity there. Hopefully, we'll come back to you, to the Board maybe in the next couple of quarters.
In North, you know that we have been servicing only two major customers, which is one you took, another is M ahindra, so these two major customers we are servicing from our north plants. I'm sorry, I missed, we are also servicing the Korean customers from the West plant.

Nikhil Kale: Correct. I was coming to

that one. So again, there you have some LPDC capacity, but now again, you're talking more about on the JDC side. So would there been any -- any progress or maybe getting more share of business or more orders because at LPDC don't seem to be increasing capacity?

Sunil Bohra: So, Nikhil, business is there to be taken, but at what price is always the question because once you go for fresh investment, you have to also see whether the business is remuneratory enough to justify the fresh capex I think that's where the dilemma has alway s been there. We have been very, very calculative in terms of new investment. And we don't want to make a new investment commitment with significantly low margins. So I think we have been discussing with the customers. They are very, very positive. The bus iness is there to be taken. But it is the price which is currently being discussed.

Nikhil Kale: Okay. And the secondly, on the margin. So a couple of entities that caught my eye, one is on Kosei Minda also which is something that you have kind of recently gotten full control. What is the target over there? I mean, over the next maybe couple of years? Where do you see the margin stabilizing at Kosei Minda? And secondly Minda Kyoraku, last year, we've seen significant margin contraction. So have you seen any kind of an improvement coming up in the first half, so again there and we see margins ?

Sunil Bohra: Yes. So KMA, I think I'm happy to communicate, Nikhil that in the last quarter, we were in loss in terms of EBITDA. This quarter, we have actually turned i nto the green not at the bottom line, but at least EBITDA is positive. And in Q1, it was negative. So our first goal is to be PBT positive, which will take some time because you know that the plant which you have taken was into losses deep losses in fact i t has a huge carry forward losses of more than INR100 crores.

And it's a tough task because it was a second hand plant, which was built up, put up by our JV partner and it takes lot of upgradation, etcetera.

And that takes time because we need to do upgrad ation in running plant. It's little bit complex and time taking exercise, but the good thing is that directionally it is moving in a positive direction. And as I said, our first goal is to be PBT positive and gradually take it closer to our -- group profit ability.

It definitely will remain a little lower in terms of margin, and everything versus our North plant because, as I said, it's a very old plant. And it has its inherent disadvantages and the cost structure in South is little more than the cost structure in North.

So all those structures do play back but we are working on it, and hopefully, this will be in black soon. Another you have asked for Minda Kyoraku. So Minda Kyoraku also has been doing stable operation over the past few months. The Bangalore expansion, which was started sometime last year has been now at a stable level. And so -- but in terms of profitability, I think team has been working very, very rigorously, very aggressively.

But still this quarter also has been in loss, and we are expecting a significant improvement in the coming quarters. And Q4, we are expecting to be significantly in green. So directionally, things are improving there. But if you see for last 2 quarters, it is in red.

Nikhil Kale: Got it. And just to follow up there, sir, there, I think the gross margins have come down. So was it just because of, say, inflation because -- or was it more related to the ramp -up?

Sunil Bohra: No, it is primary re lated to the margins, gross margins, because the new business and etcetera, what you have taken -- somewhere the actualization cost has been more than what we had anticipated. So that's what we've been trying to talk to our customers, if possible, to get s ome price increases.

In addition, we are also doing cost optimization and cost

reduction exercises at the business level, which have also yielded some results. But yet this is initial journey, it will take maybe another couple of quarters, and hopefully, w e should be in black soon.

Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: Yes. Sorry about that. So first question is on the controller business. Obviously, that's right now part of the stand -alone entity. W hat I do remember that there was some commentary that once the EV plant starts at the JV level, there will be some -- either there will be related party transaction between the stand -alone and the JV? Or there'll be a move of some of these products into th e JV? So could you just remind us of how that's going to work, sir?

Sunil Bohra: Yes. So as of now, the -- all the new business which we are getting stays in controller. We have

not yet moved to the JV and we're not expecting any significant shift or signi ficant business to
move from controller to JV at this point in time, if it will be, it will be very, very nominal.
Mukesh Saraf: Okay. So the motor controller revenue that we -- or the orders that we have, that will be made separately at the JV level?
Sunil Bohra: The motor controller is anyway part of the JV.
Mukesh Saraf: Right, right. But these controllers, you will not be moving. The existing controller business will remain in the stand-alone business?
Sunil Bohra: Yes, yes, yes.
Mukesh Saraf: Okay. Okay. And second is, when I look at the number of new plants that are going to start for you, I mean, there's a lot of SOPs that are coming up second half this year as well as first half FY '25. So do you envisage some kind of a margin hit for us given that there'll be some fixed cost that might start hitting us while obviously, these plants can take some time to ramp up because it seems like a lot of it is getting bunched up in the next, say, 6 months odd?
Sunil Bohra: So you are right, Mukesh, and that has been one of the reasons why that -- despite a significant growth in topline, we are not able to see significant growth in EBITDA, in fact, it looks like all the costs are fixed. So while there has been increase in the RMC and has impacted our gross marg ins, another reason as you rightly mentioned, is with all these new plants where the fixed costs are not absorbed or they are maybe marginally into that like the JV with TACHI -S or Buehler or some other products.

They are actually margin dilutive. So to y our point, yes, there will be this near -term thing for maybe two quarters, three quarters. But as I said, the margin on an average of around the guidance what you are giving of 11% plus -minus some delta bakes into that kind of cost.
Mukesh Saraf: Okay. Tha t already bakes into that. Okay. Got it. And then lastly, if you could provide some time lines of this 86 -acre plot that we have now kind of look back for in Pune, so I do remember that you had mentioned that there is some kind of a consolidation that you' re looking at. Now that you are also looking at more land parcels across other regions of India. So I mean, what could be the broad time lines on when we can start expecting some consolidation of your plants in some of these large locations?
Sunil Bohra: Yes. So Mukesh, the idea is that we don't want to sort of rock the boat unless it is required. So when I say that I mean if, for example, I have a running plant in that region. We have around 12 plants, 13 plants in Pune. So as long as the incremental growt h is met by the existing plants, we don't want to spend more in building new plants unnecessarily get into the more capex and consolidate for the sake of it.
Whenever they need more capacity, like for this lighting four -wheel plant in Pune, the team actual ly came up with another plant in Pune and that's what -- that's when we said no, we can't a

llow two plants in the same region. Build a bigger plant and move the existing plant also there. So what we are doing is, on one hand, we are creating a land bank. A nd on the other hand, we are creating -- keeping that flexibility so that whenever there is a new business, normally customer also ask do you have capacity before awarding a new business?
So we can always go and say, now we have a land bank. If we get more business, which needs more capacity, we'll put a bigger plant and move the existing also there. So the point is, we have got a bigger land bank. We have got -- we have negotiated some better incentives from the state government. But the capex of construct ing new plant, we will time it based on when the business need is, not just start consolidation and spending money.
Moderator: Thank you. The next is from the line of Raghunandhan NL from Nuvama Institution Equity. Please go ahead.
Raghunandhan NL: Thanks for the opportunity again. Sir, firstly, on the associate profit, you indicated that there was some amount relating to the previous quarters. Was it a material number? Can you share that number?
Sunil Bohra: Yes. It's not material overall thing, but if you see INR53 crores it is material. So it does include almost like INR7 crores, INR8 crores, which relates to the previous period.
Raghunandhan NL: Got it, sir. And secondly, EV specific capex under Buehler Uno Minda EV systems, how would be the gross asset turnover here currently at the company level, you have 2.5x?
Sunil Bohra: FATR, you're asking? It's too early, Raghunandhan, to look at FATR, too early, the plant is yet to have SOP. Actually, the motor -- as I said, SOP will only be in January and the EV has just started in last quarter. So I think let us give some time, and I would request we look at FATR

only from FY '25 and FY '26, because until then, we will have all then capex done and you will

not realize the full potential.
Raghunandhan NL: Got it, sir. And just lastly on the PLI scheme incentives, just wanted to understand any time line you see for getting those benefits? I mean, that could also add to the margins?
Sunil Bohra: Nothing we are expecting in current financial year, Raghu.
Moderator: Thank you. The next question is from the line of Sabyasachi Mukerji from Bajaj Finance AMC. Please go ahead.
Sabyasachi Mukerji: My first question is, you have grown revenue for the first half, around 24% Y -o-Y. What's your outlook on H2? Are we looking at a similar growth? Or will there be some slowdown?
Sunil Bohra: So Sabyasachi, we normally never comment on the top line because our destiny is linked to the OE volumes. Our endeavor always has been whatever is the industry growth, how do we outperform the industry growth? And as you would have seen in the first half here, this is the full year numbers of industry volumes are flat, yes, there is some improvement in PV but not so improvement in two -wheeler, etcetera. On an overall basis, that is flat, but our revenues are better by almost 25% for the first half.
So our long -term guidance has been whatever industry grows, industry grows by 10%, we grow by 15%, or if industry grows by 8%, we grow by at least 12%. So 1.5x is the floor, which we have kept a target for our growth versus the industry growth. So coming to the second half, if the momentum remains where it is, we do expect the similar numbers for the rest of the year. But yes, as I said, the entire question is the industry volumes. So if industry volum es remain robust, we do expect for the same trend to continue.
Sabyasachi Mukerji: So sir, I was asking that given the conversations you are having with the OEMs, probably we understand that there could be some bit of channel filling done in the quarter 2, just ahead of the festive and there could be a production a bit lower in the Q3. What's your conversation, based on

your conversations, how does the Q3 and probably the Q4 look like? Just in sense I was trying to understand?
Sunil Bohra: So normally, Saby asachi, we do get indents which are on a rolling two- month basis but the indents many times get firmed up only at the end of the month for the next month. And within the month also, there are some changes. So while the rolling two months to three months numbers look attractive, it looks better than what they were last year, the sheer reason is that this time, the festive season has been delayed by almost like three weeks.
So there will be some inventory build -up which continues to happen in October as well, but we are now in the festive season and this is the week where the maximum delivery of the vehicle happen, yes. The numbers will take some time to come out. But on the current rolling three month basi s, we do expect a little better than what they were last year.
Sabyasachi Mukerji: Got it, sir. Second question is in terms of margins, I understand that few of new plants are getting commissioned and also you are getting new EV orders at competitive price s that you have called

out. But as we progress, do you see some improvement coming in probably three quarters, four quarters, five quarters down the line when things get settled down and probably you have a better handle on the cost? Can you see some improvement coming in the margins?
Sunil Bohra: Well, definitely, we have been consistently working on to improve our margin profile. But as I said, we are in a competitive world. And there has been some business which we have taken at a very, very, I would say, increased competitive prices. So that does have some impact on the margins. But yes, from medium to long -term, we continue to work on improving our margin profile, but how much is difficult to communicated today, but maybe I will be better placed to answ er your question for next year, maybe when we discuss for the Q4 numbers.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: So just wanted the clarification on this other business, we have seen like about INR150 crores Q-on-Q jump. And you said INR230 crores from sensors and controllers. We already did INR200 crores last quarter. So how -- does it still add -up increase? Can you just explain what -- any other things which are also jumped in the current quarter?
Ankur Modi: Yes, Siddhartha. So blow moulding business with their new plant has also done well. So there is an increase there. Then I think our Friwo plant has started. The revenue is coming from there.
Aftermarket business has al so grown. So all these other components have grown. So even our PCB business catallact, their outside chain is also better. So all of this has contributed to this growth.
Siddhartha Bera: Okay. So Friwo contributions will be how much in the current quarter ?
Ankur Modi: We'll take that offline, Siddhartha.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for the closing comments.
Sunil Bohra: I would like to thank everyone for joining on the call. I hope we have been able to respond to all your queries adequately. For any further information, we request you to please do get in touch with us. Stay safe, stay healthy, and thank you once again.
Moderator: Thank you. On behalf of Uno Minda , that concludes this conference. Thank you for joining us,

and you may now disconnect your lines.

Call: Feb 2024

Uno Minda Limited
(Formerly known as Minda Industries Ltd.)
Ref. No.: Z-IV/R-39/D-2/NSE/207 & 174
Date: 13/02/2024
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Sandra Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Scrip: UNOMINDA BSE Ltd.
Regd. Office: Floor -25, k!lOt•)(MINDA] -""DrllVING THE NEv,,r-
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
BSE Scrip: 532539
Sub: Transcript of the Earnings Conference Call held on Wednesday, February 07, 2024 on the Unaudited Financial Results for the Q-3 and Nine Months ended on December 31, 2023
Dear Sir(s),
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on Wednesday, February 07, 2024 on the Un-audited Financial Results of the company for the Quarter and Nine Months ended on December 31, 2023.
A copy of the said transcript is also uploaded on the website of the Company www.unominda.com .
Please take the same on records.
Thanking you.
Yours faithfully,
For Uno Minda Limited
(Formerly known as Minda Industries Limited)
■Rt0o?rCl■
Tarun Kumar Srivastava
Company Secretary & Compliance Officer
Encl: As above.
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Classification: Public“Uno Minda Limited
Q3 and 9M FY24 Earnings Conference Call”
February 07, 202 4
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 7th February 2024 will prevail.
Management:
Mr. Sunil Bohra – Group Chief Financial Officer
Mr. Ankur Modi – Head Corporate Finance and Communication
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k!Ot•)I MINDA] C H O R L L'
---C~IVING THE NEv,r-"
Uno Minda Limited
February 07 , 202 4
Moderator: Ladies and gentlemen, good day, and welcome to the Uno Minda Limited Q3 and Nine Months FY24 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentati on concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
Now I hand the conference over to Mr. Sunil Bohra, Group Chief Financial Officer. Thank you, and over to you, sir.
Sunil Bohra: Thank s, Zico . Good evening, everyone, and a warm welcome to all the participants. On the earnings call today, I'm joined by my col league, Ankur Modi. We have uploaded our financial results and investor presentation for Q3 on the stock exchanges and our company's website. We hope everybody had an opportunity to go through the same . I would like to begin by giving some

insights on the economy followed by the current scenario in the auto industry and our financial and operational performance for Q3 and nine months FY24. Post that, we will open the floor for Q&A .
Against the backdrop o f global economic uncertainty, the Indian economy remains resilient. A significant catalyst for India's growth has been its strategic focus on developing niche and complex manufacturing sectors. Notably, in January of '24 , India's manufacturi

ng index surge d
to 56.9 % from 54.9 % in December '23, mark ing the strongest growth in the factory sector in four months.
Moreover, the growth of India's GDP has exceeded expectations, driven by robust consumption demand, increased public investment and a strong governme nt emphasis on infrastructure development . Government policies, including the PLI scheme aimed at employment generation, a concerted push for the accelerated adoption of green mobility, shifting customer needs towards premiumization and a strong emphasis o n infrastructure development have played pivotal roles in volume growth in the sector.
Speaking of the auto industry performance for this quarter, domestically the volumes grew by 16% on a year-on-year basis in Q3 FY24 , driven by positive demand across all categ ories , while volumes were marginally down quarter -on-quarter basis , which is somewhat expected as Q3 typically sees a dip in production and sales due to the festive season and due to annual maintenance shutdowns and consumers delaying purchases until the new calendar year.
In the PV segment, SUV saw a strong demand. Production volumes for passenger vehicles for quarter three FY24 stood at 11.41 lakhs, reflecting a year -over-year growth of 5%. Notably, a Pllt•J1 MINDA]

significant milestone was ach ieved during the quarter with passenger vehicle segment registering its highest -ever sales in November reaching 3.34 lakh units. This surge in demand was driven by festive season demand, year -end promo tions and new product launches.
The 2-wheeler segment staged a noteworthy rebound in the last quarter, driven by festive demand. This growth momentum persisted in the quarter ending December '23, with production volumes for Q3, reaching 54. 8 lakh units, reflecting a robust year -on-year growth of approximately 19%.
The surge in demand was attributed to various factors, including festive demand, heightened rural sentiments, the wedding season, increased marketing efforts by OEMs and anticipation of price hikes in January '24. Con tinued with the growth momentum , the 2 -wheeler volumes in last two months, that is , December and January have shown significant growth of over 20%.
On the CV front, the production volume for the quarter ended December '23 stood at 2. 5 lakh units as compared to 2.37 lakh units in the same quart er last year. This demand is primarily fueled by heightened industrial activity and ongoing infrastructure development initiatives. With healthy order bookings and a positive market sentiment prevailing, the growth trajectory for this segment remains stron g.
With increasing reliance on the renewable and clean mobility, the shift to EV is catching pace. For the third quarter of this fiscal year, total EV registrations stood at 4 lakhs when compared with 3.7 lakhs in Q2 of the fiscal year. Despite the sharp slashing of FAME II subsidy in June, electric 2-wheeler sales have rallied back to 2.43 lakhs in Q3 FY24, registering 34% growth quarter -on-quarter at the same time achieving highest quarterly sales. While government slashed subsidies under the FAME II scheme, it also significantly increased the allocation for the PLI scheme.
The PLI scheme received a major boost with its budget allocation jum ping from INR 438 crores in FY23 to a whopping INR 3,500 crore s in FY25. This indicates a strong focus on domestic EV manufacturing. The government has finally extended the PLI scheme period since industry was not able to utilize the PLI funds in FY23 due to various operational reasons. Now it will be applicable from FY24 to FY28, offering a longer window for manufacturers to benefit.
In a separate move aimed at boosting domestic production and protecting local manufacturers from dumping of cheaper import products, the government extended antidumping duty on alloy wheel imports from China to protect

domestic industry.
Coming to financial and operational performance , you can refer to Slide 7 and 8 of the presentation.
At a consolidated level , revenue from operations for the quarter ending December '23 increased by 21% year -on-year to INR 3,523 crores from INR 2,915 crores in Q3 of FY23. This is attributed to the company's strategic focus on multiple areas. I'll try and list out some of these key areas . First, expansion of capacities and capabilities wherein the company has been actively Pllt•J1 MINDA]

investing and expanding its production capacities and technological capabilities to cater to growing demand for its products. Second , market share expansion, wh erein Uno Minda has successfully captured a larger market share across various segments solidifying its position as a leading automotive component supplier.

Third , enhanced kit value and complete system solutions wherein the company has been able to offer more comprehensive solutions to its customers, leading to an increase in average value per unit sold . Fourth, focus on exports to support the vision of stronger vertical growth in existing businesses .

As you would note, the growth was evident across all pr oduct lines with particularly strong performances from EV products, lighting, switch, sensors, controllers and alloy wheel business. EBITDA for the quarter reached INR 380 crores , reflecting a 12% year -on-year improvement from INR 338 crores. EBITDA margin for the quarter stood at 10.8%.

We are on track to deliver on our stated guidance of full year EBITDA margins at around 11 %. Finance costs have increased to INR 29 crores in comparison to corresponding quarter last year on account of increm ental borrowings for capex and working capital. The share of profit loss of associate, joint ventures for Q3 jumped to INR 44 crores against INR 25 crores in Q3 of last year as some of our JVs like Denso Ten, Roki , TG, etcetera , witnessed strong growth . The profit after tax , which is Uno Minda's share for the quarter was at INR 193 crores as against INR 162 crores in Q3 registering a growth of 19.4%.

Moving to financials for nine months. We have achieved consolidated revenues of INR 10,237 crores for the nine months ending December, registering a growth of 23% on a year -on-year basis. The EBITDA for the period grew by 20% at INR 1,111 crores, registering EBITDA margin of 10.9%. The profit after tax , which is Uno Minda's share for the period was at INR 591 crores as against INR 471 crores in the corresponding period last year , reporting a growth of 26%.

Moving to the business segment -wise performance , starting with sw itches, you can refer t o slide number 12. Our Switching Systems segment performed exceptionally generating INR 928 crores in revenue for Q3, representing a significant 26% of our consolidated revenues . This growth ca n be attributed to key factors .

Firstly, smarter switches and increased penetration wherein we witnessed a rise in kit value driven by adoption of smarter switches and increased number of switches per vehicle. Secondly, strategic expansion and market capture , having successfully expanded our reach by sec uring business from previously less -served customers, further solidifying our market position. Additionally, expor ts in the 2-wheeler segment emerged as a major growth driver, signifying our global competitiveness. Looking ahead, we are excited about the r ecent commissioning lines of our four-wheeler switch plant in Chennai, which is ramping up production steadily. Lighting , moving to the lighting business , it continues to be a beacon of growth for Uno Minda, generating Pllt•J1 MINDA]

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impressive revenues of INR 852 crores in Q3, representing significant 24% contribution to our consolidated revenues

. This success is driven by our relentless pursuit of innovative lighting solutions that empower OEMs to differentiate their offerings in the marketplace.

Following strategic or der wins secured over the past two years, we are witnessing the gradual commencement of production which is significantly propelling the growth trajectory of the lighting businesses , particularly in the 4-wheeler segment. We anticipate this positive moment um to continue, fuelled by an increase in kit value and continuous expansion of our market share.

Moving to casting business . We've delivered robust revenues of INR 686 crores in Q3, accounting for substantial 20% of our consolidated revenues . This year-on-year growth is primarily driven by the 2-wheeler alloy wheel segment, which successfully commissioned all lines related to 2 million capacity expansion . This expansion brings the total installed capacity for 2-wheeler alloy wheels an impressive 5.4 to 6 million units per year, depending on the weight of the wheel. The casting revenues have declined quarter -on-quarter driven by PV industry volume drop as well as a reduction in the aluminium prices.

While the plant's 60,000 capacity expansion portfolio alloy wheel at Bawal, Haryana is facing delay due to land acquisition . We have proactively accommodated an additional 30,000 capacity within the existing a vailable land. This new capacity is expected to be operational in H2 FY 25. We are actively pursuing the necessary approvals from authorities for the remaining expansion.

Moving to the Seating business, you can refer to Slide 13. our seating business, a key contributor to our overall performance generated at INR 274 crores in revenue for Q3 FY24, representing 8% of our consolidated revenues . This segment has witnessed consistent growth through strategic customer acquisitions in both 2-wheeler and off-road segments.

Exports have also played a crucial role in driving this growth trajectory. In the last few quarters , we won orders from at least three new-age EV 2-wheeler OEMs and 1 incumbent 2-wheeler OEM . We have become a global supplier of American commercial vehicle and heavy equipment manufacturer.

Looking ahead, we anticipate the seating business to maintain a healthy growth momentum fuelled by new order confirmations and the upcoming execution of new orders . This provides a significant opportunity for further expa nsion and market penetration .

Moving to acoustic business. This segment generated INR 202 crores of revenue in Q3, representing a stable 6% contribution to our consolidated revenues, while the Indian business continues to demonstrate encouraging growth .

The European subsidiary Clarton Horn continues to experience volume headwinds compared to the pre-pandemic levels, impacting overall margins.

Moving to other product busine sses, which have achieved revenues of INR 580-odd crores for Q3 FY24 contributing 1 6% of overall top line. The growth in other product business is mainly on account of EV products, controllers, sensors and blow and injection moulding business.

Our controller business has experienced a remarkable growth in recent years, nearly doubling its revenue in Q3 FY24 compared to the same period last year. This momentum is expected to continue with new orders for wireless charges from 4-wheeler OEMs secured in the current quarter.

Moving to Slide number 14 and 15 to our aftermarket and internationa l revenue slide , in terms of our revenue pie for the quarter ended December '23, OEM business accounted for 92% and aftermarket accounted for 8%. Our aftermarket division's revenues stood at INR 273 crores during the quarter .

Our international sales curre ntly represent approximately 14% of total revenues , demonstrating steady growth in this segment , while the international market holds strategic

importance for our
future expenses , it is worth noting that our domestic business has been experiencing more pronounced growth.

Moving to Slide 15 and 16. Revenues from EV 2-wheeler OEMs increased to INR 164 crores in Q3 as against INR 143 crores in last quarter. We witnessed growth in EV specific as well as traditional product sales to 2-wheeler EV OEM. The revenues from EV 2-wheeler OEM is expected to continue to incre ase with SOP of various orders.

During the quarter , we have received new orders having annual peak revenue of around INR 250 crores from EV OEMs. Out of this, INR 200 crores pertains to EV -specific products comprising of off-board chargers, motors and motor controllers. Notable orders include off - board charges from 3-wheeler OEMs, EV motors orders from two more new -age EV OEM s.

Uno Minda in JV with Buehler Motors have high -quality electric drive technology. Capitalizing on the same , we have now further diversified our customer orders. We are confident that with our cutting -edge technology and years of expert ise, we will contin ue to win more orders and help in establishing our market leadership.

Moving to cash flow and debt levels . Our net debt as of December 31 was at INR 1,296 crores compared to INR 1,078 crores as of March 31, '23. The net debt has increased primarily on account of land bank at Pune and Hosur of around INR 140 crores, while sustaining and growth capex has been financed largely from business cash flows . Our net debt to equity as of 31st December stands healthy at 0.2 6. We have achieved ROCE of 18.9 %, which is annualizing profits of nine months of '24.

Kindly note that capital employed considered for calculation includes the capex for land bank as well as CWIP which is currently not generating returns. ROCE would be around 19.3% if we were to exclude only the strategic land bank.

Our annualized return on equity for nine months of FY 24 stood at 17.9%.

The Board has also approved and declared interim dividend of INR 0.65 per share , which is 32.5% of face value , reflecting commitment from the company to return value to shareholders on a consistent basis. The interim dividend for FY24 is 30% higher as compared to last year's interim dividend.

Moving to Slide 18 on the strategic business update. We would like to inf orm you that merger of Minda iConnect with Uno Minda Limited has been completed. Last quarter , we had informed the merger of Minda TG Rubber Pvt. Limited with TG Minda was also completed. With respect to merger of Kosei entity with Uno Minda, we had received NOC from exchanges and had filed the scheme with NCLT. NCLT in its hearing has reserved the order for convening the meeting of shareholder of Uno Minda Limited and that of unsecured creditors.

We e xpect that it will take around four to five months for merger process to get completed. In terms of our land bank acquisition strategy, Uno Minda has been proactively securing land parcels in all major auto hubs to be ready to meet the growing demand from OEMs. Uno Minda had acquir ed 86 acres of land at Khed City Industrial Park, Pune and is in process of acquiring 37 acres of land parcel in Krishnagiri district, Tamil Nadu.

We are also at very advanced stage for getting allotment of plant of around 95 acres in North upcoming auto h ub. This strategy offers multiple advantages , a couple of them being -- Uno Minda can avoid delays associated with land acquisition by having readily available land, enabling quicker response to growth opportunities. Second, larger plots allow building big ger plants and consolidating existing ones, leading to improved operational management and economics of scale.

Moving to some recognitions and accolades on Slide 20 . At Uno Min da, we strive to be leaders in three key areas , pioneering technology, fosterin

g entrepreneurship and fulfilling our social responsibility. Our dedication to these values has recently been recognized with prestigious awards. For the second year in a row, the CII has recognized Uno Minda as Top 50 innovative company, acknowledging our ground -breaking work in automotive technologies.

This achievement reinforces our commitment to pushing boundaries and developing solutions that drive the future of the industry. Furthermore, Mr. Nirmal Minda, our Chairman and Managing Director, has been awarded by the esteemed Hurun India self -made Entrepreneur of the year 2023. This award recognizes his inspiring leadership and vision, which hav e guided Uno Minda to its current success.

Uno Minda has also been recognized as great place to work by Great Place to Work Institute , India for the third consecutive year , appreciating of our people -centric approach. Beyond innovation and business leadership, we prioritized giving back to society. Dr. Suman Minda, Chairperson of our CSR wing has been honour ed with the Golden Peacock Award for social leadership by Institute of Directors India.

This prestigious recognition reflects her impactful work in the social welfare and community development showcased at the 18th International Conference on Corporate Soc ial Pllt•J1 MINDA]

Responsibility. Under her leadership, we empower communities and create sustainable solutions for a brighter future. These awards serve as a testament to Uno Minda's commitment to comprehensive excellence. We remain dedicated to driving innovation, nur turing entrepreneurship and making a positive impact on the world around us.

Moving forward, we witnessed the best ever monthly sales for PV in January '24 with 2-wheeler also posting decent growth. The outlook continues to be promising with supporting industry volume gui dance, ramp -up of multiple new expansions namely EV plants, 2 -wheeler alloy wheel expansion , 4-wheeler switch plants in Farukhnagar and Chennai, EV motor plants, etcetera . With our existing diversified product portfolio and new product and technologies, we are confident of sustained outperformance.

With this , I would like to now open the floor for the questions.

Moderator: Thank you very much. We will now begin the question and answer session. T he First question is from the line of Aashin Modi from Equirus Securities.

Aashin Modi: So, my first question is regarding the lighting business. So, we are seeing good ramp -up in terms of orders over there. So, what kind of peak revenue do we see in our lighting business by FY26 as per our current order book?

Sunil Bohra: Any other question you have, Aashin?

Aashin Modi: Yes. So, the second question was regarding the EV -specific components, we now have around INR 1,900-odd crores of order book. So, could you please provide more colo ur on that? Which are the segments? And by when do we see peak revenue from this EV -specific orders ?

Sunil Bohra: That's it?

Aashin Modi: Yes. My last question was regarding the alloy wheel business. So could you please provide the revenue from alloy wheels and if you could further break it down into 2 -wheeler and 4 -wheeler alloy wheels.

Sunil Bohra: Thanks, Aashin. So, in terms of lighting, as we have shared, we are continuously seeing a very, very good traction in the lighting business. So, our endeavo ur is how do we first move our lighting business share of business from 14%, 15% range to 19%, 20% in t he near future, maybe next four to five years. We have commissioned last year, the lighting plant in Gujarat.

We are currently constructing a new lighting plant in Pune, and that also the business capex is spread out over the next four to five years in order to meet our revenue growth and linked with the capex investment, we don't want to upfront all the capex . So, the investment is spread out over four t

o five years of almost INR 500 crores .

So, in terms of peak revenues, it's -- as of now it's a blue sky, we are already, this year, almost

like INR 1,000 crores run rate, and we expect the se revenues to double in the next few years as immediate target. In terms of EV specific by when we see peak revenue, as of now, as you also Pllt•J1 MINDA]
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know, that the EV business is something which is consistently growing, and we are add ing new business every quarter .
So, I'm not sure when do we see peak revenues because for next 10 years, the expectation or the projection from various agencies is that the business will continue to grow, the penetration will continue to grow and 2 -wheelers are expected to be almost li ke 40% penetration in the next 8 to 10 years.
So, it's very, very difficult at this stage to say when will be the peak revenue because today, whatever business we have secured, as you see in the slide, while that peak revenue is expected to achieve in '26 , '27, we will continue to see the new highs being made as we move forward.
So, I think that's the answer on the peak revenue. In terms of casting business, you asked for the revenue s for 2 -wheeler and 4 -wheelers.
So, our 2 -wheeler revenue is somewhere aro und INR 170 crores for the quarter and 4 -wheeler was almost INR 317 crores.
Moderator: Our next question is from the line of Ajox Frederick from Sundaram Mutual Fund.
Ajox Frederick: Sir, my question is on castings. You mentioned that the Q -o-Q slowness was due to RM and volume. Can you help me with the split, sir, how much of this business was due to RM being lower Q -o-Q, and the volume basically for the quarter?
Sunil Bohra: Yes, Ajox. So, in terms of volume, it is largely dropped at the 4 -whee ler volumes because 2 -wheeler has -- because of the addition capacity has done relatively well. So, 2 -wheeler, there is not much of a drop in terms of volume. It's actually better. In 4 -wheeler, there is a significant drop because of volumes. In terms of t he split, maybe you can take it offline, if you don't mind, Ajox.
Ajox Frederick: Sure, sir. Sure. Okay. Okay. And sir, how do you see this busines s going forward, let's say, two, three years, some way, because we have -- of course, building capacity in th e space. So, what is your vision...
Sunil Bohra: Yes. So, this business, we are very, very bullish, Ajox. In fact, we have been consistently investing in, specifically, 4 -wheeler business almost every year. The Board has just approved setting up of another plant in North by investing almost INR 540-odd crores. This business, we are very optimistic in a way if you have to see the all oy wheel penetration.
So, when we entered this business six , seven years back, the alloy wheel penetration was 13%, 14%, when I say penetration, which is application, alloy versus steel wheel, today, it is almost 40%, 45%. And globally, it is somewhere around 90%, 95%. So, a) India has to catch up this growth of application of alloy wheel versus steel wheel, which we expect to con tinue over the next 8 to 10 years.
This is not something which can happen in a very, very short frame of one or two years because you also need that capacity to deliver those volumes. So that's number one. And number two, Pllt•J1 MINDA]
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over the same period, we also expe ct that the volumes to double, right? On top of it, what is happening is the size of the wheel has been increasing from like 14 -inch wheel, 15 -inch wheel to almo st like 18, 19, 20 -inch wheels.
So that also increases the kit value per car because as you mov e from sedan to an SUV, right !
So, over the next few years, we'll consistently see this business to grow, and we're pretty optimistic, you will see almost 4x kind of a growth over the next 8, 10 years.
Ajox Frederick: All right, sir. That'

s very promising.
Moderator: Our next question is from the line of Mumuksh Mandlesha from Anand Rathi.
Mumuksh Mandlesha: Congratulations on the continuing EV order win, sir. On a year -to-date basis, EBITDA margins are slightly lower despite the robust revenue growth we have seen. Can you indicate which segments on a year -to-date basis have seen lower margins and reasons for the lower margins, sir?
Sunil Bohra: So Mumuksh, while you appreciate that we have stopped giving the segment -wise margins, I think three , four years back based on some feedback from various stakeholders. But I can tell you that the margins are not significantly off. If you see the beginning of the year itself, we have guided our margin range of around 11% for next year or a couple of years, at l east. Because we know that while the top line is improving significantly, there is also a significant growth, which is coming from the new businesses and the new plants which are getting commissioned.
So, what happens is that the all these new businesses or ne w plants, plants initially for two to three years, they don't deliver the kind of return you expect. In fact, in the first year, we are actually ne gative first or second year if you see from profitably perspective and even when we

approve investment, we approve on the third full year of production to ac hieve our normal profitability.
So that has been a little bit of a drain plus on top of it, we have been investing heavily in terms of our R&D and other expenditures. So that also is fully charged off to revenue. So, we are not capitalizing any sort of R&D engineering spend. So overall, I think this is in line with the expectations, yes, year -on-year, maybe marginally less. But if you see on a full year basis, maybe we'll try and ca tch up in the future.
Mumuksh Mandlesha: Got it, sir. Sir, in the Seating segment, year -to-date growth is about just 6%, which is broadly in line with the industry. Any reason for where we have not seen much outperformance this year?
Sunil Bohra: So, seating business, we have ac tually got a lot of new businesses recently in the last 6 to nine months. But you will appreciate that all the new businesses what we've secured is linked to the new model launched by the customer. So, a lot of this business, what we have secured, you will see that coming in the next few quarters, not immediate future as you go and link with your customers' volum e, right! So that's number one.

Number two, we have tried to maintain our SOP and we've been focusing a lot on exports. We continue to do very well on exports. Last year, we did a record export. So, this year, obviously, because the global situation, there is a little bit of impact because of export, which is, we believe, is temporary. Our exports primarily to the North American market this year has been a b it lower compared to last year.
This is what is a little bit pulling down. But overall, we are optimistic that, that will also catch up from the next year onwards. And also, we added a lot of new customers, as I said, from EV perspective or be it f rom the existing 2 -wheeler player perspective or maybe adding export customer for the suspending seats which were not there earlier. So, a lot of action is happening. And just to reflect, if you remember, when we acquired the company, the revenue was INR 630 crores in 2021, but pre -COVID it was INR 750 crores.
And our targe t was to double the revenue in five years. Where we stand today, we are pretty confident that the tar get we can achieve in actually four years, a year before the targets, we are expecting that INR 1,500 crores of revenue to deliver even ahead of timeline. So yes, this quarter -on-quarter might be a temporary dip, but we are pretty confident that we'll be able to do better than what we have added.
Mumuksh Mandlesha:

Lastly, can you talk abou t the current size of the wireless charger revenues? And also based on the new order wins, what is the revenue expected from this product line over the next two years?
Sunil Bohra: Mumuksh, I request modelling questions, if you can take it separately, plea se?
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Yes, sir. Sir, first question, again, is on the lights. I mean, in the past few quarters, if I remember, we have continued to indicate that multiple new order wins we have received from various customers. That probably has been slightly missing in the last -- this quarte r or probably the last quarter.
So just wanted to understand, I mean, should we expect some moderation in the growth trends? Because this quarter also, the growth has been quite healthy. Now if those orders only mature and no new orders kick in the next couple of quarters, should we expect some of these growth trends to normalize?
Sunil Bohra: Siddhartha, this growth trend will not normalize . It will continue to grow. In fact, just to put things in perspective, Q3 of FY23, our lighting revenues was INR 178 crores and 4 -wheeler, you are talking about, right ! And this Q3, we have done INR 340 crores, it is 2x of last year. So, I'm not sure from where you are getting this perception of moderate growth.
Siddhartha Bera: No, I'm talking about next year, sir, because I understand this year, this quarter growth has been quite strong. But if the industry, say, for example, 4 -wheeler industry grows at 5%, 6% in terms of volumes. So, can we do this 30% growth even next year? Or I mean it will need more order wins to probably get that growth?

Sunil Bohra: Siddhartha Ji, with your blessings, we would endeavo ur to work to deliver similar growth. But you kno w that we normally don't comment on the revenue growth because it is large part also is linked to the OEM growth, right ! So, if industry grows, definitely we'll grow. But be rest assured, whatever we've guided in terms of our outperformance, we are working to deliver better than what we have assured.
Siddhartha Bera: Got it, sir. Second question is on the seating side. We have done a couple of PLAs in the past and also a couple of orders on the recliners. And also, can you just throw some colour if we have won any orders there? Or what is the progress so that which can lead to a better growth momentum in the business?

Sunil Bohra: Yes. So seating, as I said, we have added 2 -wheeler customer -- existing 2 -wheeler OEM, among the larger ones in the country, wh ich was not as part of the seating business that supplies we are expecting to start by end of this quarter, which is not yet in the revenues. We have also been getting a lot of traction in terms of suspended seats. You know when you look at suspended seats , these are like almost INR 18,000 -INR 20,000.

We have secured an export order on the seats and we are working aggressively on that front, and we are hopeful that in this quarter also, we'll be able to secure once which we'll be able to announce in the nex t quarter. There's a lot of traction happening from the seating and also in terms of actually higher kit value via these suspended seats. So, there is a lot of steam ahead be rest assured.

Siddhartha Bera: Got it, sir. Sir, lastly, if you can share the sen sor and controller revenues for the quarter?

Sunil Bohra: Sensor and controller, I think it's a favo urite question. So, sensor and controller put together, we have done actually almost INR 194 crores of revenue in last quarter.

Moderator: Our next question is f rom the line of Raghunandhan N L. from Nuvama Research.

Raghunandhan NL: Congratulations for another quarter of 20% growth. Sir, firstly, you indicated the market share gains in various segments. And on Lighting, thanks for

sharing details. I r emember it was 13% share in FY21, currently 14%, 15% and target is 19%, 20%. Any other segments where you can call out where company has seen market share gains? And what kind of targets are you pursuing?

Sunil Bohra: Yes. So, in Lighting, we are working in terms of gaining market share, not only in 4 -wheeler, but also 2 -wheeler, even though we are already at 24%, 25%, we are working to see how do we get closer to our target of getting 28%, 30% share in the business. Sw itching we are already 60%-plus market share in 2 -wheeler and 50% in 4 -wheeler. So there, we are focusing a lot on exports. So, we'll not be able to convert that into market share.

As you know, we have added a major customer -- export customer North Americ an in 2 -wheeler segment, which has been doing really good in terms of new business, though volumes have been impacted because of the global headwinds this year. But overall, we are getting more and more

inquiries from the export segment. So, as I said, you might not see the SOP gain domestically, but exports will definitely add. Same goes for the seating.

So, we are adding more customers there and also adding export customers. So, you'll see that the gains there also.

EV segment continues to do very well. So there, you will see a lot of uptick as we have been guiding. Acoustics, we are -- as you know, we are only 60 %-plus kind of market share. And there, we are trying working to hold on to our market share and see how we can sort of what you call, inch up to the extent possible.

Casting is another segment, as you know, that we have been working very aggressively, both 2 - wheeler and 4 -wheeler alloy wheels have been doing phenomenally good. 4 -wheeler, we continue to gain our market share, which is more than 4 5% now. And 2 -wheeler, as you know, we just started 1.5 years back, and we just commissioned our capacity for 2 -wheeler alloy wheel this year.

So, I'm sure this is not something which we are going to stop at because still there are a lot of imports into th e country. So, we're trying to see what opportunity we can capture. So, there are a lot of businesses where we are working to consistently and continuously see how we gain market share. On top of it, we are also working to improve our kit value because it is not only market share, the kit val ue also makes a big difference.

So, all this put together, I think we are very optimistic and aggressively working on growth for the next decade.

Raghunandhan NL: Thank you, sir, for the detailed answer. One clarificati on. Within the switches space, how big would be exports, sir? And a couple of years ago, I remember it was below 10% of the switch revenue. How would it have trended now?

Sunil Bohra: Yes. So, in terms of 2 -wheeler switching, it is almost, I would say, clo se to 15% of the revenue, which is export. Final details maybe Ankur can share offline , but that is at a very high level. We have a JV for PV switching. So, there's a very small export in PV switches.

Raghunandhan NL: Sir, on the EV side, INR 3,300 crores is a big number on the order. On an annual revenue basis, would you be confident of crossing INR 1,000 crores for FY25? And within this revenue, how would you see the breakup between the EV specific parts and engine -agnostic part?

Sunil Bohra: So definitely, Raghu, we are actually working to see how do we cross the number do you have said, but as you know, a lot also depends on the industry penetration. If you see from our readiness perspective, I think we are all geared up to deliver the kind o f numbers you just spoke about, right ! And in fact, we are gearing ourselves to do even better than that in '25. But it all depends on the industry penetration because we are still close to 4% penetration in the 2 -wheeler segment. So, I think that's only, I would say, the moving

post. Otherwise, we are all geared up.
In terms of the split of EV specific and engine -agnostic components, we do expect it to broadly in the ratio of what we have just shared in terms of our order book, which is 60, 40 in terms of EV specific versus engine -agnostic components because the key reason being the EV -specific components also the kit value is much more than the engine -agnostic component. So that's why the proportion is expected to be more than the engine -agnostic componen ts.

Raghunandhan NL: And sir, you also alluded to PLI incentives. Any progress there by when should we start receiving incentives? And the amount allocated in the budget has been small, given the kind of EV sales, which is happening. So, do you expect pro rata kind of allocation?

Sunil Bohra: So, Raghu, to be honest, as you know, that the PLI incentive for auto has been for advanced technology, AAT as we call it. So, the products which are -- which qualifies into Uno Minda products are sensors, some control lers, some telematics and the EV -specific components. So, they are also working to see how do we make sure that we meet that 50% EV target because electronics is still where a large part of which is imports in terms of semiconductor and chips. So there, I think they are still in the works. As of now, I won't bank on significant PLI income in the current year or the next year.

Raghunandhan NL: And sir, on the tax rate, the rate was on the higher side for the quarter, and notes to accounts also indicated tha t it includes taxes for earlier periods. On a sustainable basis, would 24%, 25% be a right number going forward?

Sunil Bohra: Yes, you are right, Raghu, that's what the number 24%, 25% we are targeting, but what happens there are some businesses, specifica lly our Clarton Horn which are into losses, and we don't recognize the DTA on that losses. That's why the effective rate actually goes up. Otherwise, on a normal steady -state basis, yes, that's the kind of number we are working on.

Moderator: Our next ques tion is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: First question is, when I look at the potential kit value on the EV business, I realize that we kind of reduced it as in the product under development, we have removed now, INR 26,000. So, is that battery packs which we no longer want to target?

Sunil Bohra: You are exactly right, Mukesh.

Mukesh Saraf: Okay. Okay. So, we're not targeting this because we have done our study and we realized that we don't want to kind of go into that area because of competition, profitability? Or is it just a capability and you don't want -- like you don't want to have another JV...

Sunil Bohra: So, we do have capability and competence, Mukesh. So, our JV partner has the battery pack, they are making in Ger many. But we have been having discussions about re -evaluating this because of very low value add. Why we have removed from the chart is because we didn't want to have any expectations build in that this is a significant value because even if it happens, the profitability is going to be very, very less.
Although we have removed from the presentation, but we continue to look at engage -- there is a possibility of getting a customer with some dece nt margins. So, we are working on it, and we thought it's better to sort of communicate once we see the business visibility keeping that expectations on the kit value.

Mukesh Saraf: Right. Right. Got that. And secondly, on the capex update as well, and there are two facilities that we have added on airbags and the seatbelt/smart systems. Could you kind of give some context because I think the airbag business, we're saying will start i n F '25 itself.

Sunil Bohra: So, what was happening -- sorry, Mukesh, your voi

ce went off in between. I thought you have completed.

Mukesh Saraf: No, sorry, what I was asking is in airbags, as an industry, where do we stand now in terms of market shares an d what our targets?

Sunil Bohra: So, airbag, in terms of market share, we are roughly around 18%, 20%, and we are working to see how do we go closer to 24%, 25%, but that will take some time. In terms of this capex , gradually businesses have been -- OEMs h ave been moving towards the increasing number of airbags. Even though the regulation now is not there, it is now moved to the star rating system versus the nu mber of airbags being mandated.

It is left to the consumer to decide based on your star ratings wh atever you prefer. So, the maximum airbag gets the 5 -star things like that. But because of that, I think a lot of OEMs have started to work on increasing airbag. In fact, nowadays we are seeing minimum 4 -airbags are there anyway. So that has necessitated t his plant expansion, which was started in the last quarter. And we are expe cting it to commission in next eight to 10 months. That's terms of airbags. Did you ask anything on the seatbelt and smart system?

Mukesh Saraf: Yes. I mean that also seems to be a new area and at the smart systems, if you could explain sir what exactly is that?

Sunil Bohra: Yes. So, we have a JV with Tokai Rika in South which is into seatbelt, gear shifters, locks, keys, etcetera . So there, we are putting a new plant in Neemrana to cater to the north market. As of now, that business was limited to south, we have a plant in Bangalore. So that's about this business.
Mukesh Saraf: Got it. Got it. And just sir, last thing, I know there have been a couple of questions on seating, but I wa s just wondering, we had this tie up or a JV with TACHI -S 4-wheeler seating systems, reclining systems, etcetera , any kind of a development there on 4 -wheeler seats? You h ave commented about orders on 2 -wheeler seats, but any development on 4 -wheeler...
Sunil Bohra: Yes. So, Mukesh, you know that we have been consistently, I think, saying that 4 -wheeler seat is something which will take some time to sort of build because we know that the industry where we are in terms of PV seating. There are a lot of, what you call, OEMs who also have equity in their 4 -wheeler seat providers.
So, it's a little difficult to enter into that. So, we also said we are having the JV. The JV partner has 65 plants across the globe and got best of the PV customers and PV seating te chnologies. But in India, we wanted to go a little slow and step by step. So, we just inaugurated the plant, which will manufacture the mechanism for seat recliners. So, it is only mechanism , a small part of the recliner.
In Phase 2, we will work to see how do we make the recliner, then move to frames and then move to seats. So, it's going to be a painful journey, something which will take time, and that's how we are also trying to see that we put investment once we have vi sibility of a business. There is no point of putting investment and then scouting for business. So, I think that's the approach we have adopted for PV seating.
We are already in discussion with some of our customers for PV seating. We have given them our v alue proposition. So, it is more at a discussion and engineering technical evaluation stage.
Moderator: Our next question is from the line of Rishi Vora from Kotak Securities.
Rishi Vora: Three questions. First, on the alloy wheel business. Can you roughly tell us what is the split between -- for the industry, what is the split between GDC and LPDC wheels? And how do you think this mix will shift over the coming years? Is one technology better than other -- one type of wheel better than other? Or do you thi nk that whatever the c urrent mix is, it will sustain? Secondly, on the Lighting segment, what would be

the current LED penetrat ion both in PVs and 2-wheelers?
And how do you expect it to, let's say, inch up over the coming years? And lastly, on the EV business, on the 2 -wheeler, 3 -wheeler side, we have a good EV -specific portfolio as well. So, when do we start looking at the passenger vehicles? Like are we looking at any specific penetration numbers for the industry to reach before we start looking aggressi vely into, let's say, developing products for the EV passenger vehicle segment as well?
Sunil Bohra: Thanks, Rishi. I think very, very important points. So, your first question was on alloy wheel, any split on GDC, LPDC. So -- and also, is there any techno logy difference, etcetera , and do we see any shifts? So just to give some background. So, if you see the technology -wise, in one stronger the rim is stronger, in other technology, the centre part is stronger. So, in terms of performance, there is zero impa ct. But in terms of ideology, differen t OEMs have different ideology.
So, if you see the customers, primarily the Japanese customers would have been using GDC technologies. And if you see the Korean and the European customers have primarily been using LPDC technology. So once a customer uses GDC, you rarely would find him moving to LPDC or vice versa. Now in terms of ratio, it all depends on the way the industry grows . So, if a customer or OE, who is using GDC grows more, then obviously GDC will grow or som ebody's -- LPDC will grow.
I think that was the reason why we also gradually started wanting to get into LPDC. And while we still are primarily the GDC wheel manufacturers, LPDC the perspective, we have put a 25 kt per month line in Gujarat, which is runni ng very fine but in terms of new business, we have been obviously getting some inquiries for LPDC. But they have not been remunerative enough to justify capex.
So, from that perspective, I think we are all geared up to serve both the customers and it's ver y difficult to comment what will grow more, what will not grow more. Moving to the lighting...
Rishi Vora: Just a follow -up, sir, but there is no shift that is happening within the OEM, right? Whoever is following the GDC, they want the GDC technology, etcetera ?
Sunil Bohra: That's what we have been experiencing currently. We can't say about future, but that's what currently it is.

Rishi Vora: Understood.
Sunil Bohra: In terms of lighting LED penetration, so LED penetration, in 2 -wheeler is significantly hi gher than 4 -wheeler because of sheer kit value. As you know, the kit value is more than 3 x to 4x of Halogen versus LED lamp. So, 2 -wheeler, the penetration is significantly has almost 25%, 26% penetration versus the 4 -wheeler. So, 4 -wheeler, what is happen ing is you would have seen that mostly the vehicles come up with a DRL, daytime running lamp wi th LED.
The lamp Itself is not a LED, it's halogen lamp. So, while the DRL in terms of LED penetration is there across. But in terms of LED lamps, it's still catching up. And mostly, if you see, it is catching up in the taillamps. So taillamps actually are becoming more and more complex. You would have seen the taillamp of 4, 4.5 feet, it's a complete LED lamp. and LED taillamp are actually getting more c omplex than a headlamp. So, penetration of headlamp and taillamp LED, I don't have readily handy available. Maybe we can work to see if we can give you off -line, but that's where we are.
In terms of EV business, are we looking at any industry penetration before we start, it's not like that. So, while partly you're right, the industry penetration is very less, it is roughly 70,000, 80,000 cars a year in terms of EV and that also components are largely imported. So, we have been working on our 4 -wheeler EV st rategy. And hopefully, in next one or two quarters, we will be able to come out in terms of our EV s

trategy for PV specifically because, you are right, you
need certain volumes to sort of start investing. So, we are working to see how we can b alance in terms of capex and the revenue.
And before that, what kind of products we will have in terms of EV. We have been working in a lot of them. You would have seen us in the expo also be it auto expo or he mobility expo, we have deployed -- displayed a lot of products from the EV PV perspective. But in terms of coming up with a comprehensive slide of the product portfolio, l ike we have for 2 and 3 -wheeler on the presentation, maybe in a couple of quarters will come back with the PV side as well.
Moder ator: The next question is from the line of Shashank Kanodia from ICICI Securities.
Shashank Kanodia: Just wanted to check on the EBITDA margin trend. So, we have been clocking this 11% kind of place for quite some time. So, at the company level, is there any endeavo ur to improve it by, let's say, 50 basis points or 100 basis points each year going forward? Or how do we should look it?
Sunil Bohra: Absolutely, Shashank, I think that has been our endeavo ur. So , a large part of our business growth, even thoug h we've been delivering 25% kind of growth. We've not been able to get advantage of operating leverage because of the reasons we just spoke about a little while back in terms of new plants, new capacities or some new business like electronics, which is at a little lesser margin than the average margin.
But it compensates in terms of ROCE. So, our endeavo ur is how do we deliver return on capital of 20% and then see that whatever margins are required we deliver in that line. Yes, in terms of near future, our endeavo ur is to grow the margin from 11% range to 11.50% and then 12% as we move along. But immediately, in the next year, we hopefully should be around and consolidating at this time before we move forward.
Shashank Kanodia: Sir, does the increasing share of business from lighting and light metal technology helping in the margin front, given that you're doing a lot of value additions there?
Sunil Bohra: Actually, one is productive, one is counterproductive. So, it all depends on asset turn. So, you know that the casting, the asset turn is very less, but margins are better, which is a reverse for lighting. So actually, one compensates for others. So, I think that's where we are.
Shashank Kanodia: And sir, secondly, for next fiscal year, what is the ki nd of volume growth assumptions or indications are you getting from the OEM? So , some of the PV guys have been mentioning about less than 5% kind of industry volume growth. PV pace is someway declined. So , your assessment of this demand, especially for the 2-wheeler segment?
Sunil Bohra: So, Shashank, I think we normally don't comment on industry numbers. I think our customers are at the best place to respond to that, and we don't want to second guess them .
Shashank Kanodia: Okay. But sir, are endeavo ur is to outperform them, right by what margins? Or any particular ratio that you're thinking about?
Sunil Bohra: So, our communication has been very clear, Shashank, that over a long t erm, I'm not saying one quarter, two quarter, over eight to 10 years, I thin k we've been working to see how do we consistently deliver at least 1.5x of industry growth. Yes, in past, we have delivered much more than 1.5x. But when you talk of much longer term, our endeavo ur is to deliver consistently at least 1.5x. And maybe we'll do better than that.
Moderator: Ladies and gentlemen, the last question for today is from the line of Nikhil Kale from Invesco.

Nikhil Kale: So, I had just one question, which is regarding the exports part, specifically in alloy wheels. So just wanted to understand your views on, do you see

a big opportunity on alloy wheel, sir,
because I think a couple of your peers are looking at this in a big way. And again, maybe just the technology aspect of it is that even that you would do majority GDC, does that ki nd of limit the export opportunity for you...
Sunil Bohra: So, Nikhil, honestly, we have been actually working very, very aggressively in the past to see how do we serve the export market. In fact, in past, we had business also which we could not deliver. It's just a good problem to have, but the problem is that the domestic market has been growing at a pace much faster than what we were in creasing capacity.
In fact, the last capacity which we were to expand at Bawal which we could not do that, has become little bit counterproductive. So, we are working to see that we have a dedicated export sort of capacity available in the next capacity expansion, whatever we do. Because in the export market, once you get into, it is not so mething you can do up and down.
You have to be consistent in terms of supplies. So , since our hands are all full in terms of domestic demand and consistently our customers have been increasing their indents. We have not been able to sort of support our export market. But that remains a bi g area of focus. And hopefully, in our next leg of expansion, we will come up with some capacity which will be dedicated to serve the export and aftermarket segment.
Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question -and-answer session. I would now like to hand the conference over to the management for closing comments.
Sunil Bohra: So, I would like to thank everyone for joining on the call. I hope we have been able to respond to all your queries adequately. For any further information , we request you to please get in touch with us . Stay safe, stay healthy. And thank you once again for joining.
Moderator: Thank you. On behalf of Uno Minda Limited , that concludes this conference. Thank you for joining us, and you may n ow disconnect your lines. Pllt•J1 MINDA]
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Call: May 2024

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Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
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Sub: Transcript of the Earnings Conference Call held on Thursday, 23 May, 2024 on the
Audited Financial Results for the Quarter and Year ended on 31 March, 2024
Dear Sir(s),
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations
and Disclosure Requirements) Regulations, 2015, please find enciosed the transcript of the
Earnings Conference Call held on Thursday, 23 May, 2024 on the Audited Financial Results
for the Quarter and Year ended on 31 March, 2024.
A copy of the said transcript is also uploaded on the website of the Company.
www.unominda.com.
Please take the same on records.
Thanking you,
Yours faithfully,
For Uno Minda Limited .,0da (
g Delhi ■
? Q 80 Tarun Kumar Srivastava *
Company Secretary & Compliance Officer
Encl: As above.
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 "Uno Minda Limited
Q4 & FY'24 Earnings Conference Call"
May 23, 2024
Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 23rd May 2024 will prevail.
MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL
OFFICER
MR. ANKUR MODI – HEAD – CORPORATE FINANCE &
COMMUNICATION

Moderator: Ladies and gentlemen, good day and welcome to the Uno Minda Limited Q4 and FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sunil Bohra, Group Chief Financial Officer from Uno Minda Limited. Thank you and over to you, sir.
Sunil Bohra: Thank you, Zico. Good afternoon everyone and a warm welcome to all the participants. On the earnings call today, I am joined by my colleague, Ankur Modi. We have uploaded our financial results and investor presentation for Q4 on the stock exchanges and our company's website. I would like to begin by giving some insights on the economy, followed by the current scenario in the industry and our financial and operational performance for the quarter and FY '24. Post that, we will open the floor for Q&A.

The global economy is displaying signs of recovery, with inflation moderating and being projected to grow at a rate of 3.1%. However, amidst the prevailing global uncertainties, India's economy continues to exhibit remarkable resilience. In the third quarter of FY '24, India achieved a growth rate of approximately 8.4%, surpassing expectations.
This growth is driven by factors such as continued demand momentum across various industries and segments, increased government capital spending, rural demand also rebounding. India's manufacturing activity reached a 16-year high in March with PMI index of 59.1. This surge has created more jobs, with unemployment data showing sharp reduction, overall reflecting stronger growth in new orders. All these factors point to a sustained growth.
India's GDP growth for FY '24 is expected to be 7.6%, surpassing estimates by most global agencies.
Speaking on the auto industry, the industry witnessed robust production volumes growing 10% year-on-year for FY '24 and 21% year-on-year in Q4 FY '24. With strong domestic demand and increasing share of exports worldwide, India has positioned itself as a global automotive hub with a promising future.
In the passenger vehicle market, SUV share continued to grow, now holding a substantial 50% market share. During Q4 FY '24, production volume increased by 10% year-on-year, reaching 13.4 lakh units. For FY '24, the PV segment witnessed a growth of 7% inching towards 5 million units.

Notably, both retail sales and production of passenger vehicles achieved an all-time high in FY '24. On the back of improved vehicle availability, a compelling model mix, and successful launch of new models. Additionally, sustained demand growth in our under-penetrated India market, strategic marketing efforts by OEMs and government investment in road infrastructure contributed to the overall sales and production growth.
Moving on to the two-wheeler segment, in Q4 FY '24, the production volume stood at 55.24 lakh units, delivering a strong growth of 26% on a year-on-year basis. For the year ended March 2024, the segment achieved highest production in the last four years, with 21.4 million units, recording a 10% year-on-year growth, fuelled by improved rural demand, enhanced model availability, the introduction of new products and a positive market sentiment. Alongside the burgeoning EV m

arket and strategic premium segment launches.
On the CV front, for the quarter ended March 2024, the production volume stood at 2.88 lakhs as compared to 2.9 lakhs in the same quarter last year. The segment is witnessing stable volumes. However, our outlook remains optimistic.
With expected upswing in industrial and manufacturing activities, the segment is poised for growth. For FY '24, the production volume stood at 10.66 lakhs, a growth of 3% on a year-on-year basis. The growth is attributed to the segment's adeptness in leveraging government tenders, improved road connectivity and strategic bulk deals.
Talking about electrification, in March 2024, India achieved a remarkable milestone with electric two-wheeler sales surpassing 1.36 lakh units, marking an impressive 50% year-on-year growth. Throughout the entire financial year, sales soared to nearly 9.4 lakh units, reflecting a substantial 30% year-on-year increase. This surge was partially driven by customers pre-purchasing vehicles ahead of the expiration of the FAME II subsidy, complemented by year-end discounts.
On conclusion of FAME II, The government has announced a fund-limited scheme with a total outlay of INR500 crores for the period of four months with effect from 1st April 2024 till 31st July 2024 for faster adoption of electric two-wheelers and three-wheelers to provide further impetus to the green mobility and development of electric vehicle manufacturing ecosystem in the country. The road to electrification is inevitable and India is poised for substantial growth, with strong emphasis on sustainability and thrust on local production.
Industry outlook, heading into FY '25, the Indian auto industry is poised for growth amidst a mix of optimism and challenges. The excitement around new product launches, particularly electric vehicle, sets a forward-looking tone. Manufacturers are gearing up with better supply chains and an array of models to meet diverse consumer demands.
Economic growth, favourable government policies and an anticipated good monsoon are expected to fuel demand, especially in the rural areas and the CV sector, which is closely linked to infrastructure projects and economic activity. Market sentiment is cautiously optimistic, with the industry banking on improved customer engagement and financing schemes to boost sales. However, it faces challenges like high base in PV segment and intense competition.

The focus is on overcoming these hurdles with innovation and strategic market engagement, aiming for a balanced growth across all segments.

Coming to financial and operational performance, you may refer to slide number five. We have recently secured an allotment of strategic land parcel of around 94 acres from HSIIDC at IMT Kharkhoda in Haryana. This will help expedite our ongoing and future expansion. A part of this land has been designated for the Greenfield alloy wheel plant of 120,000 wheels per month, announced in Q2 FY '24. Post the ground breaking ceremony, the work has started at the site. As you know, we have been proactively securing land parcels in all major auto hubs to be ready to meet growing demand. Last year, Uno Minda had acquired 86 acres of land at Khed City Industrial Park, Pune, followed by recent acquisition of 37 acres in Hosur, Tamil Nadu, and now 94 acres in IMT Kharkhoda Haryana. While we continue to evaluate more land at other locations, the proactive land acquisition and Greenfield projects demonstrate our commitment to staying ahead of the curve in the rapidly evolving Indian auto landscape.

During the quarter, we entered into technical license agreement with StarCharge Energy Pte. Limited to manufacture and sale of electric vehicle supply equipments in India, further building on the e-four-wheel specific portfolio. We will discuss this in detail in subsequent slides.

We have completed purchase of 26% stake

in Minda Westport Technologies Limited in April '24, increasing stake to 76%. Minda Westport has now become a subsidiary and will be consolidated in financials from Q1 FY '25. The compressed natural gas powered vehicles in India have increased by 32% in FY '24, in line with increasing CNG penetration. Minda Westport revenues have also grown by 156% to INR277 crores in FY '24.

With better availability of supplies, new CNG model launches for PVs as well as CVs, strengthening of CNG infrastructure and the CNG penetration, it is further expected to increase levels of about 18% by CY '27 from current levels of 15% penetration. This presents an exciting opportunity for Minda Westport going forward. Coming to financial and operational performance, you can refer to slide number seven and nine.

At consolidated level, revenues from operations for the quarter ending March '24 increased by 31% year-on-year to ~INR3,800 crores from ~INR2,900 crores in Q4 FY '23. The growth was evident across all product lines, with particularly strong performance from EV products, lighting, switch, sensor, controller and alloy wheel businesses. Some of the businesses which played a significant role in the substantial growth are primarily from one. Capacity expansion and ramp-up in 4-wheel alloy wheel, 2-wheel alloy wheel, 4-wheel lighting Gujarat plant and 4-wheel Chennai plant.

Second increase in revenues from EV-specific products under Uno Minda FRIWO and Controller. Third market share gains in 4-wheel lighting business. Fourth increase in kit value with higher sales of SUVs in passenger vehicles and premium model in 2-wheeler. And last increase in exports for seating and 2-wheeler switch business.

As you would have noted, EBITDA for the quarter was a record at INR474 crores, deflecting a 48% year-over-year improvement from INR319 crores. Besides benefit of operating leverage as

normally expected the current quarter also benefited from yearly price increase settlement. Finance costs have increased to INR32 crores in comparison to corresponding quarter last year on account of incremental borrowing for capex and working capital.

The depreciation has increased in line with capitalization of new projects. The share of profit loss of associates, JVs for quarter jumped to INR58 crores as against INR24 crores in Q4 FY23. As Denso, Roki, Westport, TRMN and TG, all businesses witnessed significant growth along with turnaround in Minda Onkyo.

As you would see, there is an exceptional income. Consequent to the decision of honourable Supreme Court that interest on CVD portion towards EPCG liability is not payable, the related provision has been reversed and this being a one-time item has been shown as exceptional income. The profit after tax, which is Uno Minda share for the quarter was at INR290 crores as against INR183 crores.

However, excluding the exceptional item from the profit, the quarter would have been INR269 crores as against INR290 crores which is a growth of 47% year-on-year. Moving to financials for FY24, we have achieved consolidated revenues of over INR14,000 crores for the year ending March 24, registering a growth of 25% on year-on-year basis. We would like to highlight that industry volume growth for FY24 was 10% and against which we have grown by 2.5X significantly higher than our long-term guidance of 1.5X.

The EBITDA for the period grew by 28% at INR1,585 crores registering EBITDA margins of 11.3%. The profit after tax which is Uno Minda share for the period excluding exceptional item, was at INR861 crores as against INR654 crores in corresponding period last year reporting a growth of 32%.

Coming to the business segment-wise performance starting with switches if you can refer to slide number 12. Our switching system segment performed exceptionally well generating

INR963 crores in revenue for quarter representing a signific

ant 25% of our consolidated
revenues. The segment grew 14% for FY24 generating revenues of INR3,663 crores as against INR3,203 crores in FY23.
This growth can be attributed to smarter switches with increased number of switches per vehicle. Additionally, exports in the two wheeler segment emerged as a major growth driver, signifying our global competitiveness.
Moving to lighting business, it continues to be a key growth driver for Uno Minda generating impressive revenues of INR 972 crores during the quarter representing a significant 26% contribution to our consolidated revenues. For full year, lighting business achieved revenues of INR3,368 crores growing by 31% on year-on-year basis. As communicated in past, we had some significant strategic order wins over past few years. These businesses are gradually commencing production. This is significantly propelling the growth trajectory of the lighting business, particularly in the four-wheel segment. Our lighting business has delivered significant growth in recent past with four-wheel lighting business almost doubling in less than 2 years. This success is driven by our market-leading innovative lighting solutions to that empowering OEMs to

differentiate their offerings in the marketplace. We are currently supplying three long tail lamps and one signature LED front DRL for EV model of the largest PV EV manufacturer in India. This unique signature DRL comes with welcome and goodbye sequence and charging indicator. Buoyed by success in Indian market some of these models are also being launched in global markets with manufacturing in these global geographies. We are confident that this positive momentum to continue fuelled by sustained SOP and continuous expansion of our market share.
Moving to casting business, it delivered a robust revenue of INR770 crores in Q4 accounting for a substantial 20% of our consolidated revenues. Out of INR770 crores, four-wheel alloy wheel contributed INR436 crores, two-wheel 204 and casting business INR130 crores. The casting business revenues for full year grew by 30% to INR2,830 crores. Both two-wheeler and four-wheel alloy wheel has been witnessing good growth supported by capacity expansion.
Four-wheeler alloy wheel capacity stands at 390,000 wheels per month which is running at almost 100% utilization. The 60K expansion at Bawal is delayed with 30K expected to commission in second half of FY25, and the work on remaining capacity will commence depending on the necessary approval for land acquisition.
We started construction for 120K wheel per month Greenfield plant at upcoming auto hub IMT Kharkhoda which will be commissioned in two phases of 60K each. The first phase is expected to be commissioned by Q2 FY26. Within alloy wheel, we are seeing preference for different varieties. During the quarter we have received a large order for diamond-finished alloy wheel from a Japanese OEM for the facelift and a new EV model.
Alloy wheel penetration in PV has reached around 45% from 15% when we entered the market, along with the growth in market we have cemented our position as the largest manufacturer of four-wheel alloy wheel in the country. At our two-wheel alloy wheel business, the additional capacity of 2 million was completed in the last quarter and is having stable operations.
This expansion brings the total installed capacity for two-wheel alloy wheels to impressive 5.4 to 6 million wheels per year depending on the weight of the wheel. With this additional capacity coming in, we have broken into the top three two-wheel alloy wheel manufacturers in terms of capacity and market share. Additionally, as you would have noted board has also approved expansion of the plant by another 2 million wheels per annum with an investment of INR300 crores.
Over the last few quarters, we have significantly diversified our customer base with around five

key customers with business in both scooter and motorcycle segment. During the quarter, we received an order for an American two-wheel OEM model manufactured in India. Moving to seating business a key contributor another for our overall performance generated around INR264 crores in revenue representing 7% of our consolidated revenues.
For full year seating business, revenue stands at INR1,100 crores. Besides our existing incumbent two-wheeler OEMs we have started supplies for two new age EV OEMs. These supplies for new incumbent two-wheeler OEMs will start in the next 6 months. We are happy to

inform that we have secured an order for a mechanical suspended seat and pneumatic suspended seat to be supplied to a domestic CV OEM.
SOP of the said order is expected in Q3 of 2025. Until now, we have been supplying suspended seats only to the export market. Exports continues to play a crucial role in driving the growth for

seating business. We once again achieved export of around INR200 crores from our seating business alone.

Looking ahead, we anticipate seating business to maintain a healthy growth fueled by new order confirmations and upcoming execution of new orders along with suspended seat order for the Indian market.

Moving to acoustic segment generated revenues of INR213 crores in Q4, representing a stable 6% contribution.

Acoustic business also grew by 13% on a full year basis to INR833 crores. While the Indian business continues to demonstrate industry-led growth the European subsidiary Clarton Horn continues to experience ups and downs. Clarton Horn did close the year with a positive EBITDA and PAT for the quarter as well as for the year.

Moving to other products and businesses which have achieved revenues of INR613 crores for the quarter contributing 16% of overall top line. Out of INR613 crores, INR130 crores was contributed by controllers, 107 by sensors, 110 by blow moulding, INR68 crores by ADAS, INR55 crores in the new EV JV.

Besides, above the sales include aftermarket trading, external sales from Uno Minda Katolec and Engineering sales in Europe and batteries for aftermarket. Revenues for other business segments have grown by 50% to 2,236 as we continue to expand in emerging technologies. Over the years, we have built a very robust portfolio of sensors comprising of engine and exhaust sensors, active safety and comfort sensors, transmission and suspension sensors, CNG EV sensors, wheel speed sensors, and the latest addition is tyre pressure monitoring system. Revenues from sensors have grown significantly from INR160 crores in FY21 to over INR400 crores now. We have combined ADAS division with sensors from operational perspective. Together with ADAS sensors secured revenues of INR600 crores. Our controller business continues to impress with achieving INR375 crores sales for FY24. Uno Minda EV systems also clocked in INR196 crores revenue in first full year of operation itself.

Moving to aftermarket and International revenues slide number 14 and 15 you can refer to. In terms of our revenue pie for the quarter ended March 24, OEM business accounted for 93% and aftermarket at around 7%. Our aftermarket division revenues stood at INR256 crores for the quarter. Our interest rate sales currently represent approximately 14% of total revenue demonstrating steady growth in this segment.

While the international market holds strategic importance for our future expansion, it is worth noting that our domestic business has been experiencing more pronounced growth.

Moving to our debt levels, our net debt as of March 31 was at INR1318 crores compared to INR1078 crores as on March 23. The net debt has increased on account of expansion capex as well as expenditure for land banks primarily at Pune and Hosur for around INR220 crores. While

sustaining and growth capex has been financed from business cash flows, expenditure primarily on land banks has resulted in incremental debt.

Our net debt to equity stands at healthy 0.25x. We have achieved ROCE of 19.8% basis annual profits of FY '24. Kindly note that capital employed considered for calculation does include the capex for land bank as well as CWIP, which is currently not generating returns. If one were to exclude only the strategic land banks, the ROCE would have been around 20.68%. In terms of return on equity for FY '24, it stood at around 19.4%. The board has also recommended a final dividend of INR1.35 per share, which is 67.5% of face value.

Total dividend along with interim dividend already paid will become INR2 per share, which is 100% of the face value. We have been consistently increasing our dividend payout ratio from 10% in FY '19 to 13.4% now. In last five years, our dividend payment amount has increased fourfold from around INR28 crores in FY '19 to the estimated payment of around INR115 crores for FY '24. The board underscores our commitment to returning value to shareholders on a consistent basis.

Moving to EV, you can refer to slide number 15 and 16. Revenue from EV 2-wheeler OEM increased to INR180 crores in Q4, as against INR167 crores in last quarter. We witnessed growth in EV-specific as well as traditional products sales to 2-wheeler EV OEMs. The revenues from EV 2-wheeler OEM is expected to continue to increase with SOP of various orders. We have built a strong order book for EV-specific products as well as existing products from EV OEMs. We have received further orders from our existing products from OEMs across vehicle categories. The SOP of these orders will start in gradual manner in FY '25, which will further boost revenues from the EV segment.

Building up our EV-specific product portfolio for 4-Wheeler, we had entered into a TLA with StarCharge to manufacture and sale of EVSE in India. The EVSE comprises of wall-mounted AC chargers designed for convenient home charging. These chargers are usually sold along with EV to customers by OEMs to provide ease of charging at home.

StarCharge is a global leader in electric vehicle charging infrastructure and microgrid solutions operating in 67 countries and regions with manufacturing facilities in USA, Vietnam and China. With millions of EV charging stations installed worldwide, StarCharge is at the forefront of providing cutting-edge charging solutions for diverse applications. StarCharge has been a strategic partner of 60 plus well-known OEMs and multiple renowned energy companies globally.

The potential kit value of these EVSE ranges from roughly INR14,000 to INR70,000 with estimated application factor of 40%. We have multiple RFQs in hand for EVSE with high probability of winning some of them. According to the IEA, most EV charging demand globally has been met at home or at work and not by publicly accessible chargers.

Uno Minda, in partnership with StarCharge, aims to revolutionize such home charging solutions, paving the way for faster, cleaner mobility adoption in India. In terms of capital expenditure, referred to slide number 24, as informed earlier, we have started construction at IMT Kharkhoda, for our Greenfield Alloy Wheel Plant for 4-wheelers. Though there was a delay in starting construction due to land acquisition, we will fast-track the capex implementation given the land acquisition is completed and machinery order is in progress.

The phase 1 of 4W Lighting plant at Khed is expected to commission in second half of FY '25 with construction going on in full speed. Regarding 4-wheelers system plant at Farrukhnagar, Gurugram, phase 1 comprising of sub-part manufacturing is completed. Given the humongous opportunities coming our way, we will continue to drive in FY '25 as well.

The capital expenditure has alread

y announced projects like 4-wheel alloy wheel at Kharkhoda and Bawal, 4-wheel antique plant at Pune, Uno Mindarika plant Farrukhnagar, Uno Minda EV systems will be undertaken in FY '25 as per plan. We are likely to further expand in Indonesia and Aluminium die -casting 4-wheel with fresh capex announcements in FY '25. As mentioned earlier, pursuant to additional orders, the board has also approved capex of INR300 crores for expansion of 2-wheel alloy wheel plant at Supa to add capacity by another 2 million wheels per year.

This will take the total capacity to roughly 7.5 to 8 million wheels per annum. For FY '25, the sustaining capex is expected to be around INR450 to INR500 crores and project capex of around INR850 to INR900 crores including the expansion of 2-wheel alloy wheel project approved today. In addition to above, we will continue building strategic land bank in locations like Gujarat, Hosur and other related regions.

Moving to strategic business updates, the board has approved increasing stake in TG Minda from INR47.93 to INR49.9 by buying INR1.97 stake in promoter-held entity at consideration of INR17 crores. The remaining 50.1% stake in TG Minda is held by the JV partner TG. With respect to merger of Kosei entities with Uno Minda, we have received NOC from Stock Exchanges and approved from lenders, creditors and shareholders. We have also moved the application to NCLT. The next date of hearing is in 1st week of August and we expect that post the hearing it will take another 2-3 months for merger process to get complete.

Moving forward, the outlook continues to be promising with supporting industry volume guidance, ccommissioning and ramp-up of multiple new expansions, namely EV plants, 2-wheel and 4-wheel alloy wheel expansion, lighting plant Gujarat and Pune, etc. While we have been guiding on long-term growth prospect of 1.5x of industry growth, we expect it could be higher in the near term. As you know, while quarter-on-quarter there is variance in margins due to inherent business modalities and challenges, we would like to maintain our annual EBITDA margin guidance of 11% plus minus 50 basis point range with a bias towards higher end.

With our existing diversified portfolio, new product technologies, we are confident of sustained outperformance over long-term. With this, I would like to now open up the floor for questions.

Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: Thank you so much for the opportunity and congratulations on strong margin performance and entry into 4-wheel EV segment, sir. Sir, firstly, on the gross margin side, this quarter, can you quantify the impact of price hike?

Sunil Bohra: Sorry, come again, Mumuksh.

Mumuksh Mandlesha: Can you quantify the impact of price hike during this quarter, sir?

Sunil Bohra: There is no price hike, Mumuksh, that's what I think we said in the last call also. There are normally whatever are the customer price settlements, they normally tend to get settled in the last quarter of the year or maybe third quarter of the year. So, you do see a little more benefit in the last quarter. If I have to quantify that impact, that is roughly around INR30 odd crores during

the quarter.
Mumuksh Mandlesha: Sir, now on the 4-wheeler EV with the StarCharge partnership. So, I just want to understand how we see the revenue trend for the StarCharge and also now with the 4-wheel EV focus area. So, over a medium term, any guidance you want to share how you plan to ramp up like in 2-wheel as you mentioned earlier?
Sunil Bohra: Yes. So, I think, Mumuksh, by end of next quarter, I think we will have much, much, much better clarity because we have just signed the TLA and the team is in process of preparing the detailed project report. Post that, we will have some visibility but still, yo

u know that our dependence is there always on the OEMs and we normally don't comment on the numbers in terms of the expected revenues.
But in terms of the entire product profile, because StarCharge is only one part of it, we already have a lot of other products which currently are in the works and some of them are also in operation. So, maybe we will give you a full picture where we have our results call after Q1.
Mumuksh Mandlesha: Sir, lightning segment is seeing a strong growth. So, just want to get a sense how is the profitability in this segment? Earlier, it used to be like a high single digit, sometime back. So, how that has changed, sir? Is this the lightning as a more profitable segment among the other segments?
Sunil Bohra: I wish it was. But I think we have discussed this in past also. First of all, just to put some background, we know that the kit value for the lighting products as it moved from halogen to LED has increased significantly and with a lot of bought out component in terms of electronics. And I think that has been the key reason why we said that the margin in the four-wheel lighting business specifically, which is seeing that kind of growth is below average margins, which continues to be there.
Mumuksh Mandlesha: And lastly, on lighting part, are we seeing a very good pickup on the new orders? Can you just guide how do you see the next year in terms of growth for this business?

Sunil Bohra: So, this business is, I think we have been saying very candidly that we are very, very bullish on this business with multiple, I would say, tailwinds and also in terms of getting more business, tailwind in terms of transition from halogen to LED, increase in kit value going multi-fold and also share of business gains. So, we are very, very optimistic specifically in four-wheel lighting business.
We know we are currently in process of constructing our Khed plant for lighting four-wheelers. Once that is up and running, that will give us the boost. In fact, even at the plant in Gujarat, which we have put up, it's almost running out of the capacity. The plant was commissioned only, what, two and a half years back or two years back. So this business will continue to grow and our goal has been to reach 20% share of business as the first milestone and I think we are on track to achieve that.
Mumuksh Mandlesha: Is there any guidance, any growth guidance for FY'25? What kind of growth we can see for lighting, sir?
Sunil Bohra: I think, Mumuksh, the same thing. We said we don't comment specifically on numbers. So, my apologies for that.
Mumuksh Mandlesha: Thank you so much for the opportunity.
Sunil Bohra: Thanks, Mumuksh.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Yes, sir. Thanks for the opportunity and congrats on a great set of numbers. Sir, on this lighting side first, just to continue the last question, I mean, if you look at the current quarter and just annualize it, so it implies a close to 16%-17% growth for the next year and we also have this new plant which is coming up in the second half, which you mentioned. So can you throw some more light on to which of the orders which are ramping up here and does this mean that, this segment can grow at more than 30% probably in the coming few years?
Sunil Bohra: Absolutely, Siddhartha. First of all, thanks for the compliment. In terms of growth, whether it is 30% or 20%, you know that a lot also depends on the industry volume. So it's very, very difficult to say whether it will be 20% or whether it will be 30%, but definitely it will outperform industry growth by a margin.
If you see last year itself, the four-lighting business have done annual revenues of roughly around INR1,200 crores odd and the last quarter itself, we have done something like INR380 crores, INR390 crores

or close to we can say INR400 crores. So with that itself, I think we are poised for that kind of number what you said, but a lot also depends on the industry volumes. So while we are optimistic, maybe we are able to achieve that, but very difficult to comment whether it will be 30% or it will be 20% or 25%.
Siddhartha Bera: Okay. Sir, can you provide the breakup between four-wheeler and two-wheeler and where are

you seeing the most traction, sir?

Sunil Bohra: Obviously, four-wheeler lighting is the more traction, Siddhartha. Two-wheeler lighting, we already are like 25% plus kind of market share domestically and we already have much higher penetration in two-wheeler in LED. So there is not much of scope in terms of value enhancement. So it is the four-wheeler lighting business which you will see outperforming by a huge margin.
Siddhartha Bera: And sir, how much was it in the last quarter, four-wheeler?
Sunil Bohra: Four-wheeler lighting, last quarter I said I think INR380 crores-INR390 crores was the four-wheeler lighting business in India.
Siddhartha Bera: Okay. So, sequentially, sir, last quarter Q3 also you had mentioned about INR340 crores from four-wheeler. So has the delta come more from the two-wheeler?
Sunil Bohra: No. So INR340 crores to INR390 crores I am saying is only four-wheeler.
Siddhartha Bera: Yes. But our revenues have grown from INR850 crores to INR970 crores, so nearly INR120 crores.
Sunil Bohra: Yes. So that also includes, Siddhartha, the overseas lighting business in ASEAN and also in Europe. So that is overall group lighting business. What we are referring to is the Indian INR340 crores. That is the Indian lighting business.
Siddhartha Bera: Okay. Got it. Sir, second question is on the seating side. Again, we have seen good improvement in industry volumes in two-wheeler and CVs. But our seating revenue seems to have been quite flattish sequentially. So some thoughts here. You have said that you have won a couple of orders. If you can quantify what is the size of these orders and how to think about the growth here?
Sunil Bohra: So the new order which we have got is from the Indian CV customer is roughly around INR80 crores to INR100 crores a year depending on the volumes. Plus, the quarter-on-quarter number, I appreciate, yes, it is flattish. But that's what I think we have seen in terms of the CV volumes also, which have been actually negative in the last quarter.
So, the seating business revenues, almost half comes from the CV/ OR segment. Plus, there has been some headwinds in terms of the exports. While we are the global supplier to JD, and there is a lot of exports, that has not been seeing significant volumes uptake. In fact, it has been more static to negatives in terms of volume. So, while we have got business in hand, I think it is the volumes which we are not in our hands. I am not trying to justify, but that is the key reason why the revenues are flattish.
Siddhartha Bera: Okay. Sir, lastly, the two-wheeler capex, which is about INR300 crores, I think the last capex of similar size was about INR190 crores. So why the capex intensity seems to be slightly higher here? And lastly, on this aftermarket revenues, we have not seen much improvement over the last one year, revenues seem to be around that 270-280 type of run-rate. So, any thoughts what will drive this or what are you thinking here?
Sunil Bohra: No, you are right. I think both the questions are very, very genuine, Siddhartha. So, first of all, the two-wheeler lighting project, which was announced at INR190 crores, it was actually ended

at INR225 crores. By the time it got completed, there was significant cost overrun. And for that INR225 crores, the land was already part of the first acquisition. So there was no land cost in the second phase.
Now, w

hen we are setting up this new expansion, we have to buy this 13 acre of land from MIDC. Plus, over last three years, there has been a significant increase in the cost of construction and also the machinery, etcetera. So while we tried and tried to optimize a lot of things, plus also, what is happening is in this expansion, there is a powder coating extra, which was not there in the first phase.
So, if you see, there is one specific customer who uses this wheel, two-wheeler wheel for a scooter with different technology of coating, which the cost is higher than the traditional covering. While it does get compensated through better pricing, but the overall cost increases. So that is in terms of capex.
And in terms of aftermarket, yes, you are right. The aftermarket revenues, despite our significant push in terms of increasing the sales, have not seen a significant traction over last one year. But if you see the industry, barring one or two players, I think the numbers have been like that. People have not grown significantly. So while there was a significant growth year before, this year, which is FY'24 has been flattish, but we are expecting FY'25 to be much better than what we have done in FY'24.
Siddhartha Bera: Got it, sir. Thanks a lot. I'll come back in the queue.
Sunil Bohra: Thanks, Siddhartha.
Moderator: Thank you. The next question is from the line of Raghunandhan NL from Nuvama Research. Please go ahead.

Raghunandhan Nl: Thank you, sir. And congratulations on a strong set of numbers.
Moderator: Sorry to interrupt you, sir. May I request you to use your handset, sir? Your audio is slightly muffled.
Raghunandhan Nl: Yes. Congratulations, sir. Firstly, within the other segment, you know, the sensor, controller, and ADAS part have done very well this year. How do you see the outlook for FY'25? And secondly, in terms of the EV order book, congratulations on the increase from 3,300 to 3,700. If you can give some more color with, you know, like addition for orders of traction motors, motor controller, how do you see the ramp up for this particular opportunity? And if you can indicate, you know, how many customers you have got on the motor side, just some color on how you see the growth ahead.
Sunil Bohra: Yes. Thanks, Raghu. In terms of the other segment, as you know, these are businesses which are primarily the sunrise businesses, which is maybe sensors and controllers. The application is going very, very high. All the EV products are also part of this segment. So we are very optimistic in terms of the growth of some of these businesses. And as we move forward,

normally our barometer is once a business crosses 10% of total revenues, we start showing this separately as a segment.
So I'm pretty sure in the next few years, we should be having one or two businesses who will actually cut into that category. And in terms of the EV order book, the large part of the orders which we have secured in the last quarter is primarily from the existing businesses, which are the EV agnostic businesses, while they are from all the EV players, but nothing significant from the EV specific product perspective.
And in terms of the motor business, while we have got a couple of new customers onboarded, the SOP of those onboarding will happen in business, secured in the last quarter primarily, the SOP will happen sometime in the second half of FY25. I think one customer is in Q2 itself, and the rest I think are in the second half of FY25. In terms of motor controllers and others, there is going to be a significant ramp up in the current year.
As I have discussed, some of these products have gone into production in the last year, and some of them will get into production in this year. And as I said, in the first year itself, this JV has clocked revenues of close to INR200 crores, and we are pretty optimistic that it will see a sig

nificant growth in the coming years.
Raghunandhan Nl: Thank you for that, sir. And a couple of quick clarifications. One is the INR30 crores price settlement which was received in Q4. Instead of looking at Q4 gross margin, it would be better to look at full year FY24 margin to get a normalized level. Would that be a right understanding?
Sunil Bohra: Absolutely, Raghu. I think you have said what I wanted to say. In fact, that is what I always say that, and I think I said in my commentary as well, that we are in a business where quarter-to-quarter you might see there is a variation in terms of margins because we are not a B2C company.
So there are times when the settlement takes time. There are times when prices go north. There are times when prices go south in terms of the commodity pricing.
So there are various factors, but everything gets evened out on a full year basis. So that is why it is very important to see the full year profitability, and that is where we have improved by almost 25 basis points on a full year basis. So I would say that is more realistic, and I appreciate you asking that question.
Raghunandhan Nl: Thank you for that, sir. And in terms of because you are adding capacities to meet the strong demand, there will be some upfront cost, but over a period of two to three years, how do you see the triggers for the margin?
Sunil Bohra: No, we are very, very optimistic, Raghu, and as I said, and I think I said in the commentary also, while our margin guidance has been 11% plus minus 50%, I said for FY24-FY25, we would tilt it towards the upper end of that range. And as you move forward, and as you rightly mentioned, a lot of these projects, once they come onto stream, normally we see the third year full year of production as a stable operation.

And that is where you expect that business to deliver its expected volumes and profitability. So as you move forward, and as these capex all come online, gradually, ideally, we should see some uptick in margins, benefiting from the operating leverage, and also scales, higher scale.
Raghunandhan Nl: Got it. Just on the margin side, a last question. In terms of the revenues are going up for EV-specific parts, so any benefits we can expect either in FY25 or FY26 from the PLI incentives?
Sunil Bohra: So as we speak, a lot of our products are actually, while they are eligible in PLI, we are at a threshold of that 50% DVA, plus minus three, four percentage points. So we are working on to see how we improve our DVA to meet that criteria of domestic value at a 50%. I think that is the only key reason which is holding us back.

There are some of the products which we are expecting approval from the government, maybe
in this quarter itself, but they are not very significant, so I'm not counting on that. And secondly,
there's one product which qualifies the DVA, major product I'm referring to is motors, but for
that you need to have stable operations because they see and audit what is your exact DVA, etc.
So that also, hopefully, we should be able to apply in the next year.
Raghunandhan Nl: Got it, sir. Thank you so much, and best wishes.
Sunil Bohra: Thanks, Raghu.
Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.
Mr. Ashish Jain, your line has been unmuted. I would request you to unmute your line from your
side, please. Yes, sir. We are unable to hear you, so may I request that you use your handset?
No, sir. We are unable to hear you, sir.
Mr. Ashish Jain, may I request that you use your handset? May I request that we move to the
next participant? Mr. Ashish Jain, we would request you to re-join the queue, please. The next
question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead. Mr.
Ashutosh Tiwari, may we request you to go ahead with your question?
Ashutosh Tiwari: Yes, hi, sir. Cong

rats on such an exemplary performance during the quarter. And also, probably,
nobody would have imagined the kind of growth we have seen in Lighting segment a few years
back, or even sensor controller. I think these are really very, very strong growths we have seen
over the last few years. And the first time the lighting revenue crossed even the Switches segment
revenue. So my first question, and probably a question of these two segments only, how do you
see going ahead sensor controller shaping up over the next few years, and also Lighting segment?
Sunil Bohra: So thanks, Ashutosh. Lighting segment definitely continues to grow, and will continue to grow
as we speak over next four to five years. The key reason I think we have just discussed also is
the kit value gain, the new business, and also the expected share of business gains. Moving from
14%, 15% share of business to 20% is not going to be easy. While we do believe that we do have
-- got businesses in fold, and it's only a matter of time we will reach that goal post of running
20% share of business.

The kit value also has been expanding. So we do expect this momentum to continue. But as I
said, the only, what we call, the moving part is the volumes of the model which we have secured
the business. So if that remains on track, I'm sure we will be able to deliver the growth in lighting
business as we have done in past. What was the second question?
Ashutosh Tiwari: Sensor controller, I think we have done roughly INR775 crores put together.
Sunil Bohra: Yes, so sensor controller also is doing phenomenally well. Sensor and controller business both
are seeing a significant addition of new business. Controller, you know some of the EV product
business which are part of UML are also into that business like telematics or wireless charger.
There are a lot of other businesses which are part of this business which continues to grow.
And also now we have aligned ADAS business also with the sensor business because there's
also has a lot of sensors and related stuff. So sensor and ADAS internally we have aligned as a
single business and as a sensor also, the number of sensors application has been consistently
going up.
And as you may have noted, we have also added one more product to our kitty which is tyre
pressure monitoring system sensor. And we have already secured a business from one of the
largest OEM in the country. So hopefully that should also go into production sometime in the
next year.
Ashutosh Tiwari: So I think you mentioned that in the fourth quarter the controller was INR130 crores and sensor
was INR100 crores, right?
Sunil Bohra: Yes, fourth quarter, okay. Yes, Yes.
Ashutosh Tiwari: So we are already adding INR920 crores run-rate in the last quarter. So I think this business also,
overall will grow very strongly. Like can we assume like say a 20% plus kind of growth rate in
this business over the next few years?
Sunil Bohra: I would definitely like to work on 15%-20% kind of growth assuming the industry volumes also
support.
Ashutosh Tiwari: Okay, okay. And lastly, on this alloy wheel four-wheeler business, don't we think that we are
probably a bit behind in terms of capacity addition because the way it is ramping up and the way
we are operating, we probably have to fasten the things. So obviously there is some delay due
to this land acquisition and all. But going ahead probably we have to probably drive ahead of
what we are guiding right now.
Sunil Bohra: No, Absolutely, you are right. And that has been the feeling inside the organization because this
is a business we all know. We have been seeing very closely for the last four years. We have
been running like hand-to-mouth situation. And this is not a good situation to be in. While it is
good that before the project is announced, even your surplus capacity gets blocked. But that's
what the market is

giving. And if we are not ready, we might lose the business.

So we have been now working very aggressively in even building this land bank. A large part of this is also identified for alloy wheel. So while we are putting this 120k project in Kharkhoda as of now, the space and everything what we have earmarked can grow up to 240,000 wheels a year.

In addition, we might soon have to even expand our plant in Gujarat given the volumes are being ramping up there. So there also we might see some sort of expansion in the current fiscal year. But for your point taken, we have to be a little more aggressive in our capacity addition in the four-wheel alloy segment.

Ashutosh Tiwari: And just one more thing on this Minda Westport, that CNG kit business. You mentioned the sales was INR177 crores in the fourth quarter.

Sunil Bohra: Quarter?

Ashutosh Tiwari: I just heard, somebody mentioned.

Sunil Bohra: Full year.

Ashutosh Tiwari: Okay and that also will grow quite fast. It's a high-margin business as well, right?

Sunil Bohra: Yes, a little obviously above average margin. And I'm pretty confident over the next few years, this also has the potential to INR400-500 crore run rate.

Ashutosh Tiwari: Okay, thanks and congratulations and all the best for the next three to five years of growth. We have delivered extremely strong.

Sunil Bohra: Thanks, Ashutosh.

Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie. Please go ahead, sir.

Ashish Jain: Sir, my question was again on the lighting business. Is it possible to give a sense of volume growth versus value growth that we have seen in the four-wheeler lighting business particularly?

Sunil Bohra: Very difficult to say, Ashish, volume growth versus value growth, because even if this is the business currently we are, or the momentum we are in, even if the industry doesn't grow, this business will grow. But the only issue is that the businesses we are tied up has to grow more.

For example, and why I'm saying I think you would have heard in my commentary, I said, we have got three like long tail lamps, like this tail lamps, the cost is almost INR18,000 to INR20,000, almost like per tail lamp, whereas the other model, if it's a halogen lamp, it's costing INR2,500.

So if the volume of that model goes up, then obviously your destiny is linked there. So very difficult to say what volume will grow and how much your sales will grow. But my point is, even if volume doesn't grow, I think this business will continue to grow.

But only issue is the growth of that high value business, which is not in our hand. And that's why it's very difficult to say. I think the other colleague also has, other friend also asked this question, how much of growth we should expect in the next quarter or the next year? So as I said, while we are gearing up our capacities for the kind of growth you expect, but very difficult to say whether it will be 20% or 25% or 30% growth.

Ashish Jain: Right. But is it safe? So given the kind of model launches we are seeing and particularly the product you spoke about, that is really seeing high penetration and all. So is it safe to assume that the way industry is moving in terms of model launches and these kinds of features, this is like a structural thing and there's no reason for us to believe it will go down?

Sunil Bohra: No, absolutely. If you see some of the global markets, you see the ASEAN markets, you go to Korea or Japan or other countries also, I'm not looking at commenting on the developed world, which has more affordability. I'm commenting on market, which does not have more affordability there.

Also, you see the long connected tail lamps its penetration is very high. So yes, it might be a case where there may be a structural shift, but it all gets driven

by the customer preference and
also whether the customer is willing to pay that, that delta. But yes, it could be, but difficult to comment on because as of now, not many vehicles have got these connected long tail lamps or headlamps.

Ashish Jain: The second question was on switches business, like if I look at the last three quarters, switches business has been pretty much flattish in that INR 900 Cr of band how are we seeing that progressing?

Sunil Bohra: Yes, so switch business, we all know that we are actually having a lion's share, almost in both the segments, four wheeler or two wheeler, both are above 50% market share. So obviously to gain beyond that market share is difficult. But even if you see, despite that challenge, even on a quarter on quarter basis, this business has grown from INR930 odd crores, roughly like 3% to 4%.

It has grown quarter on quarter. So I think while your point is valid, but I don't think I can compare this business with the light business where there is a structural change. So but if you see year on year, on a full year basis, this business has actually grown 14%.
Whereas the industry, if you see average blended of PV and two wheeler has not grown with those levels, maybe it's like 8% to 10%. So still there is an outperformance in this despite, and this is despite the exports are currently not to the quantum what we are expected. So this business definitely is not as I said, in the very high growth trajectory, like alloys and lights, but it will continue to outperform the industry volumes supported with the kit value and exports.
Ashish Jain: Thank you so much.
Sunil Bohra: Thanks.

Moderator: Thank you. The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.
Rishi Vora: Yes. Hello, sir. Congratulations on good set of numbers. My first question is pertaining to EV segment. Can you just throw some light on how currently you are seeing the demand trends given the reduction in the FAME subsidies? And also in your order book, can you broadly give us indication on like what amount of order book is from the incumbent two wheeler OEMs and what part would be from the new age OEMs?
Sunil Bohra: So you see, first of all, very difficult to comment on demand. And I think you would have seen consistently we don't comment on industry volumes, what is the kind of penetrations or volumes etc. We don't try and guess our customers.
But in terms of the EV order book, remember, we normally don't comment on order book also, but we have started commenting on EV order book because there was a request from every corner to do that. So I would request not to further ask to split that information. So I think even this information we have been discussing internally as to how long we should continue to give.
And if you all of you are okay, I would at some point, I would like to stop that also, because this does not give a full picture of the organization. Because we are today almost a INR20,000 crores organization. And aspiring to become multi fold here.
And when I give only this EV volume, I'm commenting on only a fraction of the total business.
So which might be okay, which might not be okay. So even we are sort of trying to debate ourselves as to how long we continue this. But my humble request, please not push us to give a further split of these numbers.
Rishi Vora: And just on the gross margin side, we have seen some uptick in the base metal prices recently. Obviously, our alloy wheel business will have some dependence on Aluminum. But apart from that, which would be major commodities for us? And are we seeing any inflation currently in those elements?
Sunil Bohra: So this is part and parcel of life. Yes, you are right. Recently, Aluminum prices have seen a spike. But most of our businesses, during this commodity high period post COVID, I think three years back, we

have tried to align all our contracts with the customers with the annual price escalation quarterly or half yearly price escalation clauses.
So on a full year basis, almost 95% gets passed through to our customers. So that is not any concern for us. So if prices goes up, we try and collect from customers. If prices go down, we share with the customers. So from that perspective, I think we are pretty hedged.
Rishi Vora: This is at that last data question, what would be the full year revenues for four wheeler and two wheeler alloy wheel business? You might have shared, but I just missed that?
Sunil Bohra: For four wheeler and two wheeler alloy wheel business?
Rishi Vora: Yes, revenues, full year revenues.

Sunil Bohra: Okay. So two wheeler alloy wheel business full year revenues is around INR670 crores. And four wheel is roughly around INR1,350 crores.
Moderator: Thank you. The next question is from the line of Nishit Jalan from Axis Capital. Please go ahead.
Sunil Bohra: Yes, just to correct the number, which I have given INR1,350 crores was for Minda Kosei only.
Yes, Nishit, sorry, go ahead.
Nishit Jalan: Yes. So congratulations on good set of numbers. Mr. Bohra, my question is that you have grown so much faster compared to the industry growth. We are market sharing the segments now, especially the bigger segments, the lighting, the alloy wheel, the tools, seating?
Moderator: Yes, sir. Your audio is not clear, sir. May I request you to use your handset, please?
Nishit Jalan: Yes. My question was that you have grown ahead of industry and across almost all segments over the last few years. So just wanted to understand what would be your market share across different segments now? Alloy wheel, lighting, seating, and maybe sensors and controllers. I would assume you're very small right now and there's a lot of growth potential. So how are the

market shares in these three categories, in both two-wheeler and four-wheeler and how it has moved in the last three years or any data point you can give us on this would be very helpful.
Sunil Bohra: Yes. So the market share in four-wheel, alloy wheel is over 40% as we stand today. In terms of market share for two-wheeler, we are roughly at around 15%, 16%. We are just 6 million and I'm annualizing the capacity, not actual sales for 2024. 6 million on roughly 35 million kind of consumption.
We will be roughly at around 15% market share because I'm almost running at capacity for two-wheeler alloy wheel business. In terms of lighting, two-wheeler, we are roughly around 25%, 26% and four-wheeler, we are roughly around 16% to 17% now.
Nishit Jalan: And seating, you mentioned you are above 50% in both the categories right?
Sunil Bohra: No, Seating, we are above 50% primarily in CV/ OR, not in the two-wheeler.
Nishit Jalan: Okay. And you just mentioned that one question was that industry leading passenger vehicle OEMs are talking about a very low growth in the passenger vehicle industry this year. Even Triumph has talked about only about 2%, 3% kind of growth. Are you seeing any such slowdown in the volumes, industry volumes or on the production schedule? So, what would be your view in general about the industry growth?
Sunil Bohra: So, as I said, Nishit, we don't comment on industry volumes, but I can say what volumes we have been guided by the customers to plan for 24- 25. And they tend to be a little low in PV segment, which is 5% to 7% and for two-wheeler segment, it is 7% to 10%. But as I said, these are guidance from our customers to be prepared with the capacity. Now, whether how much actually will happen, I think our customers are best placed to respond to that.
Nishit Jalan: Correct. And just one number I missed out, what did you talk about the FY'25 capex? Was it INR850 crores per project capex and INR450 crores maintenance. Is that correct?

Sunil Bohra: Yes.
Nishit Jalan: So, total INR1,300 crores?
Sunil Bohra: Yes. INR1,300 crores to INR1,400 crores, yes.
Nishit Jalan: Okay. Thank you so much.
Sunil Bohra: Thanks, Nishit.
Moderator: Thank you. That was the last question for the question and answer session. I would now like to hand the conference over to the management for closing comments.
Sunil Bohra: Thanks, everyone. So, I would like to thank everyone for joining on the call. I hope we have been able to respond to all your questions adequately. For any further information, we request you to please do get in touch with us. Stay safe, stay healthy, and thank you once again for joining with us.
Moderator: Thank you. On behalf of Uno Minda Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

Uno Minda Limited
(Formerly known as Minda Industries Ltd.)

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Sub: Transcript of the Earnings Conference Call held on Wednesday, 07 August, 2024 on the Un-Audited Financial Results (Standalone and Consolidated) for the Quarter ended on 30 June, 2024

Dear Sir(s),

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on Wednesday, 07 August, 2024 on the Un-Audited Financial Results (Standalone and Consolidated) for the Quarter ended on 30 June, 2024

A copy of the said transcript is also uploaded on the websi te of the Company www.unominda.com.

Please take the same on records.

Thanking you,

Yours faithfully,
For Uno Minda Limited

Tarun Kumar Srivastava
Company Secretary & Compliance Officer

Encl: As above.

“Uno Minda Limited
Q1 FY '25 Earnings Conference Call”
August 07, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 07th August 2024 will prevail.

MANAGEMENT :

MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL OFFICER

MR. ANKUR MODI – HEAD, TREASURY & COMMUNICATION

Moderator: Ladies and gentlemen, good day, and welcome to the Uno Minda Limited Q1 FY '25 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star, then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sunil Bohra, Group Chief Financial Officer. Thank you, and over to you, sir.

Sunil Bohra: Thank you very much. Good evening, everyone, and a warm welcome to all the participants. On the earnings call today, I'm joined by my colleague, Ankur Modi. We have uploaded our financial results and investor presentation for Q1 FY '25 on the stock exchanges and our company's website. We hope everybody had an opportunity to go through the same. As always, I would like to begin by giving a brief insight on the economy followed by the current scenario in the auto industry and then to our financial and operational performance for Q1 FY '25. Post that, we will open the floor for Q&A.

In the realm of global economic dynamics, India's economy continues to remain stable, amidst global challenges. Recent projections by IMF highlight India's significant role in contributing to half of the world's economic expansion along with China. According to the Economic Survey '23-'24, India's GDP grew by 8.2% in FY '24.

This can be attributed to digital revolution, massive government infrastructure investments and expanding middle class coupled with political stability. Reserve Bank of India had projected the Indian economy to grow at 7.2% in FY '25 on the back of improving rural demand and moderating inflation. India is at the cusp of a major structural shift in its growth trajectory, moving towards the path where around 8% GDP growth could be sustained for a longer term.

Moving to the automotive industry. Riding on overall economic growth, especially in the rural markets, the Indian automobile industry also saw a robust performance across all segments in the first quarter of the current fiscal in comparison to the corresponding quarter last year.

For the quarter ending June '24, the industry experienced a 16% year-on-year increase in production volumes. This growth was evident across key vehicle segments with primary driver being a resurgence in demand for 2-wheelers in rural areas and the introduction of new models.

The industry also witnessed a stable growth of 2% quarter-on-quarter, led by 2-wheeler segment, which was at 6%.

Moving to PV industry. During Q1, the PV sector witnessed production volume growth of 6% compared to the same period last year, reaching a total of 1.2 million units. This growth was driven primarily by utility vehicles. The segment did see a volume decline of 10% quarter-on-quarter basis, largely on account of high base effect as Q4 had seen record production. The 2-wheeler segment experienced substantial growth with production volumes rising by 20% to nearly 5.9 million units. The sector is showing promising and sustained recovery, especially in rural areas. In the commercial vehicle sector, production volumes remained flat relatively. This was impacted by the slowdown in public and private capex due to general elections.

Moving towards electrification. The E-2-wheeler registration as per SMEV declined by 40% to 1.82 lakhs i n comparison to last quarter. The registrations were down by 17% year-on-year basis as well. The decline was largely on account of reduction in subsidies following last year's reduction in subsidies under FAME II in July 2023. The government further reduced the subsidy by half in April '24, with the introduction of 4 months incentive scheme under Electric Mobility Promotion Scheme 2024. We believe the reduction in subsidy benefits is a short-term impediment for electric two-wheeler manufacturers and could exert pressure on cost structure. The long-term potential for electric vehicle segment remains favourable aided by improving cost of ownership vis-a-vis ICE vehicles and enhanced customer confidence with regard to range anxiety, financing avenues and other vehicle attributes such as safety. In addition, the government focused on promoting electric vehicles through various initiatives will continue to drive electric vehicle adoption over the medium to long term.

Coming to financial and operational performance. You may refer to Slide number 7 and 8 of the presentation. Uno Minda delivered a strong financial performance in Q1, marked by robust revenue growth and improved profitability. Consolidated operating revenues surged by 23% year-on-year to INR 3,818 crores, driven by broad-based growth across key product lines. Notably, the lighting, alloy wheels, switches, sensors and controller segments exhibited strong performance. EBITDA for the quarter reached INR 408 crores, reflecting a 24% year-on-year increase. EBITDA margins were in line with the margin of Q1 in previous year despite higher employee and administrative costs. We maintained the margin guidance as provided in our previous communication, which is 11% plus minus 50 basis points with bias towards upper range.

Finance costs for the quarter increased to INR36 crores due to higher borrowings to fund capex, land acquisitions and working capital. The company's share of profit from associates and joint venture grew to INR 37 crores in Q1 FY '25 from INR 30 in the corresponding quarter last year. This increase was primarily driven by strong performance of Denso Ten, Roki, and TRMN and TG joint venture entities. Uno Minda's total attributable profit increased by 15% year-on-year to INR 199 crores in Q1 reflecting the overall robust financial performance.

Now moving to the business segment-wise performance. You may refer to Slide number 11, starting with switches. Our Switching Systems segment demonstrated exceptional performance in Q1 FY '25, generating revenues of INR 958 crores, contributing significantly to 25% of our consolidated revenues. This represents a year-on-year growth of 14%, driven by an increase in

kit value due to higher switch content and robust export performance. Notably, 2-wheeler switch exports recorded highest ever in the current quarter.

Moving to Lighting. The lighting business continues to be a key growth driver, contributing significantly to complete performance. In Q1 FY '25, the segment generated impressive revenues of INR 894 crores representing a 26% year-on-year growth and a substantial 24% share of consolidated revenues.

The 4-wheeler lighting segment has been particularly strong, driven by successful launches of new products including another long tail lamp for a major OEM. Additionally, 2-wheeler lighting division has exhibited robust growth supported by overall 2-wheeler market expansion. The commissioning of Phase 1 of our new 4-wheeler lighting plant at Khed in Q4 FY '25 is expected to further bolster our capabilities in this segment.

Our European operations based in Germany have emerged as a center of innovation for niche lighting solutions catering to premium passenger vehicle OEMs. The successful launch of our Roof Star Liner lighting solution has been a testament to our technological prowess. Building upon this success, we are

now developing the next generation of Roof Star Liner using TFT based light sources. We are offering some of the solutions in Indian market and have seen very encouraging response with adoption of some of the solutions like illuminated logo.

Our Casting business showcased robust performance in Q1, generating revenues of INR 750 crores, contributing 20% to our consolidated revenues. The segment experienced 21% year-on-year growth driven primarily by the alloy wheel business, which contributed INR 504 crores. The remaining INR 142 crores were limited by the aluminum die casting business. Both 2-wheeler and 4-wheeler alloy wheel segments have witnessed substantial growth supported by capacity expansion initiatives.

To meet growing demand, we are expanding our Bawal facility by an additional 30,000 capacity scheduled for commissioning in H2 FY '25. We have also now secured land for another 30,000 capacity expansion in Bawal with the implementation work to commence shortly. Additionally, construction of a new 120,000 wheel per month greenfield plant at IMT, Kharkhoda, Haryana is progressing as planned.

Our Seating business generated INR 271 crores in revenue during Q1 FY '25, contributing 7% to consolidated revenue. There is a slight improvement in revenues quarter-on-quarter basis.

Revenues remained flat in comparison to corresponding quarter last year. One of major target vehicle segments from Seating business, which is commercial vehicle production volume have declined both Q-o-Q as well as Y-o-Y restraining our growth in seating business.
Our main export market, European agriculture machinery vehicle market also remains subdued. Consequently, our export was stable in the quarter. We would also like to inform you that we have commenced commercial production from our new plant of JV with Tachi-S.
As we move forward to subsequent quarters, commencement of supplies to new incumbent OEM customers, increase in volumes from E-2-wheeler OEM, commencement of supply of pneumatic

suspended seat is expected to give boost to revenues. Hence, we remain confident of medium to long-term growth of our Seating business.
Acoustic segment generated INR 204 crores in revenue representing a stable contribution to our consolidated revenues.
Moving to other product businesses, which have achieved revenue of over INR 700 crores for Q1, contributing 20% of overall top line. Out of this, around INR 112 crores was contributed by controllers, INR 177 crores by sensors and ADAS, INR 110 crores are blow-moulding products, INR 60 crores by Uno Minda FRIWO JV. Revenues of around INR 100 crores from Minda Westport, which is being consolidated from current quarter is also part of other product business.
We would like to highlight that our alternate fuel business under Minda Westport is doing extremely well, registering a 54% growth in FY '24 with revenues of around INR 280 crores.
We have continued the growth momentum and have clocked over 1/3 the revenue of last year in the first quarter itself. We continue to win orders for charges from e-2-wheeler and e-3-wheelers.
During current quarter, we have 3 new orders for EV chargers for e-2-wheeler and e-3-wheeler.
We have also won an order for BMS from incumbent e-2-wheeler OEM. We had added tire pressure monitoring systems to our product portfolio in the last quarter. We have now secured an order for TPMS as well.
Moving to EV, you can refer to Slide number 15 and 16. The revenues from EV 2-wheeler OEMs was INR 160 crores in Q1 as against INR 136 crores in corresponding quarter last year. The growth demonstrated is despite a 17% drop in e-2-wheeler volumes over the same period as shared just a little while back. This was primarily on account of new business getting on stream related to EV specific components.
Moving to our aftermarket and international r

evenue, you can refer to Slide number 13. In terms
of our revenue pie for quarter ended June 2024, OEM business accounted for 93% and the rest is aftermarket business. Our aftermarket division revenue stood at INR 235 crores for the quarter.
Our international sales currently represent approximately 13% of total revenues demonstrating steady growth in this segment. While the international market holds strategic importance in future expansion, it is worth noting that our domestic business has been experiencing more pronounced growth and hence share in overall pie has softened.
Moving to the next subject, which is the TLA. Uno Minda had been leading CASE mega trends aligning all the products and technology road map with these mega trends. After demonstrating strong execution in e-2-wheeler and e-3-wheeler portfolio, we are now building our EV-specific product portfolio for 4-wheeler. In March '24, we had entered into TLA with StarCharge Energy PTE Limited, to manufacture and sale of wall-mounted AC chargers designed for home apartment and public charging with various connectivity options like Bluetooth, WiFi and 4G connectivity. In June '24, we have further entered into TLA with Suzhou Inovance Automotive for manufacture and sale of select high-voltage category electric vehicle products for passenger vehicle and commercial vehicle in India.

The select EV products include charging control unit, EV inverter, EV motors, next generation 3-in-1 electric drive systems or commonly called e-Axle. This partnership will significantly expand our E2, 4-wheeler portfolio enabling us effectively cater to growing Indian EV market.
Inovance is an established player with over 2 decades of experience in industrial automation and drive technologies. Uno Minda aims to further strengthen the partnership by transitioning it into a JV subject to necessary approvals. As the PV EV volumes pick up, we have started receiving RFPs for domestic manufacturing including StarCharge and Inovance products.
Currently, we are working on 7 products, which are battery disconnect unit, AC charging cable, low-voltage and high-voltage integrated onboard chargers and DC-DC converter, AVAS,

telematics and electric drive unit or e-Axle, e-Axle is a combination of e-motor, inverter and reducer integrated in 1 unit commonly called 3-in-1. Amongst them, battery disconnect unit is already under production. Though as per the design and specification from OEM, we will gradually look to develop the full capability in house. As was announced earlier, we have already won an order for AC charging cable from a PV OEM and low voltage charging unit from EV LCV. AVAS and telematics are mainly level of development from our existing 2 wheeler EV specific product portfolios.

Moving from electrification to another mega trend, which is equally strong, is personalization. We have capitalized on personalization mega trend with our innovative lighting solution, alloy wheel, diversified sensor portfolio to name a few. Recently, we have another exciting product, which is Sunroof. On 1st August '24, we entered into TLA with Aisin Corporation, Japan, to manufacture sunroofs in India.

Aisin is a Fortune Global 500 company and has been consistently ranked as a top 10 global Tier 1 automotive supplier. Aisin also holds the largest market share in sunroof product segment in Japan supplying multiple multi-panel, panoramic and standard sunroof. Sunroof penetration has witnessed a fivefold jump in the last 5 years, presenting a compelling market opportunity. Through the synergy of our combined expertise and production capabilities, we aim to establish ourselves as a front runner in the burgeoning sunroof market. We are pleased to inform you that we have also secured an order from one of the OEMs with expected SOP in Q4 of FY '27. The Board has also approved capital expenditure of INR 63 crores for t

he new plant to be set up at
Bawal in Haryana.

Moving to strategic business updates. We are at the last leg of merger approval for Kosei joint venture entities with Uno Minda Limited. The final NCLT hearing is scheduled in this month. We expect it will take a couple of months post approval from NCLT to receive orders and file with RoC to complete the merger exercise. As we have informed earlier that our joint venture partner for speaker business, which is ONKYO Japan had filed for bankruptcy. We have been discussing with the court-appointed CRO to buy ONKYO stake in JV to make it our subsidiary and to ensure continuity of business. CRO has now approved selling its stake to us. Consequently, the Board has also approved increasing stake in Minda ONKYO from 50% to 99% in phases.

Moving to the next important subject, which is ESG. We are pleased to inform you that Uno Minda, through its CSR foundation, has inaugurated its third school in Poonapalli village, Hosur in April '24. The school has state-of-the-art facilities and infrastructure spread across a huge campus of 7.62 acres with current capacity of 800 children.

We are already operating senior secondary school with a capacity of 1,100 children at Kadi in Gujarat since 2019, and Moga Devi Minda Memorial School at Bagla, Hisar, Haryana since 2010, having a capacity of around 1,500 children.

In recognition of company's philanthropic efforts, Dr. Suman Minda, Chairperson of Uno Minda CSR arm, was honored with the prestigious HURUN, India's most respected philanthropist award. Our people are our biggest assets. Providing inclusive, supportive and dynamic work environment to our employees are the true foundation of our success.

Uno Minda has been recognized as one of India's best 50 companies to work for in 2024 as well as one of India's best workplaces in auto and auto component by Great Place to Work institute for our people-centric approach. Our CMD, Mr. Nirmal Minda has been recognized as one of the India's most trusted leaders 2024 by Great Place to Work institute. This prestigious award acknowledged Mr. Minda's visionary leadership, unwavering commitment and dedication to cultivating an exceptional workplace environment.

Moving forward, the outlook for the industry and company remains very promising. We are expanding in almost all our product lines along with continuous addition of emerging technologies through our in-house R&D center CREAT combined with globally renowned partners. With our existing diversified product portfolio, new products and technologies, we are confident of sustained outperformance over a long term.

With this, I would like to now open up the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Chandramouli Muthiah from Goldman Sachs.

Chandramouli Muthiah: My first question is on the Suzhou Inovance partnership. Congratulations on the partnership. Just wanted to understand few things around what the current status is within the industry for some of these products, e-Axles, e-motor, CCUs, e-inverters. For EVs being manufactured, e-4-wheelers being manufactured in India at this point, are all of these components being imported? Or is there any domestic player at this point? And then just related to that, also I want to

understand initial thoughts on what the potential kit value could be, if you were to be able to sell
all of these products to a customer?
Sunil Bohra: That's it Chandru?
Chandramouli Muthiah: I have a follow-up question, which I can ask after this.
Sunil Bohra: Okay. So thanks, Chandru, for your question. In terms of current market domestically, we know it's a very small volume. It is less than 100,000 cars last year. So it's -- these things are largely imported. And obviously, with this partnership, we will not only able be to localize,

but our

partner has actually been one of the potential supplier to some of the customers in India, so which will also mean localization of these parts. In terms of potential kit value, a lot also depends on the capacity of the kit. The kit value range is broadly between INR 1.5 lakh to roughly INR 2 lakh for these products.
Chandramouli Muthiah: Got it. That's helpful. And that would compare to what sort of kit value that you're selling into the 4-wheeler business roughly at this point?
Sunil Bohra: So as of now, our -- if you see our average kit value for the PV, we normally give in segment-wise. So -- but if we have to pick up the B and C segment, our kit value is roughly around INR 90,000 to INR 95,000, which is broadly common, I would say, with ICE vehicle or EV vehicle, barring 1 or 2 small products like filters, and this CNG kit. Otherwise, all these products are vehicle agnostic, be it the type of energy vehicle runs on, even in case of a future, which is the hydrogen fuel cell or the PHEV or HEV, so all these components have the application irrespective of the energy vehicle runs on. And the kit value, which I've shared is on top of that.
Chandramouli Muthiah: My second question is related to the sunroof partnership that you announced with Aisin. This is presently, as you said, faster growth market, maybe of a lower base of volumes in India. So I just want to understand around the sunroof market in India, is there any rough percentage penetration that you're able to share at this point? And also if you could share potential kit value around Sunroof as well?
Sunil Bohra: Yes. So the current penetration of Sunroof is almost 25% odd currently, just the last year's data. And in terms of kit value, kit value also ranges because there are various type of sunroofs. So you have a normal sunroof, then you have a white sunroof, then you have a panoramic sunroof, then you have sunroof where there are 2 glasses open or a single glass open. So it's a very, very wide range. So the current business, what we have already secured from one of the OEM that is for larger sunroof with single glass opening, and the kit value is somewhere between INR 25,000 and INR 30,000.
Chandramouli Muthiah: Got it. That's helpful. And just my last question is around Uno Minda and if it has any exposure to hybrids? Globally, hybrid seem to be seeing a resurgence. And in India, some OEMs are also trying to push the envelope on hybrids as a potential alternative powertrain technology. Just want to understand if you have any products in the portfolio that are exposed to hybrids or if there's anything within the portfolio that you see exposed or potentially benefiting from that trend?
Sunil Bohra: Yes, Chandru, we already have some of the products, which are actually going into current -- some of the hybrids being manufactured domestically, not necessarily from the powertrain perspective. But there are products, which are agnostic to the engine basically. So we do have exposure to hybrids.
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Congrats again for multiple JVs and partnerships over the past few months, which will keep expanding our content. Sir, my first question is on this Inovance JV again. Can you share some time lines and some investments, ballpark, if you have, which can go into these segments? And any time lines by when can we see production sort of happening?

Sunil Bohra: Yes. So thanks, Siddhartha. I think you have asked 3 questions, time lines, investment, and by when production can start. So currently, the team is working on preparing a detailed project report, and you'll appreciate this is a large project and it will have significant investments so we are currently on the Board.
Hopefully, within next month or so, we should be able to

come up with our detailed project
report, which will then put up to the Board for approval, which will give clarity on the investments, etc. In terms of time line, as you would have seen that we have clearly mentioned

that while we are entering this into a TLA, our endeavour is to convert this into JV ASAP, subject to the government approvals.
And you'll appreciate this will come under PM3, and we will have to take multiple approvals from the government, for which the process has already started, and we are expecting almost around 3 to 4 months for those approvals, I'm sharing a little aggressive time lines. In some of the cases, it has, what we understand, has taken even more. But our target is to get this approval in around 4 months or so. And by when production, obviously, once we have our project report approved by the Board, then we'll be able to tell you about the time lines on production as well.
Siddhartha Bera: And generally, in these components, could it be possible to highlight, what are the asset turns and sustainable margins we can sort of expect, say, in the medium term when it stabilizes and all?
Sunil Bohra: No, I'm sorry, Siddhartha. I didn't get the question, you're saying sustainable margins for these products over medium term?
Siddhartha Bera: Yes, for the PV products.
Sunil Bohra: So that, as I said, hopefully, I should be able to respond to all these questions once we have a clear detailed project report because all these numbers will come from them, be it profitability expected or be it the asset turn. It will be a capex-intensive business, that's for sure.
Siddhartha Bera: Okay. Sir, second question on the sunroof, where we have talked about the investments. Given the big opportunity in the country, I mean, is this sort of investment, I mean, looks quite small from that perspective. So I just wanted to hear your thoughts on -- I mean, is this just for one OEM or you plan to sort of scale it up as we move ahead. So some thoughts if you can share there?
Sunil Bohra: Yes. Siddhartha, you're 100% right. And that's how you have seen that we have been a little conservative when it comes to spending money. So the initial investment what Board has approved of around INR 63 crores, that is primarily for the business, which we have already secured. So it is obviously to support that customer with a little bit of capacity, may be roughly around 20-odd percent capacity surplus. But as and when our objective is, once we have this plant constructed, we intend to sort of showcase this to other customers.
Not that we're not going already there, but once customer -- other customers also see that Uno Minda is now actually building up the capacity for sunroof that will create that confidence for getting more business. And as we get more business, obviously, we will then have to go to the

Board again for incremental investment. So to your point, yes, this investment is only to meet the time lines and the commitment of the existing customers and where the revenues currently are estimated to be a little over INR 150 crores, INR 160 crores at the peak. So yes, that's on the size of the investment.
Siddhartha Bera: Okay. Okay. Sir, lastly, I mean, on these businesses, seating, where the growth sort of has been quite subdued in the last few quarters. I think in the past, we have talked about maybe touching maybe close to INR1,500 crores in a couple of years. So do you still maintain the target and does that mean that we should see a stronger scale up in the coming quarters? Or yes, I mean, how to think about the growth in this business?
Sunil Bohra: So we are still holding on to our targets, Siddhartha. I remember we did say doubling this revenue to INR1,500 crores over 5 years. We are now, I think, in the fourth year and I'm still sort of hopeful and we are internally working on to see that we still somehow meet our targ

et for next
year and then grow further on. That is not the floor, but that should be the platform for future growth. So if you ask me for '25-'26, yes, we are still working on the target.
Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.
Mukesh Saraf: First question is on Inovance again. You had mentioned in your opening remarks that some of the OEMs were anyways potentially looking to buy from Inovance. So should we kind of -- you said this like probably you already have some soft kind of understanding with OEMs before even like you have started the projects. So should we kind of look at it in the way that there's this confidence that you will get orders through because of that?
Sunil Bohra: So Mukesh, I think, you know us very well for past many years. So our strategy always has been -- we commit capex only once we have some visibility on the customer. And this product specifically being a capital-intensive product, definitely, we would like to have some sort of direction from our customers that, yes, we are likely to sort of secure some business. So yes, we are in discussion with some of our customers, but it's always like you need to have that order in hand, which is not there as of now.
Mukesh Saraf: Right, absolutely. So the reason I ask this question, sir, in 2-wheelers under the EV segment so far, we have seen a different strategy from some OEMs who want to kind of in-source most of the components. So do you think now that you've seen this EV segment now for the last couple

of years, interacted with so many more OEMs, do you think that there is -- and you are seeing that OEMs are looking to also outsource a lot more now? Or how is that decision changing in the last couple of years?
Sunil Bohra: Mukesh, it is very, very customer-specific and I think we did speak about it a couple of quarters back that being it in infancy stage and markets are still developing. And it will take few years to settle down as to what customers wants in-house, what in-source. Still we are seeing those batches where people are sort of building their strategy. So it will be a little premature to conclude that this is the way it's going to be for the future.
Mukesh Saraf: And next question is on these new projects. And I did notice that you are having 4 projects that are going to be coming onstream in FY '25, while there's been some change in time lines in 2 or

3 of them, I think there's some, a couple of quarters, maybe 1 or 2 quarters delay. So I hope that's just an operational kind of a delay, and we should see all these core projects getting operationalized in this year itself, FY '25?
Sunil Bohra: Absolutely, Mukesh.
Mukesh Saraf: No. Because versus last quarter, I saw some change in the time line from the SOP, that's the reason I'm asking.
Ankur Modi: This was for 4 wheeler alloy wheel at Bawal.
Sunil Bohra: Yes, I think, we discussed also that land acquisition being delayed. So finally, so what we did was, the project approved by the Board was for 60,000. Of that 60,000, 30,000, we have somehow tried to manage within the existing space. And now finally, we have bought the land. Only last week, we have been able to win through the bidding process through the HSIDC, Haryana. And now we have this land and, hopefully, the rest of the project will get started. So yes, to that extent, there is a delay in the project. Otherwise, normally they are all operational
Mukesh Saraf: And just last bit, I noticed again until last quarter, you have been providing this EV order book. I think this time around, you've not provided that. Any specific reasons?
Sunil Bohra: So Mukesh, I think we have been discussing that also because initially, we started giving because there was a lot of skeptiveness in terms of whether we will have any business or whether there is enough business being secured. So we have now established a

track record. We are already supplying almost all these components to the EV players. So I think that was the key reason that, because there was also a lot of, what we call, uncertainty in those volumes because some customers will give X volume, somebody will give Y volume, and there was some flexibility as well. So somewhere the volume expected was higher, somewhere lower. So we thought it's better not to deal with some of those uncertainties and it was felt best to sort of do away with that and that was anyway limited to only one of the small segment, which is not even like 10% of the group revenues.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Congratulations on the new partnership announcements. Sir, on the what Aisin sunroof and Suzhou, any revenue or market share targets we have for this business over the medium to long term? And particularly, on the sunroof business, any profitable margins we can achieve for this business?
Sunil Bohra: Yes. So thanks, Mumuksh. In terms of Aisin and Suzhou, so our target for every business we operate is in the medium term, we should reach 30% of the domestic share of business. So that remains our target. While we are still building those businesses, but you said what should be our medium long-term target? I think that is our medium to long-term target and they're not changing their target. In terms of profitability, it is a little early to comment on profitability as of now, but we do expect it to be in line with our average margins. But to be more precise maybe we can comment on once we start production in these businesses.

And initially you know, that initially because you have all the costs and not the revenue. So initially for first 2 years, normally, you have lower margin or, in fact, first year is normally a loss situation because of ramp-up and all those stuff. So normally, we look at third year of -- third full year of operations. And we do expect these projects to deliver those kind of average sort of margins in the third full year of operations.
Mumuksh Mandlesha: And just on Aisin sunroof, how big, sir, globally, they would be for the Suzuki player in the Japan market, sir? And toyota, sir?

Sunil Bohra: Sorry, you said how big is the Suzuki Japan market?
Mumuksh Mandlesha: Yes, I mean, for Aisin, I mean how big supply there would be for these 2 customers in Japan, sir?
Sunil Bohra: I'm really sorry, I don't have Japan number.
Mumuksh Mandlesha: But I think what we know is Aisin is the largest player in the Japanese Market
Sunil Bohra: I think he is asking about market share there. We will take a note of it, Mumuksh, and we will get back to you as soon as we get the information.
Mumuksh Mandlesha: Got it, sir. On the R&D front, we have set up this new subsidiary at Czech Republic, and talk about the products like head-up display and automation. And the last few years, we also have set up new center, CREAT. Just want to understand also there what kind of new in-house products we are seeing traction? And any meaningful areas where we can build up, sir?
Sunil Bohra: I won't raise any high expectation, Mumuksh. This is primarily since the costs are coming down, it was felt best to sort of move to east Europe to reduce some of the operating costs. And this place, Czech Republic is, I don't know, roughly I think 3.5 to 4 hours' drive from our existing plant in Ingolstadt in Germany. So it is more to do with optimizing and reducing the cost base, not more than that.
Mumuksh Mandlesha: Got it, sir. And on in-house products, anything, sir, on ADAS areas where we are getting more traction. We have worked on the cameras. So any more traction on those areas, sir?
Sunil Bohra: Traction on ADAS area, right?
Mumuksh Mandlesha: Yes.
Sunil Bohra: Yes. So we are actually working on some of these things

. As you rightly mentioned, camera, we are working on. We are working on radar as well. We are working on heads-up display. So all these are part of ADAS. In fact, actually, we are also working with supporting one of the OEM through our German operations. So there is a lot of excitement, but conversion to business is always a challenge considering the cost aspect and how much OEM want to sort of provide the features. So we are working on a lot of products. Some of these we have got some visibility on business as well. So maybe in around next 6 to 12 months, we are expecting to get better visibility on some specific ADAS businesses, including HUD and some of the products we just spoke about.

Mumuksh Mandlesha: Got it, sir. And sir on the employ costs, this kind of run rate should be sustainable with the performance appraisal and all that's happening?
Sunil Bohra: Yes, yes. So this manpower cost factors in all the appraisal cycle for the current year and also the growth. So if you see largely half of the manpower cost increases because of the increments given to operators and staff across the board. And half is roughly on account of increased scale and volume.
Mumuksh Mandlesha: Okay, sir. And just lastly, sir, I mean, we had a lot of new exciting partnerships and with a lot of new products in-house as well in areas of EVs, 2-wheelers, 4-wheelers, Sunroof, ADAS, et cetera. I mean, do you see actually over medium to long term, the pace of outperformance versus industry can be much higher than 2x, which you have been guiding for past.
Sunil Bohra: No, you are right, Mumuksh, but at the same time, we are also increasing consistently the base of the scale or the size of the business. And that is why we said that 1.5x of the industry volume in terms of our revenue growth is what we want to sustain for medium to long term. Short term, yes, there is a possibility to do a little better, but we would like to stick to our guidance.
Moderator: The next question is from the line of Raghu Nandhan from Nuvama Research.
Raghu Nandhan: Congratulations on good set of numbers and also the tie-up. Sir, firstly, on the sunroof business, what would be the current import share for sunroofs, which provides a potentially large opportunity for us?
Sunil Bohra: I don't think I have readily available, Raghu, current import share for sunroof, but we'll definitely get back to you on this.
Raghu Nandhan: Sure, sir. And secondly, in EVs, given that you have been growing there, how would you see the revenue time line of crossing INR 1,000 crores and over the next few years going towards INR 3,000 crores? Would FY '25 and '27 be reasonable target?
Sunil Bohra: So EV revenue time lines of INR 1,000 crores plus, I think it is, I would say, even in next 12 months possible. Because when we are saying EV, I'm assuming we are covering EV across the board. So I think we will cross even much more than INR 1,000 crores in the coming year, for sure.
Because if you see the numbers which are shared, even this quarter, we have delivered only for our 2-wheeler segment or 3-wheeler, almost INR 160 crores, INR170 crores of revenue, in the last quarter of INR180 crores. So that itself is like INR 800 crores of revenue plus we have another EV businesses for LCV, et cetera, which is not part of this business, LCV and PV.

So I think INR 1,000 crores is something we can cross next year itself and INR 3,000 crores is
-- I don't want to second guess. I think a lot also depends on industry volumes and also the Inovance business TLA what we have just done. So that SOP is going to take some time after approvals. So with Inovance coming on board, I think, we will soon hit that INR 3,000 crore mark as well.

Raghu Nandhan: Got it, sir. And lastly, on FY '25 capex, ex of Inovance INR 1,300 crores to INR 1,400 crores would be

a fair estimate?

Sunil Bohra: Yes.

Moderator: The next question is from the line of Amit Hiranandani from SMIFS Limited.

Amit Hiranandani: Sir, my question pertains to the sunroof business. So do we have any USP considering the competition is from the top global players like Webasto and Inalfa in the domestic market. And notably, Webasto has a very aggressive plans to increase their capacity from 5 lakhs to 9.5 lakhs units by FY '27. And continuing with this, sir, what is our 5 years growth plans for this business? And what level of investments will be required over this period?

Sunil Bohra: Yes. So Amit, if you would have noted, we just shared a little while back that as of now, the current business or the current TLA, which we have done, covers only a small portion. And even the capex what we have just shared of INR 63 crores, it covers only 1 customer, and that can deliver sales of roughly around INR 150 crores, INR 160 crores, which is what the customer has sort of guided us. We are currently working on sort of building the business case for this and how do we reach the market share of 30% we just spoke about over the next 2 years. So we are currently in discussion with a lot of our potential customers.

And at this point, it's difficult to sort of comment on the volumes. But in terms of USP definitely, whatever business we operate as the USP has always been sort of a technical edge and also localization. And third is the cost competitiveness and fourth is what normally we call this QCDD, quality, cost, delivery, and development.

So while we are still working on it, we are also working with our partner to develop sort of sunroof for Indian market, which is a low-cost sunroof, specifically, if it can be designed for the Indian market. So we are working to build on our USP as well as we sort of start this journey. But yes, you are right, we do know and we are conscious of the tough competition ahead in the sector.

Amit Hiranandani: Okay. Sir, my second question is the passenger vehicle alloy wheels. So how much is the dependency on Maruti Suzuki we have and who are our other names

Sunil Bohra: So we don't share, Amit, the customer-wise revenue of our business.

Moderator: The next question is from the line of Aditya Jhawar from Investec.

Aditya Jhawar: Congrats on a good set of numbers. I have 2 questions. One is if you can help us understand that how is the progress with the Korean OEMs? Last few years, we have been on a track record in adding products. And if you can give us some sense on what is the share of business in the current product, which we supply to them. So that was the first question. So should I take up the second?

Sunil Bohra: Yes, sure, please. Go ahead.

Aditya Jhawar: Yes, yes. Yes, my second question is on the seating business. Post the acquisition, what has been the addition of customer in different categories and how should we think about it, the growth trajectory getting a leg up in the next 2 to 3 years? These are my 2 questions.

Sunil Bohra: Thanks, Aditya. Thanks for appreciation. So in terms of the progress on Korean OEMs, as we have shared, we have gradually been consistently increasing our share of business and share of business obviously is different for different products. But to start with, now we are supplying some of the blow-molding components. We are supplying seating components. We are supplying them switches. We are supplying them something related to the lighting.

So we are supplying them on alloy wheels. So while there are multiple products, which we have sort of worked with them still, I think there is a lot of scope for improvement, and we are still in discussion with them as to how do we sort of increase our share of business, at the same time, meet their client's expectations. So maybe offline, we can share with you a different product-wise SOPs, but I must acknowledge that th

ere is a lot of scope for growth there.
In terms of seating, post-acquisition, we have added, I think many customers. We have added a couple of Japanese PV OEMs. While they don't manufacture seats, they are supplying some seating and other components like the center armrest or the headrest, seating mechanism for recliners. We have added a lot of 2-wheelers in terms of the EV players.
I think a lot of them onboarded, they are also working on one of the major OEMs from EV perspective. We have added one of the domestic bus manufacturer to the kitty. There have been a lot of additions to the -- in fact, we have also added one of the incumbent largest 2-wheeler OEM.
So hopefully, we should be starting supplies to them within next quarter itself. So there is a lot of customer addition, but as I shared little while back, there are some challenges and that's why there is not much of growth in terms of last year to this year, but we are still optimistic to sort of meet our target guidance what we have given and just shared a little while back.
Aditya Jhawar: It's very, very encouraging to hear, the kind of engagement we are having on seating business as well as the progress on the Korean OEM. Is it possible to quantify that what could be the potential order that would be -- we could translate into revenue and see things specifically in the next 2 to 3 years?
Sunil Bohra: Yes. So that's what I said, Aditya. So while currently, we are at a run rate of roughly around INR 1,000-odd crores, we are expecting next year to still meet our INR 1,500 crores target, which I'm sure look like a tall order given last year and this year not much of growth is visible, but we are still sticking to our target. And hopefully, we should be able to deliver that.
Aditya Jhawar: Okay. And in the presentation, you have called out what is the revenue contribution from...
Moderator: Could you please follow back in the question queue for further questions.
Sunil Bohra: We can take this question. Aditya, go ahead.

Aditya Jhawar: So just one thing that in the presentation, we have called out what is the revenue contribution from 2-wheeler EV OEM. And 3-wheeler EV as a category is expected to pick up quite significantly. So if you can just give us some sense that what is the order book? Or are we already supplying to the large e-2-wheeler -- e-3-wheeler OEM? And what is the expectation in the next couple of years from e-3-wheeler as a category?
Sunil Bohra: I'm sorry...
Ankur Modi: E-3-wheeler, what are the order books and...
Sunil Bohra: Separately for the 3-wheelers. Sorry, Aditya, we have not shared separately for a split of 2-wheeler and 3-wheelers.
Ankur Modi: But I think just to give you an idea, we are currently supplying to major e-3-wheeler as well, some of our EV-specific products.
Aditya Jhawar: Okay. But does the 2-wheeler number includes 3-wheeler as well?
Sunil Bohra: No. It's only the 2-wheeler.
Moderator: The next question is from the line of Sonal Gupta from HSBC Mutual Funds.
Sonal Gupta: Just could you sort of repeat the other revenue breakup? Just wanted to get on sensor controllers and how much is Minda Westport contribution in this quarter?
Sunil Bohra: Yes. So Minda Westport, as I shared, is almost INR 100 crores for the quarter. And in terms of others, you wanted the split of it, right?
Sonal Gupta: Yes.
Sunil Bohra: Yes. So I think around INR 112 crores was controllers, around INR 177 crores was sensors in ADAS, around INR 110 crores for blow-moulding products and INR 60 crores from the FRIWO JV.
Sonal Gupta: Okay. And sir, on the -- like where is our net debt now?
Sunil Bohra: You're saying net debt for the quarter?
Sonal Gupta: Yes. Quarter end.
Sunil Bohra: Yes. So our net debt to equity was 0.23 and gross debt to equity is roughly around 0.36.
Sonal Gupta: Okay. And so

in terms of -- like just trying to understand in terms of the capex plans where -- I mean, like we're sticking with the INR 1,400 crores sort of a number?
Sunil Bohra: Yes, you are right. And to be a little more precise on the net debt as at 30th June, it is around INR 1,800-odd crores.
Sonal Gupta: INR 1,800-odd crores.

Sunil Bohra: Yes.
Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv AMC.

Sabyasachi Mukerji: I have just 2 questions. So first is on the potential kit value. On the 4-wheeler side, I see the kit value for SUVs is close to INR 2,06,000-odd in 2024, which was back in 2020, it was somewhere around INR 120,000. Now with this sunroof and e-Axle and chargers and all, are these included or one needs to add the kit value to this?
Sunil Bohra: Thanks, Sabyasachi. I think it's a good question. It is for us also a feedback. We should have mentioned it, sorry for that. So this kit value is for all our existing products. And the new products like -- sunroof obviously is not part of this because it has been done now. So we normally update the kit value only on an annual basis. So sunroof is while an EV agnostic product, it has been added now, so it's not part of it. And also all these kit values exclude the EV-specific components. So that is all in addition, even same goes for the 2-wheeler as well.
Sabyasachi Mukerji: Okay. So I think you mentioned the potential addition of the content value for e-Axle would be somewhere around INR 1.5 lakh to INR 2 lakh, right?
Sunil Bohra: Yes.
Sabyasachi Mukerji: So basically, if I add that number, the kit value for 4-wheeler can go up to as high as 4 lakh for us.
Sunil Bohra: That's right.
Sabyasachi Mukerji: Okay. And very similarly on the 2-wheeler part and I'm focusing on scooters for the kit value, which is roughly INR 15,000 odd, these would be ICE only?
Sunil Bohra: Yes.
Sabyasachi Mukerji: For EV, how much it would be?
Sunil Bohra: No, it is -- if you can refer to Slide number 15, we have tried to give you what is the existing ICE and what is built up for products, which are under supply and what are in pipeline. So overall, around INR 35,000.
Sabyasachi Mukerji: Okay. Got it. But existing ICE in that slide was INR 9,300. So I got a little confused -- so INR15,000 for -- because I mean...
Sunil Bohra: So there, we are taking economy. And from that economy, we have to reduce filters because filters, you don't have application in EV so that has to be taken out. So that has been adjusted from the base value.
Sabyasachi Mukerji: Okay. And only the powertrain agnostic piece of it is INR 9,300 and then we have EV specific additions that takes it to INR 35,000.
Sunil Bohra: Yes.

Sabyasachi Mukerji: That's the correct understanding, right?
Sunil Bohra: Yes.
Moderator: The next question is from the line of Abhishek Jain from AlfAccurate Advisors.
Abhishek Jain: In this quarter, we have surpassed the last quarter revenue and despite that, our operating margin remained muted around 10.7%. So just wanted to understand what would be the key figure for the operating margin expansion? And what is your guidance for FY '25?
Sunil Bohra: So Abhishek, I'm not sure if we have shared with you earlier, but we did share on the call that we have to see our business on a year-to-year basis. This is last year versus this year because there is not only seasonality factor, but also a factor of the price increase and from settlement with our customers, which normally tend to happen in Q3 and Q4 at the maximum. So if you have to compare, I would appreciate to be compared on a Q1 to Q1 basis and not necessarily on Q4 to Q1 basis because that will always be there.
If you see last many years, I think, you will get the same sort of trends. And that is why we normally speak about the annual margin guidance

because quarter-to-quarter, there will be differences because of the variability in the business and the price settlements with some of our customers. Otherwise, the margins or the gross margins are broadly in the range what they were last year. So if you see the gross RM for last Q1 and this Q1, it is broadly in line.
Abhishek Jain: Yes, sir. But we have not seen any benefit of the operating leverage in this quarter. And just wanted to understand, you had also guided that your operating margin of 11.5% is for the whole year FY '25, would you maintain this guidance of 11.5%?
Sunil Bohra: So that also I've shared, Abhishek, in my initial sort of update that we are maintaining our margin guidance, as we shared in May, which was -- while the guidance was 50 basis points plus/minus 11%, we did mention that we are still expecting to be at the upper end of the guidance and we are still holding on to it.
Abhishek Jain: And my last question. On this acoustic business where we have seen de-growth, this is because of the issues on this export side. So can you...
Sunil Bohra: There is no issue on export Abhishek. It is primarily to do with our European operations, where obviously, the volumes are a challenge. So acoustics has a large part, which is in Spain.
Abhishek Jain: Okay. So what is the guidance for that business for the whole year, revenue growth?

Sunil Bohra: Sorry?
Abhishek Jain: So what is your guidance for the whole year revenue growth for that particular segment?
Sunil Bohra: No, we are expecting to be broadly in line what we call, Abhishek. So in India business, we will be broadly in line with the industry growth, but there are challenges from European side.
Moderator: The last question comes from the line of Neel from Valuequest.

Neel: So I actually had 2 broad questions. So one was on the newer segments that we entered. So when we usually choose to enter a new segment on what basis is that segment chosen? Is it usually from the OEM side that the request is to enter certain segments? Or are there some other factors that involve here?
And second question is for the next 2, 3 years, as we enter newer business lines, which areas would be specifically focused on. I don't want the specific parts, but just keen to hear as to what areas you feel have the most potential to scale up going forward? And also, what areas would you like to avoid at all? Yes, these are the 2 questions.
Sunil Bohra: Yes. So thank you very much. So the new segment entry basis, so we have discussed and shared this that the way we have grown these multiple businesses in the group, Neil, is we have been working proactively with our customers on various fronts - understanding what are the customers' pain points, identifying opportunities where we can convert imports into domestic production, which is localization and also looking at businesses, which are synergistic.
And last, the businesses, which are maybe the sunrise businesses or where we are seeing some significant growth potential. So these have been the levers we have always persistently been working on. And most of the businesses you would see we have added in the past few years have been emanating out of this strategy.
In terms of next 2 to 3 years, new business line and which area has to focus on, we have been aggressively working on building our EV portfolio and you would have seen this -- some of the partnerships which we have done in last few quarters. Our endeavor as we move forward, is more towards building more vertical growth and less on a horizontal growth. So what I mean is how do we go deeper into our existing businesses, be it domestically or through exports and maybe add a little less in terms of wider product.
But obviously, we don't want to get into powertrain business or you asked what areas avoided. We don't want to get in direct engine parts or engine manufacturing or we don

't want to get into
tire manufacturing or a body manufacturing. So these are some of the products, which are -- obviously which we want to avoid in terms of our strategy.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to the management for their closing comments.
Sunil Bohra: Thank you. I would like to thank everyone for joining the call. I hope we have been able to respond to all your queries adequately. For any further information, we request you to please do get in touch with us. Stay safe, stay healthy. Thank you once again.
Moderator: On behalf of Uno Minda Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

Uno Minda Limited lllt•l]
-known as Minda Industries limited) ~RIVIN• TH■ N■W-
Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: November 16, 2024
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Sandra Kurla Complex, Sandra (E),
Mumbai -400 051
NSE Symbol: UNOMINDA BSE Ltd.
Floor -25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
BSE Scrip: 532539
Sub: -Transcript of the Earnings Call held on Tuesday, November 12, 2024 on the Unaudited Financial Results (Standalone and Consolidated) for the Quarter and Half Year ended on September 30, 2024
Dear Sirs,
Pursuant to Regulation 30 read with Schedule Ill of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Tuesday, November 12, 2024 on the Unaudited Financial Results (Standalone and Consolidated) for the Quarter and Half Year ended on September 30, 2024.
A copy ofthe said transcript is also uploaded on the website of the Company www.unominda.com .
Please take the same on records.
Thanking you.
Yours faithfully,
For Uno Minda Limited
{Formerly known as Minda In
~Rt\.!)Cl'=>~~
Tarun Kumar Srivastava
Company Secretary & Comp
M. No. A11994
Place: Manesar
-Uno Minda Umlled (Formerfy known as Minda Industries limited) Co,porale Office: Village Nawada Fatehpur, P.O. Silcanderpur Badda,
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Q2 and H1 FY '25 Earnings Conference Call ”
November 12, 202 4
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th November 2024 will prevail
MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL OFFICER
MR. ANKUR MODI – HEAD, CORPORATE TREASURY & COMMUNICATION
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Uno Minda Limited
November 12, 202 4

Page 2 of 18

Moderator : Ladies and gentlemen, good day, and welcome to the Uno Minda Limited Q2 and H1 FY '25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future per formance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sunil Bohra, Group Chief Financial Officer, for h is opening remarks. Thank you, and over to you, sir.

Sunil Bohra: Thanks, Sejal. Good afternoon, everyone, and a warm welcome to all the participants. On the earnings call today, I am joined by my colleague, Ankur. We have uploaded our financial results an d investor presentation for Q2 and H1 FY '25 on the stock exchanges and our company's website. We hope everybody had an opportunity to go through the same. I would like to begin by giving some insights on the industry, followed by our financial and operati onal performance for the quarter and the half year FY '25. Post that, we will open the floor for Q&A.

Starting with the automotive industry, for the quarter ending September '24, the industry recorded 9% year -on-year increase in production volumes. This growth was primarily driven by the 2 -wheeler segment, while the passe

nger and commercial vehicle segment faced some headwinds. In Q2 FY '25, the passenger vehicle production volumes totalled 12.7 lakh units, marginally down year -on-year by 1%. Production volumes for 2 -wheeler increased by 12.5%, totalling 62.6 lakh units.

Meanwhile, the 3 -wheeler segment achieved year -on-year growth of 6%, reaching to around 3 lakh units. In Q2 of FY '25, the CV sector faced a 13% decline in production volumes, a slowdown in infrastructure project execution and a general decline in fleet utilization cost by an erra tic distribution of rainfall led to year -on-year decline in the CV segment. The electric 2 -wheeler segment remains the biggest volume driver for the EV industry in India.

EV 2 -wheeler sales revived during the quarter with extension of EMPS 2024 subsidy sch eme till September end, and eventually to be subsumed in form of the new PM E -Drive scheme. EV 2-wheeler segment witnessed retail sales of 2.87 lakh during the quarter, growing by 58% year-on-year and 29% quarter -on-quarter. The E-2-wheeler penetration has improved to 7.2%

in comparison to 4.9% in the last quarter. E -3-wheeler registrations grew by 26% quarter -on-quarter and 11% year -on-year, reaching 1.87 lakh units with a market penetration of over 50%.

Moving to current quarter. The festival season saw a strong growth across all segments, with rural outpacing the growth in the urban market. We remain highly optimistic on long -term growth prospects of auto industry, and have been preparing ourselves by investing in capacity expansion, research and develop ment, new technology trends and key resources like land and people .

Moving on to financial and operational performance for the quarter and half year FY '25, you can refer to Slide Number 7 and 8. We have delivered yet another quarter of strong financial performance and achieved highest ever quarterly revenues. Our group revenues grew by 17% year-on-year basis to INR 5,112 crores. The consolidated reported revenues also grew by 17% year-on-year to INR 4,245 crores, driven by a broad -based growth across mult iple product lines, notably lighting, alloy wheels, switches, EV components, sensors and controllers.

EBITDA for the quarter was INR 482 crores, reflecting a 20% year -on-year increase. EBITDA margins improved to 11.36% in comparison to 11.09% in the corres ponding quarter previous year. Finance costs for the quarter increased to INR 46 crores due to higher borrowings to fund capex , land acquisition and increased working capital. Depreciation also rose in line with capitalization of new projects.

The company's share of profit from associates and joint ventures is INR 48 crores in Q2 FY '25 in comparison to INR 53 crores in corresponding quarter previous year. The share of profits from associates, joint ventures was lower primarily on account of Min da Westport becoming subsidiary and their profits being consolidated. This also partially led to higher minority share.

Besides all joint ventures, namely Denso Ten Minda, Roki Minda, Tokairika Minda, Toyoda Gosei Uno Minda JV entities have reported strong operating and financial performance. Uno Minda's PAT increased by 9% year -on-year to INR 245 crores in Q2 FY '25, reflecting the overall robust financial performance. This included exceptional income of around INR 8 crores, primarily due to accounting of increased share of Uno Minda JV with Westport.

Financials for H1 for FY '24, we have achieved consolidated revenues of INR 8,062 crores for the half year ending September '24, registerin g a growth of 20% year -on-year. The EBITDA for the same period grew by 22% at INR 890 crores. The profit after tax, which is Uno Minda's share for the half year, was at INR 444 crores as against INR 398 crores in corresponding half year, reporting a growth of 12%. Coming to the b

usiness segment -wise performance, starting with switches, you can refer to Slide Number 11.

Our switching systems segment demonstrated exceptional performance in Q2 FY '25 generating revenues of INR 1,057 crores contributing 25% of our consolidated revenues,

which represents a year -on-year growth of 13%. This is despite the exports being hampered by down trade in the European market.

On manufacturing front, we have started manufacturing of components from our new Uno Mindarika plant at Farrukhnagar, Gurugram. During the quarter, we have als o announced capex for shifting existing manufacturing plant from Manesar to Farrukhnagar in second phase by Q3 FY '27. This will help in consolidating our operations in the region in one single large part with some space for commodity future growth.

Movin g to lighting. The lighting business continues to be one of the key growth drivers, contributing significantly to company's performance. In Q2, the segment generated impressive revenues of INR 970 crores, representing a 16% year -on-year growth and a substa ntial 23% share of consolidated revenues. The 4 -wheeler lighting segment has been particularly strong, driven by success of our long tail lights.

The commissioning of our new 4 -wheeler lighting plant at Khed in Q3 FY '25 is expected to further bolster our capabilities in this segment. We have also secured orders from PV OEM in Indonesia for lighting. To meet this demand, we have announced setting up of manufacturing facility in Indonesia under our wholly owned subsidiary, PTMA.

Uno Minda has been a signific ant player in the Indonesian market since 2005 when established its first manufacturing facility. PTMA currently supplies components and systems to major 2-wheeler OEMs in the country. The new plant will enable Uno Minda to diversify its product offering and cater to the growing deman d for passenger car components.

Once the new plant is commissioned, the existing plant will also be relocated to the new site to consolidate operations and achieve economies of scale. The total capex for the new plant is estimated at INR 210 crores. Additionally, 2 -wheeler lighting division has exhibited robust growth supported by overall 2 -wheeler market expansion.

Moving to Casting business. The Casting business showcased a robust performance in Q2 FY '25, generatin g revenues of INR 842 crores, contributing to 20% of consolidated revenues. INR 441 crores is contributed by 4 -wheeler alloy wheel, INR 246 crores for 2 -wheeler and remaining by the die casting business. The segment experienced 12% year -on-year growth, while PV volumes were a bit soft. 2 -wheel al low wheel business took the lead .

The recently commissioned enhanced capacity of 2 million wheels for 2 -wheeler alloy wheel business is ramping up well. Besides increased volumes and part of increase led by commodit y prices, better customer mix in 2 -wheeler alloy business is also leading to higher growth potential. Both 2 -wheeler and 4 -wheeler alloy wheel segments have witnessed substantial growth, supported by capacity expansion initiatives.

We have been expanding our 4 -wheeler Bawal facility by additional 30,000 capacity scheduled for commissioning in H2 FY '25. We have recently commenced to work on implementation of another 30,000 capacity expansion at Bawal. Additionally, construction of Phase 1 of the new 120,00 0 wheel per month greenfield plant at Kharkhoda, Haryana, and 2 million wheels for 2 -wheeler alloy business at Supa, Maharashtra, is progressing as planned.

Electrification is providing exciting opportunities to our casting business as well. We have secure d incremental business for battery power for e -2-wheelers.

Moving to seating business. The business ge

nerated INR 286 crores in revenue during the quarter, contributi ng 7% to consolidated revenues.

While substantial decline in CV segment, production both quarter -on-quarter and year -on-year, along with lower export due to downward trend in European market and our customer, in particular, has an adverse impact. Commencement of supplies to new incumbent OEM customers increasing volumes from e -2-whee ler OEM supported the business.

As we move forward to subsequent quarter, ramp -up of volumes from recently added new incumbent OEM customer led by multiple new models launched by them, increase in volumes from e -2-wheeler OEMs, commencement of supply of pneumatic suspended seat, all are expected to give boost to the revenues. As we remain confident of medium to long -term growth of our seating business.

Moving to acoustic business. The business generated INR 186 crores in revenues for the quarter, representing stable 4% contribution to our consolidated revenues. While India acoustic business remains stable, our European subsidiary Clarton Horn was adverse ly impacted by downward trend in the European auto industry.

Moving to other product businesses, which have achieved revenues of INR 906 crores for the quarter, contributing 21% of overall top line. Out of INR 906 crores, INR 147 crores was contributed by controllers, INR 205 crores by sensors and ADAS, INR 122 crores for blow -moulding products, INR 119 crores by Minda Westport JV, INR 101 crores by Uno Minda FRIWO JV.

It is important to highlight that while majority of the business under other category is doing well, our European engineering services business and erstwhile ISYS has been facing some headwinds on account of volatile European auto market.

Volumes for onboard charger for e -3-wheelers as well as wireless chargers for PV has increased significantly, supporting growth in our controller business.

Recently, we had entered into TLA StarCharge for EVSE, which is a wall -mounted charger.

We are happy to announce that we have now also won a large order for EVSE from a Japanese OEM for their up coming EV model. Increasing use of sensors and a diverse sensor offering is i!Ot•)I MINDA]

leading to growth of our sensors and ADAS business. Our CNG business under Minda Westport continues to grow, making new highs every quarter with many OEMs focusing on increasing th e presence and volume in C NG segment.

Moving to EV. You can refer to Slide Number 15 and 16. Revenues from EV 2 -wheeler OEMs was at INR 228 crore in quarter as against INR 160 in the last quarter. Besides supporting EV 2-wheeler volumes, demand for our of f-board chargers from incumbent e -2-wheeler OEMs have been very encouraging. While regular new order flows from EV 2 -wheeler continues, we now h ighlight only the critical one.

We have won 2 new orders for hub motors from e -2-wheeler OEMs and an order for m id-drive motors from an incumbent 2 -wheeler OEM planning to launch its e-2-wheeler. Beside e -2-wheeler, we have also been supplying components to e -3-wheeler and e -4-wheeler. Our revenues from e -3-wheeler is INR 65 crores, primarily comprising of EV compon ents. Supplies to e -4-wheeler mainly comprises of our existing traditional products.

Moving to Slide Number 13, our aftermarket and international revenue side. In terms of our revenue pie for the quarter ended September '24, OEM business accounted for 93% and aftermarket business at around 7%. Our aftermarket business revenue stood at INR 282 crores for the quarter.

As highlighted earlier, due to lower industry volumes in EU and U.S., our international sales were negatively impacted during the quarter on a ccount of lower exports and lower sales at European subsidiaries. Our international sales represent approximately 11% of total revenues. International revenue share has also decreased as our domestic busi

ness takes higher share due
to more pronounced growt h.

Moving to our cash flow and debt levels. Our net debt as of September '24 was at INR 1,735 crores compared to INR 1,319 crores as of March 31, 2024. The net debt has increased primarily on account of expansion capex as well as expenditure for land bank at Kharkhoda, Hosur and Bawal, where we have spent around INR 300-odd crores during the 6 months.

The total capex , including the land bank for the first half was at INR 844 crores. While sustaining and growth capex has been financed from business cash flows, the capital expenditure primarily on land bank has resulted in incremental debt. Our net debt to equity as of 30th September '24 stood healthy at 0.31. We have achieved ROCE of 18.8% annualized for H1 FY '25.

Kindl y note that capital employed considered for conclusion does include the capex for land bank as well as savings, which is currently not generating returns. ROCE would be even higher if you were to exclude these non -deployed assets. Expansion update at joint ventures, TRMN and TG Minda. Our associate TRMN inaugurated its new plant at Neemrana, Rajasthan and started commerc ial production from this plant. i!Ot•)I MINDA]

The plant has state-of -the-art manufacturing facility spread over 24 acres. This new plant will manufacture smart keys and shift levers, and in near future, seatbelt. Our another associate company TG Uno Minda has started commercial production from expansion project at its Neemrana plant, taking its airbag capacity from 1.8 million units to 3 million units.

During the quarter, TG Uno Minda approved further expansion through its subsidiary, TGSIN.

It will be setting up a new plant in Harohalli, Karnataka to manufacture safety systems and interior and exterior products. The total capital expenditure for this new plant in Harohalli is estimated at INR 283 crores, with operations expected to commence in Q1 FY '27.

Moving to strategic business update. We are at the last leg of merger approval for Kosei joint venture entity with Uno Minda Limited after facing some procedural delays in last quarter. The next NCLT hearing is scheduled this week on 14th of November. We expect it will take a couple of months post-approval from NCLT to receive orders and file with ROC to complete the merger of Kosei.

As we had informed earlier that our joint venture partner for speaker business, i.e., Onkyo Japan has filed for bankruptcy. Last quarter Board has approved increasing its stake in Minda Onkyo from 50% to 99%, making it our subsidiary and to ensure continuity of business. In Phase 1, we have increased our stake in Minda Onkyo for 50% to 80%, making it our subsidiary. The remaining 19% will be purchased in the second half of the year, after receipt of approval from Onkyo's court appointed liquidator.

During the quarter, Minda Onkyo has also signed TLA with Hyundai Mobis for manufacturing of speakers in India. TLA will further strengthen the company's capabilities in automotive speakers and enable widening its offering and customer base. Uno Minda also acquired for 49% stake in Minda Nabtesco Automotive, making it an associate company. Minda Nabtesco specializes in designing, developing and manufacturing automotive parts such as airbrake systems, clutch operation systems, and other components primarily for commercial vehicles. Its revenues for FY '24 were around INR 33 crores.

Moving to ESG, our CSR foundation, which is Suman Nirmal Minda Foundation, has
c
ontinued its exemplary work through its 17 Samarth Jyoti centers across India, focusing on education for underprivileged children, vocational training for women, community development, along with providing medical support to improve health and hygiene.
Recognizing our

foundation's good work, we have been awarded CSR Times Award 2024 in
th
e category of Women Empowerment for our CSR flagship initiative, Samarth Jyoti.

We are delighted to inform you that we have been awarded Great Pace to Work India Certified Organization for fourth year in a row. The award validates our people practices and care for them like a family. It is a reflection of our workplace culture and our unwavering commitment to creating consistent and overwhelming positive employee experience. Besides GPTW, we i!Ot•)I MINDA]

have also been named India's Top 50 Best Workplaces for Millennials and India's Best Workplaces for Women by Great Place to Work Institute.

Moving forward, the outlo ok for the industry and company remains very promising. We are expanding in almost all our existing product lines, along with continuous addition of emerging technologies through our in -house R&D center CREAT, combined with globally renowned joint venture partners. With our existing diversified product portfolio, new products and technologies, we are confident of sustained outperformance over long term.

With this, I would like to now open up the floor for questions.

Moderator: The first question is from th e line of Chandramouli from Goldman Sachs.

Chandramouli: My first question is on the favorable margin performance this quarter. There seems to be almost 70 basis points Q -o-Q improvement in margin. And when I just look at it seasonally versus previous years, it seems to be a much bigger jump than we had seasonally in the previous year. So just trying to understand what were some of the factors that helped margin performance this quarter?

Sunil Bohra: Anything else?

Chandramouli: Yes. Second que stion is around capacity utilization at switches, castings and lighting division. You mentioned that you continue to be focused on expanding capacity there. So just trying to understand what is the current free capacity in each of these segments? And lastl y, third question is just to understand, there has been a meaningful pick up Q -o-Q in electric two - wheeler revenue that we've reported on the PPT.

So just trying to understand what the profitability of that segment now looks like now that we seem to be at a reasonably good revenue clip on a quarterly basis?

Sunil Bohra: Thanks, so in terms of starting with margin performance, so as we normally say, in particular quarter -to-quarter, our margins may not be the right thing to look at, given our business volatility. So, if we see, definitely, Q1 to Q2 seems a bit improvement, but if you see last year to this year, the improvement is roughly around 30 basis points. This is despite some of the

busines ses are in the expansion phase.
Some of the plants, which are still into the SOP phase where the costs are lower, and we continue to have this phase for a good medium term. So, as you see, year -on-year, the margin came roughly around 30 basis points, and it is in line with the guidance, which we have provided at the beginning of the year. That's number one.
Number two, in terms of capacity utilization for switches and casting you asked about, so the switches business, capacity utilization stands roughly at around 80% to 90%, and the casting business is at around 90% , 95%, broadly. And the third question was quarter -to-quarter EV 2 -

wheeler revenues and profitability, yes, there is significant growth in EV 2 -wheeler revenues as we have been expecting and guiding as well.
In terms of profitability, it still is below our average profitability level that we get let the business, gets into a stable phase of us, still into a lot of expansion phase with the capex still being incurred and depreciation, etcetera, which will be

awarded on the full capacity, which
are not yet ful ly utilized. So, in terms of profitability , there is still scope for improvement and so is the business.
Chandramouli: Got it. That's helpful. Just if you could clarify on the capacity utilization for lighting as well, please?
Sunil Bohra: Okay. So, capaci ty utilization at lighting, I'll split into two, for 2 -wheeler and 4 -wheeler lighting. For 2 -wheeler lighting, we are roughly around 85%, 90%. And at one of the point actually we're at around 95%. And 4 -wheeler lighting, we are almost at the capacity at ou r existing plants, and that is why we have been expanding our -- puttin g new capacities at Khed plant.
In the interim, we are having some makeshift arrangement from where we are supplying to our customers. So actually, we are in terms of existing capacity at some of the plants, we are more than 100%. And once this new capacity is up and running in the next quarter, we will have some breathing space.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Congratulations on the strong results. Sir, firstly, can you talk about this TLA with the Mobis for the speakers? And how do you see the business opportunity with a strong partner like Mobis? And any order work in progress, sir? And sir, second part is, if possible, can you share EV-specific component revenues for the quarter or the first half for th e 2-wheeler and the PV segment?
And also, any orders which are close to win in the e -axle for the PV segment? And lastly, sir, last year, Den so and TG has done very well, have grown 40% last year and an even JV, Katolec, has doubled to INR 670 crores in FY '24. Just want to understand your explanation for TG, just for Denso and Katolec, can you explain what is driving the strong growth and outlook for these two companies?
Sunil Bohra: So TLA with Mobis, as you rightly mentioned, it is for speakers. Definitely, it's a big partnership. And with a partner like Mobis, there may be possibility of opportunities in future, but there is no discussion as of now. So, the idea was to get into a partnership with Mobis and that too with a business where one of our existing partner heads is under bankruptcy. So, this was a very welcome strategic move for us.

So, on both accounts, one is partnership with Hyunda i Mobis, another is getting this technology wide, which definitely helps in getting some incremental business. Yes, there is a discussion with our customers and the order is in progress. As of now, it is not yet confirmed. We'll definitely let you know onc e the business gets confirmed. In terms of EV -specific revenues, Mumuksh, we have been giving our tota l revenues from the EV segment.
So, if you refer to our EV slide for 2 -wheeler, this INR 228 crores is revenue we have got from the EV segment. And that i f you see from a total revenue perspective for 2 -wheeler, it's almost around 13%, 14%. And the EV penetration is around 7%. So definitely shows clear outperformance of our pie revenue share in EV. We are not giving EV -specific components per se, Mumuksh, as of now.

In terms of e-axle PV order, we are at the final stages of discussion with our potential customers. Hopefully, in the current quarter, we should have some good news to share with you as well. Until then, I don't want to promise anythi ng because there's always, saying that there is always slip between the cup and the lip. So, unless it has happened, it has not happened. While we are working it very aggressively, we stay positive to have this business addition. And accordingly, we will t ime our investments as well.
In terms of Denso, TG, Katolec, what is driving growth? So Katolec, first of all, is supplying all these SMT components to all our internal businesses

of all these businesses which are
seeing significant growth because of the electronic components being increased. It's clearly visible on the revenue of Katolec and continues to grow.
In terms of TG, one of the largest business is airbag business, and last few years, the penetration or application of airbags has been consistentl y increasing, that has been driving the growth. And as I have said for airbags that TG Minda business has recently also sort of commissioned on the new plant, which is currently expanding into the airbag capacity. That business will continue to see signifi cant growth as we move forward.
And the third was on Denso, so Denso also if you see the Denso JV, which is infotainment, past few years, we have been sort of static at around INR 400 crores. And now recently, you see that some -- we have got some business which is now showing us a good growth, and we remain highly optimistic on the potential of the Denso infotainment business as we move forward. I presume I have answered to all you r questions.
Mumuksh Mandlesha: In terms of growth for these companies, should we expect very strong growth even ahead also?
Sunil Bohra: Yes, absolutely. We do expect all these businesses continue to have growth more than the industry growth.
Moderator: The next question is from the line of Nikhil from Invesco. i!Ot•)I MINDA]

Nikhil: Firstly, congratulations on a very good set of numbers. Sir, my first question was on the alloy wheel business. If you could maybe provide us a breakup of 2 -wheeler alloy wheel a nd 4 -wheeler alloy wheel revenues? And also, can you help us understand what is the industry scenario on the 2 -wheeler alloy wheel side. We knew that there was a lot of imports happening from China, which have been kind of coming down over the years. But w here does it stand today?
And a lot of your peers and even some new companies are putting up capacities on 2 -wheeler alloy wheel side. So how are you seeing the prospects there? And on the margin side, I mean, has profitability kind of come down over the y ears? Or do you see that kind of getting impacted given that so much of capacity is coming in?
Sunil Bohra: Okay. So I'll go one by one, Nikhil. First of all, thank you very much. In terms of alloy wheel revenues, as I said, for the quarter, the revenues f or 2-wheeler was around INR 246 crores. And for 4 -wheeler is around INR 460 crores for the quarter. In terms of industry scenario imports and peers putting capacity, I think you would have seen the same scenario happened in 4-wheeler segment also a few yea rs back.
So in the last 4, 5 years, there have been consistent increase in capacity by the industry. In fact, at a country level, we might be having surplus capacity. But as Uno Minda, we have been consistently investing in expanding our capacities that sh ows the strength the Minda group enjoys in terms of the quality, delivery, product consistency, etcetera, and we continue to win business and grow this every year, we have been announcing one or the other capex portfolio segments.
Same has been sort of happening for 2 -wheeler segment, but it's a little different story because 4-wheeler was driven more by the application factor and 2 -wheeler is more driven by the import substitution. So to your answer is right , my point is right that the competition and peers are also putting capacity, but we have se en the same thing in 4 -wheeler.
So I think from industry perspective, that's a good news that, as a country level, we sort of zero on imports and everything should be locally manufactured. And as you see, while we have initially launched the project with capacity of only 4 million alloy wheels a year 3.5 million to 4 million alloy wheels a year and we had said that point in time, if you remember that we will announce the expansion after mayb

e 2 to 3 years of operation .
But even after 1 year, we announced expansion from 4 million to 6 million, and now recently 6 million to 8 million. So we have also been consistently expanding. And in fact, we have been

also getting a good traction from the custo mers in terms of growth. So that's where we are in the 2 -wheelers capacity. In terms of margin pressure, I think if you see generally across businesses, we are in a competitive world, right? i!Ot•)I MINDA]

And people will put capacities, business will continue to face co mpetitive pressures. But that is the skill I think we have all learnt to how do we bring economies of scale, how do we bring in efficiencies, how do we do VAV consistently to make sure that we remain competitive. So in terms of margin, you might not see an y significant pressure, but there is a not any significant improve ment as well. So the performance is broadly in line with our expectations.

Nikhil: Okay. Just a follow -up, sir, what would be the percentage of imports happening today on the 2 -wheeler alloy wheel side? And has there been some like BIS regulations that have come in, which have further impacted the imports?

Sunil Bohra: Yes, yes. So there is, first of all, on imports, I don't have any credible data as of now. My data is little dated. We are st ill in process of compiling, there is still some imports happening in 2 -wheeler. Maybe we will circle it back to you. We'll take a note of it. And second point was, is there any duty? There is no duty, but there is a prerequisite in terms of getting the QC O, the quality c ontrol order, which has come.

So anybody who is importing has to get precertification of the approval from the government. So not a duty, but yes, there is a requirement of prior approvals.

Nikhil: Understood. And just last question. Can you just help us understand on the sunroof side, you had announced a tie up. So what are the timelines? And how are you looking at scaling up that business over the next 2 to 3 years?

Sunil Bohra: Yes. So sunroof business, as we have said tha t this is currently linked to our customer SOP. So we will be setting up this plant at Haryana in Bawal. And the current timeline is in Q4 of FY '27. We are expecting the SOP of the customer line. And so will be our sunroof business we have secured. In par allel, we are working with other customers to see if we can get some traction to expand the business. But as of now there is one customer from which we have got the LOI and that's what I can say and SOP in Q4 FY '27.

Moderator: The next question is from th e line of Aditya Jhawar from Investec.

Aditya Jhawar: Congrats on good set of numbers. My first question is, if you can throw some light on the new order win, so it's very encouraging to see order win of hub drive motor and mid drive motor. If you can talk a little bit more about it that is it for an existing model or a new model, what could be the time of commercialization? And how is the ramp -up expected?

Sunil Bohra: Yes. Thanks, Aditya. So in terms of the EV motor for hub drive, these are primarily the two businesses we have got from both the new age OEMs, and they are in the process of launching new vehicles. So this is not for existing model and same is for the mid drive which is from existing 2 -wheeler OEM, who is in the process of launching EV 2 -wheeler, maybe after 1 year, 1.5 years. The business is for that so all these are for new upcoming models. i!Ot•)I MINDA]

And it's very difficult to say ramp up, we have been sharing the target revenue numbers in the past. But since last couple of quarters we stopped, beca use we realized that the numbers which we have been getting from our customers, obviously, there were a lot of optimism, we found was bu

ilding and market is still at nascent stage and growing at a very different and erratic stage.

In fact, if you see last 4 or 5 quarters, the EV penetration in 2 -wheeler is up and down, up and down. But overall, trajectory is positive only with last quarter, as I said, 7.2%. So that is very difficult to say what is going to be the revenues at this stage?

Aditya Jhawar: Okay , that's understandable. Second question is on order win for wall -mounted chargers. So two-part question on this. Number one, what could be the dollar value that we can ascribe to this at peak scale? And what kind of profitability we should expect as compa red to company average profitability?

Sunil Bohra: Again, sorry, Aditya, I have to say that. While I said this wall -mount charger business we have got from a Japanese OEM. Again, very difficult to say peak sales because we don't know what will be the EV vo lume.

Aditya Jhawar: What about the profitability for us?

Sunil Bohra: So profitably, we are expecting once it reaches the peak capacity, it should be in line with our average profitability.
Aditya Jhawar: Okay. Okay. That's good to know. My final question is on the Lighting business. The expansion that we are planning in Indonesia. If you can throw some light that if you have to look at the next 3 to 5 years, how big this opportunity could become in terms of its contribution of the overall Lighting business? What kind of customer engagement we have? Is it -- a little bit more about what's happening in Lighting business in Indonesia?
Sunil Bohra: Yes. So Aditya, as you would have seen that until now, we have been primarily operating in the 2 -wheeler segment in Indonesia and Vietnam. Even the last expansion we did in Vietnam for lighting was primarily for 2 -wheeler. This is the first time we are putting a meaningful capacity for a 4 -wheeler segment in lighting. As of now, as I said, we have got an anch or customer with a meaningful indicated volumes which is what has motivated us to put a new capacity .
And also move our existing capacity there because we are running short of space, otherwise we would have done in the existing plant itself. In terms of 3 to 5 years. Definitely, we are very optimistic, and that is why we have gone to a new location, so that it can cater to future growth. But as of now, the busi ness is only from one customer.
And maybe in the next 12 to 18 months, once this business gets int o SOP, we will be able to get more confidence from the other customers in terms of having a setup plus running i!Ot•)I MINDA]

operations. So it may take a little bit of time in terms of getting traction from the new customers or other customers, but that is the endeavour we have in terms of getting more market in that region.
Aditya Jhawar: And just a bookkeeping question. If you can give a breakup of other revenue, which has now become 21% of consolidated revenue in Q2?
Sunil Bohra: Yes. So broadly, as I said, at a very high level, Aditya, sensors is roughly around INR 140 crores, controller is around INR 150 crores. so controllers and ADAS is around INR 200 crores. Our Westport JV is INR 120 crores and so is the blow -moulding JV with Kyoraku. I think these are at a very high level and EV JV with FRIWO is something around INR100 crores.
Aditya Jhawar: So sorry, FRIWO number is how much?
Sunil Bohra: INR 100 crores.
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddh artha Bera: Congrats on a great set of numbers. Sir, my first question is, I mean, on the TLA with Suzhou, any color there about investments? How much will be required by when you plan to start making them? And by when should we expect revenues to sort of come in, that is the first. Sir, second question is on the seating side. I mean, we continue to see a soft growth here, and we were

talking of some customer addition here in the last quarter also.
Do you think the ramp -up here will be a bit slower because I think earlier, we were talking about the INR 1,500 crores of top line for this segment for this year, seems like it is slower. So some color and outlook there? And third is, sir, if you just can clarify the net debt, again, I sort of missed that at the e nd of the year, how much is the net debt now?
Sunil Bohra: Okay. So thanks , going in the same sequence as you asked the questions. So TLA with Suzhou, investment and when to start, as I said, back, we are maybe at last stages of securing a LOI. And then yo u know that we normally commit an investment once we have visibility on the clarity on the LOI. So hopefully, in next couple of months, we should be having that, and that is the time we will be able to come up with - how much will be the investment, etceter a. That's on the TLA with Suzhou.
In terms of seating, last time you said new customer, and as I said, in this quarter, that new customers actually launched multiple models in this quarter. So we have actually got that customer onboard, and you will see some revenue growth as we move forward. Unfortunately, the export market, as I said, has taken a bit of shine out of the seating business that has got significantly imp acted because of lower exports. i!Ot•)I MINDA]

And our INR 1,500 crore target was for '25, '26. Yes , as of far, it looks a little bit stretched. But

let us see how we can catch up and if everything goes well, maybe we may still be at a striking distance to INR 1,500 crores for next year. In terms of net debt, it stood at INR 1,735 crores for 30th of Se ptember.
Siddhartha Bera: Sir, then a follow -up basically on the capex side now with so many new projects being lined up, what is the plan for this year? And how do you think we should expect for the next year as well, if I look at the overall capex ?
Sunil Bohra: Yes. Siddhartha, so capex , we continue to maintain the guidance what we gave at the beginning of the year, which is around INR 1,300 crores to INR 1,400 crores of capex , excluding land. And we are, I think, in that range for the full year. In terms of capex for next year, maybe we will let you know in May as we always do after our budgeting exercise. But you can assume the large part of project capex to continue as they are ongoing.
Moderator: The next question is from the line of Raghu from Nuvama Research.
Raghu: Congratulations, sir, on a strong set of numbers. Firstly, on the Korean OEMs, we have been winning business over the past few quarters. We have also tied up with Hyundai Mobis and Korean OEMs form a reasonably good share of the market? And how do you see the potential for us to increase exposure with them?
Secondly, on the margin side, there has been an improvement Y -o-Y and operating leverage is also playing a role. Going forward, w ith commencement of lighting, switches, alloy wheel plant in the coming quarters, how do you see the further ramp -up in revenue and its impact on margins? Broadly, would you maintain that 11% to 12% range or you're more confident on seeing a better margin from here going ahead?
And lastly, on the capex plan, it's INR 1,300 crores to INR 1,400 crores, how much would be the investments we would have this year? And also, how much would be the land -related capex ? That's all from my side.
Sunil Bohra: Thanks, R aghu. Thanks for the compliments. So in terms of Korean OEMs, obviously, as you rightly mentioned, we have been securing business in past few quarters, even though smaller, we have been gradually inching up and improving our share of business. But still, i n terms of opportunities, there is still a lot of scope, a lot of room for improvement, which we continue to work.
In terms of margin improvement for light, sw

itch, alloy wheel, a lot of capex , considering how do we see. And again, we have also been asked in terms of the margin guidance for the current year. So while we gave the margin guidance at the beginning of the year, Raghu, we have actually factored all these capex which will come on board. And that's how we are in the guidance of 11% plus minu s 0.5% at a group level, and we continue to maintain that guidance.

And in terms of capex , the number which I shared is actually for this year, INR 1,300 crores to INR 1,400 crores. Otherwise, if you share a total announce capex , which it is much more. An d the land -related capex , we have spent almost around INR 600 crores to INR 700 crores on land. This first half of INR 300 crores, last time we spent around INR 200-odd crores. And this year, for the rest of the year, we will have maybe around another INR 100 crores to INR 150 crores of investment. So in and around INR 700-odd crores of investment in the land.
Moderator: The next question is from the line of Abhishek Jain from AlfAccurate Advisors.
Abhishek Jain: In Lighting business, how is the share of business in 2 -wheelers and 4 -wheelers segment? And how much increase in the content per vehicle do you expect in Lighting business because of the LED penetration?
Sunil Bohra: So Abhishek, lighting 2 -wheeler share of business stands at around 27%, 28%, and our lighting 4-wheeler shares stand at around 15 -odd percent. And our target is to take it to 18% to 20% over the next few years. In terms of the LED, the value initially when we started, say, for headlamp or a tail lamp, the cost or the price of LED w as almost at 2.5x. However, what has happened recently is that because of the complete change in terms of new technologies and you would have seen a long-connected tail lamp, the kit value has significantly increased.
And today, the kit value goes to almos t like INR 17,000, INR 18,000, Yes, that's an exceptional example and that too only for a tail lamp. So the tail lamp, which normally historically used to be say for at around INR 2,500, INR 3,000, it's almost going to INR 17,000, INR 18,000. So that's th e delta and that's the potential. So while we are ready, we have all that kit value or in terms of product readiness, it all depends on the customers in terms of what is the vehicle design and what is the difference which will drive the value in terms of the market size.
Abhishek Jain: Okay. And in switches side, revenue growth was around 13% in this quarter. So what is the region of the outperformance such as the industry growth? And how do you see the growth

going ahead in the medium term because of that new business and the capacity addition?
Sunil Bohra: So in switches, both the 2 -wheeler switch and 4 -wheeler switch has seen growth, and even if the kit value has improved, and we might have increased our share of business also marginally, which we calcula te on annual basis in -- specifically in the 4 -wheeler segment. So both the segments have actually driven the growth in the switching segment.
Abhishek Jain: And so in the first half, how much is the volume growth in the switches? And how much is the incre ase in the value?
Sunil Bohra: How much is the volume growth and how much is the value?
Abhishek Jain: Value growth and the volume growth in the switches segment? i!Ot•)I MINDA]
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Sunil Bohra: Abhishek, if you don't mind, can you take this off -line because it is very difficult to put a number on volume because you have multiple types of switches in a vehicle. So maybe we can understand the question a little bit more in detail and take it offline please.
Moderator: The next question is from the line of Ashutosh Tiwari f rom Equirus Securities.
Ashutosh Tiwa

ri: Congratulations on very good numbers. Just one question on the new JVs and subsidiaries like Uno Minda EV Systems and Kosei Minda older JV anyways that and Uno Minda Buehler and all were making losses in last year. Any turnaround happening in those, like, say, with the revenue ramp up, are they like breaking even now any of these?
Sunil Bohra: Yes. So Kosei Minda definitely has come to black, Ashutosh, in terms of profitability. So there's definitely some improvement there. However, in terms of the other two businesses, they are still in the process of ramp up, specifically the Uno Minda Buehler Motors and the Uno Minda EV Systems in terms of the overall profitability, it is still below our target profitability.
Ashut osh Tiwari: So as these subsidiaries ramp up over the next 2, 3 years, and become profitable and probably achieve the normalized margins. Our margin profile will improve over the coming years.
Sunil Bohra: Yes, that's what the expectation is...
Ashutosh Ti wari: Also like large revenue drivers, like especially Uno Minda EV systems.
Sunil Bohra: Yes. You are right, Ashutosh.
Moderator: The next question is from the line of Rishi Vora from Kotak Securities.
Rishi Vora: Congratulations on good set of numbers. Just one question from my end, sir. As we progress ahead, how are we seeing demand trends on ground as you will be receiving production schedules, especially across domestic 2 -wheeler and 4 -wheeler? And what is your take going forward in terms of how do yo u think the demand trends will play out? That's it.
Sunil Bohra: Yes. So Rishi, I'm sure you've talked to a lot of customers that we normally don't second guess our customers. So the demand trend on ground is in line with our expectations. In fact, Q3 gene rally tend to be a little bit softer than Q2, but broadly, we are expecting the same trend as we have been seeing in the past to continue because Q3 also have normally the annual shutdown at the end of the year, so some volumes also get impacted and we get rolling 3 months of indents from our customers.
So broadly, the indents are in line, I would say, because there has been some inventory also sort of cleaning up, which we hear happening after the festive season though we are yet to see any credible data. I'm sure we all need to see same news. From that perspective, we are pretty confident in terms of the demand. And as we move forward, medium to long -term demand, we are very optimistic on the industry volumes . i!Ot•)I MINDA]
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And you would have seen the kin d of investments we are making not only in the current capex plans, which are approved, almost 13 new plants are under construction, the way we have been building our land bank for our future growth, and we remain highly optimistic for industry growth for medium - to long -term perspective.
Moderator: The next follow -up question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Sir, in the presentation, you have mentioned about some EV products for the hybrid se gment as well. I just want to understand any supply for hybrids also we have started? And how do you see this potential for the segment, sir?
Sunil Bohra: So in terms of hybrid, we are not part of powertrain as of now, Mumuksh, but we do have components wh ich are part of the hybrid vehicles. So our other standard EV agnostic or the

ICE gnostic products maybe like lamps or blow moulding parts or switches, they are all sort of going into hybrid vehicles as well.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Sunil Bohra for closing comments.

Sunil Bohra: Thank you. I would like to thank everyone for joining the call. I hope we have been able to respond to all your queries adequately. For an y further information, we re

quest you to please do get in touch with us. Thank you, once again.

Moderator: On behalf of Uno Minda Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. i!Ot•)I MINDA]

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Call: Feb 2025

Uno Minda Limited IIJlt•J MINDA l
(Formerly known as Minda Industries Limited) --O~IVING THE NEW-
-Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date : February 12, 2025
National Stock Exchange of India Ltd.
Listing Deptt., Exchange plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Symbol: UNOMINDA BSE Ltd.
Regd. Office: Floor -25,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
BSE Scrip: 532539
Sub: Transcript of the Earnings Conference Call held on Thursday, February 06, 2025 on the Un-Audited Financial Results (Standalone and Consolidated) for the Quarter and Nine Months ended on December 31, 2024
Dear Sir(s),
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held on Thursday, February 06, 2025 on the Un-Audited Financial Results (Standalone and Consolidated) for the Quarter and Nine Months ended on December 31, 2024.
A copy of the said transcript is also uploaded on the website of the Company www.unominda .com.
Please take the same on records.
Thanking you,
Yours faithfully,
For Uno Minda Limited .
(Formerly known as Minda Industries Limited)
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Tarun Kumar Srivastava o.
Company Secretary & Complia • ce Qffic r
M. No. A11994
Place: Manesar
Encl: As above.
- Uno Minda Umlled (Formerly known as Minda Industries Limited) Corporate Officer Village Nawada Falehpur, P.O. Sikanderpur Badda,
Manesar; D~.~ifdff,i fll;y6)Wl:l'W2004, INDIA. T: +91 124 2290427/28, 2290693/94/96 F: +91 1~4 2290676/95 Email: info@unominda.com
www.unominda.com Regd. Office: B-64/1, Wazirpur Industrial Area, Delhi • 110052 CIN No.: L7 4899DL1992PLC050333

"Uno Minda Limited Q3 & 9M FY25 Earnings
Conference Call"

February 06, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on February 06, 2025 will prevail

MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL OFFICER, UNO MINDA LIMITED
MR. ANKUR MODI – HEAD, CORPORATE TREASURY & COMMUNICATION
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Moderator: Ladies and gentlemen, good day and welcome to the Uno Minda Limited Q3 and 9 Months FY25 Earnings Conference Call.

This conference call may contain forward-looking statements about the Company, which are based on the beliefs, opinions and expectations of the Company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen mode only and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sunil Bohra - Group Chief Financial Officer for his opening remarks. Thank you and over to you, sir.

Sunil Bohra: Thank you. Good afternoon, everyone and a warm welcome to all the participants.

On the Earnings Call today, I am joined by my colleague, Ankur. We have uploaded our financial results and investor presentation for Q3 and 9 months FY25 on the Stock Exchanges and our Company's website. We hope everybody had an opportunity to go through the same.

I would like to begin by giving some insights on the economy, followed by the current scenario in the auto industry and our "Financial and Operational Performance" for the Quarter and 9 Months, post that we will open the floor for Q&A.

The global economy is projected to grow at 3.3% in both 2025 and 26, remains below historical average of 3.7%. The US continues t

o grow at 2.7% in 2025, driven by strong consumption and a resilient labor market. In contrast, the Euro geography seems to be weighed down by weak manufacturing and geopolitical concerns. Despite fiscal support, China's growth is expected to remain at 4.6% in 2025 as property market challenges persist.

Further, the global outlook looks challenging due to trade and geopolitical risks. This may disrupt global supply chains, reduce investments and delay growth prospects, particularly in trade intensive sectors. The geopolitical scenario, including tension in the Middle East and some of the provinces, remain unresolved. Meanwhile, emerging markets are showing mixed performance.

India on one hand continues to shine with growth holding steady at around 6.5%, supported by strong domestic economy. India's growth is expected to remain stable with limited downside risks compared to some of the other emerging markets. This stability is a testament to the country's ability to navigate global headwinds, including potential trade policy uncertainty and geopolitical issues in some of the regions. In this uncertain environment, agility and strategic ••iilt•)i MINDA I
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planning will be key. As a Company, we must remain vigilant, adapt to changing conditions and seize opportunities where they raise.

Moving on to the automotive industry:

For the quarter ending December '24, the Indian automobile industry demonstrated growth in Q3 FY25, achieving a steady year-on-year volume growth of approximately 7% with total production reaching around 78 lakh units. This positive performance was largely driven by robust demand in the two-wheeler whereas the PV segment contributed with marginal growth. However, the commercial vehicle segment saw a decline in production as it has faced sluggish industrial activity and delayed government expenditure.

In Q3 FY25, the passenger vehicle segment demonstrated production volumes growth of 3% year-on-year to reach 11.7 lakh units. The growth in passenger vehicle slowed a bit after stellar last few years. Meanwhile, as per FADA, dealers anticipate strong consumer pull from new SUV launches, future EVs and its maturing EV ecosystem, though price sensitive buyers and interest

rate fluctuations remain watch points.
In Q3 FY25, the commercial vehicle sector experienced a modest decline of approximately 2%, reaching around 2.4 lakh units. This subdued performance was largely attributed to a slowdown in industrial activity, delayed government fund disbursement and sluggish financing approvals, prompting many customers to defer purchases. However, optimism is building, particularly in regions benefiting from infrastructure projects. The sector is expected to see a gradual recovery, supported by an accelerated pace of infrastructure development and government incentives, which could drive the fleet universe and expansion. The two-wheeler segment delivered a solid year-on-year growth of approximately 8% with production reaching around 59.2 lakh units. In contrast, the three-wheeler segment witnessed muted growth reflecting broader market sluggishness. However, towards the end of the quarter, the two-wheeler segment experienced a month-on-month decline primarily due to delayed government fund releases and a stricter financing norm imposed by lenders. These factors dampen market momentum and had some impact on softness in demand. Despite these near-term challenges, the long-term outlook for two-wheeler and EV segment remains positive. Improved supply chains, new model launches and strengthening rural demand are expected to provide a significant boost.
Recently presented Union Budget 2025 is well balanced in terms of supporting India's aspirations of emerging as a global hub for tech and innovation, while supporting MSMEs, the nation's backbone and creating more job opportunities for the nat

ion's youth. The most
newsworthy and important announcement is the increase in income tax exemption limit to 12 lakhs. For consumers, this opens access to more disposable income, which has the potential to translate into increased spending and may have positive impact on automotive demand.
Presenting the Union Budget 2025, the Finance Minister highlighted a strategic push for the EV industry, focusing on enhancing both supply and demand. The government’s commitment to indigenous manufacturing is clear from substantial allocation of funds to various schemes like ••iilt•)i MINDA I
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PM E-DRIVE, AUTO PLI and ACC PLI. Personal income tax relaxations aim to boost private consumption, complementing these supply side measures. Customs reforms include exempting basic custom duty on lithium-ion battery scrap and critical minerals like lead, copper, etc, ensuring a steady supply for local production and job creation. To further support the EV sector, BCD exemptions have been granted to additional capital goods to bolster lithium-ion battery production. Overall, the budget was encouraging for the industry and likely to support medium to long term growth of the industry.
Before we dwell into our financial operational performance, I would like to highlight our interesting showcase of innovative technologies and solutions at the recently concluded Auto Expo Component Show 2025. We highlighted our commitment to personalize autonomous connected and electrical mobility solutions. We had a dedicated green mobility zone featuring 3 technology demonstrators TD-125 electric skateboard, TD-425 electric bus and TD-225 electric bike highlighting cutting edge product portfolio for e-two-wheeler, e-three wheeler and e-four wheeler specific solutions as well. In that zone, we unveiled state-of-the-art products like highly integrated E-axle, intelligent battery management systems, dual charging capabilities and seamless connectivity, all designed to redefine the electric mobility experience.
Our advanced lighting solutions included connected pixel based digital tail lamps, OLED lamps and adaptive lighting. Personalized and smart innovations featured augmented reality heads up displays, CAPSENSE switches, AVAS, ADAS and vehicle control units and software defined vehicle control units. We are delighted by the overwhelmingly positive response received from customers, government officials who visited our stalls including some of our investors and analysts. Thank you.
Moving on to “Financial and Operational Performance” for Q3 9-month FY25, you can refer to Slide #8 and #9:
Uno Minda delivered yet another quarter of strong financial performance, outperforming industry. The group revenues for the quarter grew by 14% to Rs. 5,056 crores whereas growth is more pronounced in consolidated revenue, which grew by 19% year-on-year to Rs. 4,184 crores driven by broad based growth across multiple product lines and further supported by consolidation of Minda Westport and Minda Onkyo in the current financial year. Notably, the lighting, alloy wheel, switches, EV components, sensors, and controller segments exhibited strong performance.
EBITDA for the quarter reached Rs. 457 crores, reflecting a 20% year-on-year increase.
EBITDA margins improved to 10.9% in comparison to 10.8% in the corresponding quarter previous year. Finance cost for the quarter increased to Rs. 47 crores due to higher borrowings

to fund CAPEX, land acquisitions and working capital. Depreciation also rose in line with capitalization of new projects. The Company share of profit from associate and joint ventures is Rs. 40 crores in Q3 in comparison to Rs. 44 crores in the corresponding quarter previous year. The share of profits of associates JV was lower primarily on account of Minda Westport and
Onkyo becoming subsidiary and their profits being consolidated. Besides all JV, namely Denso Ten, Roki, TRMN, TGJV entities have reported strong operating and financial performance. The tax rate for the quarter was lower due to one-time accounting of tax benefit on past losses at Kosei Minda consequent to approval of merger by NCLT. Uno Minda's profit after tax increased by 21% year-on-year to Rs. 233 crores in Q3 FY25, reflecting the overall robust financial performance. For 9 months we have achieved consolidated revenues of Rs. 12,246 crores registering a growth of 20% on a year-on-year basis. The EBITDA for the period grew by 21% to Rs. 1,347 crores. Profit after tax, which is Uno Minda's share for the 9-month period was at Rs. 677 crores as against Rs. 588 in the corresponding period, reporting a growth of 15%.
Coming to the business segment wise performance, you can refer to Slide #12. Our Switching Systems segment delivered an outstanding performance in Q3 generating revenues of Rs. 1,045 crores and contributing 25% to our consolidated revenues. This marks a year-on-year growth of 20% driven by increased kit value from high content with a share of business with some customers and a robust recovery in the domestic two-wheeler segment. The two-wheeler switch business continues to thrive, supported by strong industry volumes and improved exports. As an industry pioneer, we have once again led in technology with the introduction of haptic capacitive switches in a recently launched passenger car. The consolidation of our four-wheeler switch plant from Manesar to Farukhnagar is progressing as planned and is expected to be completed by Q3 FY27.
Moving to Lighting:
Our Lighting business remains a key growth driver, significantly contributing to the company's performance. In Q3 FY25, the segment generated impressive revenues of Rs. 982 crores marking a 15% year-on-year growth and accounting for 24% of consolidated revenues. This quarter also saw the lighting business achieved its higher ever quarterly revenues driven by strong growth in both the domestic four-wheeler and two-wheeler lighting business to OEMs. During the quarter, we commissioned our new four-wheeler lighting plant at Khed starting supplies of pixelated digital tail lamps for recently launched passenger car. This innovative product has set new benchmark in the Indian lighting industry receiving rave reviews from customers. As announced last quarter, the implementation of our expansion project in Indonesia has begun and is expected to be commissioned in phases starting from Q4 FY26
Moving to Casting business:
The business showcased robust performance in Q3 FY25 generating revenues of Rs. 768 crores and contributing 18% to consolidated revenues. This includes Rs. 408 crores from four-wheeler alloy wheel segment and Rs. 223 crores from the two-wheeler alloy wheel segment and the remainder from the die casting business. The casting business experienced 13% year-on-year growth led by the two-wheeler alloy wheel segment. Thanks to the ramp up of the enhanced capacity added last year. Both the two-wheeler and four-wheeler alloy segments have witnessed
substantial growth supported by capacity expansion initiatives. We are expanding our four-wheel alloy wheel facility in Bawal by additional 30K capacity scheduled for commissioning in Q4 FY25. Additionally, the construction of a new Greenfield plant at IMT Kharkhoda with a capacity of 120 K wheels per month and a 2 million alloy wheel plant for the two-wheeler segment at Supa, Maharashtra is progressing as planned.
Our aluminum die casting business has grown approximately from Rs. 200 crores in FY21 to over Rs. 500 crores now. Starting with engine covers and other body casting products, we have expanded to applications i

n the seating business and electric vehicles for battery housing and
charges. New opportunities are emerging, requiring us to increase our capacity. Consequently, the Board has approved a CAPEX of Rs. 72 crores for the expansion of the aluminum die casting

plant in Hosur from 11,000 tons per annum to 15,000 metric tons per annum. The enhanced capacity is expected to commence in phases from Q4 FY26.

Moving to Seating business:

It generated revenues of Rs. 273 crores in revenue during Q3 FY25, contributing 7% to consolidated revenues. While domestic business demonstrated steady growth, the export segment faced headwinds due to a downtrend in the European market, particularly impacting one of our key customers. Overall export for seating year-on-year is lower by around 18%. During the quarter, we commenced supplies of pneumatic suspended seats to a domestic OEM. Additionally, we secured a substantial export order from a new customer that is expected to bolster our export growth in the coming quarters. As you progress into subsequent quarter, we anticipate boosting revenues from a ramp up of volumes of a newly added OEM customer driven by 4 new model launches by them, increased volume from e-two-wheeler OEMs and the commencement of supply of pneumatic suspended seat. Therefore, we remain confident in the growth potential of our seating business.

Moving to the Acoustics business:

The segment generated revenues of around Rs. 184 crores for the quarter, representing a stable 4% contribution to our consolidated revenues. While India acoustic business remains stable, our European subsidiary, Clarton Horn was adversely impacted by downward trend in the European auto industry.

Moving to other product businesses:

The segment achieved revenues of Rs. 933 crores for the quarter, contributing 22% to the overall topline. Of this, almost Rs. 150 crore came from controllers, around Rs. 209 crores from sensors and ADAS, Rs. 119 crores from blow molding products, Rs. 136 crores from Minda Westport and Rs. 123 crores from the UMEVSPL. Most of the business under the other category are performing exceptionally well.

Our Alternate Fuel system business continues to grow, reaching new heights every quarter with many OEMs focusing on increasing the presence and volume in the CNG segment. The Control business was supported by strong volumes for off board chargers for e-3W and BMS for e-2W. And our diverse sensor offerings are driving growth of our sensors and ADAS business. Following our large order win for 7.2 kilowatt EVSE from Japanese OEM last quarter, we have secured another order for 3.3 kilowatt for their EV PV model.

Our European Engineering Service business under CREAT GMBH has been working on ground breaking innovative technologies. In yet another milestone, they have won an order for engineering services for heads up displays and sunroof illumination systems.

Moving to electric vehicles, you can refer to Slide #16 and #17:

Revenue from EV two-wheeler OEMs was Rs. 238 crores in quarter as against Rs. 228 in the last quarter and Rs. 164 in the corresponding quarter last year. During the quarter, we started supply of 500-watt onboard charges and 950-watt onboard chargers with SOP of multiple orders lined up in the next 3-6 months, outlook for e-two wheelers specific component business continues to be very promising. Besides e-two-wheeler, we have also been supplying components to e-three-wheeler and e-four-wheeler. Our revenue from e-three-wheeler is around Rs. 74 crores primarily comprising of EV specific components. Supplies to e-four-wheeler mainly comprised of our existing and traditional products.

Moving to aftermarket and industrial revenues, you can refer to Slide #14 please. In terms of our revenue pie for the quarter ended December '24, OE business accounted for 92% and afterm

arket
business at around 8%. Our aftermarket division revenues have grown by 17% to Rs. 319 crores in Q3 in comparison to Rs. 273 crores in corresponding quarter last year. Our increased focus on marketing and distribution for aftermarket products is reaping benefits. Our international sales represent approximately 11% of revenues. Though exports were slightly better than last quarter, they are still down from the peak. As highlighted last quarter due to lower industry volumes in the EU and US, our international sales continue to be negatively impacted on account of lower exports and lower sales in European subsidiaries. International sales revenues share is also decreasing as our domestic business takes higher share due to more pronounced growth.

Happy to inform, the board has also approved and declared interim dividend of 0.75 per share which is 37.5% of face value reflecting a commitment from the Company to return value to shareholders on a consistent basis. The interim dividend for FY25 is over 15% higher as compared to last year's interim dividend.

Moving to cash flow and debt levels:

Our net debt as of December '24 was at Rs. 1,964 crores compared to Rs. 1,319 crores as on

March 31, 2024. The net debt has increased on account of expansion CAPEX as well as expenditure for land bank at Kharkhoda, Hosur and Bawal of around Rs. 340 crores. The total capital expenditure including the Land Bank for the 9-month period was Rs. 1,324 crores while ••iilt•)i MINDA I
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sustaining growth CAPEX has been financed from business cash flows, capital expenditure primarily on land bank and increased working capital requirement has resulted in incremental debt. Our net debt to equity as at 31st December stands healthy at 0.34. We have achieved return on capital employed of 18.6% basis annualizing profits of 9 months FY25. Kindly note that the capital employed considered for calculation does include the CAPEX for land bank as well as CWIP which is currently not generating any returns. ROCE would be even higher if we exclude these non-deployed assets.

Moving to “Strategic Business” update:

We have received the final NCLT order for merger of Kosei JV entities with Uno Minda Limited. Consequent to the order, all three Kosei JV entities, namely Minda Kosei Aluminum Wheel Private Limited, Kosei Minda Aluminum Company Private Limited and Kosei Minda Mould Private Limited, has been merged with Uno Minda Limited, with effect from 1st of April 23. The merger is expected to result in significant synergies in business with the removal of various duplicate administrative costs of maintaining 3 different legal entities.

Moving forward:

We remain very optimistic on medium to long term outlook of domestic auto industry. Indian automotive industry is on a path of rapid evolution, driven by innovation, sustainability and a favorable economic environment. Our Company has rightly positioned itself by continuous investment in R&D capacities and key resources like land and people to seize the potential growth opportunities. With our existing diversified product portfolio, new product and technologies, we are confident of sustained outperformance over the long term.

With this, I would like to now open up the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press ‘*’ and ‘1’ on their touchtone phone. If you wish to remove yourself from the question queue, you may press ‘*’ and ‘2’. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question comes from the line of Chandramouli Muthiah with Goldman Sachs. Please go ahead.

Chandramouli Muthiah : Hi, good evening and thank you for taking my questions. My first question i

s just related to the comments that you made on fast tracking some capacity expansion at your Hosur plant and I think you also mentioned that there is some new opportunity that is emerging. Just want to understand what the nature of the opportunity is and also if it has anything to do with some of these electric SUV launches that we have seen more recently at the Auto Expo. The second question is just around the budget related tax savings that a large part of the tax filing community might get over the next year. What your views are initially on what that could do to production run rates at your two-wheeler and four-wheeler customers? And the third question is just on your ••iilt•)i MINDA I
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capacity expansion over the next 2 years, how we should think about startup costs around that capacity expansion and if there is any indication that you would like to give around what the margin ranges for the business could be as a result?

Sunil Bohra: Yes. Thanks, Chadhru. So, moving to your questions starting from first about the Hosur plant expansion, so this, we have casting plant as I said in Hosur where we manufacture both traditional products for two-wheelers like the engine cover or some aluminium casting parts, etc., but we also manufacture the parts for EV like battery housing and products for seating, etc., so that business has been doing phenomenally well. So, until now, we have been expanding capacity in the premises and behind whatever small expansions possible, but now we have reached a situation where we need to significantly increase the capacity from almost 11,000 ton to 15,000 ton and this is primarily for all the existing products. There is no new product per se. So, you have EV also, you have non-EV products also which this business will be catering to. And that is why we are in this year, we will be expanding this capacity. So, that is what the nature of opportunity are, so basically existing products, both EV and traditional segment. In terms of budget tax saving, you said what is our view on production run rate per two-wheeler and EV? So, as I said, we are definitely very optimistic because at the end of the day it will put almost Rs. 1 lakh crore of money in the taxpayer hands next year because it is a very big amount and we do firmly believe that there will be a positive friction of this on a lot of industries, maybe consumer driven, etc., and that is what the government intention is to put more money in hands of the end consumer, which is expected to drive their demand. So, from that, we also expect that mobility is being one of the key aspects of today's life because it is not only what you always say about food, water and shelter. Mobility also is one of the key aspects, because while the cities continue to grow, the infrastructure in terms of public transport is not maybe seemingly growing up with that pace. So, the demand for mobility is becoming very of the essence. So, considering all those aspect, we do hope and expect that this Rs. 1 lakh crore of annual money which is coming in people's hands, good quantum should come to the automotive industry and hence should have positive friction on the two-wheeler and PV segment both. In terms of capital expansion for next two years, we know that today we have 12 projects which are undergoing expansion. Last quarter, it was 13. We added one 14 and two have been commissioned. So, 12 projects are under expansion and we might have something as move forward given that we have been adding land for future expansions and a lot of businesses are growing very well, so they will definitely need at some point bigger facilities. So, for that, we are gearing up in terms of the core infrastructure, be it land or other resources in terms of people development, etc., we have been working in totality. You also asked in terms of startup costs, ye

s, definitely there is going
to be a startup cost which is there because all the projects which the board approves as we have been discussing we look at third full year of production as a target for our returns or a target return, so in first year it is maybe part year and second year is normally, you tend to have all the costs which are incurred and not the profit, so you somewhere it will be negative or 0. So, those costs are baked into our assumptions and this year we have guided for our EBITDA margin range of 11% plus minus 50 basis points and those guidance factors in that startup cost as well. Moving forward to next year, maybe I will be better placed to answer to this question what that ••iilt•)i MINDA I
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range will be next year when we discuss our Q4 numbers. I think that was your last question on the margin range. So, I hope I have addressed all your questions.
Chandramouli Muthiah: Got it. And just if you could repeat the numbers that you mentioned on sensor controller, ADAS, blow molding, and FRIWO, I think we couldn't catch all those numbers, if you could just repeat that once again, that is just the one clarification I had.
Sunil Bohra: So, you wanted the split of that others?
Chandramouli Muthiah: Correct.
Sunil Bohra: So, of the Rs. 933 crores, controllers is roughly Rs. 150 crore, sensors and ADAS is roughly Rs. 209 crores, blow molding is Rs. 119. Our CNG business is Rs. 136 and our JV FRIWO, which is UMEVSPL is Rs. 123.
Chandramouli Muthiah: Got it. That is very helpful. Thank you very much and all the best.
Sunil Bohra: Thanks, Chandru.
Moderator: Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the parties in the conference, please restrict your questions to two each. If you have any follow up questions, please rejoin the queue. The next question comes from the line of Aditya Jhawar from Investec. Please go ahead.
Aditya Jhawar: Hi, thank you for the opportunity. Congratulation reporting solid growth despite weaker PV and CV production. My first question is on the four-wheeler charger business. So, what I understand is that earlier we had one Japanese OEM as a customer, and we added one more. Customer, if you can help us understand how is the ramp up planned here, how are the margins in this product line as compared to Company average? If you can talk a little bit about the new growth that we are looking for and charges? That is the first question that if you can take this.
Sunil Bohra: Yes, the second one?
Aditya Jhawar: Yes. So, the second is on Europe. So, you mentioned that the outlook is not that great. So, if you think about from the next 3-6 months perspective, you see any line of sight of improvement. Are there any OEM specific issues that you are facing or overall you are sensing that across OEM, so demand outlook for the next 3-6 months seems to be on the weak side? That is the second question?
Sunil Bohra: Right. So, thanks, Aditya. Thanks for the compliments. In terms of four-wheeler charger business for EVSE, last quarter we received one business and this quarter we received another business. So, this is both are for the Japanese OEMs and in terms of ramp up, obviously they will be linked to the vehicle SOP and vehicle volumes in terms of how do we ramp up. So, you ••iilt•)i MINDA I

know that our production is straight mirroring the OE volumes. So, from that perspective, we will be ramping up as and when whatever customer demands. In terms of margin versus Company average margin, initially you do expect these margins to remain lower until they reach some better threshold, but what good thing we have done is, rather than putting these products into a totally new business, we are doing thi

s as part of our controller business. So, from that perspective, it will help us spread out our fixed cost efficiently and make sure that even though it is a lower margin, we have some positive contribution from these products to our financials. And moving to your Europe question whether next 3-6 months, are we seeing an improvement? It is very difficult, Aditya. As of now, things are not significantly better. In fact, they are what they were last month and we are keeping ourselves prepared for maybe a bit longer hiatus in terms of the challenge what we have, so that we are preparing ourselves to those lower volumes and seeing how we can we can bring down the breakeven points in those region, because as of now it looks difficult to visualize whether we will have significant improvement in six months of timeframe. Any OEM specific issue is very difficult, but one thing which is visible is that and I think we have been reading in lot of other coverages as well that very high-end vehicles, the demand seems to be not that impacted as we see in the low-end mid segment. That is what the current visibilities in terms of power revenue split as well.

Aditya Jhawar: Yes, that is quite helpful. My next question is that on the land bank out of the Rs. 1,324 crores, we have spent 9 months, how much we have spent on land bank and what is the thought process on this CAPEX going ahead?

Sunil Bohra: Sorry, what was of Rs. 1,324 crores?

Aditya Jhawar: No, in 9 months, the CAPEX that we have incurred, what proportion is for land bank and what is our thought process on this subject, going ahead?

Sunil Bohra: Right. So, of Rs. 1,324 crores in 9 months, we have spent roughly Rs. 350 crores in 9 months on the land. And our strategy is as you know to be ready because in past we have seen 2-3 projects where we have faced significant delays in land acquisition and eventually we delayed constructing of plant and had impacted directly to our volumes. So, that puts advantages. One definitely, once you have the land, we need to be closer to our customers. So, to get a large land is always difficult. So, earlier what, you would have visited some of our plant as well and lot of people on the call that we have spread out various places. Now, when we buy a big block, it also helps us in consolidation in a way that we can have our own industrial park. We can have commonality of services like your security, like your canteen, like lot of other infrastructure which you need for that setup. So, you bring synergies? Another advantage is when you talk of large investment you also get that support from the government in terms of maybe better support in terms of approvals, clearances, incentives, a lot of advantages which come because you are looking at that scale. And the last is that in terms of availability of resources also are people once we are closer to the cities in the area, we are looking land the availability of talent also is there. So, there are multiple kits we do. Yes, in short term, it is a drain. But as you would have noticed the land which we have bought in Khed for of almost 83 acres, almost 20 acres we already put ••iilt•)i MINDA I

a plant on for four-wheeler lighting business. Of around 95 acres we have bought in Kharkhoda, roughly 20 acres is allocated to our four-wheeler alloy wheel plant where construction is going on. At Hosur, we are in the process of buying this land and part of the land is allocated for future growth of couple of business which operates in that region. So, the whole idea is that we are prepared for growth in the medium term where we will not look after for land.

Aditya Jhawar: Sure, that is helpful. Now, the final question is on gross margin. So, clearly we had some benefit of operating leverage, which was offset by contraction and gross margin, so any comment on sequential and Y-

o-Y decline in gross margin?

Sunil Bohra: So, in terms of gross margin, primarily the first factor is what we call the different volume of mix if I may say so. So, if you see this quarter, the mix of alloy wheel business where the margins are little better, the ratio is lower. Number two, in last quarter, in one of the business we had some settlement with our customer which improved the gross margin, but overall if you see from

our individual business perspective, there is not much of a difference in gross margins.
Aditya Jhawar: Fair enough. That is it from my side. All the best.
Sunil Bohra: Thank you, Aditya.
Moderator: Thank you. The next question comes from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Hi, sir. Thanks for the opportunity. Sir, first question is on the lights business, both for lights and LMT, what will be the current capacity utilization and do you think with this new capacity is now coming up, we should expect a step up in the growth momentum from where we are currently given that you are gaining lot of orders and market share, so will that be the right assumption? That is one. The second question is, and also if you can share the mix between two-wheeler and four-wheeler segment for lights and switches business? Second is on the four-wheeler on the seating business. We indicated that we have got a large export order if you can quantify that amount and how to think about growth in the coming year, because this year has been quite soft? And lastly, sir any update on the new businesses on Innovance and EV Motors also, which we have, how to think about ramp up?
Sunil Bohra: Sorry, your voice, missed, sorry Siddhartha, last question was?
Siddhartha Bera: Any updates on the Innovance JV and EV Motor segment also which we are ramping up in the coming years?
Sunil Bohra: Thanks Siddharth, I think a lot of points, so let me try and cover one by one. In terms of the lighting and you said LMT capacity utilization with new capacity growth momentum, will it be a right assumption to have higher growth in coming quarters? So, definitely, Siddhartha that is the endeavor, we have been trying to put capacity, and this has been one of the strong feedback
from all the investors that our capacity at alloy wheel have been actually running hand to mouth. And why don't we prepone some of our CAPEX that was the suggestion which you are getting and that is what currently we are doing. So, in terms of capacity utilization at Light, we do have now a good capacity available and with a new plant at Khed and also at LMT which is the four-wheeler alloy wheel business and two-wheeler alloy wheel business starting with first alloy wheel business for four-wheelers. We will be having another 30K capacity up and running from maybe 3 months from now. So, with that, we will have a good capacity available for future growth. And two-wheeler, we are actually currently also expanding from 6 million to 8 million. The 6 million is running at full capacity and 6-8 million obviously is currently under the construction phase and hopefully it should start maybe next couple of quarters. In terms of two-wheeler, four-wheeler light and switch business split you asked. So, in terms of switching four-wheeler and two-wheeler for the quarter, the four-wheeler switching sale was roughly around Rs. 414 crores and two-wheeler was Rs. 465 crores. And for lighting four-wheeler was roughly Rs. 422 crores and two-wheeler was Rs. 285 crores. Moving to seating business about quantification of this business, the business is roughly around Rs. 70 crores of peak annual value in terms of sales. And the last was update on Innovance. So, we are in discussion with lot of customers, as you would have also seen at the Bharat Mobility Show, the kind of products we have displayed and

our technology partner was also there. We are currently in discussion with them as you know for converting from our TLA to JVA. So, that is a parallel exercise which we will work on. So, we are currently working based on the TLA. The team is still working jointly to prepare the detailed project report and thoroughly working for closure on the JVA. And EV Motors business, we know that we had some headwinds initially because couple of customers based on which alloy we have set up the business. Both have faced significant challenges from that government action on subsidy recall etc. So, post which we have been working with lot of customers and we have got good traction with some of the large customers and hopefully from next year, we will see some significant value add from this business. So, I hope I have covered all the questions, Siddhartha.
Siddhartha Bera: Yes. So, the only last question on the PLI.
Moderator: Sorry to interrupt Siddhartha, may we request to return to the question queue for follow up questions. Thank you.
Siddhartha Bera: Sure.
Moderator: Thank you. The next question comes from the line of Ajox Frederick from Sundaram Mutual Funds. Please go ahead.
Ajox Frederick: Hi, sir. Thanks for the opportunity. Sir, one question, you mentioned that the demand for high end premium vehicles will not be impacted as much, so how much of our four-wheeler business is indexed to UVs or EVs?
Sunil Bohra: How much of our business in you said four-wheeler EV?

Ajox Frederick: Yes. EV and UE, utility vehicles, the larger vehicles.
Sunil Bohra: Yes. So, as you would have noticed Ajox, from EV perspective, we have got a significant business from e-two wheeler and e-three wheeler. I shared the numbers also in terms of revenue in case, you have that handy or if you want me to share that again, I can share it.
Ajox Frederick: I was talking about four-wheeler EV?
Sunil Bohra: So, as I said, four-wheeler EV, our current business is only for our traditional products, be it our switching segment or be it the alloy wheels, etc., plus, in terms of CV, you asked, right? So, CV, we don't have much of exposure at a group level.
Ajox Frederick: No, what I meant sir, was let us say going forward, the small cars are not growing as much as the utility vehicles or the electric vehicles. So, from our four-wheeler business, about 46% of our revenue is coming from four-wheeler. Within that, how much of that quantum will be indexed to a utility vehicle or electric vehicle, so that is the question?
Sunil Bohra: I am sorry. I am still not clear. Maybe we can take this question offline, if you don't mind.
Ajox Frederick: Okay, no problem. And sir, the second question I had was on the casting. So, the Bawal plant, it got delayed a bit, so from next quarter we will see a decent ramp up in castings happening?
Sunil Bohra: You are right. Bawal plant has been delayed quite a bit and that is the capacity we are adding, but simply addition of capacity does not necessarily mean that we will see volume growth because volume growth is again linked to vehicle growth and the OE demand.
Ajox Frederick: Understood, sir. Great, sir. Thanks. That is it from me and all the best.
Sunil Bohra: Thank you, Ajox.
Moderator: Thank you. The next question comes from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh Mandlesha: Yes. Thank you, sir, for the opportunity and congratulation on the strong growth numbers.
Sunil Bohra: Thank you.
Mumuksh Mandlesha: Sir, firstly, just recently your new plant in the seat belt and airbag has commenced where you have done about Rs. 375 crores CAPEX both together, just want to understand how will the ramp up of this plant and just on the revenue potential if can indicate?
Sunil Bohra: Yes. So, thanks Mumuksh for the c

ompliments. In terms of the seat belt plant, which recently commissioned, I presume you are referring to the plant in Rajasthan in Neemrana. So, there the total asset turn we are expecting at peak is roughly around 2 of the total investment. ••iilt•)i MINDA I

Mumuksh Mandlesha: And this ramp up will be, by when you see the high realization of the plant, sir?
Sunil Bohra: That is normally the third year of production.
Mumuksh Mandlesha: And for the air bag, sir?
Sunil Bohra: The air bag is separate. That is in the JV with TG. That is another plant and air bag plant has already ramped up and you would have seen that OEs have already gone with four airbags for quite some time now and that mandatory 6 airbag is no longer applicable. So, in terms of the impact in financial, we are already seeing that growth.
Mumuksh Mandlesha: Got it, sir. Sir, just on the sunroof side, do you want to indicate how is the order book shaping there? What are the key customers and any light on how we see the profitability for this business? And just lastly, heads up display, anything you want to share, how is the order there?
Sunil Bohra: Yes, Sunroof as Mumuksh, we have been working to set up this facility in Bawal based on the LOIs we have got from one of our Japanese OEM. This is expected to be to go into SOP for a couple of years from now. This is linked to the new model launch. That is number one. Number two, we have been working with a lot of other customers, but this current model which we secured this year is a premium segment, but a lot of our customers are looking for low-cost seat model, which we have also now showcased in the Bharat Mobility Show. So, with that, we are currently in discussion with a couple of more customers, they are at different stages. But as of now, we don't have the second LOI which is currently in process. So, as of now, it is only one LOI from one customer.
Mumuksh Mandlesha: Got it. And on the heads-up display, anything you want to share how is that, you mentioned initially comments?
Sunil Bohra: No, heads up display as you know we have been working with our customers in Europe, and we are also thoroughly working in terms of having a cost effective model in India which currently

is at R&D level. So, there is still some time to have a product which we can commercially what
we call exploit in the market.
Mumuksh Mandlesha: Got it, sir. So, sir, lastly, the off-road segment is one segment of our revenue has grown very well over last few quarters. Just want to understand which segment in off-road, which category of segment that growth has come for the segment?
Sunil Bohra: So, OR, we have the key business is the seating business and that is what I have shared that we have been seeing significant traction in terms of suspended seats which are very premium seats and last quarter we also updated that we have got an export order from aftermarket customer for this segment. OR does pretty well in terms of our seating business, there are some other products also, but they are very small. ••iilt•)i MINDA I
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Mumuksh Mandlesha: Understood, sir. Thank you so much for the opportunity.
Sunil Bohra: Thank you Mumuksh.
Moderator: Thank you. The next question comes from the line of Mukesh Saraf from Avendus Park. Please go ahead.
Mukesh Saraf: Yes, sir, good evening and thank you for the opportunity. My question is related to the alloy wheel business, specifically two-wheelers. So, we are expanding capacity here and I did notice that two other large alloy wheel players are also expanding capacity this year. So, my question is more of the industry, where do you see this now in terms of the import substitution with this expansion, are we more or less covered now and most OEMs are now

locally sourcing all the
alloy wheels for two-wheelers?
Sunil Bohra: So, Mukesh, very good question first of all. So, alloy wheel two-wheeler, we are doing pretty well. We are running at capacity and while I can't comment about our competition, but we are also expanding and our expansion is based on the orders which we have in hand. Are we more or less covered and where do you see the future? Honestly, there are still discussions going on with OEMs even beyond this 8 million capacity. So, currently, we have 6 million capacity. We are expanding to 8 and there are discussions going on to take it beyond 8, but as of now I can't confirm that unless the business is confirmed but having said that that does not mean that there is no further growth in the business.
Mukesh Saraf: Sure. So, basically, there is still a lot more opportunity in terms of the import substitution because in terms of especially two-wheeler alloy wheel implementation is already at peak. So. So, you are saying there is more opportunity to grow beyond this expansion as well?
Sunil Bohra: Yes, absolutely.
Mukesh Saraf: Right. And similarly on two-wheeler could you kind of give a sense now where are we in terms of penetration on the alloy wheel side?
Sunil Bohra: You said two-wheeler or four-wheeler?
Mukesh Saraf: Four-wheeler, sir.
Sunil Bohra: Four-wheeler, the application ratio has little bit softened versus the previous quarter from 45% currently at around 42%-43%. That's what the current data is, but more credible data I would be able to give you at the end of the year because that is mostly annual exercise we do. But as of now it remains in the existing range between 42% and 45%.
Mukesh Saraf: Sure. Alright sir. Thank you. That is all from my side. Thanks. ••iilt•)i MINDA I
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Sunil Bohra: Thank you, Mukesh.
Moderator: Thank you. The next question comes from Rishi Vora from Kotak Securities. Please go ahead.
Rishi Vora: Yes, hello, sir. Congratulations for good set of numbers. Just one clarification on the share of JV, you said that because of export Q-on-Q got consolidated, there was an impact on JV. So, incrementally on revenues on a Y-o-Y basis, what would be the impact on revenues and EBITDA if you could share that number?
Sunil Bohra: Yes. Thanks, Rishi for the compliments. In terms of impact, if we see, so the revenues from Westport even though they have grown significantly last year to this year, but if I could take out from the topline both Onkyo and Westport, this is roughly around 3.5% of the total topline. So, of the total growth of 20%, this is around 3.5%, rest is all from existing businesses.
Rishi Vora: And EBITDA contribution would be similar?
Sunil Bohra: The percentage margin is roughly same.

Rishi Vora: Understood. And my second question is on PLI. So, is there any update on PLI which you could share, have we applied, or we have not applied so any update on PLI?
Sunil Bohra: No, we have actually applied PLI on actually 2 PLIs now. So, we have got approval in auto PLI for some of our sensors. We have also got approval into the white goods PLI for some of our LED components which we manufacture at our lighting business.
Rishi Vora: So, what would be roughly their contribution to our overall topline?
Sunil Bohra: It is very small Rishi because of the total business large part which is your alloy wheels, lights and switches, they are not part of the PLI scheme.
Rishi Vora: Understood. And have you done any exercise on what proportion of our products if you apply could be eligible for PLI in totality?
Sunil Bohra: No. So, there is definitely going to be a huge possibility for high value in future as we continue to add our EV products specifically for four-wheeler as well. But the PLI window is not as we know, it is not a longer window. Three years almost are already gone. It is only tw

o years left,
and by the time we have significant ramp up after SOP. The scheme is almost over unless the government chooses to extend the scheme and also the second part is important is even those scheme is for 5 years, there is a limited fund which allocated for this scheme and whatever we hear based on the info we have, the government might actually utilize this amount much before the 5-year window. ••iilt•)i MINDA I
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Rishi Vora: Understood and we have applied for EV charges because that could be a decent size right for us?
Sunil Bohra: Yes. That is currently under validation because you have to get the DVA certified.
Rishi Vora: Understood. Thank you and all the best.
Sunil Bohra: Thank you.
Moderator: Thank you. The next question comes from Amit Hiranandani from Phillip Capital India Private Limited. Please go ahead.
Amit Hiranandani: Yes. Many congratulations to the team for good growth numbers. My two questions, basically our seating and acoustic business contributes about 11% of the consolidated revenue, but that is something which is not growing at all as the absolute numbers are broadly the same or even lower on a Y-o-Y basis. So, what steps is the Company taking here to grow this team of business?
Sunil Bohra: Yes. Thanks Amit for the compliments. As I said in my update at the beginning, both seating and acoustic business are totally different. Acoustic business large part is in Europe which is facing significant headwinds in terms of volumes. The last quarter itself, there is a drop in revenue of almost Rs. 25 crores in the Europe, Spain business in acoustics. Otherwise, the domestic business is doing pretty well in line with the industry. And in terms of seating business, as I shared again, seating has a lot of exports and the exports have dropped by almost 17%-18% last quarter to this quarter, last Q3 to this Q3. And we are actually secured a significant new business for almost Rs. 70 crores of annual peak value of business. We are working very aggressively plus we have got business from incumbent OEM which is launching switch into four new models in this quarter. So, we do expect a growth coming from that. So, overall, we are very optimistic on seating business in short to medium term as well.
Amit Hiranandani: Right. So, it is generally macro issues which has impacted these two businesses?
Sunil Bohra: That is right, Amit.
Amit Hiranandani: Correct. And sir, secondly, I am just observing that consolidated EBITDA margin is hovering around 11% since last many quarter now. So, we understand that there are some startup costs which is restricting some margin improvement, but our scale is also increasing, right, because quarterly revenue run rate years ago was around Rs. 2,500 crore, but now it is above Rs. 4,000 crores now. So, I wanted to understand the Company's aspirations for the mid-term prospective for this place?
Sunil Bohra: Absolutely, Amit, our aspirations are same as your aspirations or expectations. So, we do expect to get out of this 11% range in next couple of years because we still have a lot of products as you spoke a lot of projects, almost 12 projects which are under construction and they will ••iilt•)i MINDA I
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operational in next 12-18 months and they do tend to dilute the margins for initial couple of years. So, after that, once they stabilize, definitely we do expect that the margins to improve, but

at this point, it is difficult to comment what that range will be.
Amit Hiranandani: Sir, lastly just two bookkeeping question, the finance cost increased higher by 60% in 9M FY25, can you help us with the gross debt number including the working capital and the current cash and investment as on 31st December?
Sunil Bohra: Yes. If you see the net inte

rest is actually in line with the previous quarter. The previous quarter was Rs. 46 crores, this quarter is Rs. 47 crores. So, not much of increase there. In terms of net debt, we are roughly around Rs. 1,970 odd crores of net debt at the end of December versus the opening that of roughly Rs. 1,320 crores. So, there is an increase of roughly around Rs. 640 odd crores in the last 9-month period.
Amit Hiranandani: The gross debt is Rs. 1,320 crores?
Sunil Bohra: I said net debt.
Amit Hiranandani: Net debt is Rs. 1,320 crore, including this working capital?
Sunil Bohra: Rs. 1,320 was 31st of March. Closing net debt is Rs. 1,924.
Amit Hiranandani: Alright, sir. Thank you, sir. Very helpful. Thank you.
Moderator: Thank you. The next question comes from Neel from ValueQuest. Please go ahead.
Neel: So, I have two questions. Firstly, if we were to look at the two-wheeler industry, the volumes growth rates have been coming down especially on the motorcycle side. So, are we seeing any major deferment on change in schedules coming from the OEM side either in two-wheeler or in four-wheeler or if any particular categories where we are seeing this? And second question is on EV, so are we expecting to see any major products on the EV side to see SOP in FY26?
Sunil Bohra: So, thanks, Neel. In terms of two-wheeler volume growth, you said the growth is coming down, but as we just spoke, and I think this has been in discussion since the budget was announced that with this Rs. 1 lakh crore of extra money in hands of the customers and with almost Rs. 1-1.5 lakh per person, for individual tax payer we do hope that with the mobility being a life necessity, it will have a significant impact in future not in long term, even maybe next year starting once people start getting this money hand, have some positive fiction on both two-wheeler and four-wheeler, but if you ask us if there is any deferment in schedules, no, we are not seeing any significant delta in terms of the schedules which are getting month-on-month from our customers. And in terms of EV, any major production in FY26 coming, yes, there will be production of as we spoke some EVSE both 7 plus kilowatt and 3 plus kilowatt during the current ••iilt•)i MINDA I
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year plus also some new products which are coming on stream from domestic business for some of the BMS chargers, etc., for two-wheelers.
Neel: Thank you and all the best.
Sunil Bohra: Thank you, Neel.
Moderator: Thank you. The next question comes from the line of Abhishek Jain from AlfAccurate Advisors Private Limited. Please go ahead.
Abhishek Jain: Thanks for opportunity. Sir, Maruti is coming with a new EV model Vitara, so how much share of business in this model and how much increasing content for vehicles versus ICE?
Sunil Bohra: Hi, Abhishek. So, first of all, we are part of the businesses with the model you spoke about. We have significant businesses received both on traditional vehicles and also the e-specific vehicles. But I am sorry, we normally don't share the product wise or the model wise kit value or share of business. Sorry for letting you down on this, but otherwise be rest assured, we have a business secured in that model for both the agnostic products, which are traditional products, plus also the EV products.
Abhishek Jain: So, what are the parts you will supply in the EV segment apart from the ICE products?
Sunil Bohra: Abhishek, I am sorry, we don't give product wise, model wise details.
Abhishek Jain: And sir, in casting, multiple new plants is coming in the four-wheeler, two-wheeler side and again the die casting segment as well, so just wanted to understand how much incremental revenue you are expecting in the medium to long term in next 2 years, because of these capacity expansion?
Sunil Bohra: Yes. So, in terms of this capacity expansions, there is a hug

e growth possible Abhishek, as we just spoke for two-wheeler, we are expanding capacity from 6 million to 8 million wheels. So, straight 2 million, we already have a business in hand and we just spoke that there is a possibility to even work beyond this announced capacity in future. So, that straight away will add once commissioned to our revenues. We are also putting a new plant at Kharkhoda for four-wheeler alloy wheels that is also expected to get commissioned sometime within this calendar year. So, that will also add straight incremental capacity and revenues. And also this casting business,

what we announced the project today that also is expected to commission in later part of the current financial, so it will have maybe material impact to topline from the next fiscal year. So, all these businesses, we do expect to continue this growth momentum based on these capacity additions. ••iilt•)i MINDA I
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Abhishek Jain: Sir, most of the new business is coming from the casting, switching and from the EV side, especially on the sensor and other parts. All are the high margin business. So, what are the concerns for improvement in the margin by 50 -100 bps in the near to medium term?

Sunil Bohra: I wish they were all high margin businesses, Abhishek as you mentioned, but that might not be the case. We are in a competitive world and just because they are PV does not mean they are high margin. But to your point, whether should we have 50-100 basis point margin improvement in next in the medium term, absolutely why not and that has been our endeavor and we just spoke about once we will commission all these operating plants under construction, it should help in terms of improving our margins because a lot of this startup cost, which we are expecting in next year or two should be behind us. So, within that time frame, we do expect a margin profile also to improve.

Abhishek Jain: And thank you, sir. That is all from my side.

Sunil Bohra: Thanks, Abhishek.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Sunil Bohra: I would like to thank everyone for joining the call. I hope we have been able to respond to all your queries adequately. For any further information, we request you to please do get in touch with us. Stay safe. Stay healthy. Thank you once again.

Moderator: Thank you. On behalf of Uno Minda Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines. ••iilt•)i MINDA I
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Call: May 2025

Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: May 27, 2025

National Stock Exchange of India Ltd. Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (E), Mumbai - 400 051 BSE Ltd.
Floor - 25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
NSE Symbol: UNOMINDA BSE Scrip: 532539
Sub: - Transcript of the Earnings Call held on Wednesday, May 21, 2025 on the Audited Financial Results (Standalone and Consolidated) for the Quarter and Year ended on March 31, 2025
Dear Sirs, Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Wednesday, May 21, 2025 on the Audited Financial Results (Standalone and Consolidated) for the Quarter and Year ended on March 31, 2025.
A copy of the said transcript is also uploaded on the website of the Company www.unominda.com .

Please take the same on records.
Thanking you.
Yours faithfully, For Uno Minda Limited

Tarun Kumar Srivastava
Company Secretary & Compliance Officer
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"Uno Minda Limited Q4 FY'25 Earnings Conference Call"

May 21, 2025
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on May 21, 2025 will prevail.

MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL OFFICER, UNO MINDA LIMITED
MR. ANKUR MODI – VICE PRESIDENT (CORPORATE TREASURY , IR & COMMUNICATION), UNO MINDA LIMITED k!lt•)(MINDA)
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--O~IVING THE NEW--
Uno Minda Limited
May 21, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Uno Minda Q4 FY25 Earnings Conference Call. This conference call may contain forward-looking statements about the company which are based on

the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to "Mr. Sunil Bohra, Group Chief Financial Officer for his Opening Remarks." Thank you and over to you, sir.
Sunil Bohra: Good afternoon, everyone, and a warm welcome to all the participants. On the earnings call today, I am joined by my colleague, Ankur Modi. We have uploaded our "Financial Results and Investor Presentation for Q4 and FY25" on the stock exchanges and our Company's website.
I would like to begin by giving some insights on the economy, followed by the current scenario in the auto industry and our Financial and Operational Performance for Q4 and FY25, post that we will open the floor for Q&A.
The global economy exhibited resilient growth of 3.2% in 2024 despite the backdrop of persistent inflationary pressures, geopolitical tensions and structural headwinds. While we have started with positive note expecting declining interest rate and maintaining the growth momentum, rising trade tensions, weak consumer sentiment and geopolitical disruption resulted in projected growth at 2.8% for 2025.
US implemented gr

owth-based tariffs in April, triggering retaliation and sharp volatility in trade and markets. While these measures have been paused for 90-days amid ongoing negotiation, we remain cautiously optimistic.
Gradually, growth for the past has been revised down across the board. US is expected to grow at 1.8%, the euro at 0.8% and China at 4%, emerging markets are also slowing, though India remains a bright spot at projected growth of 6.2%.
India continues to stand out as one of the fastest growing major economies globally, consistently outperforming both advanced and emerging market peers with the decent GDP numbers compared to other countries. This resilience is underpinned by strong structural fundamentals, including a young and expanding workforce, sustained momentum in structural reforms and a vibrant services ~ c;;;,.,,

sector that remains key engine of growth. In this fluid landscape, agility, discipline, and clarity of purpose are critical. As a company, we remain focused on adapting safely to external changes, safeguarding resilience and leveraging opportunities in structurally attractive markets.
Moving on to the "Automotive Industry:
For the Quarter-ending March '25," the Indian automobile industry recorded a year-on-year production volume growth of approximately 6% with total production reaching around 78 lakh units. For the full fiscal year, domestic posted a 9% growth. This performance was primarily driven by strong demand in the two-wheeler and PV segments, supported by a combination of factors including increased infrastructure investment, supporting government policies and a sustained push towards sustainable mobility. Sound economic fundamentals and positive market sentiment further contributed to the industry's continued momentum. However growth across segments was not uniform; the CV segment saw a decline of 3.6% for the year, reflecting the impact of subdued industrial activity and delayed government spending. While the overall industry remained resilient, performance in certain pockets just that underlying demand recovery is still stabilizing. Nonetheless, sound economic fundamentals and a generally positive market environment help sustain the sectors forward trajectory.
In Q4 FY25, EV production grew by 5% year-on-year reaching to 14.11 lakh units. This was primarily driven by strong demand in the utility vehicles segment. Q4 FY25 showed continued growth, albeit at a moderated pace compared to the high growth rates of the preceding quarters. This moderation is attributed to the hybrid effect, where growth appears less dramatic when compared to an exceptionally strong prior period.
For the full fiscal year, EV production rose by 3% to 50.6 lakh units, again led by a robust growth in the utility vehicles.
The overall market continues to shift in favor of SUVs and premium offerings which comprise of 62% of overall PV production.
Looking ahead, the segment is poised for growth supported by new product launches and rising consumer interest in premium category. However, headwinds persist including global economic uncertainty, trade-related tariff pressures and the dampening effect on disposable income. Demand for entry level car remains.
Overall, FY26 is likely to close with low single digit growth. The two-wheeler segment delivered year-on-year growth of approximately 6% in Q4 FY25 with production reaching out to 58 lakh units.

For the full fiscal year, the segment posted a robust 11% year-on-year growth with total production

reaching approximately 2.39 crore units. Growth was largely supported by strong growth sentiment. Exports also contributed meaningfully, rising 20% year-on-year, driven by 28% increase in motorcycle exports and an exceptional 194% surge in moped.
The three-wheeler segment recorded a steady 10%

growth, primarily driven by continued demand
for passenger carriers.
In Q4 FY25, the CV segment registered a growth of 3%, with total production reaching approximately 2.9 lakh units. While domestic demand remained relatively muted with a modest increase of around 1.5% year-on-year. CV export had a strong boost surging by nearly 56%.
India's electric two-wheeler EV market experienced a notable 9% quarter-on-quarter decline in sales to 3.05 lakh units from 3.33 lakh units. Despite achieving significant year-on-year growth, while the fiscal year concluded with over 1.14 million EV two-wheelers sold, 21% increase from FY24, the momentum slowed down in the final quarter. The reduction in government subsidies, charging infrastructure challenges and wage anxiety are some of the challenges impacting this segment. Despite near-term challenges, long-term prospects for EV two-wheeler remain highly promising with various government initiatives like PM E-DRIVE Scheme, State EV policies, technological advancement, increasing charging network, as well as the battery range.
Coming to "Financial and Operational Performance," you can refer to Slide #7 and 8:
Uno Minda delivered a robust financial performance in Q4 FY25 marked by strong top line growth. Consolidated revenue from operations for the quarter stood at Rs.4,528 crores, reflecting 19% year-on-year growth from Rs.3,794 crores in Q4 FY24. This growth was driven by broad-based strength across multiple product segments, particularly switches, alloy wheels and seating systems. Additionally, the consolidation of Minda Westport and Minda onkyo during the year contributed to the revenue uptick.
EBITDA for the quarter reached Rs.527 crores, registering 11% year-on-year growth from Rs.474 crores. EBITDA margin moderated to 11.6% compared to the corresponding quarter last year. This is primarily attributable to a higher accumulated price settlement in Q4 last year.
Furthermore, the commissioning of the three new projects over the last six months currently in the ramp up phase led to higher costs. Employee cost also increased during the quarter, primarily due to additional manpower at our for operational EV projects, new Czech Republic R&D center and higher gratuity provision.

We would like to inform you that based on the increased utilization, better cycle times, etc., and considering the short life of tools in casting business, we plan to change our accounting policy as we move into the new fiscal year. These tools which were capitalized, however considering the useful life of these tools, these will now be charged of the income statement. Estimated impact of the same is likely to be around Rs.40 crores on an annual basis, though a similar amount shall be reduced in depreciation over a couple of years.
Finance cost increased to Rs.41 crores compared to same period last year, largely on account of higher borrowing to support capital expenditure and working capital need. Depreciation expenses also rose in line with capitalization of new projects.
Share of profit/loss from associates and JV stood at Rs.55 crores for Q4 compared to Rs.58 crores in the last quarter FY24.
While ventures such as Denso Ten, Roki, TRMN, TG continue to perform well, the transition of Minda Westport and Minda Onkyo into fully consolidated subsidiaries resulted in the financials being accounted on line-by-line basis, hence reducing the share of profits reported under this head by Rs.5 crores. Profit after tax attributable to Uno Minda for the quarter was Rs.266 crores compared to Rs.284 crores in Q4 FY24. However, it is important to note that previous year's figure included a one-time gain of approximately Rs.20 crores from the reversal of provision for interest on CVD related to EPCG following us favorable Supreme Court ruling. Adjusting for this the normalized PAT for Q4FY24 was Rs.

265 crores.
Full year FY25 financial overview, you can refer to Slide #9 please:
For the full year ended March '25, consolidated revenues were Rs.16,775 crores, achieving a 20% year-on-year growth. This significantly outpaced the broader auto industry volume growth of 9% for

the same period, transitioning into about 2x industry volume growth against the Company's long-term guidance of 1.5x. EBITDA for the year grew by 18% to Rs.1,874 crores with an EBITDA margin of 11.2% in line with our guidance. Profit after tax attributable to Uno Minda stood at Rs.943 crores, up 8% from Rs.875 in FY24.

As mentioned above, the growth impact excluding exceptional income is around 9%. This growth underscores the Company's ability to scale operations effectively, maintain profitability and deliver consistent shareholder value amid ongoing industry transformation and increased investments in future-related technologies.

Moving to "Business Segment Wise Performance":

Starting with Switches, you can refer to Slide #12. The Switching System segment continues to demonstrate exceptional performance in Q4 FY25, contributing significantly to the overall revenue mix. The segment recorded revenues of Rs.1,144 crores during the quarter, accounting for a substantial 25% of the Company's consolidated revenues, highlighting its critical role in a diversified product portfolio.

For the full fiscal year FY25, Switching System revenue achieved revenue of Rs.4,204 crores, representing a robust 15% year-on-year growth compared to Rs.3,663 crores in FY24. This performance underscores our strong market position and our ability to renovate in a segment that is evolving rapidly with changing automotive trends.

The growth in this segment was driven by multiple factors: Firstly, the increasing trend of premiumization across both two-wheeler & passenger vehicle segments, which has led to rise in value per vehicle.

Second, exports played a pivotal role in driving growth, particularly in the two-wheeler switch category.

Our international business saw strong traction during the year, reflecting our competitive cost structures, high quality standards and deep customer relationships with global OEMs.

Moving to "Lighting Systems":

The business continues to be a cornerstone of Uno Minda's growth story, delivering another strong performance in Q4 FY25. The segment generated revenues of Rs.1,018 crores during the quarter, contributing a substantial 22% to the company's consolidated revenue.

For the full year, Lighting business recorded revenues of Rs.3,863 crores, registering a healthy 22% year-on-year growth driven by technological leadership and increased content per vehicle.

Our strong flow in both two-wheeler and four-wheeler segment is a testament to Uno Minda's ability to stay ahead of industry trends through innovation. In the two-wheeler segment, we have reinforced our leadership by becoming a major supplier of advanced lighting solutions for electric two-wheelers to leading OEMs.

In light of the significant growth witnessed in the two-wheeler lighting segment over the past few years, our existing facilities at Sonipat and Bahadurgarh are now operating at full capacities, leaving little room for further expansion. To address this and support future growth, we plan to consolidate the three plants at these two locations into a new larger facility to be built at Kharkhoda, Haryana.

This strategic move will not only increase our manufacturing capacity, but also provide space for future expansion. The total estimated capital expenditure for this relocation and expansion excluding land is Rs.233 crores.

In the four-wheeler segment, our technological prowess is gaining global recognition. A notable milestone during the year was securing a prestigious order on supply

of advanced lighting systems
for an autonomous robotaxi being developed by a leading American technology company. This order not only affirms our capabilities in high-end lighting solutions, but also marks our entering into next-generation mobility platforms. To further advance our technological edge, we established R&D Center in the Czech Republic. This global innovation hub will focus on the development of next-generation automotive lighting technologies, including adaptive lighting, LED-matrix systems and integrated electronics.

Looking ahead, we expect the positive momentum in lighting business to continue, supported by the scaling up of operations at our new plant in Khed City and the ramp up of production for recently acquired orders.

Moving to "Casting Business":

The business also delivered a robust performance in Q4 FY25, generating revenue of Rs.860 crores, accounting for 19% of group consolidated revenues. Of this, four-wheeler contributed around Rs.471 crores, two-wheeler alloy wheel at Rs.247 crores and the aluminum die casting segment at Rs.142 crores.

For the full year, the casting business recorded revenues of Rs.3,220 crores, reflecting a solid 14% year-on-year growth, of this four-wheeler alloy wheel contributed Rs.1,709 crores, two-wheeler alloy wheel is Rs.932 crores and the aluminum die casting segment Rs.574 crores. Both two-wheeler and four-wheeler alloy wheel segments benefited from strong demand and with the recent capacity expansion.

We commenced production from additional 30,000 units monthly line for four wheel alloy wheel at Bawal, Haryana plant bringing the total installed capacity to 4,20,000 wheels per month.

Construction of our Greenfield facility is also progressing well at Kharkhoda , with the first phase of 60,000 wheels per month expected to be commissioned by Q2 FY26.

On the two-wheeler front, we have commenced our production at our expanded Supa, Maharashtra facility. This expansion adds 2 million units of capacity, raising total to 8 million units annually.

Additionally, we have announced Rs.200 crores investments in the new two-wheeler alloy wheel

facility at Bawal with the plant annual capacity of 1.5 million units. This facility is targeted for commissioning in Q2 FY27. Once the Bawal plant is operational, our total two-wheeler alloy wheel capacity will reach 9.5 million units annually, further solidifying our market leadership and supporting the Make in India Vision.

Moving to :Seating System Business", you can refer to Slide #13:

The business continues to contribute meaningfully to overall performance, generating revenues of Rs.325 crores in Q4 FY25, accounting for 7% of consolidated revenues.

For the full year, the segment reported revenue of Rs.1,155 crores which is the highest ever. Growth during the year it was driven primarily by investment of supplies of pneumatic suspended seats to a leading domestic OEM and increased demand for bus passenger seats. Notably, this growth was achieved despite a decline in export, which were impacted by the downturn in the European market, particularly affecting one of our key customers.

Looking ahead, we expect the seating business to sustain its growth trajectory, supported by recently confirmed orders and upcoming execution of these programs.

Moving to "Acoustic Business":

The segment reported revenue of Rs.189 crores in Q4, maintaining a stable 4% contribution to consolidated revenues. For the full year, the segment recorded revenues of Rs.763 crore, reflecting a 8% year-on-year decline. The domestic business grew by 7%, that's driven by sustained OEM demand. However, overall performance was impacted by persistent headwinds in the European automotive market, as our European subsidiary, Clarton Horn declined by 14% year-on-year basis.

Moving to "Other Products" where you have lot of sunrise businesses:

The othe

r product business delivered strong performance, generating Rs.992 crores in revenue during Q4 FY25, contributing 22% to the consolidated top line. Within this, the Controller business contributed to around Rs.157 crores, Sensors and ADAS Rs.211 crores, Blow Moulding products at Rs.127 crores, Uno Minda FRIWO JV at Rs.98 crores and Alternate Fuel Business at Rs.143 crores. The remaining revenue was driven by aftermarket trading, external sales from Uno Minda Katolec, engineering services in Europe and battery sales in the aftermarket channel. For the full year, revenue from this segment grew by 60% to Rs.3,571 crores, reflecting our strategic focus on emerging technologies and new mobility solutions.

Our EV System vertical under Uno Minda FRIWO JV achieved revenues of Rs.382 crores in just its second year of operations. Meanwhile, the Sensor and ADAS business scaled to Rs.804 crores and our alternate fuel business through JV Westport grew to Rs.501 crores, further validating our commitment to future-ready sustainable mobility solutions.

Moving to the EV segment, you can refer to Slide #16 and #17:

We are pleased to note our success in positioning the company at the top of the league in terms of the product offering for E two wheeler components. In line with our strategy to deepen our presence in the EV space, as you know, the company is in the process of acquiring the remaining 49.9% stake in its joint venture with FRIWO along with associated e-DRIVE Technologies. This acquisition valued at approximately Rs.195 crores, is expected to be completed by end of Q1 FY26 as we envisage, enabling full integration and unlocking greater synergies in EV component manufacturing

and open access to the global markets.
As per our stated strategy, we have also been working on strengthening our EV product portfolio for a four-wheeler EV segment. Towards that objective, we had entered into a JV with Suzhou Inovance Automotive to manufacture high voltage EV components covering charging control systems, inverters, motors, e-axles. To support the growth of this venture, the Board had approved Rs.423 crores investment in a dedicated facility for high voltage EV powertrain components.
Capital expenditure we face over next two to three years with phase-I is expected to be commissioned by Q2 FY27. The project will be executed through a new joint venture company, Uno Minda Auto Innovations Private Limited with Uno Minda initially holding 100% equity. Upon receiving the regulatory approvals, Suzhou Inovance Automotive through its Hong Kong subsidiary will acquire a 30% stake. We have already secured an anchor order for e-Axle which will be manufactured at this upcoming facility.
Moving to our Aftermarket Industrial Revenue, you can refer to Slide #14 and 15. For the quarter ended March 25, the OEM segment continue to be a dominant contributor, accounting for 94% of our total revenues, while the aftermarket business contributed approximately 6%. Our aftermarket reported revenues of Rs.279 crores during the quarter. International sales currently represent around 10% of our total revenue, reflecting a steady upward trend. While the industrial market remains a key pillar of our long-term growth strategy, our domestic business continues to deliver more prolonged growth.
We would like to clarify that the ongoing US tariff situation has no material impact on our operations as exports to US constitute less than 2% of our total revenues. In fact, we have witnessed growing ~ c;;;,.,,

demand in the US for our two-wheeler products, reinforcing our competitiveness growth in global markets.
Moving to 20, which is normally our annual slide as you would see, we had witnessed increase in potential kit value across all vehicle categories and segments for FY25. Increasing kit val

ue for four-
wheeler can primarily be attributed to the addition of sunroof, advanced lighting solutions, smarter ADAS and sensor solutions, and premium alloy wheel. Increase in kit value for two wheeler can be attributed to advanced lamps, smarter switches and higher realization for alloy wheel led by commodity price.
Moving to our cash flow and debt levels:
Our net debt as of 31st March was at Rs.2,091 crores compared to Rs.1,318 crores as on March 31 2024. The net debt has increased on account of expansion CAPEX as well as expenditure for land bank primarily at Kharkhoda and small adjacent plots of land at Bawal and Chennai totalling to around Rs.394 crores and increased working capital requirement. The total CAPEX excluding the land bank for the full year was around Rs.1,250 crores while sustaining and growth CAPEX has been financed from business cash flows with capital expenditures, primarily land bank and increase in working capital requirement has resulted in incremental debt. Our net debt-to-equity as at 31st March '25 stood healthy at 0.34%.
Moving to ROCE and ROE:
We have achieved ROCE of around 19%, this is profit of FY25. Kindly note that the capital employed considered for calculation does include the CAPEX for land bank as well as CWIP which is currently not generating return. ROE for FY25 is around 18%.
The Board has also recommended a final dividend of Rs.1.5 per share, which is 75% of face value for shareholders' approval. Total dividend along with interim dividend already paid comes to Rs.2.25 per share, which is 112.5% of the face value. We have been consistently increasing our dividend payout ratio from 10% in FY19 to 13.7% now. With double effect of increasing profits and increasing dividend payout ratio, our dividend payment amount has also increased 3x to 4x in the last few years to propose dividend payment of around Rs.129 crores for FY25, the above underscores our commitment to returning value to shareholders on consistent basis.
Moving to ESG:
In line with the global best practices and in corporate governance, Uno Minda has separated the roles of Chairman & Managing Director. As you know, we had earlier announced elevation of Mr. Mehra ~ c;;;,.,,

as Managing Director effective 1st April '25, whereas Mr. Minda has transitioned to an Executive Chairman role. With over three decades of his experience and deep domain expertise, Mr. Mehra has been a key architect of Uno Minda's growth journey since 1995.

In a proud milestone of its journey towards inclusive development, Uno Minda Limited CSR arm has inaugurated its 18th Samarth Jyoti Center in Kaggalahalli, Harohalli, Karnataka. This expansion marks a renewed commitment to fostering education, skill development and community empowerment across India. What began in 2012 with a single center in Naharpur, Haryana has now evolved into a transformative movement. Each Samarth Jyoti Centre serve as a vibrant hub of opportunity, designed to uplift underprivileged communities through, Vocational training in tailoring, beauty culture, and computer literacy, community schooling and remedial education for marginalized children's, livelihood support and capacity building for women to self-help groups, preventive healthcare services for the undeserved. Guided by the belief that two empowerment must be both inclusive and accessible. Samarth Jyoti's initiative has grown to 18 centers across several states positively impacting the lives of millions and inspiring hope, dignity and self-reliance in every corner where it reaches.
As we look ahead. Uno Minda remains well-positioned for sustainable growth, backed by strong fundamentals, diversified product portfolio and ongoing investment in emerging technologies such as electric mobility, advanced electronics and auto motive lighting. Our consistent ability to outperform the industry delivering more than

1.5x volume growth compared to market averages
underscores the strength of our customer partnerships, our focus on innovation and commitment to operational excellence. We will continue to invest in expanding both our capacities and capabilities.
In FY26, we plan to incur a total capital expenditures of approximately Rs.1,300 crores comprising around Rs.500 crores in sustaining CAPEX and around Rs.800 crores in growth-oriented CAPEX. This is based on the current approved projects.
While we have built some strategic land bank in Kharkhoda and Khed, we are in process of continuation of building the same in other key automotive hubs such as Chhatrapati Sambhaji Nagar, Tamil Nadu and Gujarat for which we may spend around Rs.250 crores in FY26.
We have recently received the allotment letter for approximately 88 acres of land in Chhatrapati Sambhajinagar from Maharashtra Government. These investments will be primarily funded through internal accruals. With strategic capacity expansions, a healthy order book and an enhanced focus on innovation, localization and value addition, we are confident in maintaining our growth momentum.
Despite lot of plants, which are coming in operational next year and also in the phase of initial growth, we continue to our guidance for an annual EBITDA margin of 11% plus/minus 50 basis points. While ~ c;;;,.,,

revenue growth will generate operating leverage, initial costs related to new plant startups and expansions were partially offset this benefit.
Nonetheless, we are entering the next phase of our journey with confidence, agility and a clear vision. We remain committed to creating long-term value for all stakeholders and are excited about the opportunities that lie ahead. With this, I would like to now open up the floor for the questions.
Moderator: Thank you, sir. We will now begin with the question-and-answer session. The first question comes from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.
C Muthiah: Hi, good evening. Thank you for taking my questions. My first question is just related to the UK, India, FDA as well as expected US-India bilateral agreement. So I think in your slide 4, you mentioned that there could be additional opportunities for the local auto component industry from UK, India, FDA. So if you could just give us some color on what is the current level of exports from India to the UK for auto components and what is the current level of imports, just to understand the balance of auto component trade there as well as where you see opportunities from this particular arrangement? So second question is related to Uno Minda Innovations Limited, the JV with Inovance. So you did mention that there is the E-axle which is the first order that you've got. If you could just give a rough idea of what the kit value is, when the SOP might happen there, and given that it's 70:30 CAPEX arrangement, is it going to be consolidated in our accounts or will it be share of profits? And the last question is just around this quarter, we've had a lot of top line growth, but the EBITDA growth is 11%, there's been 90 bps YoY drag on EBITDA margin. You explained part of that could be because of settlements, which are still due from full ends on raw materials, but just trying to understand what part of that 90 bps drag in margin is due to the startup costs at some of these facilities that you've set up in the last couple of quarters. So those are the three questions.
Sunil Bohra: Okay. Thanks. So in terms of the first question, on UK India FDA & US-India FDA bilateral discussion, what happened as I said, we remain cautiously optimistic. Hopefully something good will come out based on whatever we are listening or hearing out from the government and the other sources. In terms of UK, India, we all know that there are multiple factors wherein the path has been laid out by th

e government for next 10 years as to how the rates eventually will come down. So as of now, we don't have any significant exposure to UK, but in the past we have been in touch with some of the customers, hopefully with this some doors might open, but it's too early to comment on that in terms of opportunities. But our point was more in terms of the sector per se because if the rates and all come down, it will be hopefully positive for the entire sector from the automotive components perspective. The second question is on e-axle, value and SOP. So SOP as I have mentioned is in the middle of next financial year and in terms of value it's very difficult to give because while we do have a value for first kit, which we can't share because of price-sensitive inflation, a lot is also ~ c;;;,.,,

dependent in terms of the volume uptick which this market is in terms of phase where a lot of moving parts and it's a high growth segment. So as of now, while we do have some value indication from our customers, we will not like to speculate in terms of what the values are going to be in future. So the way we have done, announced this CAPEX is also that while we construct this infrastructure, the land building, utilities, etc., the plant and machinery we will do in a phased manner as we get the increase in the volume uptick. And whether it will consolidate on line-by-line or a share of profit question on this, yes, it will be consolidated line-by-line because it is going to be eventually 70:30 JV, majority being Uno Minda Limited. So it will be consolidated line-by-line from Uno Minda perspective. Then your next question was top line growth versus the EBITDA margin and drop of 90 basis points compared to last year. As we said last year, yes, there was some price increase, but in this quarter in terms of startup cost you mentioned which will be sustained, there is roughly around Rs.19- 20 crores of additional manpower cost which we have incurred during this quarter because of number of increase in people during the quarter. So that we believe, obviously, will be sort of a sustainable cost plus there are some other administrative expenses around similar numbers.
C Muthiah: Got it. That is helpful. Thank you very much and all the best.
Sunil Bohra: Thank you.
Moderator: Thank you. The next question comes from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh Mandlesha: Yes. Thank you, sir for the opportunity and congrats on the continued strong performance sir. Sir, firstly, can you help us understand this provision of fundraise of Rs.2,500 crores -- would it be a debt-driven or equity sir? So can you just update what could be the order size for this four-wheeler e-axle component, and what could be the order size for the sensor business and the charging business? And thirdly, sir, the lighting revenue growth this quarter was lower. Also, we had the new plant in Pune last quarter, just started. Any view over next few years based on the orders and the capacity, how do you see the growth in the market share in the lighting segment? Lastly, in the presentation the two-wheeler EV-specific CAPEX has been changed. Just want to understand what has changed in this quarter, Buehler and the Minda EV system CAPEX?
Sunil Bohra: Okay. So we'll get back to you on this last question. But going from starting, so the approval of Rs.2,500 crores is the enabling of approval, it is for both debt and equity, and as you would have seen, we have been taking the approval every year, even last year we had an approval of Rs.2,000 crores. This is only a approval. As of now, we don't see any clear visibility in terms of any long term need of the funds because based on the CAPEX numbers what we have shared and the expected profitability, hopefully, we should be able to internally fund all the funding requirement

s. In terms ~ c;;;,.,,

of order size for e-axle, as I little while mentioned to a question from Chandramouli, it is very difficult to give an order size. While we do have a number, the biggest factor of that order is the volume, which obviously is only accurate number. So as I said, we don't want to speculate what the volume is going to be because at the end of day it's a guidance and assumption. So that's why we're not able to give you this order size, but I can tell you that this is what we've got is the state-of-the-art on e-axle, which is the first time going to be used in India and we will be manifesting that at our Khed city plant. In terms of sunroof revenues, I think we'd shared in the past. Based on the expected volumes indication, the revenues initially was estimated to be around Rs.160 crores, but that number has been revised upwards. So current visibility is that it will be roughly around Rs.230 crores or Rs.240 crores of annual peak revenue for sunroof. For charging business, same as I said. Again, there's EV. So I would like to maybe be a little cautious in terms of giving numbers for anything related to EV as of now. Lighting revenue growth was lower you said and what is the next year's path. So lighting revenue growth has consistently been actually very good. If you see for last year also, we have moved from around Rs.3,300 crores of revenue to Rs.3,800 crores of revenue which is almost like 15%, 20% kind of growth, which is a significant number considering the industry growth numbers which is a single digit. And as we move forward to next year, as you would have noticed that the board has approved today setting up of the new tool, a lighting plant which is primarily to cater to the increased volumes and the new businesses which we are not able to now do from our existing plants because all these three plants or facilities which are very old and running very close to capacity. In fact there's not much of scope beyond a year and that's how maybe after a year, year and a half, we should be able to move to a new location. So we do remain very optimistic on the lighting growth and in fact this is the business where the fit value also has been helping us to deliver this kind of outperformance in addition to the new technologies, LED lamps, etc., So we do remain highly optimistic in terms of like three years this business to continue to grow, more than 1.5 lakhs of the industry growth, which has been in line with our guidance as well.

Mumuksh Mandlesha: Lastly, just clarifying, lighting should continue to grow in double-digit kind of a range, is that fair to say, right?

Sunil Bohra: Very difficult to say, Mumuksh, single digit, double digit because the biggest factor is the industry volumes. Now if the volumes remain very low, then it's going to be difficult because that is not in the hand. So what we've been saying is say, for example, if the industry grew by 5%, 7%, 8% and definitely we will be growing by a double digit, but if the industry grow much less than that, then obviously it will be a situation where we have to see how do we still believe that kind of a number.

Mumuksh Mandlesha: Got it, sir. Thank you so much for this.

Sunil Bohra: Thanks, Mumuksh. ~ c;;;,.,,

Moderator: The next question comes from the line of Siddhartha Bera from Nomura Holdings. Please go ahead.

Siddhartha Bera: Hi, sir, thanks for the opportunity and congrats on a great set of numbers. The first question is on your sensors, controllers and the Westport business, while they have ramped up quite well if we look at on YoY basis. So some color there how do you see the growth in the next two years in each of these three businesses, where are the tailwinds which you are seeing and how to think about growth in these three businesses? That is one. Second is on

the alloy wheel side, if we see the growth what we are delivering now, is it more representative of the industry, or do you still see in some segments there is a sort of capacity constraint and with more capacities coming up, you can still continue to grow faster? And here the aftermarket seems to be a very small part, while there is a lot of potential, we have not seen that sort of going up in your aftermarket mix. So what are the thoughts there? And sir, lastly on the CAPEX and investments, while you have mentioned Rs.1,300 crores. I believe there is another Rs.200 crores you need to pay for the Friwo acquisition. Some color if you have accounted this year or that will be separate? And for the Suzhou Inovance, of Rs.423 crores, how much have you accounted for in this number of Rs.1,300 crores in FY26? That will be all.

Sunil Bohra: Okay. Thanks, Siddhartha. Thanks for the compliments. So in terms of first question on sensor, controller and Westport, sensor and controller business, earlier we used to talk together and we took a target of growing it from Rs.100 crores to Rs.400 crores and if you see this year itself our sensors and controllers put together has more than Rs.900 crores. So this business continues to be outperforming our own expectations, led by a lot of innovations, new products, new technologies, etc., So the applications for the sensors has been increasing and so are the controllers and we are optimistic of continuing this growth momentum at least in sensors and also in Westport we have been able to get lot of new business in Westport, the CNG business. The government focus on improving the CNG infrastructure has actually helped the penetration that you would have seen almost most of our customers are either have lost or in process of having our CNG vehicle. So that business is definitely very promising and we do expect this business also to grow in terms of the outperformance, same 1.5x to 2x of the industry growth, we expect also this business to deliver. In terms of alloy wheel growth, you said, is it more representative of the industry and is it a capacity constraint. I would split this into two because of this different dynamics, both four-wheeler and two-wheeler. So four-wheeler business year-on-year has grown almost 15% from Rs.1,350-odd crores to Rs.1,540 crores. Now obviously the base is also becoming bigger. And another factor here is that the application ratio has not grown to the extent what we have assumed. While we do remain optimistic in terms of the application ratio to grow gradually to what the global levels are, but for last year we are almost same as what the year before it was, maybe around between 42% and 44% kind of a range and there has been no significant increase in the application ratio and that's why you are seeing this number. But despite that we have actually grown much more than industry growth; industry growth is 5% but whereas we've grown by 15%. So it's definitely much more than industry growth. And is ~ c;;;,.,,

capacity a constraint? It is constraint actually in two-wheeler. So two-wheeler continues to run at full capacity. We have ramped up from 6 million to 8 million. It's operating at full capacity and that's how we have seen announced capacity of another 1.5 million expansion. So this business continues to sort of show promising size of continued future growth. To your next question, we have been honestly working very hard in terms of improving our aftermarket business in terms of adding new more dealers, more consumers, but you all know that this has been facing significant challenges, maybe the cheaper imports or focus from our customers also directly from the aftermarket segment, which is good for us also in a way because whatever our customers also sell through their aftermarket channel also with us for us, we don't account that as an aftermarket sale, we a

ccount for that as a
wholesale because it's the same customer, same pricing, etc., So that is why we are not seeing a significant movement in aftermarket, but we continue to work on that, and as we speak, we are actually #1 in terms of the volumes in India and #2 in terms of the value in terms of our aftermarket revenues for last year. But to your point, yes, we do remain very committed on the medium to long-term growth of the PSB segment. In terms of Friwo of investment of Rs.195, 200 crores, yes, it is separate, it is not part of Rs.1,300 crores, sustaining our growth rate, it is not part of that.
Siddhartha Bera: That is fine, sir. Thanks, sir. One clarification is this Rs.40 crores annual charge which you mentioned, this will be from next year, right, it has not come in the current quarter, will that be the right assumption?
Sunil Bohra: Correct.
Siddhartha Bera: Sure, sir. Thanks a lot, sir.
Sunil Bohra: Thank you.
Moderator: The next question comes from the line of Mukesh Saraf from Avendus Spark. Please go.
Mukesh Saraf: Good evening and thank you for the opportunity. First question is on the JV on the four-wheeler e-axle. So while we're investing the entire amount now and then the JV partner will be acquiring this 30% stake later on, if there is a delay in, say, government approvals, etc., for this 30% stake, would there be any kind of impact on technology transfer or on the product development, etc., obviously we have a timeline here in mind, so how would that work, sir?
Sunil Bohra: No. So as I said, Mukesh, so originally if you see it was actually a TLA which we have entered into and which we wanted to convert it to a JV to make sure that we work as real partners and not technology partners. So the intent is very clear. When we have gone today ahead with the JV, I can tell you that while in India, we need approval, in China also they need an approval, and they also filed for approval in China and they are also very optimistic that they will get to the approval and so ~ c;;;,.,,

are we. This is the process which we have to undergo. So, in terms of commitment or in terms of product there is nothing, no concern as of today and the business what we have secured, they are actually working very parallel, in fact, we recently had ground-breaking ceremony also where the entire team was here and there, fully committed and we don't feel that because of the government approval will delay our production or something like that.
Mukesh Saraf: Got it, got it. And secondly, on the two-wheeler EV business, while we have been kind of clocking a run rate there on two-wheeler EV, what I probably understand is that a lot of that business is still DC-DC converters and chargers, etc., But have we seen any major breakthrough with respect to traction motors, motor controllers, those kind of components for the two-wheeler EV business?
Sunil Bohra: Yes, Mukesh, you're right. So while initially it was more of DC-DC converters and chargers, yes, we have got a breakthrough in motor controllers, which we will be manufacturing in the coming financial year. We have already received the order. It will be in SOP in the coming year. Motors, there is a concern because it's a market flooded with lot of players and even the OEs are sort of in the process of signing their strategy. You know one of the large players have decided to do it in-house. So this is a business where we honestly seem to be having a hard time, but we are still working on it. Hopefully, something good will come up.
Mukesh Saraf: Right. Right. Great. And just lastly, when I look at, the slide where you're mentioning the project updates, we're seeing that we are talking about close to Rs.3,000 crores of CAPEX just on these projects, on top of this, we'll have obviously some land acquisitions, maintenance, etc., So may next couple of years the CAPEX run rate se

ems to be like it's going to further be aggressively going up.
Could you give us some sense on what gives us this confidence, are we seeing far more visibility of orders, some sense that would help?
Sunil Bohra: So Mukesh, you know that we normally don't commit for a project unless we have an order in hand. The real example now is that once we got this order of e-axle, then only we committed into the project. So all the projects we currently have announced, it is fair to assume we have a business in hand. Yes, normally there is always a challenge that you enter into a business with anchor customers then gradually ramp-up. But there also you would have seen multiple examples in last few years like

alloy wheels for cooler, alloy wheels for two-wheeler, etc. We have entered into single customer and now we are serving almost all the key players. Yes, it is the head start what we need and the head start once we get definitely we would like to capitalize on that. So that's not a concern. In terms of your second question of whether the CAPEX run rate can further go up, it's very difficult to say at this point in time. If you would have seen in FY25, at the beginning of the year, whatever guidance we gave, we have been able to meet that guidance in terms of CAPEX despite some of the new projects being announced during the year, right. So as we move forward, the CAPEX number year-~ c;;;,.,,

on-year you see is broadly in line, but I am sure we will deliver better growth year-on-year with better margins in terms of absolute profitability. So hopefully we should be able to fund all these CAPEX needs.

Mukesh Saraf: Got it. Got it. That's good to hear, sir. Thank you and all the best.

Sunil Bohra: Thanks, Mukesh.

Moderator: The next question comes from the line of Aditya Jhawar from Investec India. Please go ahead.

Aditya Jhawar: Yes. Thank you and congrats on the good set of numbers. My first question is continuing with Mukesh's question on CAPEX. So CAPEX intensity seems to have gone up quite a bit and looking at the break up that you just gave, it clearly seems that this year the CAPEX would be a tad higher as compared to last year. While it is very good that we are seeing that growth visibility, there are two things here; number one, how do we look at our FCF generation capability, number two, till when we would continue to invest in land. So that would be the first question. Related to that, we are also seeing there's a moderate increase in debt while overall debt-to-equity is still at a manageable level, how do we think about repaying some of our debt? The third question is on the PLI. So, how many products we have received approval on? And in your assessment, what could be the contribution of PLI in our overall top line? Finally, a question on the overall growth outlook. If you can give some sense that how are you seeing the growth by different sub-segments? So what is the growth that you think could pan out in the two-wheeler category, in four-wheeler category, and you can call out specifically PV and CV it would be good? That's it from my side.

Sunil Bohra: Yes. Thanks, Aditya, thanks for the compliments. Your first point is CAPEX have gone up quite a bit higher versus last year. Yes, you're right, but broadly in life. So last year we did CAPEX of roughly around Rs.1,300 crores. This is what we are guiding for this year also. And last year we did land investment of Rs.400-odd crores and this year it will be maybe something around Rs. 200 to 250 crores. And you said how long we continue to invest. Hopefully after this we should not be seeing any significant investment. It will be all based on in case there is any new requirement in the area which there is a new business growth or something where we don't have land. Otherwise like if you see today also when we have announced this project for the lighting, two-wheeler e

xpansion,
fortunately, we have land in hand. So it is going into existing land. Another example is this trade land, which was what last year, a year before, the EV for PV business is coming on that line. So it is not that we don't have visibility of what do we do with that land, but we've actually been able to use this land immediately to use once we have been able to get control of this. Otherwise, in the past we have faced delay of almost up to two years after the board approval to commence the work on the land or to get the land in control. So definitely, it's a very big positive from the ratings perspective ~ c;;;,.,,

because many times customers also look at, in case they give business to anyone, what is its ability to meet their timelines. And once you have land in hand, definitely it's a big plus from our perspective. Then you mentioned in terms of free cash flow. So as you rightly mentioned this year there is an increase in debt even though debt-equity remains comfortable. But as we move to next year based on our current working on current internal estimates, hopefully we should be able to fund all the CAPEX and land requirement through the internal accruals and we should not see any significant increase in debt as we move to the next fiscal year. In terms of how do we think of repayment, definitely initially the repayment might be through refinancing of these debts and as we move forward this point hopefully will come where our free cash generation is going to be higher than debt, hopefully. maybe within FY25-26 itself, that's our internal target, but we get more opportunities for growth, definitely we would not like to leave those opportunities. So it might be a Catch 22 situation, but as of now based on whatever we know today, hopefully we should be cash-positive in this year itself. In terms of PLI, number of products approved, we have got approval for three or four products which are primarily different types of sensors and contribution in top line definitely is not significant, is very small. So I'd not like to speak about it at this point in time. But there are a lot of products which are

currently in the workings which will qualify because to qualify you have to first manufacture and reach that 50% DVI, then only based on actuals you can apply to the government and the regulatory authorities be it ARI for certification. So that's where I think we are and hopefully next fiscal year we should have one or two products more which will hopefully qualify in the PLI scheme. In terms of the overall growth outlook in different segments we don't want to guess the numbers, Aditya. But we all know that while our guidance has been to grow at least 1.5x of industry grow, we've been doing much more than that, and we have our budgets made which is primarily on a low single digit growth for EV segment, single digit growth for a two-wheeler segment. And with that, hopefully we should be able to deliver at least 1.5x to 2x growth in the coming year.
Aditya Jhawar: Okay. Thank you and all the best.
Sunil Bohra: Thanks, Aditya.
Moderator: Thank you. The next question comes from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.
C Muthiah: Hi. Thank you for taking my follow-up. So first follow up is just related to I think a comment that you made to an earlier participant there is potential for margin expansion YoY. So, just want to understand, is this likely to be more second half related when industry might start to see more visible volume pickup or do you expect this kind of margin attempt to be sort of evenly spread across there? ~ c;;;,.,,

Sunil Bohra: No. So the margin what we have been guiding is a blended margin across all. So we have a lot of these projects which are currently either in the construction phase or in the com

missioning phase or
they are maybe in the first year of operations and all these projects do have the startup cost. So if you see our margin even for last year on a full year basis was really around 11.2%, 11.3%. This year also around 11.2%-odd. Next year we are also guiding the same 11%-plus/minus 50 basis points. This is despite the fact that all these projects like we just spoke about, somebody said about Rs.300 crores of CAPEX and 12 projects undergoing, some of these projects will come into operation next year, some of these projects have come in operation this year. So all those incremental costs have been factored into when we gave this guidance. If you exclude that actually you would have seen the benefit of operating leverage in terms of expansion, but because of so many projects coming on board, it does have the startup cost, initial cost, people cost, admin cost whereas you don't see any profitability in first year or two. So all these costs are factored in the margin guidance already.
C Muthiah: Got it, sir. Thank you. And just a couple of follow-ups. So on Friwo, I think from the quarterly disclosures we've given, it looks like it's about Rs.382 crores in annual revenue. If we can understand what is the EBITDA and then PAT would be where we look to consolidate that into our financials? And just a couple of data follows. If you could share the alloy wheel revenues for two-wheelers for the quarter once again and also the electric two-wheeler business revenue that you might have done this quarter?
Sunil Bohra: I might disappoint you in terms of margin for a business wise, we don't give business wise margins, we stopped almost like five years back based on the feedback that it's being counterproductive for us. I am sorry we're not able to give, but from other questions on three-wheeler, two-wheeler for the quarter, the full year revenue was Rs.932 crores and the quarter was Rs.250 crores roughly. And for EV two-wheeler, which is the JV which has Rs.382 crores for the full year, the last quarter, it has done revenues of roughly Rs.95 crores.
C Muthiah: But if I think you are doing a run rate with sales to e-two-wheeler companies of roughly between Rs.160 and Rs.240 crores, just want to understand that like-to-like numbers are you able to provide for 4Q?
Sunil Bohra: Yes. So if I remember, that's what we said that this is something which we started giving only because a lot of people have questions around that. So that's we have stopped, but broadly the numbers is in that range only despite the one in car.
C Muthiah: Makes sense. Makes sense and all the best.
Moderator: The next question comes from the line of Abhishek Jain from AlfAccurate Advisors. Please go ahead. ~ c;;;,.,,

Abhishek Jain: Thanks for the opportunity.
Abhishek Jain: So, my question is on the seating business. We have seen a revival on the seating after many quarters. Just wanted to understand what is the reason and what would be the growth for seating business?
Sunil Bohra: So Abhishek, seating business, as I said initially in my brief, the growth has been driven by primarily the new customer addition and startup supply of pneumatic suspended seats and also the bus passenger seats in the domestic market and a lot of these businesses which we have been able to drive

growth we do expect all these levers to continue the momentum in the next fiscal year end and
forward as well.
Abhishek Jain: Okay. And in acoustic business, we have seen a degrowth in last many quarters. Just wanted to understand what would be the drivers for the growth going ahead in this business?
Sunil Bohra: So as I said in my brief if you would have noticed the India business continue to do stable in terms of the growth which is mirroring the industry growth because we are almost 60% to 65% market share, but because of our operations in Spain, which is in Clarto

n Horn, that is where we have seen
the drop. In fact, the last quarter itself, revenue has dropped by almost I think 26 crores or something because of significant lower volumes, vehicle volume itself are significantly lower, which is what has been pulling down and this is what we have been sharing for last I think four quarters the challenges or headwinds being faced in European business.
Abhishek Jain: My last question is on the content per vehicle on the eVITARA. How much is the current content per vehicle and how much increase is expected versus e-axle, who will start to produce?
Sunil Bohra: Sorry, we don't give vehicle wise fit values.
Abhishek Jain: Just wanted to understand how much difference in the content per vehicle on the EVs versus passenger vehicles right now?
Sunil Bohra: It is the same.
Abhishek Jain: Okay. Thank you.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Sunil Bohra to give his closing remarks. ~ c;;;,.,,

Sunil Bohra: I would like to thank everyone for joining the call. I hope we have been able to respond to most of your queries adequately. For any further information, we request you to please do get in touch with us directly. Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Uno Minda Limited, that conclude this conference. Thank you for joining us and you may now disconnect your lines. ~ c;;;,.,,
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Call: Aug 2025

Uno Minda Limited
Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: August 12, 2025
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Symbol: UNOMINDA klJOC•)(MINDA]
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BSE Ltd.
Floor -25, Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai-400 001.
BSE Scrip: 532539
Sub: -Transcript of the Earnings Call held on Wednesday, August 06, 2025 on the Unaudited Financial Results (Standalone and Consolidated) for the Quarter ended June 30, 2025
Dear Sirs,
Pursuant to Regulation 30 read with Schedule Ill of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Wednesday, August 06, 2025 on the Unaudited Financial Results (Standalone and Consolidated) for the Quarter ended June 30, 2025.
A copy of the said transcript is also uploaded on the website of the Company www.unominda .com
Thanking you.
Yours faithfully,
For Uno Minda limited
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Company Secretary & Compliance Officer
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"Uno Minda Limited Q1 FY'26 Earnings Conference Call"

August 06, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on August 06, 2025 will prevail .

MANAGEMENT : MR. SUNIL BOHRA - GROUP CHIEF FINANCIAL OFFICER, UNO MINDA LIMITED
MR. ANKUR MODI – HEAD - CORPORATE TREASURY , IR & COMMUNICATION , UNO MINDA LIMITED
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uJlt•)I MINDA I C H O R L L ~

Moderator: Ladies and gentlemen, good day and welcome to Uno Minda Limited Q1 FY'26 Earnings Conference Call.
This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company, as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sunil Bohra – Group Chief Financial Officer, for his opening remarks. Thank you and over to you, sir.
Sunil Bohra: Good afternoon, everyone and a warm welcome to all the participants. On the earnings call today, I am joined by my colleague, Ankur Modi. We have uploaded our financial results and investor presentation for Q1 FY'26 on the stock exchanges and our Company's website.
We hope everybody had an opportunity to go through the same. I would like to begin by giving some insights on the economy, followed by the current scenario in the auto industry and our financial and operational performance for the quarter. Post that, we will open the floor for Q&A.
The global economy has shown remarkable resilience in 2025, though it faces increasing headwinds from trade tensions and geopolitical instability. The IMF projects global GDP growth at approximately 3% in 2025 and 3.1% in 2026, modestly higher than earlier forecasts. However, growth remains below pre-pandemic averages, and the risk of further trade

escalation looms
large.
One of the main sources of disruption has been the sharp escalation in US tariffs, especially on imports from China, Canada and Mexico. According to a CEPR analysis, these measures could reduce US real wages by 1.4% by 2028 and shed about 1% of GDP. Similarly, Citi Research and Morgan Stanley warn that elevated US tariffs are inducing structural distortions in the global economy and dragging on long-term growth expectations. Major economies are now diverging in momentum. US growth is weathering the storm but slowing, with projected real GDP at around 1.5% in 2025, down from nearly 2.8% in 2024. Europe's growth is weak and fragmented, while China's is decelerating to approximately 4% in 2025, constrained by both external and domestic structural factors.
In contrast to global moderation, India's economic growth remains robust, standing out as the fastest-growing major economy. The IMF projects GDP growth at 6.4% in both 2025 and 2026, well ahead of global peers. The RBI also maintains a bullish outlook, projecting around 6.5% PlOt•J1 MINDA I

growth for FY26, supported by strong domestic demand and prudent fiscal management. India's continued outperformance is anchored by several factors – a demographic dividend, rising urbanization, and a concerted push on Make in India, infrastructure investment and digital transformation. These structural strengths are reinforcing its macro resilience amid global uncertainty.
Moving on to the automotive industry:
For the quarter ending June '25, the Indian automobile industry recorded a year-on-year volume growth of 2%, with total production reaching around 8 million units. The growth was largely supported by record export volume growth, while domestic consumption has declined year-on-year basis.
Moving on to the PV industry:
In Q1 FY'26, the total PV production volume registered a year-on-year growth of around 3%, reaching 1.24 million units. Within this, the utility vehicle segment stood out, underscoring continued strong consumer preference in this category. Contrary to the domestic market, exports grew by 13% to 2.04 lakhs.
Looking ahead, the segment remains cautiously optimistic. Gradual recovery is anticipated in the coming quarters, driven by the upcoming festive season and expected improvement in rural incomes following a favorable monsoon. Export momentum supported by international demand is also expected to play a vital role in the sector's performance moving forward.
In Q1 FY'26, the two-wheeler segment recorded a year-on-year marginal growth of 1%, with

total production reaching approximately 5.9 million units. The bright spot was exports of two-wheelers for the quarter, reaching 1.1 million, growth of around 23%. The growing exports for both PV and two-wheelers reflect our competitiveness, quality and technological competence.
The three-wheeler segment recorded a robust growth of 10.4% in Q1, primarily driven by strong demand for passenger carriers. The EV segment continued its upward momentum in June '25 quarter, with volume stretching around 5 lakh units. Strong consumer adoption, supported by a wider range of models and improving access to charging infrastructure, has been a key driver of this growth. Electric two-wheeler registration during the quarter was estimated to be around 2.98 lakhs. The electric three-wheeler reported record growth in registration of 27%, reaching 1.9 lakh units, while electric passenger vehicle registrations were around 38,000.
Looking ahead, the automotive industry looks as cautiously optimistic. Key macroeconomic indicators, such as anticipated above normal monsoon, which are expected to bolster rural incomes, and the cumulative 100% point cut in the repo rate over past six months, offer meaningful tailwinds. The India-UK free FTA offers significant opportunities for the Indian automotive and auto co

mponent industry. While FTA also opens up India market for UK
imports, however, we don't foresee significant competition as domestic manufacturing remains cost competitive.
Moving on to financial and operational performance for the quarter:
You can refer to Slide #7 and #8. Uno Minda delivered strong financial performance in the first quarter FY'26, driven by broad based growth across multiple product segments. Consolidated revenue from operations for the quarter stood at Rs. 4,489 crores. This includes certain incentive incomes amounting to around Rs. 69 crores pertaining to prior period. However, for the purpose of like-to-like comparison from the corresponding quarter, we have excluded the same from revenues, EBITDA and PAT to derive normalized growth. Consequently, revenues from operations excluding such prior period income was Rs 4,420 crores, registering a robust 16% year-on-year growth compared to Rs 3,818 crores in Q1 FY'25. This performance reflects healthy traction across core product lines such as switches, lighting, alloy wheels, and seating systems, along with accelerating momentum in emerging segments including sensors, radars, and controllers.
Adjusting for the prior period income, normalized EBITDA stood at Rs. 474 crores, broadly in line with the revenue growth, while maintaining stable EBITDA margins of around 10.7%. It is worth noting that these margins were achieved despite the impact of annual cost escalations and manpower cost procedures, which were above industry averages during the quarter. Finance cost rose to Rs. 44 crores, primarily due to increased borrowing undertaken to fund CAPEX and working capital requirements. Depreciation expenses also increased by Rs. 18 crores reaching Rs. 159 crores, reflecting the commissioning and capitalization of new facilities over past year, including the 4-wheeler lighting plant at Khed City and the additional two-wheeler capacity expansion at the two-wheeler alloy wheel facility in Supa.
Share of profit from associates and joint ventures rose to Rs. 47 crores in Q1 compared to Rs. 37 crores in the corresponding quarter last year. This improvement was primarily driven by the strong performance of TG Uno Minda, Denso Ten Uno Minda, while results from Roki and TRMN remained steady. Profit after tax attributable to shareholders stood at Rs. 291 crores. On a normalized basis, PAT was Rs. 239 crores, reflecting a healthy year-on-year growth of 21% over Rs. 198 crores in Q1 FY'25.
Coming to the business segment-wise performance:
If we look at Slide #11, the switching system business continued to deliver an outstanding performance in the quarter, contributing significantly to Uno Minda's overall revenue mix. The segment reported revenues of Rs. 1,111 crores during the quarter, marking a 16% year-over-year growth and accounting for a substantial 25% of companies' consolidated revenues. The growth was fueled by multiple drivers. Export performance remained particularly strong in the two-wheeler switch category. Exports in this category reached new quarterly run rate of Rs. 68 crores reflecting our globally competitive and robust quality systems. We are pleased to report a new
export order from a UK-based motorcycle manufacturer for supply to their Thailand plant, further validating our global capabilities. The relocation and expansion of our four wheeler switch operations under Uno Mindarika from Manesar to Farrukhnagar is progressing as planned

and is expected to be commissioned by Q3 FY'27.
During the transition, we anticipate a temporary overlap of costs as we manage operations across two plants. Nonetheless, this move will enhance our operational efficiency and capacity over medium to long term. The lighting system business continues to be

a cornerstone of Uno Minda's
growth trajectory, delivering another robust performance during the quarter. The segment reported revenues of Rs 1,013 crores, contributing a substantial 23% to Company's consolidated revenues. This reflects a healthy 13% year-over-year growth compared to Rs. 894 crores in Q1 FY'25. The strong performance was primarily driven by ongoing transition to LED technology and increasing customer demand for advanced aesthetically appealing lighting solutions, particularly in the front and rear lamp applications. Our European lighting operations continue to elevate their position as a technology leader and have recently secured an order for the next-generation Dynamic Logo Projectors from a leading automotive OEM.
Looking ahead, the business remains sharply focused on expanding its portfolio of next-generation lighting solutions. This includes projector headlamps, Dynamic Logo Projectors, ambient lighting and adaptive lighting systems.
The casting business delivered a robust performance in the quarter, generating revenues of Rs. 824 crores, which accounted for 19% of the group's revenues. This included Rs. 431 crores from the four-wheeler alloy wheel business, Rs. 243 crores from two-wheeler alloy wheel and Rs. 149 crores from aluminum die casting. This growth was driven by a commissioning of new capacities, including 30,000 wheels per month line at a four-wheeler alloy wheel facility in Bawal and an additional two million wheels per annum capacity at a two-wheeler alloy wheel facility in Supa.
Construction of our Greenfield four-wheeler alloy wheel facility at Kharkhoda is progressing well. The first phase of the capacity of 60,000 wheels per month is expected to be commissioned in Q2 of the current fiscal year.
Our Seating system business continued to contribute meaningfully, recording revenues of Rs. 320 crores for Q1 FY'26, which represents 7% of the consolidated topline. The segment delivered a strong year-on-year growth of 18%, primarily driven by diversification of customer base for two-wheeler seats. Looking ahead, we expect the seating division to maintain its growth momentum, backed by exports to new customers, supply of suspended seats to more customers in domestic market and volume growth from newly added customers into the seat business.
The Acoustics segment reported revenues of Rs. 187 crores in the quarter, contributing a steady 4% to the consolidated topline. The European automotive market continues to experience volatility, with muted demand impacting the acoustic segment. The decline is attributable to both PlOt•J1 MINDA I

softening and market demand, and a shift in OEM preference from dual-horns to single-horn configurations, which has resulted in reduced overall content. We are actively pursuing multi-Cost strategy including improving efficiency and productivity and driving cost optimization across manufacturing and sourcing in an effort to revive the profitability of our European Acoustic business.
Moving to the other product segment, which delivered a strong performance generating Rs. 966 crores in revenues during the quarter, registering year-on-year growth of 30%, contributing 22% to the consolidated topline. Within this, controllers contributed Rs. 147 crores, sensors and ADAS Rs. 215 crores, blow molding Rs. 110 crores, Uno Minda FRIWO JV arm Rs 78 crores, and the alternate fuel business around Rs. 110 crores. The remaining revenue was driven by aftermarket trading, external sales from Uno Minda Katolec, engineering services in Europe, and battery sales in the aftermarket channel.
The controller business, primarily supplying wireless chargers and EV components for electric two-wheelers and three-wheelers continued to grow due to increased penetration of wireless chargers and rising EV 3W volumes. Notably, during the quarter, we commenced commercial sal

es of EVSE home charging solutions for electric four-wheelers. These units are currently being supplied to the dealerships to build market inventory ahead of the model launches. OEM deliveries are expected to commence in the next 3-4 months, in line with the associated model launches. At present, EVSE production is managed under the controller division. Our sensors and ADAS business also performed exceptionally well, driven by increasing demand and localization efforts.
A key highlight during this quarter was the commissioning of a new camera module production line. We are proud to share that Uno Minda has become the first company in India to localize camera module production for RPAS/FPAS systems, components that were previously fully

imported. Commercial supplies have risen, and we anticipate a ramp-up in volume in the coming quarters.
Electric mobility remains a central pillar for our growth strategy. Our integrated EV offerings for electric two-wheelers, including chargers, EMS, controllers, sensors, continue to gain momentum. During the quarter, we completed the acquisition of the remaining 49.9% stake in UMEVSPL, our joint venture with FRIWO. Additionally, Uno Minda acquired the IPR, R&D team, and technical know-how related to technologies, including control hardware and software, for FRIWO's operations in Germany and Vietnam. This strengthens our in-house capability to scale and innovate across the electric drivetrain value chain.
We would also like to inform you that the Board of Directors has granted in-principle approvals for the acquisition of the remaining stake in our JV, Uno Minda Buehler Motor Private Limited. The acquisition will be executed in one or more phases, subject to mutually agreed terms. The Board has authorized the M&A Committee to recommend and approve the final purchase PlOt•J1 MINDA I

consideration and other terms of the transaction. Discussions with our joint venture partner Buehler Motor are currently underway and we expect to finalize the agreement over the next few months.
While our direct dependence on rare earth magnets is limited, we have witnessed some indirect impacts due to reduced volume from OEMs, specifically in the EV two-wheeler segment. Nevertheless, we are mitigating this through alternate sourcing and close collaboration with our OEM partners.
We are pleased to inform you that the construction work has commenced on our new Greenfield facility for high-voltage EV powertrain components under our JV with Inovance Automotive. Phase-1 is expected to be commissioned by Q2 FY'27. However, to cater to OEM demand, we may commence usage supplies via imports from our joint venture partner ahead of the transformation. As previously communicated, the JV with Inovance requires regulatory clearance. We have now formally applied for various approvals and are actively engaging with regulatory authorities to address any queries and expedite the approval process.
Moving to the aftermarket revenue, I think you can refer to Slide #14. For the quarter ending June '25, our aftermarket business reported revenues of Rs. 329 crores, contributing approximately 7% of consolidated revenues. In addition to these direct aftermarket sales, several of our businesses verticals also supplied purchase components to the spare part division of OEMs, which has seen notable growth in recent years. With OEMs increasingly focusing on strengthening their aftermarket presence, our SPD linked sales have scaled up significantly. During the quarter, the SPD sales stood at Rs. 248 crores. The combined revenues from aftermarket and SPD channels amounted to Rs. 577 crores, reflecting the growing importance of these segments in our overall business mix.
Our international business contributed approximately 11% of total revenues during Q1 FY'26. While sales from certain geographies such as Eur

ope witnessed some decline, this was
effectively offset by a robust growth in exports from India. The dip in the share of international business as a percentage of total revenues is largely attributable to the stronger growth momentum in the domestic market, even as international sales remain relatively stable. We would like to clarify that the ongoing U.S. tariff situation has no material impact on our operations as exports to the U.S. constitute less than 2% of our total revenues. In fact, we have witnessed growing demand in the U.S. for our two-wheeler products, reinforcing our competiveness growth in the global market.
Moving to our debt levels, our debt as of June was at Rs. 2,228 crores compared to Rs. 2,091 crores as of March 31, 2025. The net debt has increased on account of expansion CAPEX as well as expenditure of Rs. 130 crores on land at Chhatrapati Sambhajinagar. While sustaining and growth capex have been largely financed from business cash flows, the capital expenditure PlOt•J1 MINDA I

primarily on land bank has resulted in incremental debt. Our net debt to equity as of 30th June stands healthy at 0.34.
As you look ahead, Uno Minda is strongly positioned for sustained and long-term growth. Our strong fundamentals are backed by a well-diversified product portfolio, deep customer relationships and continued investment in emerging technologies, including electric mobility, ADAS, advanced electronics and automotive lightings. Our persistent track record of

outperforming industry, delivering 1.5x volume growth over market averages, demonstrates the strength of our OEM partnerships, our innovation-led approach and our operational discipline.
We remain focused on enhancing both our capacities and capabilities. Currently, we have approximately 13 ongoing expansion projects across multiple key programs. Among these, several are slated for commissioning during the current financial year, including Phase-1 of the four-wheeler alloy wheel plant at Kharkhoda, the Lighting Manufacturing Facility in Indonesia, the Die Casting Capacity Expansion at Hosur .
In addition, the full year ramp-up of recently commissioned projects, including the four-wheeler lighting plants at Khed City and Gujarat, the expanded two-wheeler alloy wheel plant at Supa and the four-wheeler alloy wheel plant at Bawal, are expected to further support growth in FY'26.
We enter the next phase of our growth journey with confidence, agility and a clear strategic vision. We remain committed to delivering long-term value to all our stakeholders and are optimistic about the opportunities that lie ahead.
With this, I would now like to open the floor for your questions.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Chandramouli Muthiah from Goldman Sachs. Please go ahead.
Chandramouli Muthiah: Hi, good evening and thank you for taking my questions. My first question is just on the castings business, which is well levered to SUV growth in India. So, after a very strong run of consistent SUV growth, I think June 2025 seems to be the first month where SUV growth sort of became flat after a period of almost 3 successive years of strong sort of high single-digit to mid-double-digit growth. I just wanted to understand, near term, over the next 2-3 quarters, how are you thinking about castings growth? Is this having some impact on the pace at which alloy wheels and castings might grow in the near term?
Sunil Bohra: Any other questions?
Chandramouli Muthiah: Yes. So, second one is just around disclosure in the annual report. I think you have disclosed that roughly 4% of revenue is being spent on R&D. But I think at the standalone level, it seems to be more like 1.7%. So, I just wanted to understand the gap there. And lastly, just wanted to request if you could repeat the

split of other segmental revenues across controllers, sensors, PlOt•J1 MINDA I

ADAS, and so on. And also the split of the castings business between alloy wheels and other castings.
Sunil Bohra: Okay. Good evening again. So, starting from bottom, split of others. I think I did give both others and castings. So, maybe you can take it offline. Disclosure in annual report, as you mentioned, standalone is 1.7%. I think this can also be taken offline. In terms of casting business, we remain very, very optimistic, Chandru, as you know, that we have currently significant investments going on in both two-wheeler alloy wheel business and also four-wheeler alloy wheel business. And both the expansions are obviously linked to some customer intents or POs in hand. As you know, we don't normally commit any CAPEX unless we have a PO in hand. So, from that perspective, we are quite optimistic. I think only challenge or the part which we are not able to comment on is that the application ratio. So, while the application ratio has improved significantly over the past few years, currently if you see, it is a little more stabilizing at the current levels of around 43%-44%, which as we have been talking globally, it is more than 2x of this. So, obviously, India will also have this run-up. But it's very difficult to say when this run-up, which quarter this will happen. So, we have to be ready to catch that upside. That's number one. And number two, in the past, we have actually been doing small, small expansions, like sequentially, one finished and the other started. And there has been a consistent feedback that we should look at larger platforms. So, that's why, if you see Kharkhoda, while we have eventually sort of dropped capacity multi folds, first phase we had only 60k and then gradually it can be taken on in a multiple of 60k, which are there to do smaller 30k multiples. So, from that perspective, we are quite optimistic on the application ratio. While you mentioned SUV sales is maybe taking a low growth or whatever number you said, you said about June 25. But this is, I think, just an aberration, we believe because application ratio, when you speak about it, is not necessarily only SUV. It goes through the Sedan or the compact cars or the luxury cars everywhere. So, application ratio is not something which we keep closely track of. And it's not actually necessarily have only alloy wheels. They also have steel wheels. So, from that perspective, we need to keep track of application ratio, how it pans out and how we can catch the opportunity. And same in terms of 2-wheeler alloy wheels also, recently in this last quarter, the application ratio has moved a little bit towards steel wheels, which as we hear from our customers, they do expect to move back to the alloy wheels in the coming quarters. So, from that perspective, we are quite optimistic. And as we move forward, and if we have to reach global levels of application ratio, I think there is a huge upside from where we are today.

Chandramouli Muthiah: All right. That's helpful. Thank you very much and all the best.
Sunil Bohra: Thank you.
Moderator: Thank you, sir. The next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

Mukesh Saraf: Yes, sir. Thank you and good evening. My first question is on the new plant that you are looking to set up for EV castings with Rs. 210 crores of investment there. So, could you give some more sense? Would this focus on both two-wheelers and four-wheelers? And also, what kind of order book we might have in hand and what kind of peak asset turns we can do on this kind of an investment on these castings?
Sunil Bohra: Right. That's number one. Any other questions, Mukesh?
Mukesh Saraf: Secondly, it's on the acqui

sition of stake of Buehler, the JV that you have with Buehler. So, now that we have done FRIWO, we are also doing this. So, I just wanted to understand the thought process there. Both the JVs that we had focusing on two-wheeler and three-wheeler EV components, we have acquired or we are looking to acquire the stake there of the JV partner. So, just trying to understand the thought process there as to, is there a change in approach from the management side based on what your OEM customers are now doing with respect to in-housing or outsourcing? So, some more sense there would help.
Sunil Bohra: Right.
Mukesh Saraf: So, these are the two questions.
Sunil Bohra: Great, great. So, good evening, Mukesh again. So, new plant for EV casting, as we said, this is primarily a backward integration for our upcoming EV plant in Sambhajinagar at Khed for EV four-wheeler. And this casting, as you would have seen, they are very different castings than the normal castings which we do for like engine cover, or pillion rider cover, or lever. They are very simple things. This is a very, very complex 2,500 ton casting. So, this plant is in first phase directly sort of dedicated towards the EV four-wheel casting. So, if you see the big drivetrain under the hood, it comes with a complete aluminum casing. So, this is about the aluminum casing. Obviously, we do have flexibility to, once we set up, flexibility to sort of see if we can get any other components, but that's the first phase. And in terms of asset turn, since it's a high CAPEX business, the asset turn definitely is going to be lower. It's actually less than one in terms of the expected asset turn. And acquisition of stake of Buehler and FRIWO, I think they are two different things. So, FRIWO, what we have got is entire, not only the stake, but also the technology piece of it. So, we've got all the hardware, software, all the people, entire setup in Germany and Vietnam. So, from technology perspective, it's completely now on Uno Minda. There is no dependence on any third party. But Buehler, this is a little different because our JV partner here was obviously, this business was wanting some capital. And JV partner was having cash crunch even in Germany. And they were very keen to run the partnership. But because of lack of capital, the board said, why not we sort of take over the company and then convert JV into a TLA. So, unlike FRIWO, where there is no TLA, technology is fully ours. Here we will continue to have a TLA with Buehler. So, otherwise, there is no change in approach. As you have said, we are fully committed to all our partnerships.

Mukesh Saraf: Got it. Understood. Because the Buehler business, we haven't really seen a scale up there. I think it started about 3, 4 years back. We haven't seen much of a scale up. So, that's why the question there, but understood.
Sunil Bohra: You are right, Mukesh. We all know this was the challenge we have faced. One of the exceptional cases which we have come across in terms of getting a big business, and we are trying to work on this.
Mukesh Saraf: Thank you, sir. Thanks for that. I will get back to the queue.
Sunil Bohra: Thanks, Mukesh.
Moderator: Thank you, sir. The next question is from the line of Aditya Jhawar from Investec. Please go ahead.
Aditya Jhawar: Hi, thanks for the opportunity. And congrats on a good set of numbers. So, the first question is, clearly, it was a very good all-round performance across businesses. And Harita has also started contributing well in growth in the last couple of quarters. So, the first question is, if you can give some color in terms of what kind of business wins we are having in terms of customers, what kind of customers two-wheeler, CVs and geographic split, and incrementally, how should we

think about growth in Harita? That is question number one. The sec

ond question is, you
answered partly the FRIWO part. But, Sunil, this is just about 4 years where we are taking over the company. From a joint venture, it is becoming a subsidiary, a 100% subsidiary. So, is there a change in thought process from FRIWO side? Or is there a conflict of interest with other JVs like Inovance? And incrementally, what about the technology sharing that we would have got from FRIWO? How should we think about it? You mentioned that you are procuring the current assets, but throw some light on that. And the final question is on our margins. While we have seen consistently our topline growth has been quite healthy in the last couple of years, but somehow we are not getting the full benefits of operating leverage. Now, as a lot of the growth is expected to come from new ventures, like the other segment which has new products, how should we think about margin trajectory? Keeping into mind the change in product mix and the benefits of operating leverage. That's it from my side.
Sunil Bohra: Thanks, Aditya. So, let me go one by one on all the questions. So, first is what kind of business is in Seating? So, as we have said in the previous quarters also, in Seating, there has been a significant success in terms of getting the suspended seat business both in India and also exports. And also, we have been able to get into one of the incumbent two-wheeler OEM with a significant share of volume. And both of them have started playing part. And as we move forward, these are also still in the ramp-up phase. So, we are very, very optimistic in terms of the seating business. Like we said, we will double this business in five years. We are almost there. And let's see if we can replicate that in another five. So, we are very, very aggressively working on this seating business. And in terms of FRIWO, yes, you are right. There is a change in FRIWO side because FRIWO, if you go through their complete, what you call, website and PlOt•J1 MINDA I
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announcement, they are also listed entity. They have actually been exiting businesses in last couple of years because of their own internal issues. It's run by a poor set of promoters, etc. So, they have their own compulsions and they have been sort of exiting the businesses. And we saw opportunity there because here it was not only the equity stake, but we got the entire technology part also. So, in terms of the motor controller software, which is the key here, in terms of all the technical know-how, in terms of all the people and the entire setup, which is there in Germany and in Vietnam, we sort of took control of everything. So, nothing is now left with FRIWO. And yes, you are right. This has happened in 4 years, but we actually saw it more as an opportunity than anything else. Coming to margin, yes, you are right. And we have been persistent. I think last year also we spoke about next 2 to 3 years is where we are in a super growth phase. We have like 13, 14 projects ongoing. And a lot of these costs, nowadays, actually, if not capitalized, they are all charged up to revenue. And all these projects, as and when they come into operations, they don't generate revenues or profitability. So, even if they generate some revenue, it takes roughly a couple of years to turn to profitability. And our target normally, as we know, is third full year of production to achieve the target milestones. So, they are initially a drag. And despite so much of investments ongoing, we are able to maintain our margins or our guidance margin. But as you move forward, if you split this into two, you see the businesses which are stable versus businesses which are either at the incumbency stage or in the ramp up phase, you'll see that difference. So, the earnings are actually growing. But because of this, it's actually been pulling down. So, in maybe short to medium term, maybe a couple of

years, we do expect these
things to stabilize. And you will see some, hopefully, the margin expansion as well.
Aditya Jhawar: Yes, that's quite helpful. Thank you. All the best.
Sunil Bohra: Thanks, Aditya.
Moderator: Thank you, sir. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Yes. Hi, sir. Thanks for the opportunity. Sir, a couple of questions, first on this camera module localization. So, can you just throw some more color in this? How much are we actually investing? And in terms of ramp up, will this be visible in the revenue? Because we probably are already importing this. So, the benefits may be more from a margin perspective only. So, some thoughts there. How much? What are we doing there? Second, on the lighting segment. So, like you have also talked about a lot of tailwinds in terms of premiumization and new orders. And we have opened a new plant also. So, how should we think about the ramp up here? How is the order book? Can we expect the growth of 13% which we have done in the current quarter to accelerate further given these tailwinds? And if you have the four-wheeler, two-wheeler mix of lighting, that will also be helpful. And sir clarification on this trial period incentive. What was this exactly? Why did we get it now? These are some of the questions there. PlOt•J1 MINDA I

Sunil Bohra: Yes. Thanks, Siddhartha. So, going in the same sequence as you have asked some questions. So, camera module localization, as we said, which we just started. This is an in-house camera development at our R&D center. And this is just the start-up. So, as of now, it's both import also and local manufacturing also. And as I said, in the next couple of quarters, we will see a complete ramp up. Overall, you will not see a significant delta in terms of topline because it's basically localization. So, imports will be substituted to your own manufacturing. But there will be a less trading as we move forward. And moving to the next, which is lighting segment, new plant, ramp up. Can we expect 13% growth if I have? You said 13 or 30?
Siddhartha Bera: 13 sir. So, this quarter growth was, I think, 13%. So, can we expect acceleration there?
Sunil Bohra: Yes. So, definitely, we are quite optimistic and we are actually planning for a significant growth. But as you always know that the growth is dependent on the industry volumes. So, if industry volumes and that too the model we supply, if they grow definitely, we will continue to grow. But to ask to straight to your question, 13% growth possible or not, I am sorry. I will dishearten you in commenting on the numbers per se. But I can assure you, we will definitely outgrow the industry growth and continue to do so in this segment. In terms of two-wheeler and four-wheeler mix for the quarter, roughly, our Indian, so, overall, the sales was around Rs. 1,013 crores for the quarter. And Ankur, do you have two-wheeler and four-wheeler split?
Ankur Modi: Yes, sir, we have. So, domestic four-wheeler market did somewhere around Rs. 450 crores of revenue, whereas domestic two-wheeler did somewhere around Rs. 390 crores of revenue.
Sunil Bohra: And in terms of incentives, Siddhartha, you know that wherever we are putting these expansions based on these ideas and so on. So, there are certain government incentives which were entitled to and which helps you sort of remain competitive initially because the incentives are also for a very limited period. So, we have been able to get certain approvals within this quarter which were sort of pending. And that's why that income of around Rs. 68-69 crores has been booked during the quarter, which was relating to period prior to 31st of March. And we thought it's important to sort of highlight because it's not for the current quarter.
Siddhartha Bera: So, this is part of the plan

t incentive and not the PLI. Is that the right way to look at it?
Sunil Bohra: Yes, you are right.
Siddhartha Bera: Okay. And, sir, lastly, on this project expansion which you have put out in the PPT, I think there are some segments like Buehler motor and EV systems which probably are for the prior periods and not for this period.
Sunil Bohra: No, it was put up because earlier when we said, if you see, it says to be spent over 5 years and 6 years. So, earlier only Phase-1 was commenced, and we have still not invested full money. Like UMBM, instead of 110 crores, the investment today is only Rs. 20-25 crores. And same for EV PlOt•J1 MINDA I

system we were looking at 150 or something like that. So, it is not fully done. Yes, Phase-1 is commenced.
Siddhartha Bera: Okay. Because, sir, start of production also looks like it's FY'24, it is mentioned. So, I thought it was probably something in the past.
Sunil Bohra: Yes, SOP is done, but the CAPEX has not fully been spent.
Siddhartha Bera: Okay. Understood, sir. And lastly, sir, on this EVSE segment, how much was the contribution in the current quarter and how do you see the ramp-up for this segment?
Sunil Bohra: So, as I said, as of now, it's very, very small volume because it's primarily going into the dealerships and the setup there. The SOP is roughly around 3-4 months due, which is linked to the OE launch of vehicle. So, maybe that time is a better place to give you some numbers.
Siddhartha Bera: Understood, sir. Okay. Thanks a lot, sir. I will contact you again.
Sunil Bohra: Thanks, Siddhartha.
Moderator: Thank you, sir. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh Mandlesha: Yes. Thank you, sir, for the opportunity and congrats on continuing the robust performance. So, first on the order books, sir, any update for the EV PowerTrain Inovance JV and the sunroof JV? And on the camera module, sir, do you see more opportunity outside the regulation part? Like, there are also CV regulations coming with ADAS in truck and buses. So, do you see that kind of opportunity also going ahead? This is the first question, sir. And the second is on the, we've seen a very strong growth in aftermarket this quarter. Any specific to call out, sir? And the third question is, sir, just on the Clarton Horn, sir, it's a loss making as on last year. Just wanted to

understand over the medium term, what's the plan there for that business? And lastly, sir, CAPEX guidance for the next year, sir?

Sunil Bohra: Thank you, Mumuksh. I think a lot of questions. Let me try and go one by one. I hope I don't miss anything. So, first question was the order book for the Inovance JV, EV products and sunroof. So, as you know, we have said in the last call also that we don't start a project unless we have an order in hand. So, for EV, we do have a PO in hand. We can't comment on the value because value again is linked to the quantum and the number of vehicles being made by the customer. And sunroof also, I said last time that we have started with one order and we already got the second model order, which is the same carryover model to another vehicle. In terms of camera module and localization and ADAS etc., yes, the camera module, what we are manufacturing is actually part of ADAS business, which is currently going into the reverse parking systems, etc. And the same camera shall be used for the sound view, 360-degree view, etc., etc. Aftermarket is strong growth. Yes, we have been aggressively working on our PlOt•J1 MINDA I

aftermarket strategy in terms of branding. You know, a couple of years back, we have initiated a complete branding initiative and exercise across various regions and onboarded experts in terms of branding. That ha

s started reaching some sort of positive impact. Clarton Horn, the medium-term plan, definitely, as I said, our first objective is how do we consistently bring down the costs and make the business viable at the volumes currently we are today. So, at peak, if you remember, Clarton Horn used to do 21-22 million horns, whereas today we are at somewhere around 15-16 million horns. So, there is a significant drop in volumes there and we are trying to re-engineer the business so that it does not lose money at its current volumes. CAPEX guidance, as we said in the last call, which is roughly around 350 crores to 400 crores of sustaining CAPEX and around 1,300 crores of growth CAPEX. Ankur, I hope my numbers are right.

Ankur Modi: Yes. This is correct.

Mumuksh Mandlesha: Got it, sir. Just one more, sir. On the airbags, sir, because now recently Maruti has launched a lot of models with the airbags. I just want to understand how do you see the growth there, sir?

Sunil Bohra: How is the growth? Which growth? Airbag growth?

Mumuksh Mandlesha: The airbag business, sir. Recently, Maruti has come up with a lot of updates on the airbags for most of the models.

Sunil Bohra: No, so airbag is a business which has, I think, already taken up a significant jump in the last few quarters. If you remember two years back, there was likely to be a mandatory six airbags which was later withdrawn and it was linked to the Bharat NCAP ratings. And today, as we speak, the majority of the models do have four airbags. So from that perspective, the airbag business has actually seen a significant growth in the past few quarters and we have also put in a new plant, if you remember, in Neemrana. So that also is doing pretty well.

Mumuksh Mandlesha: Got it. I mean, any broader numbers, sir? What kind of growth will be there, sir, in the airbags, sir?

Sunil Bohra: You are looking for revenues of airbag business?

Mumuksh Mandlesha: Yes, revenues.

Sunil Bohra: Maybe that we can take it offline if you don't mind.

Mumuksh Mandlesha: Sure, sir. And if we can take the last question, sir, on the sensors, I am sorry, on the rare earth parts, sir. Any impact on the sensor business because of that, sir?

Sunil Bohra: Yes, that's what I said in my commentary that while we do not have any sort of rare earth magnets in a big way, it's only sensor business where we use some of these magnets. And so far, we have PlOt•J1 MINDA I

been able to manage our business through sourcing of these magnets from various parts of the world. And we have ensured that our customer lines are not impacted.

Mumuksh Mandlesha: Got it, sir. Thank you so much for the opportunity.

Sunil Bohra: Thank you.

Moderator: Thank you, sir. The next question is from the line of Basudeb Banerjee from CLSA. Please go ahead.

Basudeb Banerjee: Thanks, sir. A couple of questions. Just to reiterate the last question, you said Rs. 350 to Rs. 400 crore of maintenance CAPEX and growth CAPEX amount, I couldn't hear properly, sir.

Sunil Bohra: Yes, around 1350. Yes, you are right.

Basudeb Banerjee: So, combined, it should be Rs. 1600- Rs. 1700 crore for FY'26.

Sunil Bohra: That's right.

Basudeb Banerjee: And second thing, if you can slightly explain on that incentive part which you said this incentive is for fiscal '25 or accounted for March quarter which came into the P&L this quarter. So, this Rs. 69 crore is for the whole FY'25 and would be sort of recurring in …

Sunil Bohra: Let me clarify. I didn't say for FY'25. I said it is for the period prior to 31st March '25 which is not only one year. It's actually longer period. So, what happens, Basudebji, is that whatever state incentives you are eligible for putting a plant, normally you get a final eligibility certificate which ensures or confirms that now the incentives will get disbursed. So, for one of the business, this was

long pending. And we have finally got in this quarter and that's how this income has been recognized in the current quarter which does not relate to the current quarter and that's why we highlighted it.

Basudeb Banerjee: And because so many new projects are also coming and many states give local incentives, so any such incentive on a recurring basis for next few years or this is complete one-off and nothing like that will recur back?

Sunil Bohra: No, no. There are new projects which are coming. So, every new project will have some incentive. It's only that lumpiness comes in case there is a delay. And as I said, these incentives is what something which makes you competitive. Otherwise, at today's cost, it's very difficult to compete with a plant which is a depleted plant. And you know how competitive environment we work in. So, we do factor these incentives when we approve these projects or capex etc.

Basudeb Banerjee: And like any specific aspect other than say seasonality for staff cost where sequentially revenue is flattish and staff cost up because of salary hike quarter, like your margin which was hovering
around 11.5 and marching towards 12, that came back to sub 11% if I remove this incentive as you highlighted. So, anything other than that staff cost seasonality aspect you would like to mention that commodity pressure or competitive pressure, pricing pressure or other expenses?

Sunil Bohra: Nothing which is out of normal. So, that's why we always say that our business is not a linear business. There is a seasonality involved and also seasonality involved in the way the business is being done. So, if you see last many years, 8-10 years history, you'll find Q4 margins tend to be on higher side and Q1 tend to be on lower side. The reason being in Q3 and Q4 you normally get closer with your customers on various price escalations, discussions, settlements, etc. So, comparing Q4 to Q1 is not something we would encourage because Q4 will have some of that factors playing a role which does not play in Q1. So, that's why it is important to see Q1 to Q1 and Q4 to Q4 and Q2 to Q2.

Basudeb Banerjee: Sure and last quick question like many new foreign EV makers are now planning to set up or expand capacity in India. So, how are you placed to supply components to them because within EV other than Tata Mahindra, most of them are foreign makers, maybe the likes of MG, etc. So, how are you placed to take demand from those OEMs?

Sunil Bohra: So, difficult to comment Basudeb, right now in terms of how the new players will work on in terms of their models because initially whoever sets up a base in the country who already has operations globally tend to sort of bring their existing capability and start with that because on a small volume it is not possible even for them to localize everything and these things take time to localize and sort of create some meaningful base. In terms of new suppliers like you took some names, definitely we are in touch with those customers but little premature to talk because even from their side, the plant is yet to come up which is still maybe like 2-3 years away.

Basudeb Banerjee: Sure sir, thanks, all the best.

Sunil Bohra: Thank you.

Moderator: Thank you sir. The next question is from the line of Abhishek Kumar Jain from Alfaccurate. Please go ahead.

Abhishek Kumar Jain: Thanks for opportunity sir. Sir, as EV penetration is increasing in passenger vehicle, how much benefit do you see in terms of the content per vehicle? If you can explain it to difference in the content per vehicle in Grand Vitara versus e-Vitara?

Sunil Bohra: Abhishek, I can't talk about model to model in Grand Vitara and e-Vitara. We don't talk about customers and their models. What I can share is that if you see our presentation for last quarter, we have given separate fit value for sepa

rate segments. You see A segment, B segment, C segment, D segment. What is our potential fit value? If we have to supply all our products and these are primarily products which are agnostic to EV. On top of it, the EV fit value, what plant we are setting up in Khed, that itself will be around 1 lakh plus kind of a number per vehicle.

Abhishek Kumar Jain: And in other product segments, we have seen a very strong growth. So how is the outlook for the growth in the controller, sensor and EVSE? And what is your plan for the E-Axle?
Sunil Bohra: So E-Axle, Abhishekji, I just spoke about which is the new plant which we are setting up in Khed for which the SOP is expected to be middle of next fiscal year. And in terms of controllers and sensor, we have been working very, very intensively. You see, a lot of our new products are in controllers and I already shared some of the information. In case you have any questions on that, you can please ask. In terms of sensors, we are consistently being increasing our application based on also the quantity or the quality or even the type of sensors which we have been working on. So sensor business, it was maybe a Rs. 100 crore business. Only sensor and controller was Rs. 100 crore business sort of what you call 5 years back. Today itself, it's more than Rs. 250 to Rs. 275 crore business for a quarter. So from Rs. 100 crore run rate, it is already a Rs. 1,000 crore run rate.
Abhishek Kumar Jain: Thank you, sir. That's all from my end.
Sunil Bohra: Thank you.
Moderator: Thank you, sir. As there are no further questions from the participants, I now hand the conference over to Sunil sir for closing comments.
Sunil Bohra: Thanks, Palak. So at the end, I would like to thank everyone for joining the call. I hope we have been able to respond to most of your queries adequately. For any further information, we request you to please do get in touch with us directly. Thank you.
Moderator: Thank you, sir. On behalf of Uno Minda Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines. PlOt•J1 MINDA I
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Call: Nov 2025

Uno Minda Limited
Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: November 13, 2025
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Symbol: UNOMINDA ~~ ■VING THE NE~
BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400 001
BSE Scrip: 532539
Sub: -Transcript of the Earnings Call held ori Friday, November 07, 2025 on the Financial Results (Standalone and Consolidated) for the Quarter and half year ended September 30, 2025
Dear Sirs,
Pursuant to Regulation 30 read with Schedule Ill of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Friday, November 07, 2025 on the Financial Results (Standalone and Consolidated) for the Quarter and half year ended September 30, 2025.
A copy of the said transcript is also uploaded on the website of the Company at:
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Thanking you.
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Yours faithfully,
For Uno Minda Limited ,.~
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bbk{--:D-:>td- U :-
Tarun Kumar Srivastava
Company Secretary & Compliance Officer
M. No. A11994
Place: Manesar, Gurugram
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"Uno Minda Limited
Q2 and H1 FY '26 Earnings Conference Call "
November 07 , 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on November 07, 2025 will prevail

MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL OFFICER – UNO MINDA LIMITED
MR. ANKUR MODI – HEAD - TREASURY , IR AND COMMUNICATION – UNO MINDA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Uno Minda Limited Q2 and H1 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about

the company, which are based on the beliefs, opinions and expectations of the comp any as on date of this call. These statements are not the guarantee of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sunil Bohra, Group Chief Financial Officer, for his opening remarks. Thank you, and over to you, sir.
Sunil Bohra : Thank you. Good afternoon, and a warm welcome to all the participants. On the earnings call today, I'm joined by m y colleague, Ankur Modi. We have uploaded our financial results and investor presentation for Q2 and H1 FY '26 on the stock exchanges and our company's website. We hope everybody had an opportunity to go through the same. I would like to begin by giving some insights on the economy, followed by the current scenario in the auto industry and our financial and operational performance for the Q2 and H1 FY '26. Post that, we will open the floor for Q&A.
The global economy displayed resilience despite significant policy shifts following the tariff increases by the United States earlier this year . Global trade and investment patterns have adjusted faster than anticipated. The IMF now projects global growth at 3.2% in 2025 and 3.1% in 2026, modestly above media fore cast, but still below the pre -pandemic average of 3.7%. According to IMF, while the global system has adapted swiftly to the U.S. -led tariff changes earlier this year, much of the current strength remains policy -driven and temporary, supported by front -loaded trade and strong investment activity in advanced tec hnologies. However, resolving and reducing policy uncertainty would provide a significant lift to the global economy. Advanced economies are forecasted to grow around 1.6% in 2025 and 2026, aided by easing financial conditions and fiscal support. U.S. gro wth is projected at 2% in 2025 as consumption and AI -led investment offsets headwind from elevated tariffs and tighter immigration policies. The euro area is expected to grow by about 1.3% to 1.4%, supported by Germany's fiscal push and recovering industrial output.
Emerging markets and developing economies remain the main drivers of global growth, projected to grow 4.2% in 2025 and 4% in 2026 . China is expected to grow modestly at 4.6% this year, owing to weak domestic demand. India stands out with GDP growth forecast at 6.6% in 2025 and 6.2% in 2026. IMF projects headline CPI at 4.5% in 2025, well within the RBI's tolerance band, supported by stable food prices and proactive monetary policy management. Strong domestic demand, infrastructure -led investment and policy stability continues to anchor India's momentum despite global trade challenges.

Moving on to the automotive industry. For the qua rter ended September ‘25, the Indian automobile industry registered a year -on-year production volume growth of around 9%, with total production reaching approximately 8.9 million units. This performance was driven by a powerful dual engine growth story. Do mestically, the market remained resilient with 6% growth, but the standout was export performance which surged 26%.
The export rebound was fueled by recovering demand in key markets across Africa, Latin America and the Middle East, aided by a more stable s

upply chain and favorable currency
conditions. The auto industry saw muted demand during the first three weeks of September as consumers awaited the implementation of GST 2.0. However, volumes rebounded sharply thereafter coinciding with the start of the N avratri festive period.
Overall, Q2 FY '26 proved to be a mixed but ultimately encouraging quarter for the quarter -- for the sector. The period began with subdued sentiment and weather -related challenges, but ended with strong momentum as festive demand, GST rate cut and improving customer confidence combined to lift sales, bookings and showroom activity.
Moving on to the PV industry. In Q2 FY '26, the PV segment demonstrated a gradual recovery with the total production rising 4% year -on-year to 1.32 mil lion units. The quarter remained mixed with early softness giving way to stronger momentum towards the end after GST rate reduction. The growth was driven by export volumes, which grew 23%, while domestic sales declined by 1.5%.
Exports were a major highl ight with PV shipments reaching an all -time high of 2.42 lakh units, reflecting strong international demand for Indian -made passenger vehicles. Within the segment, utility vehicles, which account for nearly 2/3 of the total PV sales, posted a modest 1.1% y ear-on-year growth as a 26% surge in exports was partly offset by a 2.1% decline in domestic volumes. In contrast, passenger car domestic sales remained broadly stable at previous year

levels.
A key highlight for the quarter was the sustained growth in th e electric passenger vehicles. EV sales increased 31% quarter -on-quarter and 139% year -on-year, reaching approximately 50,000 units. This translates to an EV penetration rate of around 5% in Q2 FY '26, up from around 4% in Q1 FY '26. For the first half of the fiscal year, EVs have nearly doubled their share in the passenger vehicle market compared to the prior year, signalling their evolution from a niche category into a mainstream growth driver for the Indian automotive industry.
In Q2 FY '26, the 2 -wheele r segment emerged as one of the strongest performers, recording year-on-year growth of 11%, with total production reaching approximately 6.9 million units. This performance was supported by higher economic activity, resilient rural mobility demand and posi tive impact of GST rate reduction implemented in late September, which collectively enhanced affordability and boosted consumer sentiment.
Within the segment, scooters led the growth, rising 12% year -on-year, reflecting improving urban mobility. Motorcycle s grew by 10%, supported by steady demand from both rural and semi -urban markets, while the premium motorcycle subcategory continued to perform well,

driven by aspirational buyers and expanding exports. 2 -wheeler exports also reached an all -time high of 1. 3 million units in the quarter, marking a 25% year -on-year increase with motorcycle exports alone up 27%, underscoring strong international demand and improved competitiveness of Indian manufacturers.
Meanwhile, electric 2 -wheeler category continued to gai n traction with sales rising 5% quarter -on-quarter and 9% year -on-year, reaching 3.12 lakh units. The e-2-wheeler penetration rate for Q2 FY '26 stood at 7.8%, up from 6.3% in Q1 FY '26 and significantly higher than 5.8% recorded in the full FY '25. This s teady upward trend highlights the increasing consumer acceptance and policy support driving India's transition towards sustainable mobility.
The 3 -wheeler segment recorded robust 18% year -on-year growth in Q2, reaching its production of 3.5 lakh units, le d by strong demand in the passenger carrier subsegment and healthy traction in goods carriers. Exports also hit a record, rising 51% year -on-year to 1.23 lakh units, the highest due to export performance in 6 years.
In Q2 FY '26, CV segment recorded year -on-year gr

owth of around 11% with total production
reaching approximately 2.63 lakh units. Medium and heavy commercial vehicle posted a robust 7% growth, benefiting from the healthy freight demand across level across steel, cement, mining and construction s ectors, while LCV registered a 30% increase year -on-year, driven by continued strength of intracity logistics and e -commerce -related transportation.
Exports remained a key growth driver, rising 22% year -on-year to 0.24 lakh units, reflecting the segment's improving competitiveness in global markets. Overall, the CV segment extended its positive momentum through the quarter with fleet operators re-entering the market to expand capacity amid growing economic and construction activity.
The outlook r emains constructive with expectations of sustained growth through FY '26, supported by expanding infra spending logistics demand and broad -based recovery across commercial segments. Looking ahead, the Indian automobile industry entered the second half of FY '26 on a strong footing, supported by the festive momentum, stable macro conditions and GST 2.0 reforms that have enhanced affordability and consumer confidence.
The early onset of festivities from 22nd September boosted retail activity in Q2 and extende d festive and wedding season is expected to sustain growth through Q3. A healthy kharif harvest aided by a good monsoon and stable rural sentiment are set to support demand in the coming months. The rollout of GST 2.0, along with RBI's rate rationalization and income tax relief measures is further strengthening buying sentiment across vehicle categories.
With urban consumption rebounding and rural demand holding firm, the outlook for rest of FY '26 remains positive, supported by new model launches, improve d financing conditions and favorable policy environment, the industry is well poised for sustained growth marking what could be the beginning of a new up cycle for India's automobile sector.
Moving on to our financial and operational performance for the qu arter. You may refer to Slide number 7 and 8. Uno Minda delivered yet another quarter of strong financial performance with highest ever quarterly revenues and profitability, driven by broad -based growth across multiple

product segments. Consolidated revenu e from operations for the quarter stood at INR4,814

crores, registering a robust 13.4% year -on-year growth.
This performance reflects healthy traction across core product lines such as switches, lighting, wheel , seating systems, along with accelerating mo mentum in emerging segments, including sensors and ADAS. EBITDA for the period grew by around 14% at INR 552 crores as against INR 482 crores for corresponding quarter last year, while improving EBITDA margins to 11.5%.
It is worth noting that these margi ns were achieved despite the start -up cost of recently commissioned plants and nascent businesses, which have not achieved optimum levels. Finance costs remained stable at INR 45 crores. Depreciation expenses increased by around INR 22 crores, reaching INR 173 crores, reflecting the commissioning and capitalization of new facilities over the past year, including the 4 -wheeler lighting plant at Khed City, the additional 2 million capacity expansion at 2 -wheeler alloy wheel facility in Supa and enhanced capac ity at 4-wheeler alloy wheel plant at Bawal.
The share of profit from associates and joint ventures rose to INR 63 crores in quarter 2 compared to INR 48 crores in the corresponding quarter last year. While all major JVs, Denso, Roki and TRML performed well, the TG Uno Minda joint venture delivered a robust revenue growth of 28% year -on-year. The JV commissioned its enhanced airbag manufacturing capacity in Neemr ana in Q3 FY '25, adding side and cu rtain bags to its product portfolio. This expanded capacity is now ramping up steadily, supported by

rising OEM demand for airbags in line with
the enhanced regulatory and requirements.
Profit after tax attributable to s hareholders stood at INR 304 crores in the quarter, reflecting a healthy year -on-year growth of around 24% in Q2 FY ' 26. We would like to highlight that Q2 FY '2 5 PAT includes exceptional income of around INR 9 crores. Excluding this, the normalized PAT grew by 27% for the quarter. Financials for H1 FY '26, we have achieved consolidated revenues of INR 9,303 crores for the half year ending September '25.
The current half year revenues include incentive income a mounting to around INR 69 crores pertaining to prior period. However, for the purpose of like -to-like comparison from corresponding quarter, we have excluded the same from revenue, EBITDA and PAT to derive normalized growth. Consequently, revenues from ope rations, excluding such prior period income was INR 9,234 crores, registering a robust 15% year -on-year growth in H1 FY '2 6.
Adjusting for the prior period income, normalized EBITDA for the period grew by 15% at INR 1,026 crores and PAT attributable to sh areholders stood at INR 595 crores for H1 FY '26. On a normalized basis, excluding the prior period income and exceptional income, PAT was INR 543 crores, reflecting a healthy year -on-year growth of 24% over INR 437 crores in H1FY '2 5.
Coming to the busine ss segment -wise performance.
Starting with switches, you may refer to Slide number 11. The Switching System business continued its strong momentum in Q2 FY '26, making a significant contribution to Uno Minda's overall revenue mix. The segment reported rev enues of INR 1,176 crores during the quarter,

reflecting an 11% year -on-year growth and accounting for a substantial 25% share of company's consolidated revenues.
Growth in 2 -wheeler segment was driven by market share gains, favorable customer mix and sustained domestic volume growth. Although 2 -wheeler switch exports were impacted by supply disruptions of rare earth magnets during the quarter, the magnet situation has been somewhat getting normalized in the ongoing quarter.
Meanwhile, the 4 -wheeler switc h business continued to strengthen, supported by a rising kit value per vehicle as OEMs increasingly adopt advanced feature -rich switch systems. Shifting cum expansion of 4 -wheeler switch plant at Farrukhnagar is progressing as per plan.
The Lighting System business continued to be cornerstone of Uno Minda's growth trajectory, delivering yet another robust performance in Q2 FY '26. During the quarter, the segment recorded revenues of INR 1,106 c rores, contributing a substantial 23% to the company's consolidated revenues. This represents a healthy 14% year -on-year growth. Growth was broad - based across both 2 -wheeler and passenger vehicle segment.
In the passenger vehicle lighting business, the pe rformance was driven by a start of tail lamp supplies for a recently launched customer model, along with the ramp -up of supplies for programs initiated in the past few quarters. The ongoing shift towards LED technology and rising customer preference for ad vanced aesthetically refined lighting solutions, particularly in the front and rear lamp applications have led to a notable increase in kit value per vehicle.
The 2 -wheeler lighting segment also continued to gain momentum, benefiting from the accelerating transition to LED systems. Higher e -2-wheeler penetration has been a key growth driver as these models predominantly adopt LED lighting solutions. Uno Minda remains one of the leading suppliers of lighting systems to both established OEMs and new age elect ric 2 -

wheeler manufacturers. During the quarter, the company also commenced a tail lamp supplies for export to a marquee American 2 -wheeler OEM, further reinforcing its presence in the global market.

Moving to casting business. The business delivered a ro b

ust performance in Q2 FY '26,

generating revenues of INR 917 crores, representing year -on-year growth of 9% and accounting for 19% of Uno Minda's consolidated revenues. This includes INR 465 crores from 4 -wheeler alloy business, INR 281 crores from the 2 -wheeler alloy segment and INR 171 crores from the aluminum die casting.

This growth was driven by ramp -up from recently commissioned new capacities at our 4 -wheeler alloy wheel facility in Bawal and 2 -wheeler alloy wheel capacity in Supa. The growth was co nstrained by a decline in our base aluminum prices by approx. 6% for the quarter. The aluminum price reduction was also passed on to the customer, resulting in lower realization specifically in the 4 -wheeler alloy wheel.

We would also like to inform that the first phase of 4 -alloy wheel facility at Kharkhoda with capacity of 60,000 wheels per month is now under commissioning.

Moving to Seating, you may refer to Slide number 12. The Seating Systems business continued to make strong contribution to the grou p's performance, reporting revenues of INR 354 crores in Q2 FY '26, accounting for 7% of the consolidated top line.

The segment registered an impressive 22% year -on-year growth, driven by favorable customer mix in the 2 -wheeler segment, higher supply of su spended seats in domestic market and increased revenue contribution from the bus passenger seat segment. Notably, a few key 2 -wheeler OEM customers witnessed pronounced volume growth during the quarter, which translated into higher seat demand and conseque ntly stronger revenue performance for the segment.

Looking ahead, we expect the Seating Systems division to sustain its momentum, supported by rising exports to new customers, expanded supply of suspended seats to additional domestic OEMs and volume ramp -up from newly acquired customers in the 2 -wheeler seat business. These developments are expected to further strengthen the segment's position as a key growth driver within the group's diversified portfolio.

Moving to Acoustics. The segment reported revenues of INR 190 crores in the quarter, contributing a steady 4% to the consolidated top line. While domestic revenues have grown by 15%, the European Acoustics business revenue have declined by around 13%. The decline is attributable to primarily softening of end market demand.

The other product businesses delivered yet another quarter of strong performance, recording revenues of INR 1,070 crores in the quarter, a year -on-year growth of 18% and contributing 22% to the consolidated top line.

Within this portfolio, the controllers business contributed INR 129 crores, sensors and ADAS at INR 199 crores, blow molding products at INR 115 crores, Uno Minda EV Systems at INR 115 crores again and the alternate fuel busi ness at around INR 130 crores. The balance revenue was driven by aftermarket, including battery & external sales from Uno Minda Katolec , engineering sales in Europe etc. Uno Minda EV Systems business reported a significant increase in revenue to INR 115 cr ores during the quarter. The rise was partly attributable to the transfer of 3 -wheeler EV charger business from Controller segment to the EV systems.

Over time, we plan to consolidate all EV -related BMS and charger business under Uno Minda EV Systems to br ing operational focus and synergy. The sensors and ADAS business continued to scale up, supported by a successful start of a new camera module production line in the previous quarter.

We would also like to update that the construction of our new greenfiel d facility for high -voltage EV powertrain components under our joint venture with Inovance Automotive is progressing as per schedule. Phase 1 is expected to be commissioned by Q2 FY '27. However, as advised earlier, we may commence initial supplies via imp orts from our joint venture partner ahead of the plants comm

issioning to meet the customer demand.

Moving to Slide number 13, which is the revenue pie of aftermarket & international revenues for the quarter ended September 25 . Our aftermarket business reported revenues of INR 332

crores, contributing approximately 7% of our consolidated revenues. In addition to those direct aftermarket sales, the SPD or spare part division of OEMs stood at INR 260 crores.
The combined revenue fr om aftermarket and SPD channel amounted to around INR 592 crores, reflecting the growing importance of these segments in our overall business mix. Our international business contributed approximately 9% of total revenue during the quarter. The dip in the s hare of in ternational business as a percentage of revenue is largely attributable to stronger growth momentum in the domestic market even as international sales remained relatively stable.
Moving to capex projects on Slide number 14. We continue to invest in building capacities in line with the OEMs expansion plans and auto industry promising outlook. We have 10 expansion projects currently under implementation across product line with investment commitment of INR 2,356 crores.
We would like to highlight that we have removed some of the projects from expansion project list as per -- as their Phase 1 has been completed and remaining amount of committed capex will be spent as per increase in EV penetrations in case of EV 2 -wheeler pr ojects. This is to ensure that we don't build idle capacity and make efficient utilization of assets as well as capital. In case of expansion at Bawal, while Phase 1 of 30 k was commissioned, the remaining capacity will be integrated at Kharkhoda plant.
Moving to cash flow and debt levels. Our net debt as of 30 September was at INR 2,362 crores compared to INR 2,091 crores as on March 31, 2025. Cash flows generated from operations for H1 was around INR 678 crores, while capex was at INR 728 crores, comprisi ng of INR 354 crores of expansion projects, INR 130 crores for land at CSN and remaining sustaining capex .
We also had a cash outflow of around INR 200 crores on account of acquisition of shares of UMEVSPL and Associate Technologies for FRIWO and the tech centers at Germany and Vietnam.
As is visible from above, while sustaining and growth capex has been financed from business cash flows, the capital expenditure primarily on land bank and acquisition has resulted in incremental debt. Our net debt to eq uity as at 30th September stands healthy at 0.36. We have achieved ROCE of 19.6% basis annualizing profits for H1. Kindly note that the capital employed considered for calculation also includes the capex for land bank as well as CWIP , which is currently no t generating any returns. ROCE would have been even higher if we exclude these non-deployed assets.
Moving to ESG. At Uno Minda, we continue to strengthen our commitment to sustainability through well -defined ESG goals and actionable progress. We have set ambitious targets of achieving 60% renewable energy by 2030, becoming carbon neutral by 2040. In line with these goals, we have been steadily increasing our share of renewable energy across our operations.
Today, we operate 38 rooftop solar power plants across India and have made significant investments in captive open access solar power projects through dedicated SPVs. In last couple of years, we have secured green power of around 45 megawatts with investment in solar parks

and solar SPVs in Maharashtra and Tamil Nadu and are now exploring similar arrangements in Gujarat with an immediate goal of achieving around 40% green power across our operations.
Beyond environmental stewardship, our ESG journey is equally focused on inclusion and social responsibili ty. In September '25, we partnered with Atypical Advantage and Next Bharat V

entures, an initiative of Suzuki Motor Corporation to advance inclusion for persons with disabilities. Under this collaboration, we are launching five high-impact initiatives cover ing inclusive hiring, education and employability skills, technical training and workforce sensitization, aiming to build awareness among more than 20,000 Uno Minda employees nationwide.
These initiatives go beyond programs. They represent our effort to r eshape mindsets, celebrate diversity and build a workplace where everyone can thrive. Through such actions, Uno Minda continues to set new benchmarks in sustainable and inclusive growth, reinforcing ESG as an integral part of our long -term value creation s trategy.
Moving to outlook. As we look ahead, I would like to reiterate that Uno Minda remains firmly on a path of sustainable and profitable growth. Our strong performance in Q2 reflects the strength of our diversified portfolio, deep customer relationsh ips and consistent execution across businesses. We are entering the second half of FY '26 with optimism and confidence.
Our ongoing investments in new technologies such as EV systems, sensors, ADAS, alongside capacity expansion in core product lines posit ion us well to capture emerging opportunities. The momentum in localization, Make in India initiatives and increasing focus on sustainable mobility further reinforce our growth trajectory.

At Uno Minda, we continue to prioritize innovation, operational exc ellence and customer centricity, values that have been central to our journey and will continue to guide us forward.
Thank you for your continued trust and partnership. We look forward to an exciting second half and to sharing further progress with you in the coming quarters.
With this, I would now like to open the floor for your questions.
Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Chandramouli Muthiah from Goldman Sachs.
Chandramouli Muthiah : My first question is around the automotive vehicle acoustic solutions, the ADAS. Could you give us some color around what the kit value could be there as that opportunity starts to take shape, as you said, potentially towards the end of next year? The second question is on the share of profit from associates. This quarter looks like it's close to about INR 63 crores. It seems to be higher than more recent quarters.
Is there any one -off there? Or is this a sustainable rate? If you coul d just talk us through what the drivers are on that number? And the third question is just around the first 22 days of September during this particular September quarter, there seem to be some disruption to volumes

that your customers, the OEMs could suppl y to their channel partners because of the issue and the GS T transition.
Was there an accompanied impact to production? And as a result of that, as you get into the December quarter, usually, there's a moderation in production during the December quarter. Will we see that normal moderation in production in the December quarter or because of the impact to production in September, is that unlikely to be the case? Those are my 3 questions.
Sunil Bohra : Yes. Thanks, Chandru. So, Auto Vehicle Acoustic Solution i s what we normally call AVAS. So, this regulation, we know has been in the works for quite some time. In fact, now we have already been working with our customers with this product, which has been ready for almost, I would say, three years now. And we are at the stage where we will be able to capitalize on this very fast. In terms of kit value, maybe we'll share with you once we have the SOP until then, you appreciate this is a little bit competitive sensitive information.
So, at this point, I'm afraid I'll not be able to share the kit value for AVAS. In terms of share of profit of associates, as I have highlighted, d

uring this quarter, the revenues at our joint venture,
which manufactures airbag have increased significantly by around 28 % and there is nothing exceptional or there is no one -off in terms of profit, but there has been a significant profit improvement from that business. And we do hope that that's not a one -off. In fact, that momentum should continue as we move forw ard because this is sheer adoption of more airbags and things like that.
In terms of disruption of volumes and do we see any moderation in production in December quarter? The answer to that is, yes, you are right that normally December quarter volumes are less because end of December also like last week or so is always normally a shutdown for the annual maintenance shutdown, et c, which most of our OEMs and even we keep at our factories.
So as of now, it will be a little early to comment on whether that shu tdown period of a week, 10 days, whether it will get reduced or it will not. But excluding that, as of now, the volumes are quite normal, and we are not seeing any softening from that perspective. So, I hope I have clarified all your questions, Chandru.
Moderator: The next question comes from the line of Aditya Jhawar from Investec India.
Aditya Jhawar : I think most of my questions have been answered. Just a couple of ones. So, I think Seating business continued to do quite well. If you can throw some more light on the recent order wins, new OEMs that we are able to penetrate, order book, how we are looking at it? That is number one.
Number second, Sunil, you mentioned about a start -up cost. If you can quantify, it would be good. And just a clarification, t he prior period income you spoke about was INR 69 crores that got booked in this quarter, right?
Sunil Bohra : No, no, Q1.
Aditya Jhawar : Q1. Okay. Okay. Fair enough. And yes, so these were the questions.

Sunil Bohra : Yes. Thanks, Aditya so in terms of Seat ing business, as we have been sharing with you, we are on track to achieve our target revenues, which we have promised for 5 years in terms of doubling the revenues. We are already there. In fact, this quarter run rate, if you see, we are almost there with INR 354 crores of revenue. Our run rate is INR 1400 crores to INR 1,500 crores range. That's what we have promised for this year, and I'm happy to say that we have achieved that despite the challenges we have faced.

And second thing, in terms of order book, we normally don't share any order book you would have seen because why we have started giving this order book for EV, if you remember, 3 years back. And then after a year, we have to come because when we say order book, normally, we would get x volume estimation from our customers based on which we will say that this is the target. But based on the success or outcome of that model, it can go either way. So hence, we have actually sort of stopped giving that order book.

Otherwise, it necessarily creates some maybe misleading impressions. So that's why we normally don't share the order book. In terms of start -up cost, as of now there are some of the plants where the business has started in last maybe 1 or 2 years. And as we have been saying, our no rmal target is that they should achieve their profitability metrics in the third full year and come to profit in the second or third year.

So, to that extent, there are a lot of businesses which are under that nascent stage who have not achieved the reserv e profitability or they are maybe in the negative or also some of the businesses which currently like Kharkhoda all, they're just in the phase of commissioning, starting the commissioning. But if you ask me a number, it's a little difficult to give a numbe r because some of these plants or businesses are also attached to the existing businesses.

But we note your point, maybe next time, we'll try and capture this information

as well. And

prior period, I think I already answered this prior period I have comme nted because I was mentioning about H1. So that's why this point came. Otherwise, nothing in Q2.

Aditya Jhawar : Okay. And final question Sunil. So now clearly, we saw a very good festive. And now going ahead, it would be great if you give us some sense of what kind of growth expectations you have for the remainder of the year for passenger vehicle and 2 -wheelers?

Sunil Bohra : Aditya, we don't give any vehicle volume guidance. We have never given and we don't want to second guess our customers. So, our objec tive or endeavour is that we should continue to outperform. And I can tell you that even though this quarter volume industry growth is, say, 10%. But if you see half of our revenues is 4 -wheeler roughly and half of our revenue is 2 - wheeler.

Obviously, ther e is CV , OR as well. But 47% is 2 -wheeler, 47% is 4 -wheeler. 4 -wheeler has grown by 4% and 2 -wheeler has grown by roughly around 10%. So, if you do a blended average, the growth is something around 7%, 7.5% and our revenues we have grown by 13.5 %, so whic h clearly demonstrates a significant growth, more than 1.5x growth, which we have been promising to the investors.

Moderator: The next question is from the line of Raghunandhan from Nuvama Research.

Raghunandhan Nl : Congratulations on strong numbers. Sir, firstly, on the lighting side, can you indicate a broad breakup within lighting, how would it be between headlamps, tail lamps and other lamps? And can you provide a sense as to which category is driving the major growth for you? Secondly, continuing on lighting, you also indicated LED penetration. What would be the current share of LED in 4 -wheeler and 2 -wheeler? Would it be over 50% in 4 -wheeler and about 80% in 2 - wheeler?

Sunil Bohra : Okay. Any other question Raghu?

Raghunandhan N l: Yes, si r. In the joint venture with Inovance, have you received all the regulatory approvals. Has there been any order wins which you can share at the current point of time? And also, when you are looking at traction motor production, would it require heavy rare earth or will light rare earth be enough as the imports are restricted?

Sunil Bohra : Yes. So, Raghu, we are taking your questions in the same sequence as you have asked. So, lighting what is driving growth, head lamp, tail lamp for others. So, while we hav e provided breakup of lighting business between 2 -wheeler ,4 -wheeler etcetera we don't provide any further breakup, but I can definitely answer your question in terms of what is driving growth. So, we are currently leading the -- at least in the what we ca ll EV segment, leaders in the tail lamp category and specifically the LED tail lamp.

So that is the segment which is driving growth for us in this sector. And for 2 -wheeler, we are there in both EV or ICE and both head lamp and tail lamp. So, from that per spective, EV segment is where you will see 100% almost penetration in the lighting. So, from that segment perspective, EV is something which is driving the growth of LED. And in terms of JV with Inovance approvals, we have applied for this P N3 approval to government only in July. We have been working very close with the government.

We understand internally, they have got certain approvals, but we don't know what all approvals

they have got. But as you understand, it is going as planned, and we should be ha ving approvals ideally in the next few months. Very difficult to say a time line because it's government and where things might take time, where things might not. But we are optimistic that ideally within this fiscal year, we should have approval in hand. That is an ideal scenario. In terms of traction motors, whether they use HRE, yes, they do use HRE magnets.
Raghunandhan Nl : Got it, sir. And on switches side, you indicated market share g

ains. What would be the current
market share in 4 -wheeler, 2 -wheeler ? Would it be over 50% in 4 -wheeler and over 60% in 2 -wheeler? Would that understanding be right?
Sunil Bohra : Yes.
Raghunandhan Nl : Great. And in alloy wheels, 2 -wheeler alloy wheels, would the penetration level have reached 80% by now? What would be the share of Uno Minda market share in the domestic market? And if you can also highlight how much would be the import content for the 2 -wheeler and alloy wheel industry?

Sunil Bohra : Yes. So, alloy wheel import content in 2-wheeler dropped a lot. It is pr imarily in the premium cars where the volumes are very less. Otherwise, largely, it is localized. In terms of our market share is for 2 -wheeler, you asked, it is in teens. And in terms of application ratio, it's been actually fluctuating between somewhere 70%, 75%, sometimes 80% because based on the end customer choices, our customers also have been sort of moving up from steel wheel to alloy wheel.
Like, for example, in this quarter, one of our customers has used a little more steel wheels versus alloy wh eels primarily driven by the market forces, which are definitely in no one's hands. So, there's a broad range of, you can say, 70% to 80% kind of range where the alloy wheel application for 2 -wheeler has been hovering around. But still, this keeps on very fluid depending on the end market demands.
Raghunandhan Nl : Got it, sir. Last question on margin, 11.5% in Q2 is a robust number despite the start -up cost. Given that you are running 10 projects, do you see the margin sustained or expanding considering the scale benefits, better fixed cost absorption going forward?
Sunil Bohra : No, I won't what you call say that these numbers are not sustainable. Definitely, it is in line with our annual guidance of 11% plus/minus 5%. So, quarter -to-quarter, there might be some pluses, some minuses. So, if you see even in Q1, if you exclude that, what you call exceptional income, it was something around 10.8%.
So, our full year guidance, we remain intact in the guidance. And we do hope to continue with that margin range may be for another year or 2 until we sort of commission a large part of our ongoing projects. After which we definitely do expect once things everything comes online and starts generating, the margin should get into a little bit of improved category.
Moderato r: The next question comes from the line of Siddhartha Bera from Nomura Wealth.
Siddhartha Bera : So, my question is on -- first on this other category, especially the sensors and controller and EV systems revenue. I think as we sort of hit the base growth seems to have a bit slowed down in this segment. Can you just talk about a couple of things here abo ut any new product development which you are doing, which is sort of expected to come going ahead across any of these categories? What is happening, some color there?
Sunil Bohra : When we talk of new product development, there are a lot of them, which some will see light of the day, some will not see light of the day. So, we normally communicate only once we have visibility on the new product, which is converting into actual business. Otherwise, there are a lot of them.
I can share separately or I can shar e here itself that there have been certain products like I can tell you one is that touch -based switch for a 2 -wheeler. We have developed years back, but there is no market because it's a premium product and it's a very price sensitive. Another one example was a heat and cool seat. The product was there, but it was expensive product. So obviously, it was only in the aftermarket. We didn't get into line fitment.

So, you will have a lot of product development going on. But what we'll see the line OEM accepta nce and the conversion to business is I

think that's the right time to comment on in terms
of addition of new products. So as of now, I don't want to get into a speculative kind of thing.

Siddhartha Bera : Sir. The second question is on this casting side. I mean, growth, you mentioned that there has been some deflation also because of commodity. But if we see in the last quarter, there has been some increase in the aluminum prices. And you also have commissioned your plant, which I'm assuming may not have co mpletely come in the quarter 2. So, should we expect a step -up in growth as all of these factors now sort of start benefiting you from this quarter onwards?
Sunil Bohra : No. But Siddharth, first of all, I appreciate your point. If you see alloy wheel 4-wheeler, our quarter 1 to quarter 2 sales actually have improved by almost like 8%, 10%. And again, 2 - wheeler also has improved by something around better than more than 10%. So, if you see quarter -on-quarter, definitely, there is a growth. But yes, to your p oint, we have value -added capacity.
On the other hand, the application ratio has been a little what we call stable. And with more low - end cars or low -end vehicles being sold, obviously, they have more steel wheel versus alloy wheel. So, alloy wheel, you wi ll find more in the premium vehicles and less in the low end or the base model variants, if you may say so. So that also drive a lot in terms of how much is the actual application.
So, these are some of the factors which obviously is not in our hand. But we remain optimistic that directionally, the application ratio has been improving and over medium to long term, this will continue to grow. Quarter -to-quarter or year -to-year is a littl e difficult, but we have grown from like in PV from 13% application factor to all 40 -plus now. Globally it is 70, 80 plus. So directionally, we are there.
Quarter -to-quarter, it's a little difficult whether application ratio will remain same or it will improve. It also, as I said, a lot depends on the end vehicle being sold.
Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark Institutional Equities.
Mukesh Saraf : Actually, most of my questions are answered. But I had something on the seating side. I mean I think a maybe a few quarters back, we had kind of we are working with TACHI -S for the seat reclining systems, et c, for 4 -wheelers. So now just trying to understand what's the status of that? Are we seeing some progress with re spect to 4 -wheeler seatings? Or we still kind of are seeing traction more only on the 2 -wheelers and the buses, etcetera, that we have been working on?
Sunil Bohra : Yes. Right, Mukesh. So, in terms of TACHI -S, yes, definitely, when we entered into JV 3 yea rs back, I think that time also we said very categorically that this is going to be a tough ride, challenging it's not going to be easy, knowing the entire ecosystem. And our prediction actually went right, and it's taking a hell lot of time than what we h ave been sort of thinking.
So, we have actually now in terms of putting more impetus , we have delinked this business internally from our seating business with a separate team so that they remain focused, maybe a

little -- get a little more attention from t his business. And we sincerely hope to see in the next year or so, we should have some good traction in this business as we move forward.
Mukesh Saraf : Okay. Okay. So, 4-wheelers itself, you're saying it's far more difficult than what we had imagined earli er.
Sunil Bohra : I think we said at the time of entering JV itself because we know the competitive landscape, right?
Mukesh Saraf : Got it. Got it. Got it. Understood. And just one last housekeeping. I don't know if you had mentioned this and I missed it. The share of profit from associates has gone up. I mean, could you just call out which are the entities that probabl

y has done well because it's I think, INR 63-
odd crores this quarter?
Sunil Bohra : Yes. As I said a little while back, one of our joint venture, which is into airbags, they have done really well. That business has commissioned its project expansion last year and now things are getting on line. Volumes are increasing since they were linked to the vehicle launch of OEM.
So that business has done pretty well and will hopefully continue to do well. And that is the one which has added to the profit. So, there was some que stion earlier, was there a one -off in this? There is no one -off in this.
Moderator: The next question is from the line of Sridhar Kalyani from Antique Stock Broking Limited .
Sridhar Kalyani: Congratulations on a robust set of numbers I just wanted to under stand regarding the profit before tax in the stand -alone versus consolidated. So stand -alone PBT is around INR 400 crores and then we have got profit from subsidiaries INR 31 crores and share of profit from JVs is INR 63 crores, taking the total to INR 487 crores. However, the consolidated PBT is INR 409 crores. So just wanted to understand, is there any intercompany adjustment or any subsidiaries in which we are incurring losses? If you can just throw some color on this?
Sunil Bohra : Sridhar, I'm not sure if you have noticed. There is a large other income in the stand -alone financials, which is primarily the dividend income which it receives from its subsidiaries. So, when you consolidate this entire dividend income sort of goes off. A nd also, there has been some

income on various other services, which the company provides to its subsidiaries. So, all those things get knocked off when you consolidate.

Moderator: That was the last question for today's conference call. I now hand the conf erence over to the management of Uno Minda Limited for closing comments. Over to you, sir.

Sunil Bohra : Thank you. I would like to thank everyone for joining the call. I hope we have been able to respond to most of your queries adequately. For any further information, we request you to please do get in touch with us directly. Thank you.

Moderator: Thank you. On behalf of Uno Minda Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2026

no Minda Limited
Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: February 10, 2026
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza, klJOC•)[MINDA]
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BSE Ltd.
Phiroze Jeejeebhoy Towers,
Bandra Kurla Complex, Bandra (E), Dalal Street, Mumbai-400001
Mumbai -400051
NSE Symbol: UNOMINDA BSE Scrip: 532539
Sub: -Transcript of the Earnings Call held on Thursday, February 05, 2026 on the Financial Results (Standalone and Consolidated) for the Quarter and Nine Months ended December 31, 2025
Dear Sirs,
Pursuant to Regulation 30 read with Schedule Ill of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Thursday, February 05, 2026 on the Financial Results (Standalone and Consolidated) for the Quarter and Nine Months ended December 31, 2025.
A copy of the said transcript is also uploaded on the website of the Company at:
ht:tos://www.unominda .com/lnves tor/analyst-call-transcriots
Thanking you.
Yours faithfully
For Uno Minda Limited
~
Tarun Kumar Srivastava
Company Secretary & Com'pliante-Officer
M. No. A11994
Place: Manesar, Gurugram
Encl: As above
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"Uno Minda Limited
Q3 and 9 Months FY '26 Earnings Conference Call"
February 05, 2026

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 5, 2026, will prevail

MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL OFFICER – UNO MINDA LIMITED
M R. ANKUR MODI – HEAD, TREASURY , IR AND COMMUNICATION – UNO MINDA LIMITED

Moderator: Good afternoon, ladies and gentlemen, and welcome to the Uno Minda Limited Q3 and 9 Months FY '26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sunil Bohra, Group Chief Financial Officer, for his opening remarks. Thank you, and over to you, sir.

Sunil Bohra: Thanks, Swapnali. Good afternoon, everyone, and a warm welcome to all the participants. On the earnings call today, I am joined by my colleague, Ankur. We have uploaded our financial results and investor presentation for the quarter and 9 months FY '26 on the stock exchanges and our company's website. We hope everybody had an opportunity to go through the same. I would like to begin with some insights on the economy, followed by the current scenario in the auto industry and our financial and operational performance for the quarter.

Post that, we will open the floor for Q&A. The global economy continues to show steady momentum amid an increasingly complex policy environment, though growth remains uneven across regions. The IMF estimates global growth at 3.3% in '25, remaining stable at 3.3% in 2026 before easing slightly to 3.2% in 2027.

Advanced economies are expected to grow about 1.8% in 2026 and 1.7% in 2027. The U.S. is projected to grow 2.4% in 2026, supported by fiscal and monetary easing and continued technology investment mainly AI related, while the euro area is expected to grow around 1.3% to 1.4%, aided by public spending but constrained by structural challenges.

Emerging markets remain the primary growth drivers with growth expected to stay above 4% in 2026 and 2027. China is projected to grow 4.5% in 2026 before moderating to 4% next year, while India continues to outperform with GDP growth projected at 6.4% in both years, supported by strong domestic demand, sustained investment and stable inflation dynamics.

Against a backdrop of uneven global growth, India continues to stand out as one of the most attractive large economies, supported by strong structural fundamentals and a supportive policy environment. Over the past few days, as we all know, 3 major policy developments have meaningfully strengthened the outlook for India and in particular, for the automotive sector. The announcement of India-U.S. trade deal, the Union budget and the conclusion of India EU FTA.

Starting with the India-U.S. trade development, the proposed reduction in reciprocal tariffs from 50% to 18% announced on 2nd February is a positive step for export-oriented manufacturing. Lower tariff barriers are expected to improve the competitiveness of Indian suppliers. For industry, this provides greater pricing flexibility and a more stable environment for long-term

sourcing relationships. Over time, this should also encourage capacity expansion, deeper MSME participation and stronger industrial clusters across key manufacturing regions.

For Uno Minda, which currently exports products like switches, lamps, seating systems, etcetera, to the U.S., the easing of tariff uncertainties creates a more favourable environment to expand our export footprint. We will continue to evaluate opportunities to scale our presence in the U.S. market by leveraging our diversified prod

uct portfolio and stronger customer relationships.

The second major milestone is the conclusion of the India EU FTA, India's most comprehensive trade pact to date. This agreement deepens economic engagement with a key global market and creates long-term opportunities for trade, investment and industry collaboration. From an automotive perspective, it supports India's integration into global value chains through a calibrated approach that balances market access with domestic manufacturing and localization. India's strong cost competitiveness, localization depth and scale advantages are expected to remain key differentiators for domestic manufacturers and suppliers. From an auto component perspective, the agreement is largely positive. With the new FTA framework, tariffs are expected to revert to 0%, restoring competitiveness for Indian exporters.

Overall, while the agreement increases openness in certain vehicle categories, we believe the net outcome for Indian auto and auto component players will be positive, driven by improved export opportunities, deeper collaboration with European OEMs and the ability to leverage India's structural cost advantage to drive export-led growth.

Turning to union budget, it has enforced India's long-term growth strategy by placing infra spending at the core with public capital expenditure increased to about INR 12.2 lakh crores. A significant boost has been provided to advance manufacturing through the auto PLI scheme, where allocations have risen nearly INR 5,940 crores for FY '27, reflecting the scheme entering its peak implementation phase and encouraging OEMs and suppliers to scale investments in EVs, localization and export-oriented manufacturing.

The PM E-DRIVE scheme has been allocated INR 1,500 crores in FY '27, which while lower than the earlier FY '26 budget outlay marks an increase over the revised estimate of INR 1,300 crores, signalling a calibrated continuation of EV incentives as the ecosystem move towards scale and maturity.

The electronics ecosystem has also received strong policy backing with the electronics component manufacturing schemes seeing an expanded outlay of INR 40,000 crores, while India Semiconductor Mission 2.0 carries a similar INR 40,000 crores push to strengthen domestic chip manufacturing, design capabilities and supply chain resilience.

Additionally, the proposal to develop rare earth mineral corridors further strengthens the ecosystem by addressing a key structural gap, enabling domestic sourcing of critical inputs for EV motors and advanced automotive components.

Moving on to the automotive industry. During the December quarter FY '26, -- the Indian automobile industry delivered a strong rebound, recording year-on-year volume growth of close

to 17% with aggregate industry production of around 9.1 million units. Demand momentum during the quarter was supported by a combination of policy, seasonal and macro factors.

The implementation of GST 2.0, including rationalization of tax rates materially improved vehicle affordability across key categories such as passenger vehicles and 2-wheelers. This coincided with the festive period in the October-December window, which traditionally drives higher retail uptake and dealer inventory replacement.

In addition, easing interest rates and income tax relief measures helped lift consumer sentiment.

Exports also played a significant role in supporting industry growth. Export volumes grew by approximately 24% year-on-year to about 1.7 million units, aided by a gradual recovery in international markets and improved competitiveness of Indian manufacturing. The strong export performance further reinforces India's positioning as an increasingly important global production and a sourcing base for automotive OEMs.

Moving on to the PV industry. The segment delivered strong Q3 performance with total industry production volumes at 1.4 million units, up 19% year-on-year. Domestic PV sales reached 1.28 million units, the highest ever for a third quarter. Export of PV grew by 11% during the period, led by UVs where growth has more pronounced at 23% year-on-year. Demand remained healthy across key industrial markets, highlighting India's growing role in the global PV supply chains.

In Q3 FY '26, the 2-wheeler segment recorded a strong growth with total industry production volumes reaching approximately 6.8 million units, reflecting year-on-year growth of about 15% -- within the segment, scooters led the growth, rising 23% year-on-year. Motorcycles grew by 12% and mopeds registered a marginal degrowth.

In Q3 FY '26, the EV segment, the EV 2-wheel sales grew by 7% to 3.6 lakh units. However, the penetration levels have declined to 5.1%, which was 5.6% in Q3 FY '25 and 7.76% in Q2 FY '26. EV 4-wheeler grew by 60% year-on-year due to lower base last year but have declined by 1% to 48,000 on quarter-to-quarter basis. Here also, the penetration has reduced to 3.6% from 5.07%, in Q2 FY '26.

More broadly, the Indian automobile industry is set to sustain its strong growth trajectory following healthy double-digit gains across vehicle segments in late 2025. Factors such as year-end sales momentum, a robust order pipeline and the pass-through of last year's rate cuts on auto financing are expected to keep consumer demand buoyant into rest of FY '26 and beyond.

Moving on to financial and operational performance for the quarter. You can refer to Slide Number 7 and Slide Number 8. We delivered our highest ever quarterly revenues, supported by broad-based momentum across both established product lines and emerging technology-led segments. This balanced performance continues to reinforce our confidence in the resilience and scalability of our business model.

During the quarter, consolidated revenue from operations stood at INR 5,018 crores, registering a robust year-on-year growth of 20% compared to INR 4,184 crores in Q3 FY '25. Growth was well distributed across core products, the switching, lighting, and alloy wheels and seating

systems. On the profitability front, EBITDA for the quarter stood at INR 554 crores, growing 21% year-on-year with EBITDA margins at 11%.
Finance costs during the quarter increased to INR 53 crores, largely reflecting higher borrowings to support our ongoing capital expenditure program, incremental working capital needs, etcetera. These investments are strategic in nature and aligned with our medium-term growth road map.
Depreciation increased by INR 21 crores to INR 179 crores, driven by commissioning and capitalization of multiple facilities over last year. This includes the 4-wheel lighting plants at Khed City and Indonesia, the 2-million-wheel capacity expansion at our 2-wheeler alloy wheel facility at Supa, capacity enhancement at the 4-wheel alloy plant at Bawal and Phase 1 commissioning of the 4-wheeler alloy wheel plant at Kharkhoda. These assets significantly strengthen our manufacturing footprint and position us well for future demand across domestic and international markets.
Our associates and joint venture continue to be a strong contributor with share of profit rising to around INR 74 crores in Q3 compared to INR 40 crores in the corresponding quarter last year. All major joint ventures, including ones with TG, Denso Ten, ROKI and TRMN performed well during the quarter. Notably, TG Uno Minda delivered a robust 33% year-on-year revenue growth on back of capacity expansion of side and curtain airbags.
On November 21, '25, as you all know, the government of India notified 4 new labour codes, which consolidated 29 existing labour laws. The company has assessed the financial implications of these changes, which has resulted in an increase in liability provisions by IN

R
28 crores. The company has presented this incremental amount as impact of labour codes under exceptional item in the consolidated statement of P&L for the quarter and 9 months ended December 31, '25.
We expect marginal impacts on cost on a recurring basis arising from the revision to the labor codes. However, the final assessment will depend on the notification of the central and state rules and further clarifications from the government on various aspects of labour codes.
PAT attributable to shareholders stood at INR 277 crores. However, if we exclude the impact on account of new labour code as mentioned above, the PAT attributable to shareholder is INR 298 crores, reflecting a 28% year-on-year growth over INR 233 crores in Q3 FY '25.
Moving to the financials for 9 months. Excluding exceptional income in Q1, the revenue from operations for 9 months ending December '25 stood at INR 14,252 crores, translating into a robust year-on-year growth of 16%.
This performance reflects sustained demand across our core product portfolio, continued scale-up of new businesses and a healthy execution across platforms. EBITDA, excluding exceptionals for the period grew by 17% to INR 1,580 crores, underscoring the operating strength of the business even as we continue to invest in new capacities and future-ready technologies.

Normalized EBITDA margins for the period remained stable at 11.1%. Profit after tax attributable to shareholders for the 9-month period stood at INR 871 crores. On a normalized basis, excluding both prior period income and exceptional items, PAT is INR 841 crores, representing a strong year-on-year growth of 25% over INR 670 crores in 9 months FY '25.
Coming to the business segment-wise performance and starting with switches, you can refer to Slide Number 11, please. The Switching System business sustained its strong growth trajectory in Q3 and remained a key pillar of Uno Minda's performance during the quarter.
The segment recorded revenues of INR 1,241 crores, delivering around 19% year-on-year growth and contributing approximately 25% of consolidated revenues. Growth during the quarter was primarily driven by 2-wheeler switching business, which delivered over 30% year-on-year growth.
This performance was supported by favorable customer mix and sustained domestic volume growth. The 2-wheeler switch business continued to strive to increase its domestic market share, supported by new order wins from OEMs where our historical share of business had been relatively lower.
Exports in the 2-wheeler segment also witnessed a recovery during the quarter, following a subdued performance in the previous quarter due to supply chain disruptions related to rare earth magnets. During Q3 FY '26, we successfully overcame these challenges and secured additional export orders, including heated grip from an American 2-wheeler OEM and a new switch order from a global sports bike manufacturer.
The 4-wheeler switching business under Uno Minda also outperformed the industry, supported by a steady increase in kit value per vehicle as OEMs increasingly adopt advanced feature switch systems. We continue to strengthen our leadership position in this segment, including new order wins from Korean OEM customers. On the capacity front, the shifting from expansion of 4-

wheeler switch manufacturing facility at Farrukhnagar is progressing in line with the planned time line.
Moving to Lighting business. The Lighting systems business continued to play a pivotal role in Uno Minda's growth story, delivering a strong and consistent performance in Q3 FY '26. The segment reported revenues of INR 1,129 crores, accounting for approximately 23% of consol revenues and registering a healthy year-on-year growth of 15%.
During the quarter, it was supported by continued momentum across both the 2-wheeler and passenger vehicle lighting portfolios,

with the business benefiting from sustained market share
gains built over the past few years. A key structural lever driver remains the industry-wide transition towards LED-based lighting, coupled with rising consumer preference for advanced design-led and aesthetically differentiated lighting solutions.
These trends have contributed to a meaningful increase in kit value per vehicle, supporting both revenue growth and value realization. During the quarter, we further reinforced our leadership position in long tail lamps with the win of another large order from a Japanese customer, strengthening our already strong presence in this segment.

On the manufacturing front, we commenced commercial production at our new 4-wheeler lighting facility in Indonesia during the quarter. This plant is expected to ramp up progressively over the coming quarters, in line with production volumes of our customer in the region. The relocation of our existing Indonesia lighting operations to the new facility will also commence soon and is targeted for completion within next fiscal year, enhancing operational efficiency, localization and future scalability.
Moving to casting business. The business delivered a strong performance in Q3 FY '26, reflecting both capacity-led growth and improving sale across product lines. Segment revenues stood at INR 971 crores, registering a robust year-on-year growth of 26% and contributing approximately 19% of Uno Minda's consol revenues. The revenue mix for the quarter comprised INR 533 crores from 4-wheel alloy wheel business, INR 271 crores from 2-wheel alloy business and INR 167 crores from aluminum die casting.
Growth during the quarter was primarily driven by the ramp-up of recently commissioned capacities across multiple locations. This includes our 4-wheeler alloy wheel facilities at Bawal and Kharkhoda as well as the 2-wheeler alloy wheel plant at Supa. In addition, the reported growth also reflects the increase in base aluminum prices.
We remain structurally optimistic on alloy demand underpinned by overall industry volume growth and the medium-term trend of rising alloy wheel penetration across segments. In line with this conviction, the Board has approved the setting up of greenfield 4-wheel alloy wheel manufacturing facility with a capacity of 1.8 million wheels per annum, comprising 0.7 million wheels per annum using GDC technology and 1.1 million wheels per annum using LPDC technology or the low-pressure die casting technology.
The project entails fresh capital expenditure of INR 764 crores to be deployed in a phased manner over the next 3 years to 4 years. The new plant will meaningfully expand our LPDC-based alloy wheel manufacturing capex capability, strengthening our position with the OEMs who prefer LPDC technology and hence, enabling us to further grow our market share in the segment.
Moving on to Seating, you can refer to Slide Number 12. The Seating Systems business delivered a strong and improving performance in Q3 FY '26, continuing to enhance its contribution to Uno Minda's overall growth. The segment reported revenues of INR 361 crores, accounting for approximately 7% of the group top line and recorded an impressive year-on-year growth of 32%.
Growth during the quarter was driven by favorable customer mix in the 2-wheeler segment, alongside higher domestic supplies of suspended seats, reflecting increased adoption across relevant platforms. In addition, the bus passenger seating business continued to scale up, contributing meaningfully to the segment's revenue growth.
Exports also showed a clear recovery trajectory, supported by higher offtake from international customers as well as the addition of new export customers during the year, further diversifying the revenue base. The acoustic business delivered a stable performance in Q3 FY '26 with revenues of INR 210 crores, approxima

tely 4% of group's consolidated top line.

Growth during the quarter was driven primarily by the domestic demand. The Ministry of Road Transport and Highways has notified mandatory implementation of acoustic vehicle alerting systems called as AVAS for electric vehicles, including e-rickshaws and e-cars effective from October 26. The regulation is aimed at improving pedestrian safety by ensuring that electrical vehicles, which are otherwise nearly silent at low speeds are audible in urban traffic conditions. Existing EV models will be required to comply by October 27.

Uno Minda has been investing in AVAS technology development over the past several years and is now well positioned to capitalize on this regulatory shift. During the quarter, we have secured an order for AVAS in electric passenger vehicle program, making an important step in the commercialization of this capability and reinforcing our readiness to address upcoming compliance driven demand.

Moving to other products. The other product business delivered another quarter of strong growth-based performance in the quarter. The portfolio reported revenues of around INR 806 crores, representing year-on-year growth of 19% and contributing approximately 22% to Uno Minda's consolidated top line.

Within this diversified portfolio, controllers contributed INR 106 crores, sensors and ADAS generated around INR 235 crores. Blow molding products accounted for INR 115 crores; Uno Minda EV Systems around INR 158 crores and alternate fuels around INR 147 crores. The balance revenues were driven by aftermarket business, including batteries, external sales from Uno Minda Katolec and engineering services in Europe.

Moving to another strategic segment, which is EV systems, controllers, etcetera. So, Uno Minda EV Systems business recorded a healthy increase in revenues to INR 158 crores during the quarter. This growth was largely driven by scale-up of 3-wheeler EV charger business, wherein the new 3-wheeler EV charger orders are now being executed through the EV Systems division, following the end of production of certain legacy programs earlier housed within the controller business.

The sensors and ADAS business continued to scale up steadily during the quarter. As part of our supply chain resilience and localization efforts, we have successfully developed alternatives to rare earth magnets and have commenced supplies of sensors using some of locally sourced magnets to our customers.

With the start of commercial production at our camera module lines, revenues have increased following SOP with the Indian OEMs. We have also secured a new order from a Japanese passenger vehicle OEM for camera module, further expanding our ADAS footprint.

The construction of a new greenfield facility for high-voltage EV powertrain components under our potential JV with Inovance is progressing as per schedule with Phase 1 commissioning targeted in FY '27. As communicated earlier; to meet the customer demand, we may commence initial supply through imports from the JV partner ahead of the plant commissioning.

The alternate fuel business continued its steady growth, supported by rising CNG penetration in the passenger vehicles. The CNG penetration in the Indian PV market has increased sharply

from around 10% in FY '23 to nearly 20% by end of CY '25. Capitalizing on this structural shift, we have secured a large order for pressure regulators from a Japanese OEM, further strengthening our position in this segment.

Moving to aftermarket and international revenue slide, you can refer to Slide Number 13. For the quarter ended December '25, our aftermarket business reported revenues of INR 374 crores, contributing approximately 7% of consol revenues. In addition to these direct aftermarket sales, sales to the SPD or the spare part division of our

customers stood at around INR 297 crores.

The combined revenue from the aftermarket and SPD channels amounted to around INR 671 crores, reflecting the growing importance of these segments in our overall revenue mix. Our international business contributed approximately 10% of total revenues during the quarter. Our international sales have increased largely on account of better exports in 2-wheeler switch and seating business.

Moving to our debt levels. Our net debt as of December end was at INR 2,298 crores compared to INR 2,091 crores as on March 31, 2025. Our net debt to equity as at 31st December '25 stood healthy at 0.33. We have achieved a ROCE of 18% basis annualized profits of 9 months FY '26. Kindly note that the capital employed considered for calculation also includes the capex for land bank as well as CWIP which currently is not generating any returns.

ROCE would be even higher if we exclude these nondeployed assets. The Board has approved and declared an interim dividend of INR 0.9 per share, reflecting commitment from the company to return value to shareholders on a consistent basis. The interim dividend for FY '26 is 20%

higher as compared to last year's interim dividend.
Moving to some of the innovation and IP recognitions. Uno Minda Limited's continued focus on innovation and intellectual property creation has been formally recognized at leading industry platforms. At the CII Industrial Innovation Awards 2025, the company was ranked among top 50 innovative companies in India, underscoring the strength of its technology-led approach across product and process development.
Further strengthening this recognition, Uno Minda was conferred the best patent portfolio Award in the large manufacturing engineering category of -- at the 11th CII Industrial IP Awards 2025 and was also acknowledged among the top 30 IP driven organization. These honors reflect the depth, quality and commercial relevance of our patent portfolio and reinforce our commitment to building long-term innovation-led competitive advantages.
Moving to ESG. Uno Minda's commitment to strong corporate governance and sustainable value creation continues to be -- continues to receive meaningful external validation. The company was recently conferred the Best Governed Company Award at the 25th ICSI National Awards for Excellence in Corporate Governance in the listed segment medium category. The Institute of Company Secretaries of India National Awards are widely regarded as one of the most respected benchmarks of governance excellence in the country.
On sustainability front, in line with our ESG road map of achieving 60% renewable energy usage by 2030 and carbon neutrality by 2040, the company continues to expand its renewable energy

footprint for capital consumption. In January '26, the Board approved an additional investment of INR 6.5 crores in its SPV to access open access renewable power, including wind and solar in Gujarat.
With our existing rooftop solar installations, current open access arrangements and approved investment and execution, green power is expected to account for over 40% of our total energy consumption, marking a significant step towards our medium- and long-term sustainability goals.
At the end, outlook, as we look ahead, we remain optimistic about the near-term trajectory of the auto industry, supported by sustained demand momentum following the recent GST rationalization and improving product mix across segments. With our recently commissioned facilities gradually ramping up and a strong pipeline of land expansion projects, we believe Uno Minda is well positioned to capture emerging growth opportunities. Our core businesses, switches, lighting, alloy wheels, etcetera, continue to benefit from structural trends such as premiumization, safety and enhanced customer comfort features, driving higher content per vehicle.
At the

same time, our investments in EV technologies, sensors and ADAS are evolving into key growth engines, strengthening our technology portfolio and positioning us to deliver sustainable long-term value while maintaining steady momentum in the coming quarters. With this, I would like to open the floor for your questions, please.
Moderator: We have the first question from the line of Chandramouli Muthiah from Goldman Sachs.
Chandramouli Muthiah: I have 3 questions. First one is just on the alloy wheels business this quarter. I think into 3Q, the expectation was that entry-level products would be a slightly higher mix, and therefore, that might potentially impact alloy wheels, which might not be so apparent in entry-level cars. So just clarification on what drove the outperformance on alloy wheels? Was there a particular model and so on and so forth?
And if you could also help us understand specific to alloy wheels, how much of the growth Y-o-Y was to do with aluminum-related price hikes that you were able to pass on? So that's the first one. The second question is just around commodities. If you could give us a little bit of clarity around what is the current level of inflation that you're experiencing? And how much of that you're able to pass on?
And when do you potentially expect settlements with the OEMs on the last 6 weeks to 7 weeks of hyper commodity inflation that we've seen? And the third question is just a little more broader question around production versus growth. Historically, Uno Minda has been able to grow 2x, if not more than that in terms of top line versus what underlying production growth has been in the industry.
This quarter, it looks like industry production growth has been in the mid- to high teens and Uno Minda's revenue growth has been closer to 20%. So is that, again, coming back to mix, which has been slightly more inferior this quarter? And how do you see that ratio going forward? So those are my 3 questions. I'll just pause back?

Sunil Bohra: Yes. Thanks, Chandru, and thanks for all your questions. So starting with the first question, in the third quarter, entry level, you said might impact particular model, what is driving, etcetera, etcetera. So you are right. In terms of the alloy wheel application, right, alloy wheel versus steel wheel, the last quarter has been a little soft. It was lower by maybe a couple of percentage points because, as you rightly mentioned, the entry-level cars, obviously, the sales were higher.
And that also is one can see from all the model-wise volume data, which has been already launched -- announced by SIAM. So that definitely had some impact. But as we have been able to get a little more businesses -- I'm sorry, I will not be able to share model-wise, but we have been able to get some business and for which we have commissioned this Kharkhoda plant as well. So some volumes have started from there as well. So that definitely has helped.
In terms of the commodity prices, the roughly impact is around 6% to 7% for aluminum commodity price, which has obviously increased, so which will have some impact, maybe around 5%, 6% in terms of overall revenues for casting domain. In terms of the current level of inflation, I think I just shared you and you said how much we are able to pass on. So Chandru, as you know, that all the commodities, we have this clause of passing on to our customers.
The price escalation or de-escalation, but that all happens with some time lag. So somewhere it is quarterly, somewhere it is half yearly, somewhere it is annual. But over a full year period, everything is passed through. So like in this quarter, whatever are the average prices, they will be applicable maybe for next quarter and wherever it's half yearly, it will go like that.
In terms of production versus growth, historically 2x, yes, you are right, historical 2x, and we have always been g

uiding about long term at around over 1.4-1.5x. And we have also been saying that which should be seen on an annual basis. While quarter-to-quarter is important, we have to see on annual basis, plus -- to your point, while the mid to high teen is the volume growth.
If we see pure OE revenues, what we have is almost around 22% growth of the overall 20 because as you have seen, the export growth and the aftermarket growth is not that high. They are actually around 7% to 10%, which is pulling the average down. Otherwise, if you see the OE revenues, they are almost around 22%.
Moderator: We have the next question from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Firstly, I mean, on the upcoming segments where the 4-wheeler EV powertrain new plant will start and also sunroof in FY '28. If you can just update more how are the order book shaping there? Any sense how big this business can be there in medium term? And also, sir, you mentioned recently about the new rare earth thing and also in the ADAS side, camera order wins also something on the future that can be a notable businesswise?
Sunil Bohra: Yes. Mumuksh, so in terms of upcoming segment, 4-wheeler and sunroof, as we have said, that we already have an anchor customer for both these businesses. And normally, what happens is you start the business with an anchor customer. And then once the operations start, then you gradually try and get more business from other customers, and that's exactly what we have seen

in some of the businesses which we have started in past and that's the way we have created multiple business.
So once we have this sunroof and the EV business start of production, I'm sure that will give more confidence to our customers while we have been approaching all our customers in order to gain and build that order book, but it's a normal, what you call, process where we obviously have to sell our technologies, convince our customers, build that confidence. And finally, once they see the operations, that helps us getting the RFQ and so on. So both these businesses, as you rightly mentioned, they are on track as of now.
In terms of the rare earth magnets, so what has happened is once that constraint sort of came, a lot of magnets, what we have tried to do is we have tried to localize. We tried to substitute the rare earth magnets with injection molding magnets and customers have been very, very supportive in terms of building alternate and testing and doing validation for those alternates.
And we have been successful that some of those have actually gone into production.
So to some extent, we have been able to de-risk the supply chain for rare earth magnets, which primarily gets consummated into our sensor business. And camera model, as you rightly mentioned, we have recently commissioned this camera manufacturing, we already have had an anchor customer.
And as I was sharing, while we had anchor customer, now we have already secured business for

another model now. So that's how gradually you build that confidence once you start, then gradually we try and get into more and more models and customers.
Mumuksh Mandlesha: Got it, sir. So broadly, if I just to understand, broadly, all these new businesses can be something like a 4%, 5% of the revenue over the medium term, sir?
Sunil Bohra: Difficult to say Mumuksh, yes, some of them maybe some of them because overall pie is also increasing, right? It is not that the pie is static. So pie is also growing. And in the growing pie to gain that kind of share, obviously, the businesses have to fight against each other to get that kind of share.
Mumuksh Mandlesha: Got it sir. And sir, on the EV 2-wheeler has also been doing well. Just on there also, anything more on the product side where we are gaining more share because EV 2-wheeler per se is growing at 15%, 20% run rate, but

are you seeing any more product getting traction?
Sunil Bohra: Yes. So gradually, we have been adding more and more products in this Mumuksh. So you know that we have been working very closely with some of our customers on some of the products like motors and motor controllers and trying to sell that as a system. So we have been seeing some traction there. Hopefully, within this next couple of quarters, we should be able to maybe share further development because we are working, we have given our samples for testing. The customers are doing trials, etcetera. And once they are successful, hopefully, we will be able to convert that into some businesses. So we have been consistently building our product offering as well.

Mumuksh Mandlesha: Got it, sir. Finally, sir, one last question. On the other expenses have increased sequentially by around 10% and also it's higher 29% Y-o-Y. Just can you help us anything to one-off call this, sir?
Sunil Bohra: No, you are right, Mumuksh. So in terms of other expenses, there have been certain expenses which have been higher quarter-on-quarter because of some power and fuel expenses, which have been higher than you normally have your maintenance, early maintenance happens during the quarter.
So that has impacted around INR 10-odd crores. Power and fuel was around higher by around INR 13-odd crores. Then because of volumes, your freights and other overheads were higher by around INR 11 crores, INR 12 crores. And there have been small, small pockets where there has been higher costs.
Mumuksh Mandlesha: Got it. So part of that would get say, reversed in Q4, right, sir?
Sunil Bohra: Yes. Obviously, some spares and all that which have been related to annual maintenance should don't expect the same levels in the next quarter.
Moderator: We have the next question from the line of Siddhartha Bera from Nomura Wealth.
Siddhartha Bera: Sir, first question is on the exports opportunity. If you can just highlight exports out of India with what percentage for us? And given these trade deals which have got concluded, if you can just highlight any discussions we are having with global OEMs to sort of push exports aggressively? And how -- I think exports, I think, is a bigger part for our switch and seating business. So perspective for these businesses, how big is exports now? And any color you have in terms of the order book, how big can this be, say, maybe in a few years? That will be the first question.
And second is, again, on these businesses, you talked about favorable customer mix. I mean, does it mean that one small customer has become big or exactly what -- how to interpret this favorable mix? Or is it in terms of profitability? And lastly, if you can talk about the capex plan given this new capex, which has got announced. So how do we look at the capex for this year and next year?
Sunil Bohra: Yes. So, Siddharth, I'll go your questions one by one. So first was on exports. Yes, we have been talking to a lot of our customers, but this development has happened only in last 1 week. So our teams obviously will be now more aggressive in terms of pushing with all these global customers. Definitely, there's an opportunity to gain more. And if you see question was how much of exports is part of our revenues.
If you see our group revenues overall, the 9-month physical exports have been in the range of INR 500 crores, INR 600 crores physically from India plus the overseas sales. Like last quarter, we said our total revenue, which is export from India plus the assembly what we do in overseas operations is almost like 10% of our total revenues. So this has improved marginally from previous quarter, which was around 9%.

So export as an overall pie, we have been very, very aggressive. There have been discussions going on with some of our customers.

But you know that because of these tariffs and all that in last couple of quarters, obviously, things have not been moving at the pace what we would -- one would like to be. But we do hope that once this clarity has happened now, the discussions will restart now.
And in next 1 quarter or 2 quarters, we should be able to see some more traction going on with our customers. So export physically from India, we are very, very optimistic that this will definitely continue to see growth in absolute terms every quarter as we move forward. But new business, once we get it, it is not that it comes into production immediately in the same quarter or same year.
Any new business you get that product has to be developed and to see in the top line, it takes at least 1 year to 2 years. So we have to be maybe a little patient to see a significant impact in terms of the overall global revenues and exports. In terms of favorable customer mix, what does this mean? Basically, you appreciate that we are working with almost all the customers in the country. So if any customer where maybe a little bit share of business is higher or if it does better, then it has a better impact on your numbers.
So with some of the customers where we had got a little better market share, they have done better. So obviously, it has a good impact on your numbers. It's not about some small players getting into big, it's about some stable large players because that can only create some meaningful impact.
Otherwise, small players may not create any meaningful impact on your overall top line. In terms of capex plan, yes, the capex which has been announced today, I'm sure this has been long in the works because everybody has been sort of pushing us that we have and only one line of LPDC wheels for last 3 years now in Gujarat, and we have not been expanding because of various reasons.
Finally, we have got some traction. Hopefully, we should see some more business coming in route. And we are putting this plant, hopefully, in the next couple of years should be up and running. And by that time, we do expect more traction because we have already aligned to prove ourselves in terms of operation of LPDC wheels in Gujarat. So that also has built some confidence into our customers.
In terms of how do you look at capex plan for this year and next year, maybe we'll be able to give you better color as we always do in our May con-call because we just started our budgeting exercise, and hopefully, we should be over by next 5 weeks to 6 weeks. So maybe in the annual results call, that's what we normally do, we'll be able to share a better visibility on the next year's capex.
Moderator: We have the next question from the line of Mukesh Saraf from Avendus Spark.
Mukesh Saraf: My first question is on the 4-wheeler alloy wheels, the new plant that you've announced. I think in the past, you have mentioned that you're not expanding beyond the 25,000 a month on LPDC because it wasn't as remunerative to expand for many reasons. And now that you're expanding,

I think you'll go up to maybe closer to 1 lakh a month on LPDC. So is it like a breakthrough that you've had now with, say, the non-Japanese customers? And also, where would this plant be set up? Would it be a new location, say, in the South, for example?
Sunil Bohra: Yes. Any other question, Mukesh, you had?
Mukesh Saraf: Yes. So, the second question is in general, on the capacity utilization. So while we have seen lighting, we have commissioned a new plant in Pune and switches, you have another one coming.
I think in some other categories like seats, for example, you've been growing now double digits for the last 3 quarters, 4 quarters?
And safe sensors and controllers have been growing quite well and it's probably 1/3 of your other segment now. So just trying to understand your capacities and the utilization levels for some of th

ese other segments? These are the 2 questions.
Sunil Bohra: Mukesh, so I'll go one by one. So, you are right that 4-wheeler alloy wheel, as I also said that for the last 3 years, we have not been investing in that LPDC and we have been trying to prove ourselves and try to get some traction with the customers. Yes, there is some positive traction with our customers in terms of pricing. And also, we have got better discussions going on in terms of a little bit of exports as well because that is also gradually on to LPDC side.
And we are also targeting some of the players who might be currently importing the wheels into the country and the discussions have so far been encouraging and motivating. So it was like

whether you wait for all the customers to get business and then start construction or you take a call and try and get more and more business.
So I think at the end of the day, the Board decided and Board took a call to go ahead with this project and see how best we can capture the market in the next 2 years by the time this plant come into production. That's in terms of the alloy wheel.
Mukesh Saraf: Plant sir, and this will the plant be in the South or?
Sunil Bohra: Yes, the plant, the location is mostly going to be likely in the western part of the...
Mukesh Saraf: Okay, Western part. Yes, sure.
Sunil Bohra: And in terms of capacity utilization, it varies range business to business. Some businesses, capacity utilization is at around maybe 80%, some businesses are already at 90%. So it's a broad range of 75% to 95%, I would say, in terms of capacity utilization as of now.
Mukesh Saraf: Okay. Okay. Will we see some capex on seats or on the sensors, controllers, electronic side of it, given the growth is strong there, and we haven't really done much, say, in the last year or 2 years in terms of capacity.
Sunil Bohra: Yes. So Mukesh, the endeavour always is how do we try and deliver more revenue from the existing facilities through debottlenecking, through incremental capex, through sustaining capex. And once we reach a level where no further growth is possible is that's when you sort of take a call, this is good enough for maybe a year or 2. It's a high time that you have to start

thinking of a new plant. That's where we try and commit. Otherwise, we don't want to build capacities and let it lie idle for some time. So that's how we try and optimize our capex.
Moderator: We have the next question from the line of Aditya Jhawar from Investec.
Aditya Jhawar: My first question is the growth in LMT was quite strong at about 26%. Clearly, I think you mentioned that the 2 new plants got commissioned. But it would be great if you can quantify the impact of aluminum price increase that we saw in this quarter. That is number one. Number second is that if you can quantify the PLI benefit. So as we talk to OEMs, a lot of the OEMs are taking the bulk of PLI benefit. So what kind of PLI benefit we have accrued in this quarter and for 9 months? That was my second question. Yes.
Sunil Bohra: Yes. Aditya, so in terms of growth in LMT, as I shared, the impact and aluminum price is around 6% to 7% aluminum prices for the quarter. So obviously, that will be the impact in terms of the revenues as well. And in terms of the PLI benefit, we have not accrued anything in quarter or 9 months.
Aditya Jhawar: Okay. Okay. Fair enough. If I can just squeeze one question.
Sunil Bohra: Yes, sure.
Aditya Jhawar: Now just a little bit of a broader question. Now when you look at our kit value across different subsegment of 2-wheelers and 4-wheelers, we have done exceptionally well by adding more products. But it would be great if you can give some color that, for example, if you look at our SUV, compact SUV, we supply kit about 125,000. In SUVs, it's about 240,000. So in terms of our existing relationship with OEMs.
So, there would be customers which have

a higher share of business and some customers with a
lower share of business. So if you can give some indication that maybe at about 60% market share customers, we have a high share of business and the remaining 40%, the scope of growth is relatively high. Some broad sense specifically in 4-wheelers, if you can give?
Sunil Bohra: Yes, Aditya. So in terms of Kit value, definitely, we have been trying to gain more and more. But you are also right that in some of the products with some of our customers, our market share is better related to others. So our first goal always is in the business we are in, we need to have at least 30% share of business. That's where the target is. There are businesses where we are less than 30%, and we have been incrementally growing over the last few years and trying to capture more and more.
Also, there are pockets in terms of customers where there is opportunity to grow more, where we have relatively maybe a little less share of business, say, for example, some of the customers who might be importing as of now or have their own ecosystem of manufacturing. So there, our share of business is a little less.
And also, there are customers who might be actually having a CKD so there also, there is an opportunity to sort of gain a little bit more market share. But to answer to your point, yes, there are pockets where our opportunities to grow market share where we are actually lower.

Aditya Jhawar: If you look at our relationship with OEMs, we have a very good relationship with other than Korean OEMs and Korean OEMs market share and some other OEMs would be less than 30%. So is it fair to assume that OEMs where market share of those OEMs is 70%, our share of business would be high, about 30% to 40%. And the remaining 30% OEM, our share of business will be lower, something broad bifurcation in whatever way you can give?
Sunil Bohra: Largely, largely, yes. Because you look, in the 30% we spoke about, there are a lot of these premium manufacturers as well, right, German OEMs, etcetera. There also, if you see, they are largely importing very less localization is there. That also has been growing. So the presence there is also very limited. So there also, we are trying to discuss trying to gain an entry somewhere. So there are pockets like that where we can try and get some more business and improve our share of business overall.
Aditya Jhawar: Okay. That's insightful. Final question again, on the 4-wheeler alloy wheel business. Like if you can give broad sense that what could be the asset turn and how different the margin profile would be as compared to company average, especially when we are considering LPDC?
Sunil Bohra: Yes. So asset turn definitely in casting is low. The asset turn in this DPR, what we have prepared is obviously going to be around 1.2 to 1.3. And as you move forward, it improves a little bit with debottlenecking, etcetera, etcetera. So obviously, to get to a hurdle rate of our returns, the margin has to be higher, and that's where the margins here are obviously better than the company average margins to make sure that you get your target ROCE.
Moderator: We have the next question from the line of Rahul Kumar from Nuvama Wealth.
Rahul Kumar: I have one question on the lighting segment. So how much would be the LED penetration in 4-wheeler and 2-wheeler lighting? And how do you see the scope for further increase in content per vehicle?
Sunil Bohra: Sorry, so Rahul, in terms of LED penetration for overall 2-wheeler and 4-wheeler, obviously, 2-wheeler is higher, almost at around 60%-odd and 4-wheeler is lower at around 30%-odd. There is no formal obviously, data. So you can maybe assume a range plus/minus a little bit. But directionally, the opportunity for LED penetration in PV is more, and that's where you see that it is gaining speed with a lot of LED lamps, etcetera.
In the PV for

the tail lamps, you see the long tail lamps. So that's a new trend. They are all LED lamps. So the market is actually catching a lot. And what has seen is that in terms of pass cars, you will see that at least there is a LED penetration in terms of the headlamp. You have a DRL almost in all the cars that’s LED. So it has been consistently growing. But maybe a little more insight, we'll try and give you when we have in our next call.
Moderator: Thank you very much. Ladies and gentlemen, due to time constraint, this was the last question for the day and with that, the question-and-answer session concludes. I now hand the conference back to the management for the closing comments. Thank you, and over to you, sir.

Sunil Bohra: Thanks, Swapnali. I would like to thank everyone for joining this call. I hope we have been able to respond to most of your queries adequately. For any further information, we request you to please do get in touch with us directly. Thank you.
Moderator: Thank you very much. On behalf of Uno Minda Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines. Thank you very much.

Call: May 2026

Uno Minda Limited
Ref. No. Z-IV/R-39/D-2/NSE/207 & 174
Date: May 22, 2026
National Stock Exchange of India Ltd.
Listing Deptt., Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Symbol: UNOMINDA [MINDA]
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BSE Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400 001
BSE Scrip: 532539
Sub: -Transcript of the Earnings Call held on Monday, May 18, 2026 on the Financial Results {Standalone and Consolidated) for the Quarter and financial year ended March 31, 2026
Dear Sirs,
Pursuant to Regulation 30 read with Schedule Ill of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Call held on Monday, May 18, 2026 on the Financial Results (Standalone and Consolidated) for the Quarter and financial year ended March 31, 2026.
A copy of the said transcript is also uploaded on the website of the Company at:
https:llwww.unominda .com/investor /analyst-call-transcripts
Thanking you.
Yours faithfully,
For Uno Minda Limited
Tarun Kumar Srivastava (\da (. .
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"Uno Minda Limited
Q4 and FY26 Earnings Conference Call "
May 18 , 202 6
E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 18, 2026, will prevail

MANAGEMENT : MR. SUNIL BOHRA – GROUP CHIEF FINANCIAL OFFICER – UNO MINDA LIMITED
MR. ANKUR MODI – HEAD, CORPORATE FINANCE AND COMMUNICATION – UNO MINDA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Uno Minda Limited's Q4 and FY 26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sunil Bohra, Group Chief Financial Officer, for his opening remarks. Thank you, and over to you, sir.

Sunil Bohra: Thanks, Michelle. Good morning, everyone, and a warm welcome to all the participants. On the earnings call today, I'm joined by my colleague, Ankur Modi. We have uploaded our financial results and investor presentation for Q4 FY26 and FY26 on the stock exc hanges and our company's website. We hope everybody had an opportunity to go through the same.

I will begin with a brief overview of the macroeconomic environment, followed by the current trends in the automotive industry and then our financial and operat ional performance for the quarter and full year. Post that, we will open the floor for Q&A.

Talking about the global economy and its landscape, the global economy has shown remarkable resilience until now. The outlook for 2026 has become increasingly complex. Recent geopolitical escalations in the Middle East have introduced fresh uncertainty, primarily manifesting through commodity price volatility and renewed inflationary pressures.

According to the latest IMF World Economic Outlook in April '26, global growth is projected to moderate to 3.1% in '26 with a slight recovery to 3.2% in '27. This deceleration reflects the shadow of conflict, which has prompted a modest uptick in global headline inflation.

We are seeing a distinct divergence in growth dynamics . Advanced economic growth remains subdued at approximately 1.8% as these regions navigate high public debt levels and tighter financial condi tions. Emerging markets remain the primary growth engines though they are increasingly sensitive to the 16% surge in commodity prices forecasted by the World Bank for this year, particularly in energy and fertilizers. Amidst this global cooling, India's narrative remains one of the exceptional performance.

For FY26, India is estimated to have grown at over 7%, cementi ng its position as the world's fastest -growing major economy. This performance has been underpinned by strong domestic consumption, government's sustained infrastructure push and a decisive shift towards Make in India for advanced manufacturing.

Looking ahead to FY 27, while the World Bank and ADB project a moderation in GDP growth to approximately 6.6% to 6.9%, largely due to higher energy import costs and global trade headwinds, India's structural fundamentals remain intact. With capacity utilization impro ving and private capex starting to kick in, we believe the domestic macroeconomic environment provides a stable flow for our growth ambitions.

Moving on to the automotive industry overview. The Indian industry has exited FY 26 on an exceptionally strong foo ting. Following a relatively cautious first half, we witnessed a decisive and pronounced rebound in the second half, characterized by a synchronized recovery across most of the segments. Production volumes in the quarter 4 FY 26 grew by 19% year -on-year, reaching approximately 9.3 million units. The Indian automobile industr

y has exited FY26 on strong footing with Q4 reflecting a clear acceleration.

For the full year, the total production reached an all -time high of approximately 34.7 million units, represen ting a robust 12% year -on-year growth. It is important to note that this growth is not just quantitative; we are seeing a structural shift towards higher value vehicles, particularly in the SUV and premium 2 -wheeler segments, which aligns perfectly with Un o Minda's product portfolio.

The industry's expansion is underpinned by a convergence of fiscal and monetary tailwinds. Personal income tax rationalization and GST rate cuts significantly enhanced customer affordability and disposable income. Furthermore, the RBI's strategic repo cuts lower financing barriers, while the government's aggressive infrastructure push catalyzed demand across segments.

The PV segment delivered a formidable performance in Q4 FY 26, with production volumes reaching approximately 1.6 million units, a robust 11% year -on-year increase. This quarterly momentum translated into a historic year as the segment recorded its highest ever annual production of 5.5 million units, growing 9% over FY 25. India's manufacturing competitiveness

is incr easingly recognized on the global stage. Passenger vehicle exports reached a historic high of 0.91 million units in FY 26, a 17.5% year -on-year expansion.
Strong traction in the Middle East, Africa and Latin America is positioning India as a critical global hub for small to midsize SUVs. Electric PV registration surged by over 80% this year, with retail sales touching approximately 200,000 units. Consequently, EV penetration in the PV segment has climbed to 4.2% in FY 26, up significantly from 2.6% in the pre vious year.
Moving towards 2-wheeler segment. The segment witnessed a powerful acceleration in Q4, with production volumes hitting approximately 7.1 million units, a robust 20% year -on-year growth. This performance served as a catalyst for a record -breakin g fiscal year. For FY 26, the total 2-wheeler production reached an all -time high of approximately 26.6 million units, growing 12% and surpassing the previous peak achieved in FY 19. Exports of 2- wheeler reached a record 5.2 million units in FY 26, a massive 23.4% year -on-year ju mp.

e-2-wheeler registration crossed 1.4 million mark in FY 26, growing 21% year -on-year. In Q4 alone, e-2 -wheeler volumes reached 4.25 lakh units, clocking 39% year -on-year growth. Overall , e-2-wheeler penetration has climbed to 6.5%, up from 5.4% in the p revious years.
Moving on to the 3-wheeler segment. The segment delivered a strong performance in quarter 4, with production volumes growing by 32% year -on-year to approximately 0.34 million units, reflecting robust demand across both domestic and export markets. 3-wheeler exports for FY26 reached approximately 0.46 million units, a massive 50% year -on-year increase. Exports now contribute roughly 35% of our overall 3-wheel production.
This resurgence was led by a significant rebound in demand from key inte rnational markets, most notably Sri Lanka and across the African continent. The segment also benefited from structural tailwinds, including the continued expansion of electric 3 -wheelers where EV penetration crossed 60% in FY 26.
Moving to the CV segment. T he industry also delivered a strong performance in Q4, with total production growing by 19% year -on-year to approximately 0.36 million units. On a full year basis, the segment recorded its highest ever production of approximately 1.17 million units, regist ering a 13% growth over previous year.
Overall, FY26 has marked a year of broad -based recovery for the automotive sector, with strong momentum visible across all segments, supported by improving demand conditions, policy tailwinds and a steady revival in both domestic and export markets.
The second half -led rec

overy, coupled with structural shift, such as increasing electrification and evolving mobility patterns , highlights the strengthening fundamentals of the industry. While external uncertainties, parti cularly on the geopolitical and commodity front continue to warrant close monitoring, the underlying demand environment and long- term growth drivers remain firmly intact. Against this backdrop, I will now move on to discuss our company's performance for th e quarter and the key developments during the period.
You can refer to Slide number 7 and 8. We reported a strong quarter where we have continued to scale new heights, once again surpassing our previous peaks to achieve our highest ever quarterly revenues and profitability. Our consolidated revenues from operations for the quarter stood at INR 5,336 crores, representing a robust 18% year -on-year growth. This growth was broad based, driven by volume expansion across most of our core product offerings.
On profitability front, EBITDA grew by 14% year -on-year to INR 603 crores with healthy EBITDA margin s of 11.3%. We have managed to maintain these margins despite a volatile input cost environment, reflecting our disciplined focus on operational efficiencies. Depreciation increased by INR 27 crores to INR 192 crores following the capitalization of strategic facilities, including our new 4-wheel lighting plants in Khed City and Indonesia and 2-wheel er alloy wheel expansion at Supa, 4-wheel er alloy wheel Phase 1 commissioning of our Kharkhoda facility and capacity expansion at Bawal.
Finance costs rose to INR 45 crores, a planned increase representing the higher borrowing required to fuel capex programs and manage the incremental working capital for our growth.

The s hare of profit from associates and joint venture for the quarter rose to INR 64 crores compared to INR 55 crores in the prior year.
We would like to specifically highlight TG Uno Minda, which recorded a 26% revenue surge following the capacity expansion of our site and curtain airbag business, aligning with India's

intensifying focus on the vehicle safety. As a result of this strong operational performance and disciplined execution, profit after tax attributable to shareholders grew by 22% to INR326 crores compared to INR266 crores in Q4 FY 25.

Moving on to full year financials for FY 26, excluding P rior period income in Q1, the revenue from operations for the financial year ending March '26 stood at INR 19,589 crores, translating into a robust year -on-year growth of 17%. This performance reflects sustained demand across our core product portfolio, continued scale -up of new businesses and healthy execution across platforms.

Normalized EBITDA for the period grew by 16% to INR 2,182 crores, underscoring the operating strength of the business even as we continue to invest in new capacity and future -ready technologies. Normalized EBITDA margins for the period remained stable at 11.1%. Profit after tax attributable to shareholders for FY 26 stood at INR 1,197 crores. On a normalized basis, excluding both prior period income and exceptional items, PAT is INR 1,166 crores, representin g a strong year -on-year growth of 24% over INR 943 crores in FY 25.

Moving on to the business segment -wise performance, you can refer to Slide number 11, please.

Starting with switches. The switch system business, the largest division within the Uno Minda portfolio, continues to be one of our fastest -growing verticals. The segment recorded its highest ever quarterly revenues of INR 1,343 crores, reflecting a robust 17% year -on-year growth and contributing 25% to our group's consolidated turnover. For FY26, t he division reached INR 4,871 crores in revenue, growing 16% from INR 4,204 crore s in FY25.

Growth during the quarter was primarily driven by the 2-wheeler switching business, which delivered over 26% year -on-y

ear growth. This performance was supported by sustained domestic volume growth and increase in share of business with some of our customers. 2-wheeler switch export for the quarter touched INR 86 crores, whereas exports crossed INR 280 crores for the full year.

The 4 -wheeler switching business, under Uno Mindarika , also continued to outperform industry growth. This was supported by increasing premiumization and rising adoption of advanced feature-rich switching systems by OEMs, resulting in higher kit value per vehicle.

In addition, we witnessed furthe r increase in share of business with leading Indian passenger vehicle OEMs, further strengthening our leadership position in the domestic market. On the capacity expansion front, the shifting cum expansion of our 4-wheeler switching facility at Farrukhnaga r is progressing as per plan. We expect to complete the transition of Manesar plant to Farrukhnagar over the next 6 months.

Moving on to the Lighting segment. The lighting system business reported revenues of INR 1,154 crores, contributing around 22% to consolidated revenues and recording a healthy year -

on-year growth of 13 % On a full year basis, the business delivered revenue of INR 4,402 crores, registering a strong 14% year -on-year growth, reflecting sustained execution and consistent demand across key s egments.

The 2 -wheeler lighting portfolio continued to anchor growth during the quarter, supported by sustained market share gains achieved over the past few years. This momentum was further strengthened by increase in share of business with key customers and rising EV penetration, where Uno Minda remains a leading supplier to multiple e -2-wheeler OEMs.

A key highlight during the quarter was the receipt of a significant new order for unserved models, with an annual peak value of approximately INR 450 crores for the supply of 2-wheeler lighting products, with SOP scheduled in second half of FY 28. This order equivalent to nearly 25% of the current 2 -wheeler lighting annual revenues is expected to materially enhance our share of business and further strengtheni ng our overall market position.

In the 4-wheeler lighting segment, after witnessing a threefold expansion over the past 5 years, the business is now in the phase of consolidation. With SOP of multiple new programs and the bulk of capacity expansion already in place, the focus is now on stabilizing operations and driving steady and sustainable growth.

Moving to casting business. The casting business revenues for the quarter reached INR 982 crores, reflecting a strong 14% year -on-year growth and contributing approximately 18% to Uno Minda's consolidated revenues. The quarter revenue mix remained well diversified, led by INR 535 crores from the 4-wheeler alloy wheel segment, INR 259 crores from 2 -wheeler alloy wheels and INR 188 crores from aluminum die casting.

For the full year FY 26, the business recorded revenues of INR 3,694 crores, marking a healthy 15% growth over previous year. Within this, the 4-wheeler alloy wheel segment contributed INR 1,964 crores, followed by INR 1,058 cror es from the 2 -wheeler alloy wheels and INR 673 crores from aluminum die casting.

Growth during the quarter was largely driven by a ramp- up of recently commissioned capacities across key locations including the 4-wheeler alloy wheel facilities at Bawal and Kharkhoda. Additionally, the reported revenue growth also reflects the impact of higher base aluminum prices during the period.
From a demand standpoint, we are seeing some near -term moderation in alloy wheel penetration in our customers. This was primaril y led by shift in our customers' vehicle mix with stronger growth in entry level of the models, where alloy wheel adoption remains relatively lower, impacting penetration in the 4-wheeler space.
In the 2-wheeler segment as well, demand softness

was observe d due to a shift in customer
preference in specific programs where steel wheels were adopted in place of previously planned alloy wheels. That said, the business continued to actively diversify its customer base and has secured new orders in the 2-wheeler alloy wheel segment, including programs in the electric 2 -wheeler space.

Despite these near -term headwinds, the long-term outlook remains positive. The structural growth drivers for alloy wheels remain intact, supported by industry volume expansion and expected gradual but consistent increase in alloy wheel penetration across vehicle segments.
Moving to seating. The seating system business continued its upward trajectory in the quarter, steadily strengthening its contribution to Uno Minda's overall growth. The segment reported revenues of INR 381 crores during the quarter, contributing approximately 7% to the consolidated revenues. For the full year FY 26, the business delivered revenues of INR 1,416 crores, reflecting a strong growth of 23%. The quarter's pe rformance was driven by a combination of increased share of business with both existing and new customers, along with higher domestic demand for suspended seat.
Encouragingly, exports gained momentum during the quarter, reaching INR 54 crores supported by improved offtake from international customers as well as addition of new export accounts, further diversifying the revenue base. Building on this traction, the business secured new export orders with an expected annual peak value of approximately INR 390 c rores from 3 new customers from Europe and North America in the CV segment. Supplies for these programs are expected to commence in FY 28, providing strong visibility for future growth.
Driven by our deep commitment and strategic focus on the future of clean mobility, we are introducing a distinct reporting category, which is green mobility. This dedicated segment
consolidates our sustainable technology portfolio, encompassing Uno Minda EV Systems, Uno Minda Auto Innovation, which covers 2-wheeler, 3 -wheeler and 4 -wheeler businesses for EVs, the EV -specific business of our controller business and Uno Minda Westport, alternate fuel and CNG systems. This reorganization ensures streamlined visibility and sharper insights into our high-growth EV and alternative f uel business.
Showing immediate momentum, the green mobility segment achieved a robust 25% year -on-year revenue growth in the quarter, reaching INR 423 crores and contributing 8% to the company's total consol revenues. Within this segment, alternate fuels led the quarter with INR 186 crores, followed closely by 2-wheeler and 3 -wheeler EV systems at INR 147 crores, reflecting strong adoption trends across electric mobility system. Four -wheeler EV business and our EV -specific controller business further stren gthened the portfolio, contributing INR 46 crores and INR 44 crores, respectively.
For the full year FY 26, the combined green mobility business recorded consolidated revenues of INR 1,405 crores, registering a steady 7% year -on-year growth as against INR 1,313 crores in FY25. For the full year FY 26, the 2-wheeler and 3 -wheeler systems business recorded revenues of INR 501 crores, registering a robust growth of 31%, underlying its emergence as a key growth driver within Uno Minda's future mobility portfolio.
Moving on to high- voltage EV powertrain business. The construction of the new greenfield facility for our high- voltage EV powertrain components under our subsidiary, Uno Minda Auto Innovations Private Limited is progressing on schedule, with Phase 1 commis sioning planned for the second half of FY 27. In line with earlier communication and to meet customer demand,

we have initiated supplies of electric drive unit, resulting in revenues of around INR 46 cr

ores
during the quarter.
Further to Khed, the Board ha s approved the establishment of the state-of -art greenfield manufacturing facility under UMAIPL in Chhatrapati Sambhajinagar, Maharashtra for electric powertrain products for passenger vehicles. The new plant will assemble and manufacture advanced systems, including EDUs and dedicated hybrid transmission systems. The manufacturing of EDU will be supported by a technology partner, Inovance Automotive. The component and systems for EDU will be progressively localized over a period of time. The DHT will be ass embled and manufactured through strategic customer partnership.
The project involves a total estimated investment of INR 550 crores to be funded through a mix of debt and equity. Capital expenditure will be phased over the next 2, 3 years with the facilit y expected to be commissioned by second quarter of FY 28. This is the second EV -powertrain plant announced by UMAIPL in quick succession following the ongoing setup of facility in Khed City, Pune, which is slated to begin operations in the second half of the current fiscal year.
The alternate fuel business sustained its strong growth momentum, driven by rising CNG penetration in the PV segment. The CNG penetration in the Indian PV market has increased significantly from 10% in FY23 to 20% in CY '25 and further to 22% in FY26. During the quarter, the business reported revenues of INR 186 crores, reflecting a robust growth of 30%.
For the full year FY 26, revenue stood at INR 592 crores, growing 18% year -on-year.
Moving to other pro ducts. Our acoustic business, which was previously reported as a stand -alone item has now been clubbed in the others category. The reconfigured other product portfolio continues to reflect steady operational performance. The vertical reported revenues of INR 1,053 crore s, registering a robust 25% year -on-year growth and contributing approximately 20% to the company's consolidated top line. Contribution during the quarter remains distributed across remaining core and aftermarket verticals within the portfolio .
Sensors and ADAS generated INR 205 crores, followed by acoustics at INR 225 crores. Blow moulding products and the non-EV controller business accounted for INR 118 crores and INR 86 crores, respectively. The remaining revenues were driven by aftermarket segment, including batteries along with external sales from Uno Minda Katolec, providing additional stability to the portfolio.
For the full year FY 26, this product category reported consolidated revenues of INR 3,801 crores, up 26% year -on-year, reflect ing the underlying strength of our diversified adjacencies.
Construction of the sunroof manufacturing facility is progressing as planned with the commissioning expected by end of FY 27. Further strengthening our order book, we secured an additional order wi th an annual peak value of estimated to be INR 85 crores, taking the total sunroof order book potential to over INR 350 crores.
In the in-vehicle infotainment space, normally called IVI, where adoption continues to rise and is now standard across mid - to high-end segments. Uno Minda has expanded its capabilities. Our in-house R&D center has developed a competitive Android -based IVI platform, enabling us to

secure a sizable order of INR 600 crores estimated peak annual value compared to our FY 26 JV revenues of INR 846 crores.
This order represents 70% of current revenues with SOP expected in Q3 FY 29, marking a significant growth opportunity. Additionally, CREAT, our R&D center has developed a silver box display unit for 2-wheeler applications for which we h ave secured an order with an estimated annual peak value of around INR 200 crores. Production for this program is expected to commence in Q4 FY 27.
Moving to aftermarket and international business, you can refer to Slide number 13, pl

ease. For the quarter ended March '26, the aftermarket business reported revenues of INR 340 crores, contributing approximately 7% of consol revenues. In addition, sales to OEM spare part division stood at INR 232 crores. Combined, the aftermarket and SPD channels generated revenues of INR 572 crores, underscoring their growing importance in our overall business mix. The international business contributed around 10% of tot al revenues during Q4 FY 26.
This performance was driven by improved export traction, particularly in the 2-wheeler switching and seating segments. Moving to our debt position. The net debt as of 31st March stood at INR 2,179 crores compared to INR 2,091 c rores as on March '25. During FY26, the cash flow from operation amounted to INR 1,722 crores, while capital expenditures stood at INR 1,572 crores. This included INR 861 crores towards expansion projects, INR 149 crores for land acquisition at CSN, the ba lance towards sustaining capex. Additionally, the company has incurred a cash flow of INR 200-odd crores towards the acquisition of shares in UMEVSPL and associated technologies from FRIWO.
As highlighted, while sustaining and growth capex have largely be en funded through internal accruals, incremental debt has primarily been driven by acquisition. Despite this, the balance sheet remains very strong with

a net debt -to-equity ratio improving to 0.30 as of March '26 as
against 0.34 as of March '25. We have a chieved ROCE of 19.2% and return of equity of 19.1% for FY26. Kindly note that capital employed considered for calculation of ROCE also includes the capex for land bank as well as CWIP, which is currently not generating any returns. ROCE would be even higher if we were to exclude these non -deployed assets.
Reflecting our strong financial performance and robust cash flow generation, the Board has recommended a final dividend of INR 1.75 per share for shareholder approval. When combined with interim dividend already distributed, the total dividend for FY26 reaches INR 2.65 per share or roughly INR 153 crores. This payout highlights our disciplined approach to capital management. We'll continue to strike a strategic balance between reinvesting in the business f or long-term compounding and returning cash to investors.
Turning now to our ESG performance, an area that continues to be a cornerstone of our long-term value creation strategy. At Uno Minda, we view ESG not merely as a compliance requirement, but as a commitment to sustainable growth. Our focus on diversity and inclusion has moved beyond policy into tangible shop floor impact. I am pleased to highlight our strategic collaboration with a typical advantage through which we have launched a targeted pilot pr oject to onboard differently abled people.

Furthermore, our CSR arm, the Suman Nirmal Minda foundation continues to scale its reach. We recently inaugurated our 19th Samarth Jyoti Center at Pune in Supa. This center is a vital addition to our network dedi cated to providing vocational training and support that enables mobility, independence and dignity for persons with the disabilities in our industrial hubs.
In line with our sustainability road map of achieving 60% renewable energy by 2030 and carbon neutrality by 2040, we have committed additional investments in renewable energy projects across our key manufacturing hubs in Haryana and Tamil Nadu. With our existing rooftop solar installations, current open access arrangements and approved investments under execution, our green power is expected to account for almost 50% of our total energy consumption, marking a significant step towards the medium and long-term sustainability goals.
Finally, moving on to outlook. Looking ahead, the automotive industry is expected to sustain its growth momentum in FY 27. Against this backdrop, Uno Minda will continue to execute its dual
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trategy, driving vertical growth in core businesses through higher value addition and market share gains while simultaneously scaling new a ge and emerging technology platforms. In line with this approach, we will maintain a strong investment focus on both capacity expansion and capability enhancement.
For FY27, we have planned a total capital expenditure of approximately INR 1,750 crores, comprising of around INR 650 crores towards sustaining capex and around INR 1,100 crores towards growth capex and balance towards land acquisition. Considering the expansion plan announced or under consideration by our customers, we may be required to add more land in CSN, Hosur and Gujarat. Besides land, project mix will largely be directed towards ongoing and announced projects, the list of the same is part of the presentation, while sustaining capex will address incremental capacities and technology upgrad es across existing plants.
FY27 is expected to be a defining year for execution with 7 out of our 11 ongoing projects either commencing production or undergoing ramp- up, we also expect to begin commercial operations in 2 key new product segments, EV powertrain and sunroof, marking important milestones in our diversification journey.
Uno Minda remains well positioned for sustainable growth backed by strong fundamentals, a diversified product portfolio and ongoing investments in emerging technologies. D espite the ongoing challenges and initial costs in the newly commissioned plants, we continue to expect an annual EBITDA margin of around 11% plus/minus 50 basis points.
Uno Minda's journey is anchored in a relentless focus on innovation, localization and customer centricity. With a diversified portfolio and our most ambitious manufacturing expansion to date, we remain committed to delivering sustainable long -term value to our shareholders while powering the transition towards a smarter, greener and more t echnologically advanced automotive era.
With this, I would like to now open up the floor for questions. Thank you.
Moderator: Thank you very much sir. The first question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: Sir, first question is regarding this new facility in Maharashtra for the 4 -wheeler EV components.

Just trying to understand, it's a sizable capex that we are earmarking here and the fact that our
Khed facility also, we have a decent capex, which the plant has not started. So just trying to
understand, do we have visibility on the kind of order book that you can mention because the capex now for your 4-wheeler EV componen ts will be like INR 1,200 crores, including 3
facilities. So what gives us confidence to set up a second plant while the first one is still under construction? Wouldn't we want to rather stagger it and kind of use the first facility and then get
to this one ? So just trying to understand the thought process there.
Sunil Bohra: Anything else, Mukesh?
Mukesh Saraf: Yes, the second question is like you had kind of alluded to, we have I mean if I include the 2 facilities that you have started in 4Q, then it's pr obably 9 plants that will be starting in FY '27.
And the capex for that you have earmarked for these 9 plants is probably INR 1,800 crores. So
it's a significant amount of capex that is coming on stream in this year.
So just trying to look at how do you l ook at the execution for this? Obviously, it's be phase -wise,
but what kind of growth can we assume across these plants in the next couple of years in terms
of the ramping up of this INR 1,800 crores of capex? Yes. So these 2 questions from my side, if
you could give some sense.
Sunil Bohra: Thanks, Mukesh, and very, very valid questions, both of them. So starting with, first, as I said,
the second plant we are putting, we have got very good visibility on the new business for both
EDU and the DST. We hav

e be en working with our customers. At this point, difficult for me to
give a number for revenues. But be rest assured, there is a sort of a strategic partnership,
specifically with the customer for the DST and also for the EDU.
And both these plants, which we are constructing in Khed and also we will be now starting work
in CSN, the capacity is almost there, right? So there was a request from a customer, in fact, a
push that need to be closer to the customer and also could not have been done at the existing
plant at Khed because of this plant has already been like earmarked for the existing businesses.
So there was obviously a little less scope in terms of putting the DST line, etcetera. So
considering all the strategic aspects, it was thought prudent that we put a second plant. Though,
yes, you are right, there will be challenges which we have to seize because the same team will
be responsible for commissioning of both the plants.
But good thing is that one plant is getting commissioned in this year and anot her will be after 1
year. So they will be able to put their efforts very effectively. So in fact, once we commission
the first plant, the experience also will carry on towards the second plant. So that was what gives
us confidence, Mukesh.
In terms of you r second point, which is multiple plants coming in the stream. So you know that
all these plants, what we have currently, they are across businesses, across different products, starting with wheels, lighting, switches, sunroof, airbags, EV products . So the way we are
structured, we have separate business teams for every business.

So if you look from a business perspective, obviously, there is a clear focus, direction towards
executing and commissioning of those products. And there's no overlap in terms of same team
being responsible for multiple plants.
So that's what gives us confidence that there are separate teams, separate businesses who are
responsible for execution and commissioning of those plants. And that is why we are very
comfortable in terms of the execution, commissio ning, operations, etcetera, et cetera.
Now coming to a point on what kind of growth we're expect in the next 2 years. So we all know,
Mukesh, some of these plants are building more capacity like the 4 -wheeler switch at Manesar
going to Farrukhnagar. Today, we are constrained. Obviously, when we move that plant to a
new location, we will not be constrained because of capacity.
Same way the lighting 3 plants getting merged into Kharkhoda into single plant for 2-wheeler
lighting, agai n, creating more space, right? So from that perspective, whatever is the growth
market is giving us, we should be able to do it. Second, what I have just shared with you some
of the business wins, which are more strategic like in the 2 -wheeler, I shared a sizable business
of almost INR 450 crores worth of revenues, which we will get and SOP in the next fiscal year.
So all these things to deliver, we will need those capacities.
And in terms of growth, as I said, this also is like increasing our share of business also because
they are unserved models today. So all in all, these are a mix of business where we will see not
only the growth in line with the market, which we have to anyway build capacities, but also in
some businesses, we will be able to create or generate better SOPs. And third, there are some
new businesses, obviously, which are starting the clean slate like the EV powertrain business or
a sunroof business. So for the m, I think we have already shared with you what our kind of
revenues we expect to generate.

Moderator: Thank you, sir, for answering those questions. The participant has left the queue. W e will move on to the next question from the line of Aditya Jhawar fr om Investec. Please go ahead.
Aditya Jhawar: Congrats on good set of numbers. A few things. Number one,

that when you look at from a margin perspective, in Q4, typically, we have this debit note credit note for the entire year that get adjusted. If you ca n help us understand what kind of quantum was that? And commodity inflation, if at all, we saw an impact, how much of that it is and a little bit of a lag that typically we get. So is that, that Q1 would have bigger dent? First question is on margin, what ever information that you can share. The second question is on the green mobility. So if you can give a broad breakup that what could be the breakup of EV revenue? And does it also -- of course, it includes CNG, but does it also include hybrid and under which entities ballpark, it is getting booked? The third question is casting saw a good growth of about 18%. So what was the proportion of aluminum pass -through that we saw in this quarter? Yes, that's about it.
Sunil Bohra: So thanks, Aditya, for the compli ments, and I'll go in the same sequence the questions which you asked. First is in terms of margin for Q4. And as we all know, that certain debit credit as you rightly mentioned, happened in Q4. And that's what is also reflecting in our numbers of Q4,

whic h is 11.3% margin. Quantum of that is difficult to share, Aditya, because it's different for different businesses.
Plus in Q3 to Q4, there not has been much jump because of whatever lag impact in Q4, you get Q3 prices. And Q3, you get Q2 prices. So from t hat perspective, there is nothing which was exceptional. Yes, there has been certain price settlement because of which there were certain incomes being accounted for in terms of customer price settlement in the quarter.
In terms of commodity inflation, ye s, that as everybody knows, it has started hitting after the geopolitical issue, which has happened. So first thing first, what happens is when you see for the quarter from Jan, Feb, March and when you do for March, obviously, you had certain inventories being carried forward at the prices, which obviously were the previous war or the impact because of the commodity price, what had happened. So that also helped cushion impact to some extent in the March.
But to your point, yes, there will be expected to be an impact in the coming quarters, which are expected to be sizable. But we are currently in the process of discussing with our customers that our customers have been very supportive. When we have this lag impact for a quarter or a half year, that is primarily in the normalized scenario, right?
What we are currently sitting is not normalized, actually an abnormal scenario. So we have been discussing with our customers, how do we cut our price adjustment cycle? Can we cut half year to monthly, if possible, quarter to monthly ? So some of the customers have been positive with some of the customer discussions have been happening, and we still have like 1, 1.5 month for this quarter. And we are hopeful that the large part of our customers may broadly agree with t he price correction or the pass -through to be on a shorter frame basis until the things get normalized.
So our teams are on the job . And I'm pretty confident that we should be able to largely sort of address this impact of commodity prices, which, as you r ightly mentioned, definitely is going to be exceptionally high in the quarter. And not only commodity prices, we also know that some of the labor price increases like in Haryana, the prices have been increased by almost 35%, followed by some of the other s tates like Gujarat. So all these impacts also are very sizable. And we are discussing with our customers, not only commodity prices, even some of these significant labor price increases, which are not normal.
Normally, you expect labor price to be 5%, 7%, 8%, 10% kind of a thing. But 35%, obviously, is not something which can be absorbed easily. So all these things currently, our teams are on

the job in terms of working with the customers, and to mitigate because they not only hurt us, they also hurt th e Tier 2s, right, our suppliers in turn.
So it has to be back to back, and that's what currently you are discussing with almost all our customers. Moving to green mobility revenue. I think I've shared all the numbers, in which entity it has been booked, ma ybe offline again, numbers can be shared with you, Aditya, if you don't mind. And in terms of casting, the growth is 18%. The impact of aluminum pass -through was roughly around 4% to 5% for the quarter.
Moderator: The next question is from the line of Raghunandhan N. L. from Nuvama Research.

Raghunandhan N. L.: Congratulations, sir, on strong numbers, and thank you for the detailed opening remarks. Sir, within electric 4 -wheeler, considering the quantum of capex , which is being incurred, generally, would th e gross turnover be 2x of the capex ? Would that be a right number? That's my first question.

Second, you indicated about the alloy wheel, how the penetration trends are recently. Can you approximately indicate for the 2- wheeler and 4 -wheeler industry, how much would be the alloy wheel penetration currently? And lastly, on the labor cost increase, approximately what could be the impact in terms of the cost increase? That's all from my side.

Sunil Bohra: Yes. Thanks, Raghu, for the compliments. In terms of 4-wheeler EV, you asked capex multiple for revenue. As we are just starting, so initially, we do expect the factor to be higher. But as we move forward, this will be lower because there will be a gradual localization of the components because initially, when you start, nobody would like to take 100% risk and start completely localized, right? So you go in a piecemeal way. But in a medium to long term, we do expect the multiple of revenue to be actually more than 2x what you have just shared.

In terms of penet ration trends, the 2 -wheeler alloy wheel penetration is somewhere around 70% and 4-wheeler EV alloy wheel penetration is somewhere around 40%. In terms of impact of labor cost, obviously, it is very, very sizable. And as of now, some of the states are stil l in the process of announcing their floor wages, which as per the new Labor Code, they have to announce.

So the impact is obviously quite significant. It's almost like a couple of hundred crores for what we call Haryana and Gujarat. But still, there are some more which we expect to come on. So again, as I said, we are working to see how we sort of mitigate the impact of this labor cost and the commodity price increase.

Moderator: The next question is from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Congrats on good order wins in the quarter. Sir, to start off with again on this margin part, I mean, in quarter 4 also, we did see some gross margin compression. Would it be possible to highlight what -- and I understand you had this bought out t rading part also, which started. So will it be possible to share how much was the drag because of this trading business and the lower pass-through of maybe aluminum in the LMT segment? And should we expect some normalization there in the coming quarters?

And second is, I mean, we do have a lot of plants and sizable plants starting in the coming year. Now with many cost challenges, do you think there can be probably if there are any start -up costs and all, do you think there can be some pressure in the nea r-term margins as these plants stabilize? And lastly, on the exports part, we do have seen a lot of export orders also across switches, lights and seating.

So how do you see this export picking up for us from pure India exports? I don't know, I mean 10% mi ght include other entities also. So pure India exports, what percentage is it now? And where do you see that maybe, say, a couple of years down the line, yes?

Sunil Bohra: Yes. So thanks , Siddhartha. And definitely, order wins, I would give credit to our teams for relentlessly working on new technologies, getting more business. So it's a great job done by the entire team, and definitely gives good visibility for all these capex growth engi nes, what currently we are working on. In terms of margin, yes, you are right. There is a gross margin compression of almost 1%.

But because of trading business, I won't say much because it's very, very small. The trading business for this new what we spoke of, t he EV business, is just like INR 40-odd crores, INR 40 crores, INR 45 crores. So obviously, we don't expect that to be having any significant or a meaningful impact in terms of the RM cost.

This is primarily because of some of the new businesses, which might be at the lower margins or some of the commodity price impact as well. In terms of the sizable plants coming in current year, yes, you are right. And this is what keeping the entire organization on toes and excited as well. There are challenges in costs, you are right. There will be start-up costs. We all acknowledge that.

And I think we have shared this also that the margin guidance, what we are giving of 11% plus minus 50 basis points, that also includes the expected for the known start -up cos ts as of now. So we do expect to absorb all this in our current profitability. In terms of exports, how do we see pure export from India? So currently, our exports for last year was roughly around INR 600 crores.

The actual physical exports from India, and I'm excluding the operations or the last assembly lines, whatever we have in the overseas plants, the ASEAN or the other regions. So this INR 600 crores, coupled with all the significant new business wins what we have shared, definitely in next few years, we do expect this to cross INR 1,500 crores mark based on what we know

now. So that's where we are in physical exports from India to that. So I hope I've addressed all your questions.
Siddhartha Bera: Yes. Sir, if you can share the breakup of revenues als o for the 4-wheeler and 2 -wheeler segment in switch and light, that will be awesome.
Sunil Bohra: Yes. I think I did share during the opening comments. But maybe this data, again, we can give you offline, if you don't mind.
Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equity.
Mumuksh Mandlesha: Congrats on a large new order wins this quarter. Sir, just first on the 4-wheeler Inovance new order. Of this 1.85 lakh capacity, how much would be already booked, sir? And I just want to understand with this INR 400 Crore Khed plant and this INR 550 crore s, what kind of revenue potential this plant can make sir, both the plant together?
Sunil Bohra: Anything else, Mumuksh.

Mumuksh Mandlesha: And secondly, sir, on the infotainment side, there's also a major order there, one, sir. I just wanted to check whether this was a part of stand -alone business. And also, there was some 2 -wheeler orders. So if you can help us understand over next 3 to 5 years, how this infotainment business can change, sir?
Sunil Bohra: Thanks, Mumuksh. Thanks for the compliments. In terms of the 4-wheeler Inovance, this capacity, what we have shared is the eventual capacity after the complete plant constructions. So obviously, initially, we don't expect to have full capacity in place. It will be a gradual sort of capital being invested based on the businesses we secure. So as of now, I would not be to share if the entire 1.85 lakh capacity, how much is currently booked or not booked because a s I said, this is currently in terms of a strategic partnership with our customers.
And as of now, I would not like to comment on volumes because we know that volumes can potentially be diffe

rent than what we see today. But in terms of your question on how much revenue it can generate, INR 400 crores plus, INR550 crores. In fact, I would also add another INR300 crores, which we are doing capex for the casting in CSN, which is also like the back end for this EV business, right?
So it's not only INR 400 crore s, INR550 crore s, plus it's also another INR300 crore s casting plant, which will be serving primarily the EDU and the DST business. So in all, it is almost INR 1,200-odd crores of capex . So with this capex , we do expect the revenues to be north of 2x, as I said, more than INR 2,500 crores at least. And potentially, it can go even more than like INR 3,000 -odd crores at the peak.
In terms of infotainment, the new business which we have secured, which is expected annual revenues based on the customer guidance of volume is roughly around INR 600-odd crores as I shared. This will be not part of standalone consol. This is going to be part of our joint venture with Denso, in the Denso JV, which is not part of our consolidated revenues. It's part of group revenue.
So you will see the share of profit loss as part of the joint venture, it will show there, but not part of revenues. And in terms of 2 -wheeler light business, which I shared of almost INR400 crores, INR450 crores, this will be part of the stand -alone Uno Minda financials.
Mumuksh Mandlesha: So sir, on Denso, infotainment part, just can you indicate how you see next 3, 5 years from current INR800-odd crores?
Sunil Bohra: This business, as I said, will anyway get SOP in '28, 2029, whic h is a 3 -year forward, right? But what it does is once we sort of have this business already in our pocket, I'm sure our teams will work together to see how we can onboard more customers, but I'm sure every customer would like to see the actual SOP also. S o while we do expect new businesses being secured, I would not like to be able to give you an exact time frame as to what will be the new business and the time frame.
So as of now, this additional INR 600 crores will be in FY 28, '29 as I shared, plus obviously something which we will keep on working on with other customers because this is the product

we have developed locally. And I'm sure we will be able to convince some of the other customers as well to get some business in our pocket. But as of now, no commitments on that.
Mumuksh Mandlesha: Got it. So I mean from INR 800-odd crore s, this could be plus INR600 crore s. This could be more than INR 1,500 crores by FY 30 with the ramp-up of the orders.
Sunil Bohra: Absolutely.
Mumuksh Mandlesha: Got it. Just lastl y, sir, on the margin side, despite the near -term challenges, do you see the 11%

margin guidance for the full year, sir?
Sunil Bohra: Yes. That's what I said, Mumuksh, plus minus 50 basis points, give us that benefit.
Moderator: The next question is from t he line of Nishit Jalan from Axis Capital.
Nishit Jalan: Most of my questions have been answered, just a couple of small points. One, you are doing well versus industry in most of the segments. So just wanted to understand where are we in terms of market share across our main segments, which is switches, lighting and alloy wheels, in particular, right? And what will be our capacity in 4-wheeler and 2 -wheeler alloy wheels after expansion? Will it be 10 million in 2 -wheeler? What will be this on the 4 -wheeler side? These are the 2 questions that I had.
Sunil Bohra: Thanks, Nishit. So market share across segments, as you would have seen, we have gained our market share across all the business, be it switch, 2 -wheeler, 4 -wheeler, lighting, alloy wheels. I think across the board, we have seen market share gains. We can share with you offline in terms of exact numbers. In terms of capacity for 4 -wheeler alloy wheel and 2 -wheeler alloy wheel. For 2-wheeler alloy wheel, it is

going to be roughly around 9.5 mi llion alloy wheel for the year. And for 4 -wheelers, it's something around 7 million -odd wheels based on all the projects which have been announced.
Nishit Jalan: Just one follow -up, sorry. You did talk about the pass -through of RM in certain cases, you have 3-month, 6-month contracts. So just wanted to understand, is this 3 months, 6 months dependent on commodities? Or is it dependent on segment as in 4-wheeler 6 months or 2-wheeler 3 months? And second question would be, you are growing much faster than the industry. So are you going deeper with a similar set of customers because you are very strong with few customers in 4 - wheeler and 2 -wheeler?
Or have you been able to get into some of the other customers also on 4-wheeler, 2 -wheeler, where we have not been historically very strong and our share of business is on the lower side. So any color on that in terms of which OEMs you are getting stronger or which OEMs we are still weak? Some color on that would be helpful ?
Sunil Bohra: Yes. So Nishit, in terms of p ass-through of RM, 3 months, 6 months, it is not commodity-wise.
It is customer to customers because every customer have their own policies. In fact, 1 or 2 customers have annually. That's what I said that we are working with the customers to see that
these are not the normal situations. These are all abnormal market situations. They are not normal market price movements.

There are abnormal price movements. So how in this time of sudden spikes because if the commodity prices, for example, goes up by 30% or 40%, nobody has a margin of that kind of a number to even absorb those costs. So our customers are really nice. I think we have been getting a very positive reception from our customers in terms of the years in terms of the impact and how do we find a sol ution in a win -win way so that it does not pinch not only us .
But also our Tier 2 and Tier 3 because you know the automotive supply chain is very, very closely knitted and nobody has those kind of margins to absorb the inflationary pressures, which we have seen immediately after the geopolitical issues. In terms of going deeper with the customers, yes, we are going deeper with our customers and also a new customer, as I shared, some of the specifically the new -age EV customers we have onboarded .
And we have got great insight, some of the new products which we have not been servicing them, we have got there. I would not like to name the customers. That's not been our policy. But yes, there is a mix of both going deeper as well and onboarding new customers as well.
Moderator: Ladies and gentlemen, due to time constraint, we'll take the last question for today from the line of Neel Shah from Purnartha Investment Advisors.
Neel Shah: I would just like you to shed some light on the INR 2,500 crore s fundraising that you have announced?
Sunil Bohra: So Neel, if that's the only question, I'm assuming, this is only an enabling resolution we take every year. Even last year, we have done it. And this is a mix of all the instruments. It is not necessarily equity. It also covers NCDs and some other borrowings. This is primarily to get in principle approval from our shareholders.
But if there is any specific fundraise plan, we will definitely have a separate communication to you. But as of now, there is no plan, and this is more of an enabling resolution. And if you see every year for the past few years, we have been taking this resolution.
Moderator: As that was the last question for today, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Sunil Bohra: Yes. Thank you. I would like to thank everyone for joining the call. I hope we have been able to respond to most of your queries adequately. For any further information, we request you to please do get in touch wi

th us direct ly. Thank you.
Moderator: Thank you, members of the management. On behalf of Uno Minda Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you. u)lt•JI MINDA l
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